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The European Bathroom & Kitchen Product Markets

- 2020 Edition -



Bulgaria

BRG
BUILDING SOLUTIONS

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Overview

BRG Building Solutions is a specialised market research consultancy serving the global building technologies industry. Combining unparalleled industry experience with expert research and analysis, our team delivers lasting results to hundreds of companies worldwide.

Our core expertise lies in our coverage of the bathroom, kitchen, HVAC, and other building products/technologies. Throughout a history spanning over 40 years, we have assisted industry players in identifying and realising growth opportunities through a combination of regular market monitoring and ad-hoc consultancy services.

BRG's unique Enterprise Database is at the centre of our offering. This is a comprehensive tool and very detailed source of historic, current and forecast market trends and market share data (by holding and brand) on a country comparable basis. The database provides an essential tool to our clients as a platform to support their strategic decision making.

BRG Building Solutions is a genuinely global company, staffed with individuals from varied backgrounds and nationalities, working collaboratively from four offices across four countries. Combining a high level of industry experience with expert research and analysis, our team delivers lasting results to hundreds of companies worldwide.

Our market coverage is also global, reflecting the nature of the industries we serve. Currently, 68 individual markets are covered annually in detail across the following key geographical regions (and number of countries):

- Africa (3)
- Australasia (2)
- East & Southeast Asia (6)
- Central America (4)
- Central Asia (3)
- Europe (31)
- South Asia (1)
- Middle East (7)
- North America (3)
- South America (5)
- Sub-Saharan Africa (3)

BRG has its own in-house dedicated modelling and forecasting unit. In cooperation with clients, we have since extended our offering to include market sizing for countries outside the traditional geographic reach of our main research

programme, via global market models

Product Coverage

Since the 1980s, BRG's Bathroom & Kitchen programme has provided industry players with insightful analysis and evidence-based information. In addition to detailed data on trends, values, end use, technical segmentations, market shares and distribution, our programme also includes perceptive text commentary, enabling our clients to easily identify and understand market characteristics and the latest industry developments.

BRG's programme has evolved steadily in terms of both geographic scope and product coverage and continues to do so each year. Each country report follows a uniform structure, to ensure that the data can be readily compared across regions and countries.

The product coverage has also expanded to cover virtually all bathroom, sanitary and kitchen related products, used in both residential and non-residential buildings, including:

Baths and Shower Trays

- Baths: cast iron, steel and synthetic
- Hydromassage baths
- Shower Trays: ceramic, steel/ cast iron and synthetic
- Shower systems (NAM): shower modules, integrated tub showers

Sanitary Ware

- WCs: wall hung, floor standing 1-piece and squat
- Washbasins: hand washbasins and countertops
- Other CSW: bidets, kitchen sinks, pedestals, shower trays, urinals and cisterns
- Plastic Cisterns: concealed and exposed.

Taps and Mixers ('Faucets'), both sanitary and kitchen:

- By application: basin/sink, bath, bidet, shower, kitchen sinks
- By type: pillar, two head, one head, thermostatic, self-closing, electronic
- By type (Americas): 4in centre set, 8in widespread, electronic, hand spray, pressure, single handle/one-head, self-closing, thermostatic, three handle.

Shower Wall

- Bath screens, conventional shower cubicles, hydrotherapy cubicles, bath & shower surrounds (NAM)

Bathroom Furniture

- Base units, mirror / mirror cabinets and separate cabinets.

Bathroom Accessories

- Soap holders and dispensers
- Towel holders, towel rings and towel bars
- Toilet paper holders and toilet brushes
- Towel and bathrobe hooks
- Toothbrush holders and tumblers
- Shelves, wastepaper bins, shower storage units and tissue holders.

Shower Accessories

- Shower heads, flexible hoses, shower supports, shower panels and shower pipes.

Kitchen Sinks

- Cast Iron, ceramic, enamelled steel, stainless steel and synthetic.

Definitions

Please note that all volumes given in the report refer to the number of units sold, where not indicated otherwise. In-depth product definitions are included in a separate document and available upon request.

All prices, both manufacturer and retail, exclude value-added-tax (VAT) and installation costs.

Methodology

The methodology behind the data remains true to our origins in that the industry participates in the research process, in many cases by providing BRG Building Solutions with annualised volume sales by product category per country and contacts for detailed expert interviews in all countries covered.

Our approach follows a multi-pronged strategy, gathering data inputs and information from many different sources. A further USP of BRG is the fact that we live and breathe the markets in which we specialise (bathroom, kitchen, plumbing & HVAC) and are in constant contact with manufacturers, distributors and other key influencers all of the time during our repeat annual research programme. The markets are built via a bottom-up approach. Extensive primary and secondary research complement the picture and provide all necessary insight for many

additional segmentations shown in the reports, like e.g. price segmentations, technical and end-use segmentations.

The reports are constantly evolving and refined based on industry feedback, and always reflect the latest developments in the industries.

All research is conducted in-house with a team of around 30 individuals who speak 20 different languages between them. As a result, we can transfer that knowledge and experience into services designed to assist stakeholders in understanding the opportunities available to them, at a fraction of that charged by the larger and less nimble global consultancies. BRG operates a policy of direct management of the team required to conduct the regular research work and avoids subcontracting its market studies to outside agencies.

The analysis has grown in complexity as the number of drivers affecting the markets grows, like e.g. economic uncertainty, construction cycles, new technologies, legislation. As a result, BRG Building Solutions considers all drivers through a holistic approach, recognising that products, end use segments and countries are all inter-linked.

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BULGARIA

BACKGROUND

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



Geography and Demographics

Bulgaria, officially the Republic of Bulgaria, is a country located in South Eastern Europe occupying 110,910 km² of the Balkan Peninsula. Bulgaria borders Romania (mostly along the Danube River) to the north, Serbia and Macedonia to the west, Greece and Turkey to the south and the Black Sea to the east. Bulgaria has been a member of the European Union since 1 January 2007 and NATO since 2004. The capital and largest city is Sofia, situated in western Bulgaria, at the foot of Mount Vitosha. Bulgaria is divided into 10 main regions: Burgas, Dobrich, Pleven, Plovdiv, Rousse, Shumen, Sliven, Sofia, Stara Zagora and Varna.

The total population of Bulgaria stood at 6.95 million, as of 31 December 2019, according to the Bulgarian National Statistical Institute (BNSI). The country has one of the lowest population growth rates in the world due to emigration and natural decline. An increasing death rate and a lower birth rate result from the age structure of the population and economic conditions. The death rate exceeded the birth rate for the first time in 1990 and this trend has continued each year ever since.

Bulgaria was a predominantly rural country until the late 1960s. By the 1990s, the urban population accounted for two thirds of the total. As of December 2019, more than 73.7% of the population lived in urban areas and about 26.3% in rural areas, according to the BNSI.

Macroeconomic Overview

Between 2009 and 2019 the Bulgarian economy remained consistently on a path of growth. In particular, several macroeconomic indicators such as GDP and unemployment corroborate the continuous strengthening of the general economic conjuncture. In this regard, Bulgaria has undertaken important steps during its transition from the rather turbulent political and economic phase of the 1990s until it joined the European Union in January 2007. Nowadays, Bulgaria is considered as an industrialised upper middle-income economy by the World Bank. Before entering the EU, Bulgaria undertook strong economic reforms to reach the macroeconomic stability seen as necessary for the further growth of its economy. The country managed to drastically reduce its public debt from over 70% of GDP in 2000 to around 13% in 2008. However, since the financial crisis of 2008, economic growth has decelerated and GDP per capita declined by 1.3% per annum between 2008 and 2014, while it rose by 6.6% per annum between 2000 and 2008. The gross public debt declined in 2017 to 25.6% of GDP from 29.6% in 2016 and kept decreasing to reach 20.4% of GDP in 2019, according to the European Commission. Also, since 2016 the country recorded a government budget surplus, in 2019 amounting to 2.1% of GDP.

In 2019, Bulgaria's GDP grew by 3.4%, slightly improving after recording a 3.1% increase in 2018. In recent years, the country's economic growth was mainly driven

by both public and private consumption. Public expenditure with improved distribution of the EU funds, gradually increased in 2015-2019, growing by 4.7% in 2018 and by 1.9% in 2019. During the same period, annual growth of private consumption was lower than 4.5% only in 2016 (3.6%). According to the BNSI, in 2019 household expenditure per capita increased by 7.7% compared to 2018, with overall household expenditure increasing almost twofold (190%) between 2010 and 2019, boosted by stronger domestic demand and a positive investment environment.

In 2019, the country recorded moderately good results in foreign trade, with a 3.3% increase in total value of exported goods, while import declined by 2.5% in terms of value.

During 2014-16 annual price indices showed negative values. The deflation ended in 2017 with the prices increasing by 2.1% on average. In 2018, the average annual inflation stood at 2.8%, the increase being primarily due to the hikes in energy prices, and in 2019 the indicator grew by 3.1%.

The Bulgarian labour market has seen, in recent years, a considerable improvement with a decline in unemployment from 9.2% in 2015 to 4.2% in 2019, according to the European Commission. At the same time, average salaries continued to increase strongly; the data by the BNSI indicate that the average annual gross wage was BGN 15,283 (€7,797), up by 11.1% from BGN 13,755 in 2018.

After the European Central Bank (ECB) published a report in May 2018 indicating that Bulgaria was not ready to join the euro area, despite fulfilling several formal criteria, in August that year the Bulgarian government adopted an Action Plan for joining ERM-II (Exchange Rate Mechanism, marking a final preparation phase to join the eurozone). The Bulgarian currency, the lev, has been pegged to the euro for a long time. Since first announcing its plans to join ERM-II Bulgaria has made considerable progress towards fulfilling the ERM-II conditions (e.g. low inflation, healthy public finances) as pointed out in a joint-statement issued in 2018 by the European Central Bank and the finance ministers of the eurozone countries. At the beginning of 2019, members of the Bulgarian government, as well as representatives of the EU Commission expressed expectations that Bulgaria would join ERM-II by July 2019 to adopt the euro after mid-2022. In February 2020, the Bulgarian parliament adopted changes in the legislation to adjust the country's central bank to operate under the ERM-II rules. At the end of April 2020, Bulgaria officially applied to the ECB to join the ERM-II. Membership in the ERM-II, among others will give the country access to additional funds available to countries from the eurozone, which may prove to be substantial means to fight the results of the pandemic.

After a very good performance in 2019, in overall terms, the Bulgarian economy was hit hard by the COVID-19 pandemic outbreak. Bulgaria's recovery from the 2008 financial crisis, which started to be palpable in 2015/16 and accelerated in 2019 was interrupted and in 2020 the country, like many others around the world, is

facing a recession.

All projections for the Bulgarian 2020 GDP growth issued after the pandemic began in Europe, assume a decline, with the values ranging between source, from a 4.0% fall (IMF), to 5.9% (Fitch) and 6.5% (S&P), to a 7.0% decrease (EC). Similarly, forecasts by international financial institutions for Bulgaria's GDP growth for 2021 indicate a strong rebound of the local economy (e.g. about 6% by EC and IMF), with moderate growth rates expected between 2022-24.

Growth in consumption, the main driver of the Bulgaria's economic development, is projected to show a positive momentum already in the third quarter of 2020, further improving at the end of the year. Unemployment rate, recording historical low in 2019 (4.2%), is expected to double in 2020 and to gradually recover in 2021 (e.g. EC forecasts a 7% unemployment rate for 2020 and 5.8% for 2021, while IMF expects 8% in 2020 and 4.5% in 2021). Average wages, which recorded good gains in past couple of years, are anticipated to slow down in 2020 and 2021 (e.g. 3.5% up in 2020 and 2.3% in 2021 according to EC). The CPI indicis are likely to fall in 2020 due to large fall in oil prices with EC forecasting the average value to reach 1.1% and remain at a similar level in 2021.

As international trade constitutes a key segment of Bulgaria's economy (e.g. export accounts for short of two thirds of the country's GDP), deterioration of the economic conditions in other countries, particularly the EU members, will also affect the local market. The EC is anticipating a 13.2% decline in exports in 2020 and a partial recovery, 10.8%, in 2021.

In the aftermath of the COVID-19 outbreak, investments fell drastically. According to the EC forecasts total investments in 2020 should decline by 18% with a very slow recovery in 2021, by about 1%, due to high uncertainty in the business, as well as a lowered capacity of the companies to invest.

Residential Construction

New Housing

Between 2010 and 2013, the overall construction market decreased dramatically, by almost 60%, in the aftermath of the 2008 financial crisis. In 2014-2018, there have been fluctuations in dwelling completions, with growth in 2014 and 2016 and declines for all other years. In 2019, with a continued considerable improvement in the country's economy, the new housing market saw a huge increase, with completions growing almost by half, thus recording the highest number of new dwellings since 2011. The growth was driven primarily by apartment completions, although new houses also showed a very good growth rate. To monetize the rapidly growing demand, developers considerably increased their investments, focusing mostly on small and affordable flats. Relatively low interest rates (back in 2016 lowered to zero in order to counteract deflation) was among the main factors stimulating the housing market's growth, on the one hand facilitating crediting, and on the other pushing investors, large and small, to invest in real estate rather than

to keep their savings in banks.

A good rate of economic growth and increasing demand for new dwellings kept the house prices growing for the fifth consecutive year. According to the BNSI, new housing prices increased in the last quarter of 2019 by 8.7% compared to the fourth quarter of 2018. Moreover, considering the whole 2019, only in the third quarter the prices grew by less than 6% (5.8%) compared to the corresponding quarters of the previous year.

The segment of summer houses, holiday residences and cottages also grew very well in 2019, contributing to the whole residential market growth. Bulgaria is a very popular tourist destination and sales of secondary dwellings increased in 2019, driven traditionally by demand from foreign buyers, most often looking for properties in resorts such as Sunny Beach, St. Vlas, Nessebar and Primorie.

The growing trend could be also seen on the new dwelling market in the first three months of 2020, as preliminary data from the BNSI indicate a two-digit growth rate in new dwellings construction. The outbreak of the COVID-19 pandemic and the launch of anti-pandemic restrictions in March had, however, drastic consequences for the residential construction segment, although they were less severe than in many other European countries. Overall, the construction works continued at a reduced level of productivity, typically on the projects which had begun before the pandemic outbreak. According to the BNSI, in the first quarter of 2020 the number of started buildings declined by 2.8%, compared to first three months of 2019, and in terms of started dwellings the drop was rather slight, 0.6%, which doesn't yet show much of the impact, however, at the same time the number of buildings started in the non-residential market declined by more than 15%.

Construction companies and real estate firms experienced the whole range of problems resulting from the restrictions put on transport, production, communication etc., which considerably limited their activities and therefore revenues. The real estate market practically stopped for two to three weeks. Many companies, mostly smaller players, faced financial problems and had to apply for help from the state aid program, or the EU funds. Nevertheless, according to local sources, until the end of June, the overall impact on the residential market has been comparatively less dramatic than in a number of other countries.

Much depends on further development of the pandemic, both in Bulgaria and abroad, still, the new housing market is generally expected to see a decline in 2020. However, this will mostly be due to the high-base effect with the yearly output likely to remain above the 2017-2018 level. The average new dwelling prices have already decreased, following a slump in demand during the restrictions period, and are anticipated to lower further in the second half of the year as a measure to adjust companies' offerings to deteriorated economic conditions in the country.

The market is expected to return to growth in 2021 and record a moderate rate of growth with developers gradually increasing investments in the residential new build. New apartments are anticipated to drive the growth throughout the forecast

period with new house completions also growing at a good pace. The total number of new dwellings is unlikely to reach the level of 2011, or before, unless a considerable improvement takes place in the country's economy. On the other hand, however, joining the EMR-II by Bulgaria will give the country access to large funds to counteract the impact of the pandemic and so may offer a chance to accelerate the economic growth. Also, the possibility of Bulgaria entering the eurozone, anticipated for 2023, should vastly benefit the country's economy in the long-run.

Housing RMI

The RMI construction sector in the past decade followed to a certain extent the fluctuations observed in the new build segment, showing a slow progress in making up for a drastic decline recorded as a result of the 2008 financial crisis. In recent years, improvement in the country's economic conditions, particularly growing average wages and consumption, both public and private, boosted the renovation market.

In fact, consumption kept growing for past couple of years alongside continued improvement in the economic conditions of the country. As reported by the BNSI, the average total household incomes increased in 2018 by 4.8% and in 2019 by 9.6%. Also, in 2010-2019 the average household expenditure grew almost twofold, in 2019 recording a 7.7% increase.

The COVID-19 outbreak is expected to drastically affect the RMI segment in the short-to medium-term, in line with worsening households' financial conditions and shrinking budgets for renovation projects.

Non-Residential Construction

The non-housing construction market in Bulgaria has been growing very well in past three years, particularly in the two segments that are most important for sales of bathroom products: accommodation and offices.

According to the BNSI, in 2019, the hotel/accommodation segment in Bulgaria grew in terms of the number of establishments by 6% to reach 3,664 establishments, and by 1.8% in terms of number of bed-places (341,506 in 2019). The vast majority of the accommodation facilities are located in Eastern Bulgaria, which is most attractive for tourists with cities such as Varna, Stara Zagora and Burgas. The growth was particularly palpable in the South-East region of the country with the number of accommodation facilities in Burgas growing in 2019 by 17%.

The new office segment showed even better performance in 2019. According to local sources, in 2019 total office area grew in Bulgaria by 27%, or by 450,000 m², the chunk of which was constructed in Sofia. In 2019, the total office area in the capital city exceeded 2.1 million m² after 180,000 m² were constructed that year, representing a 9.2% annual increase.

In the aftermath of the COVID-19 outbreak, a number of investments in non-housing, particularly in hotels/accommodation facilities, have been postponed, or cancelled, which is expected to result in considerable decline in the non-housing construction output in 2020. In 2021 the non-housing construction market is anticipated to show good momentum, however, primarily due to a 'low-base' effect with the growth rate tempered by deterioration in the financial situation of households, worsened crediting conditions and also uncertainty overshadowing investments.

II.2 Key Figures

BG - DEMOGRAPHICS AND HOUSEHOLDS

Value	Year
Segmentation	Category
Demographics	Population (% Rural)
	Population (% Urban)
	Population ('000)
Households	Average Size (Persons h/h)
	Total ('000)
Persons per Household (% of Total)	1
	2
	3
	4
	5+

Source: BRG based on Country Statistics.

II.3 Macroeconomic Trends and Forecasts

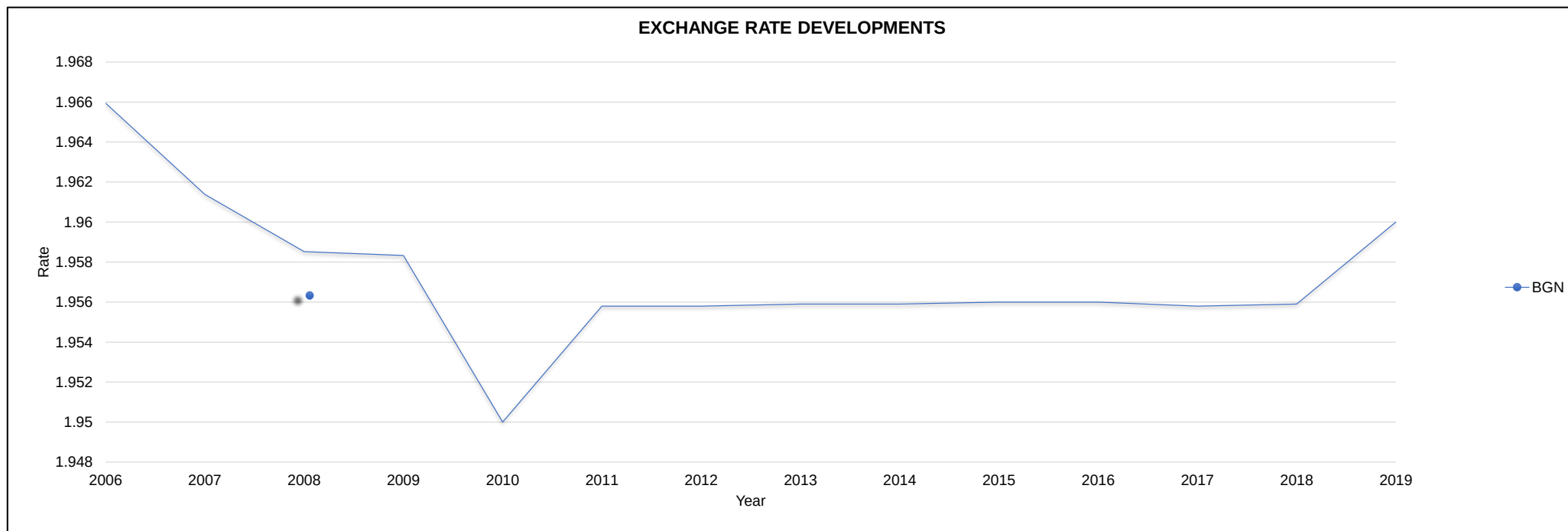
BG - KEY MACROECONOMIC INDICATORS

Value	Year																			
Category	2002	2003	2004	2005	2006	2007	2008	2009	2010	2011	2012	2013	2014	2015	2016	2017	2018	2019	2020	2021
Consumer Price Index (% change)	5.81	2.35	6.15	6.04	7.42	7.57	11.95	2.47	3.04	3.39	2.39	0.39	- 1.60	- 1.07	- 1.32	1.19	2.63	2.46	1.03	1.95
GDP (% change)	4.48	5.15	6.44	7.15	6.80	6.56	6.09	- 3.42	0.57	2.35	0.36	0.32	1.90	3.99	3.81	3.51	3.08	3.37	- 4.00	6.04
Government Balance (% of GDP)	- 0.62	0.00	1.59	2.19	3.22	3.09	2.73	- 0.86	- 3.79	- 1.84	- 0.44	- 1.76	- 3.67	- 2.78	1.54	0.83	0.12	- 0.97	- 2.94	- 1.42
Unemployment Rate (%)	17.42	13.86	12.19	10.18	9.02	6.94	5.66	6.88	10.31	11.35	12.38	13.04	11.52	9.23	7.67	6.23	5.20	4.20	8.00	4.50

Source : IMF

N.B. No data available beyond 2021 at the time of publication

II.4 Historical and Current Exchange Rates
BG - EXCHANGE RATES : HISTORICAL AND CURRENT

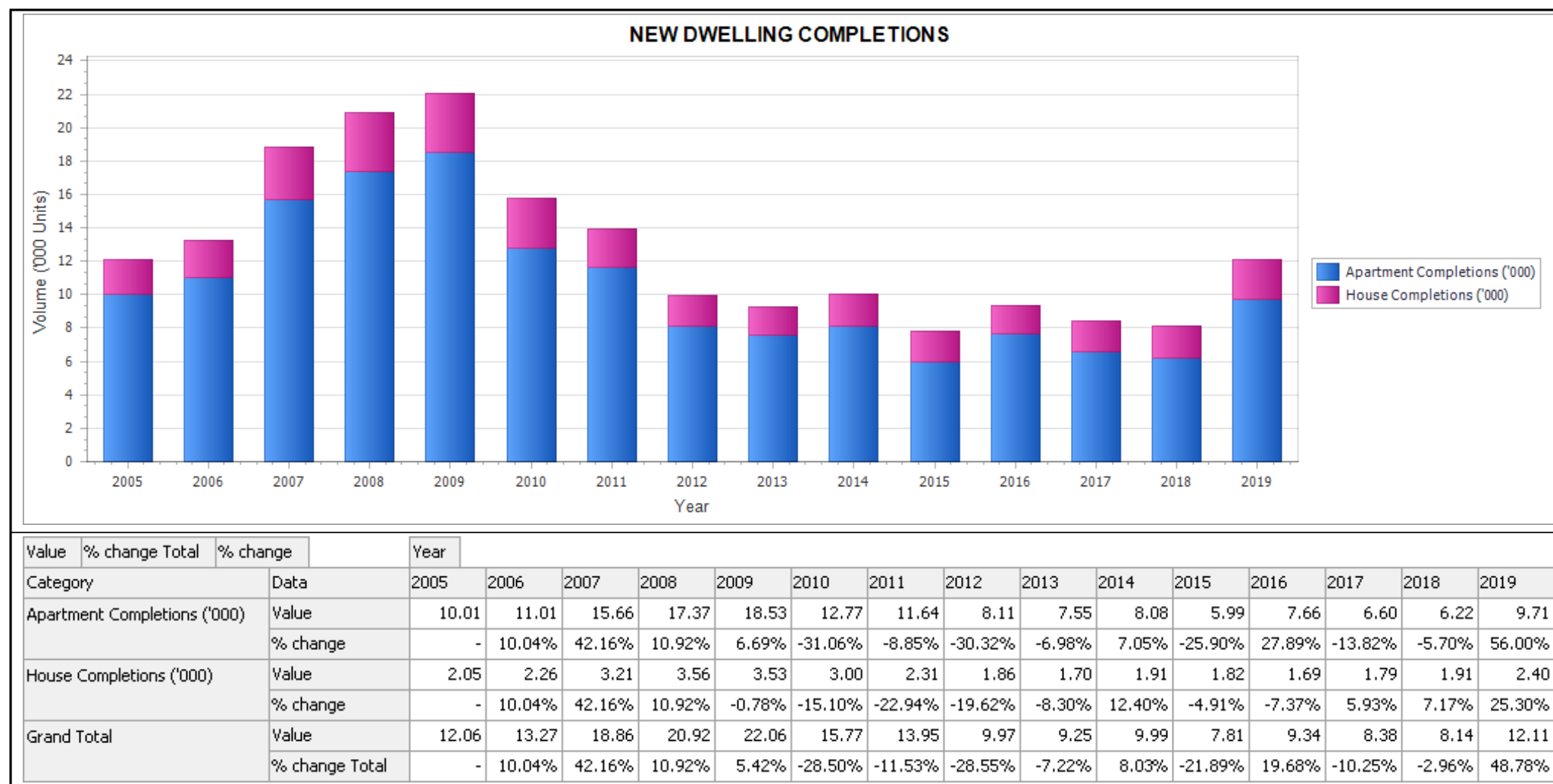


Local Currency	2005	2006	2007	2008	2009	2010	2011	2012	2013	2014	2015	2016	2017	2018	2019
EUR / BGN	1.96	1.97	1.96	1.96	1.96	1.95	1.96	1.96	1.96	1.96	1.96	1.96	1.96	1.96	1.96
% change	-	0.44%	-0.23%	-0.15%	-0.01%	-0.43%	0.30%	0.00%	0.01%	0.00%	0.01%	0.00%	-0.01%	0.01%	0.21%

Source: OANDA
The Bulgarian lev (BGN) is the Currency of Bulgaria. The Exchange Rates Shown are the BGN to the EUR.

II.5 New Dwelling Construction

BG - NEW DWELLING COMPLETIONS : HISTORICAL AND FORECASTS ('000 UNITS)



Source: BRG based on Country Statistics.

N.B. Due to the current uncertainties regarding the economy and construction, BRG is unable to provide an outlook for residential completions.

II.6 Dwelling Stock by Type and Tenure
BG - DWELLING STOCK BY TYPE AND TENURE ('000 UNITS)

Value		Year
Segmentation	Category	2019
Dwelling Stock by Type	Apartments (%)	41.79
	Apartments ('000)	1 658.14
	Houses : Rural (%)	24.18
	Houses : Rural ('000)	959.66
	Houses : Urban (%)	34.03
	Houses : Urban ('000)	1 350.28
Dwelling Stock by Tenure	Primary Owned (%)	94.51
	Primary Owned ('000)	3 702.80
	Primary Rented : Public (%)	3.47
	Primary Rented : Public ('000)	135.93
	Secondary (%)	1.00
	Secondary ('000)	39.04
	Vacant (%)	1.02
	Vacant ('000)	39.96

Source: BRG based on Country Statistics.

II.7 Overview of Impact of COVID-19 on Forecasts

BG – OVERVIEW OF IMPACT OF COVID-19 TO DATE

Start of the lockdown [easing]	13 March 2020 – state of emergency declared with schools, shopping malls, offices (except banks, finance, and insurance), restaurants, leisure centres etc. closed; compulsory quarantine for passengers from four foreign countries; 18 March 2020 – border closing; 20 March – national public parks outside municipalities closed; 16 April – entering and exiting Sofia limited; 21 April – limits on entering and exiting Sofia lifted; 1 May – national parks re-open; 13 May – galleries, museums, cinemas etc. reopened; 14 May – the state of emergency replaced by the Covid-19 epidemic declaration, with a number of restrictions still in place to be lifted gradually (e.g. shopping malls, restaurants etc. remained closed, quarantine for everybody entering Bulgaria was still in place); 18 May – shopping malls re-open; 30 May – quarantine for passengers from most EU countries lifted; June 1 – restaurants re-open; June 17 – quarantine for people arriving from another nine European states lifted; 24 June – the Covid-19 declaration extended to 15 July; 26 June – first chartered flights coming to Bulgaria since mid-March; 1 July – the “60/40” subsidy program extended until September; 6 July – Covid-19 epidemic declaration extended until the end of July; 9 July – Indoors of nightclubs, discos etc. made inaccessible again (re-lifted on 13 July); 15 th July – mandatory quarantine for people arriving from UK dropped.
Number of officially confirmed cases	22 July 2020: 9,254 confirmed cases [313 fatalities] / Total population: 6.95m (2019).
General measures in place to support the economy	Several programs to support salaries; BGN 40 million (about €20.5 million) allocated to support Bulgaria’s tourism, hospitality and transportation sectors with BGN 290 per month for each job preserved (including self-employed) from 1 July for up to 6 months; VAT for restaurants, catering services, books and food and diapers for children down to 9% from 20%; BGN 120 million for farmers affected by the COVID-19 outbreak; BGN 160 million in grants for companies hiring unemployed people, including BGN 50 million for the tourism and hospitality sectors.
Statistics on affected employees	Unemployment rate, according to the governmental Employment Agency: March 2019: 5.9% (194,603 registered unemployed); February 2020: 6.2% (202,500); March 2020: 6.7% (220,072); April 2020: 8.9% (292,810); May 2020: 9% (295,453); June 2020: 8.3% (273,367).
Measures in place to mitigate economic impact on INDIVIDUALS	Several measures aimed at preserving jobs, including the “60/40” subsidy program, covering employees’ salaries and obligatory payments for social security and healthcare contributions in 60% by the state and in 40% by employers; several programs targeting particular sectors, e.g. BGN 40 million for supporting salaries in the tourism, hospitality and transportation markets, expected to help 22,000 individuals; moratorium on loan repayments.
Statistics on affected companies (% of total forced to suspend activities)	Labour Ministry: the “60/40” subsidy program helped from its start to 1 July to keep 150,000 salaries with total BGN 150 million; the ministry expects to eventually double the reach; a total of 27,623 applications were made for aid by SMEs, amounting to BGN 225 million; The Statistical Office survey: 43% of non-financial companies recorded a drop in revenues in May (q-o-q), 18% saw an increase, 3.8% expected to suspend their operations in June, 1.8% expected to close down; local sources expect a 20% increase in bankruptcies in 2021 as compared to 2019.
Specific measures affecting BUILDING CONSTRUCTION and RMI	Construction works continued during the restrictions period with all safety measures applied; DIYs and specialist shops operated with special safety measures applied. Nevertheless, productivity in construction and distribution considerably worsened during the restrictions period.
Measures in place to mitigate economic impact on COMPANIES	BGN 1.5 billion (about €770 million) planned for aid to companies, including BGN 500 million for SMEs for grants and loans; BGN 200 million planned as aid for medium size companies in the form of grants of up to BGN 75,000 for 1,500 businesses; the so called “60/40” scheme having a BGN 1 billion budget, with the government covering 60% of an employee’s salary and obligatory social security and healthcare contributions, while employers cover the remainder.
Support measures from international organisations (EU, IMF, World Bank, other)	Suspension of the EU’s deficit limits , so member states can boost spending. EUR 750 bn Recovery Fund approved in July 2020. The Corona Response Investment Initiative : EUR 37 billion from EU funds is available for citizens, regions and countries hit the hardest by the pandemic.

Sources:

- <https://www.investor.bg/ikonomika-i-politika/332/a/bezrabotkata-v-bulgariia-prez-iuni-ostava-visoka-83-308289/>
- https://www.capital.bg/biznes/kompanii/2019/10/02/3971150_vse_poveche_firmi_v_bulgariia_izpadat_vuv_falit/
- <https://www.az.government.bg>
- <https://sofiaglobe.com/tag/new-coronavirus>
- <https://www.investor.bg/sviat/6/a/prognoza-nad-20-shte-e-rystyt-na-falitime-v-bulgariia-zaradi-koronakrizata-308467/>
- <https://www.novinite.com/articles/204447/Officially%21+Bulgaria+Opens+Museums%2C+Cinemas%2C+Libraries+and+Allows+Concerts>

BULGARIA

DISTRIBUTION

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



Overview

The distribution of building products in Bulgaria has seen a transition from a highly centralised system to a market with a relatively high degree of liberalisation. Up to the fall of communism in 1989, Bulgaria had a monopolistic (non-competitive) distribution structure for building products in general. The Ministry of Domestic Trade controlled where the manufactured products were distributed. There were very few, if any, large distribution warehouses. The Ministry of Domestic Trade would order the manufacturers to produce a certain quantity of goods, specifying the quantity for the domestic market and the quantity for export to other Eastern European countries. The transition has been difficult and the market achieved consolidation much later than most other transition economies due to a lack of structural reforms; indeed sustained economic growth took hold almost a decade later than it did elsewhere. Thus, while old distribution structures from the communist days no longer exist, the new system is not yet fully developed. The distribution of bathroom products is focused on the large urban centres such as Sofia, which represents the largest market in Bulgaria, and the regional centres such as Plovdiv, Varna, Rousse and Burgas.

The majority of European firms on the Bulgarian market prefer a supplier–importer(s) relationship rather than being directly present in the market. The exceptions are those manufacturers who have invested in local production, including ROCA and IDEAL STANDARD INTERNATIONAL, which engage in production in Bulgaria, but also import middle and upper priced products that are not locally produced.

Manufacturers in Bulgaria tend to be loyal to one distribution channel; most manufacturers distribute via the wholesale/merchant channel but also have their own showrooms, as is the case of VIDIMA.

Most Bulgarian distributors cover their own region, typically concentrating on large cities such as Sofia, Plovdiv, Varna and Burgas. Companies with national reach are the exception rather than the mainstream. Moreover, Bulgarian distributors tend to combine wholesaling and retailing of Bulgarian-made products, and the import of bathroom products from Europe and Asia. Some companies are exclusive importers, such as DIREX 21 for RAVAK and TEIKO, VOLTURNO for JACUZZI, ELIS GE for TEUCO GUZZINI, while other companies prefer to work with a number of different suppliers, such as SUMMER, KAVALA, MARTINELI, EMS INTERNATIONAL, JESSICA, SANEX, ELVA, TEKOMEX and FORMA D.

These larger importers and distributors tend to sell on to small wholesalers, which are usually retailers as well, although the larger players often also implement their own retail operations. Moreover, smaller retailers can be found in smaller towns and rural areas.

Recently, Bulgaria has started to complement the traditional distribution channels such as wholesalers and DIY stores with the emerging internet market. Companies such as GERAKA and BAUHAUS started distributing via the Internet to broaden their reach in terms of consumers and to be soon joined by other distributors.

Wholesale Level

The more structured distribution systems established elsewhere in Europe, with separate functions for each organisation in the distribution chain, have been introduced to Bulgaria in a very fragmented way. The majority of companies involved in the distribution system have a variety of functions, involving some or all of the following: importing, wholesaling (selling in bulk quantities and selling to retailers), operating as merchants (selling to builders or installers), and retailing (selling to the private consumer). Several companies alongside their wholesale, or retail activities, also manufacture some bathroom products.

According to the preliminary data from the BNSI, the total Bulgarian wholesale market (except motor vehicles and motorcycles) grew in 2019 by 2.7% to reach BNG 80.6 billion, in which wholesale of household goods accounted for 16.1%, generating about BGN 13 billion after a 7.1% increase as compared to 2018.

Wholesale is a key distribution channel in the bathroom products distribution sector in Bulgaria with most players combining their wholesale activities with selling through retail outlets, often combining sales of bathroom products with heating equipment and other products. The largest wholesale companies, typically operating on the national basis – and in many cases also abroad – include: KERAMO, 1000 BANI, SIKO, MAR MAG, MARTINELI, JESSICA, DIREX 21, TIDI IMPEX and others.

- JESSICA, based in Sofia, is one of the largest bathroom products importers and distributors in Bulgaria. The company was established in 1996 and offers products from ROCA, IDEAL STANDARD and GROHE to name just a few. In addition to wholesale, it also sells through its two retail outlets in Sofia and Plovdiv.
- Varna-based MARTINELI was founded in 1996. The company is focusing on import, export and trade of goods for the complete furnishing in the public, commercial and private areas, offering wholesale and retail services through ten outlets located around the country. MARTINELI's portfolio comprises furniture for various types of interior, including bathroom, as well as a wide range of bathroom products.
- DIREX 21 is based in Sofia and present on the distribution market since 1997. The company focuses on distribution of bathroom products by Czech manufacturers such as RAVAK, ROLTECHNIK and BEMETA, complemented by some Western brands, including RIHO. In addition to wholesale it also offers retail services through its outlet in Sofia.

With several Internet retailers opening and some large manufacturers, the internet retail segment is growing. Some large manufacturers such as GROHE have already extended their sales to the Internet, exploring the possibility of undercutting the Bulgarian wholesalers, which in the long run, with internet users in Bulgaria increasing, may result in a decline in wholesalers' market share.

Retail Level

According to the preliminary data from BSNI, in 2019 total retail sales in Bulgaria grew by 3.9% amounting to BGN 33.5 billion, in which 'household appliances, furniture and other household goods' account for about 11.7% with total sales amounting to BGN 3.9 billion after a 10.2% annual increase.

DIY Retailers

One example of how the transition to a fully liberalised market has been difficult in Bulgaria – perhaps unique among the other transition economies – is the relatively late development of the DIY channel in the country. Moreover, the flourishing of the DIY market faced some difficulties in the aftermath of the global financial crisis of 2008, further constraining the already feeble path of development of the segment.

The largest DIY chains in Bulgaria include:

- PRAKTIKER AG, a German home improvement chain formerly owned by METRO AG, that had filed for insolvency in the middle of July 2013. PRAKTIKER operated a total of 340 stores in nine countries, including ten stores in Bulgaria with the first one opened in 2004. The Bulgarian subsidiary, PRAKTIKER EOOD, was sold to VIDEOLUX HOLDING AD, the owner of the TECHNOLIS chain of electric and electronic supermarkets in Bulgaria. As of July 2020, PRAKTIKER EOOD runs 13 stores, including a new outlet opened in July 2020 in Pazardzhik, in Southern Bulgaria. Also, in May 2020 the company started construction of its 14th store, located in Dobrich in the north-east part of the country, planning to complete the project by autumn 2020.
- The French DIY store MR. BRICOLAGE which opened its first store in Sofia in 2000. The company offers a wide range of home improvement products, including bathroom equipment scoping from shower trays to bathroom accessories. As of July 2020 it had eleven outlets located in eight cities in Bulgaria; in April 2020, the company finished modernisation and re-design of its outlet in Plovdiv;
- MASTERHAUS, a construction hypermarket, which opened its first store in Burgas in 2002. MASTERHAUS is the trademark owned by the BOSHNAKOV EOOD. The company is a family business founded in 1991, initially specialised in the sales of construction materials, household products, repair materials and equipment for private houses, offices, hotels and restaurants. Customers of the MASTERHAUS' bathroom department are offered a full range of bathroom

products by local manufacturers (e.g. FAJANS), large Western producers (e.g. ROCA) and also Chinese imports (e.g. INTER CERAMIC). At the beginning of 2020, the chain consists of four regular stores in Burgas, Nessebar, Primorsko and Aytos, and one drive-in outlet located next to its Burgas store, which was opened in 2017;

- HOMEMAX, which replaced BAUMAX when, in September 2014, the family business from Austria and one of the largest DIY chains in Europe sold its Bulgarian operation – comprising eight stores – to a local investor, HAEDUS JSC, after six years of presence on the Bulgarian market;
- PRAKTIS, present on the Bulgarian market since 2002 offers bathroom products alongside home appliances, gardening tools, construction materials, and others. In 2018, PRAKTIS opened in Veliko Tarnovo its seventh store in the country. In June 2020, the company started construction of its ninth store, located in Plovdiv, planning the opening for the first quarter of 2021.

Facing a strong competition from specialist retailers and also from the growing internet sales channel, as of the beginning of 2019, practically all DIY channels run online shops, offering additional services such as bathroom design.

Specialist/Other Retailers

The majority of wholesalers/importers also act as retailers, supplying directly to consumers through their own showrooms or outlets, some examples being MARTINELLI and JESSICA.

Nevertheless, a relatively high number of distribution companies focus on specialist retail activities, the largest including:

- BANIA STIL, focusing on bathroom equipment, also offering kitchen sinks, kitchen taps and mixers, bathroom and kitchen tiles, electric instantaneous water heaters, lighting equipment, and others. As of July 2020, BANIA STIL runs eight outlets: four in Sofia, as well as Stara Zagora, Plovdiv, Burgas and Veliko Tarnovo;
- SANEX, an importer and distributor of bathroom products which has been on the market since 1991. The company's warehousing unit is located on an area of 16,000 m² in Sofia. SANEX operates via six large outlets located in Sofia, targeting the upper segment of the market.
- SIKO, a specialist retail chain with 13 outlets located in Sofia (seven stores) and Pleven, Ruse, Burgas, Stara Zagora, Pazardzhik, Veliko Tarnovo. With ten depots the company also operates as a wholesaler. In addition to a wide range of bathroom and kitchen products it also offers bathroom tiles and some building materials.
- IKEA, the Swedish retail chain, is also considered a specialist retailer for the bathroom market due to its strong presence in the bathroom furniture market, although it also offers washbasins, taps and mixers, as well as shower sets,

shower pipes and bathroom and shower accessories. IKEA opened its first store in the Bulgarian capital Sofia in September 2011. IKEA Bulgaria is a franchise of the Greek FOURLIS company, which also owns the IKEA rights for Greece and Cyprus. Since its opening in Bulgaria, IKEA has been gaining in popularity and, therefore, decided in April 2015 to launch an online shopping service, allowing customers to make purchases from across the country. In November 2018, the company opened in Plovdiv its third order and pick up point, two others already run in Burgas and Varna. By autumn 2020, IKEA is planning to replace the current facilities in Varna with a regular IKEA store located in the Delta Planet Mall shopping centre.

Internet Retailers

According to the data from Eurostat, in 2019 Bulgaria with 68% of individuals aged 16-74 using internet, had the lowest ratio among the EU countries, although growing relatively fast (slightly over 50% in 2012, 65% in 2018). Data from the BNSI indicate that in 2019 75.1% of Bulgarian households had broadband connection, up from 72.1% in 2018, and 67.3% in 2017. Interestingly, only 57.8% of households had a fixed broadband connection and the penetration growth has stagnated in recent years, as the use of mobile broadband keeps growing fast with 64% of households accessing broadband internet in 2019, compared to 58% in 2018 and 46% in 2017. By the data from the BNSI, in 2019 66.8% of individuals aged between 16 and 74 used the Internet regularly (up from 63.6% in 2017).

In terms of internet distribution, Bulgaria is one of the least developed countries within the EU in relation to internet usage, ranking 28th, according to Eurostat. The data from BNSI and Eurostat indicate that in 2019 only 21.7% (20.8% in 2018) of internet users in Bulgaria bought or ordered online goods or services for private use in the previous 12 months, compared to the EU average of 63%.

In terms of turnover generated by e-commerce, according to the data from Eurostat, Bulgaria also ranks the last among the EU countries with about 4% of total turnover made by non-financial enterprises coming from web sales in 2019 (EU average – about 18%). The data from the BNSI indicates that in 2019 only 10.9% of all companies offered e-commerce services (8.1% in 2018), with just about 10% providing online sales.

Overall, online purchases have yet to gain a real foothold in the retail sales in Bulgaria; however, according to local sources internet distribution of bathroom products in terms of turnover is well above the country's average with some players recording in 2019 e-commerce contribution to total turnover above 10%.

Indeed, despite a relatively low rate of internet usage in Bulgaria, in recent years, e-commerce has been developing relatively fast as a distribution channel for bathroom equipment. Over the past couple of years a great many distributors have launched internet shops, at the given moment in order to increase their

competitiveness, rather than generate substantial revenues. In 2020, practically all large retail companies and a number of wholesalers – especially those acting also as retailers – offer online sales facilities.

There are also several internet shops specialising in online sales of bathroom products, even if also selling through a traditional retail outlet. The largest include Sofia-based GERAKA, which started trading in 2010, specialising in kitchen and bathroom taps and mixers, but also supplying other bathroom and kitchen equipment, as well as radiators.

As the internet channel has been gaining more and more traction in the Bulgarian bathroom market, some large manufacturers have decided to start offering their products and services online. For example, GROHE has developed a web portal for installers to buy bathroom products directly from GROHE rather than a third-party distributor.

It is expected that in the coming years the growth in internet usage as well as increasing consumer confidence in online purchasing should boost online sales, also in the bathroom products segment. Considering a high penetration of mobile broadband usage, as compared to fixed broadband, mobile devices (smartphones, laptops) are likely to play an increasingly important role in the development of the e-commerce market in Bulgaria.

With a relatively mild impact of the COVID-19 outbreak on the traditional distribution channels in Bulgaria, the overall online sales of bathroom products didn't increase as much as in some other countries, where the lockdown rules pushed a number of people towards Internet purchases.

III.2 BG - SUMMARY OF LEADING DISTRIBUTORS

Holding	Trading Name	Distributor Type	General Product Orientation Profile	Turnover		Home Market Coverage		Specific Product Orientation (all figures are in %)												
				Year End	€ million	No. of Depots	Geographical Coverage	Specialist						Specialist					Other	
								Total	Heat	Bath	Plumbing	Vent/ Aircon	Tiles	Total	Building Materials	Timber	Insulation	Roof	Other	Specify
SANEX	SANEX OOD	Wholesale/Importer	Sanitary	2019	5.87	3	National	XXX		XXX										
BOSHPAKOV EOOD	MASTERHAUS OOD	DIY Retailer	DIY Assortment	2019	32.23	4	National	XX	X	XX				X	XX					
JESSICA	JESSICA SOFIA OOD	Wholesale/Importer	Sanitary	2018	10.92	2	National	XXX		XX			X							
MARTINELI	MARTINELI OOD	Wholesale/Importer	Sanitary	2018	8.61	10	National	XX		XX			XX						XX	Furniture
MR BRICOLAGE	MR BRICOLAGE	DIY Retailer	DIY Assortment	2018	N/A	11	National	XXX	X	XX	X									
BAUMAX BULGARIA	HOMEMAX	DIY Retailer	DIY Assortment	2018	41.91	8	National	XXX	X	XXX	X	XX	X	XX	XXX	XX				
PRAKTIKER RETAIL EOOD	PRAKTIKER	DIY Retailer	DIY Assortment	2019	103.57	13	National	XXX	X	XXX	X	X		XX	XXX	XX		X		

Source: BRG based on company information and industry interviews

x = Marginal activity

xx = substantial activity

xxx = core activity

BULGARIA

BATHS AND SHOWER TRAYS

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



Market Characteristics and Product Mix

As a consequence of the 2008 crisis, the overall Bulgarian bath and shower tray market has experienced one of the deepest and most persistent declines in recent years among the transition economies, with new housing activity nearly collapsing. Moreover, Bulgarian households' purchasing power considerably declined, which has a profound impact on the overall sales volumes to the renovation sector. A prolonged weakening of the economic conjuncture which followed has resulted in a drastic decrease observed in the residential and non-residential projects, significantly affecting the overall bath and shower tray market.

Sales of shower trays have become increasingly popular in Bulgaria and are typically preferred to bath product alternatives as in neighbouring countries. Moreover, Bulgaria is characterised by a large use of shower drains in new housing and RMI. After a considerable decline in sales of baths and shower trays in 2012-2015, in 2016, with economic conditions gradually improving the segment showed first signs of recovery. Nonetheless, the overall sales volume remained considerably below the pre-crisis level.

In the aftermath of the 2008 crisis sales of ceramic shower trays lowered dramatically, while steel/cast iron shower trays reached marginal levels, showing no improvement since then. Synthetic trays have attracted a sizeable portion of demand for more than a decade due to their vast range of dimensions and shapes that allow for flexibility in line with the changing sizes of Bulgarian bathrooms (downsizing), along with a durability and lower cost that rival steel/cast iron shower trays.

Pressure on the prices, resulting from the country's difficult economic situation and a strong competition, has facilitated a positive development of demand for shower trays in the economy price segment. However, with the recovery observed in recent years in the Bulgarian economy, consumers' preference has been shifting more towards products from the middle-end and, to a smaller extent, high-end market segments.

While the cast iron bath segment has increasingly become a niche over the last decade, shares of steel and synthetic baths increased in the bath products mix. Once a popular product, cast iron baths began suffering from the dramatic decline of imports with the collapse of the Soviet Union in the early 1990s. In line with a product shift seen in other European countries, sales of synthetic baths have progressively been challenged by the competition from synthetic shower trays, a shift also propelled by the relatively low prices as a consequence of a growing presence of Chinese imports, which overall also contributed to the decline in sales of baths in the past couple of years.

Hydromassage baths have been increasing their appeal as luxury products, to some extent preferred to high-end baths. Their large dimensions and high costs

seem not to have hindered any growth prospects. In light of the profound effect of the economic downturn on the market, hydromassage bath sales seemed to be historically more closely linked to the trend in private consumption and consumer confidence.

Recent Market Trends

In 2019, the combined sales of baths and shower trays recorded a very good growth rate following a surge in the construction output, as well as further improvement in the country's economy.

The growth was driven primarily by a rapid growth in demand for shower trays, however, also baths sales, in spite of a decreasing trend observed in the past couple of years, recorded a slight growth due to a massive growth recorded in the construction market. The negative development of the bath segment, very likely to return throughout the forecast period, may be in part attributed to the product shift towards showers, eroding the demand for baths.

At the level of material product variants, synthetic baths accounted for most of baths' sales, showing a slight increase in sales volume in 2019. Acryl remained the most popular material, as even though the share of mineral cast keeps growing, due to the price difference the vast majority of the baths sold in Bulgaria are made of acryl. Sales of steel baths also recorded a slight growth in 2019 as renovation activities, which are the main source of demand for this product type, improved alongside the economic conditions in the country. Sales of cast iron baths stood at a level similar to the previous year with the volume remaining residual. At the same time sales of hydromassage baths showed a slight increase, like other segments positively reacting to much more favourable economic conditions in the country.

In 2019, shower trays experienced a two-digit growth rate, driven by a massive increase in the construction output, as well as improving economic conditions in the country, with the synthetic models continuing to comprise the bulk of total sales. Acrylic shower trays still dominated the segment; however, mineral cast models have already gained a substantial portion of the market and are set to continue increasing their shares.

Prices and Market Values

Prolonged economic slowdown, which followed the 2008 crisis, negatively affected average MSPs (manufacturers' selling prices), primarily due to consumers shifting towards products from the low-end market segment. The prices began to pick up finally in recent years with a gradual recovery of the Bulgarian economy. In 2019, similarly to 2018, the average MSP increased for all product categories, as a result of growing MSPs for particular product types and also because of a shift in clients' preferences from the budget segment back towards the middle-end group of products following continued recovery of the Bulgarian economy.

The rates at which MSPs grew in particular product categories were most often moderate, due to increasing production costs; primarily growing labour and material costs. Growth of the prices was tempered by a tough competition, increased among others by the presence of Chinese imports, which are believed to hold a considerable portion of the market.

Although in 2019 customers' preference kept shifting towards the middle-end product group, the bulk of sales continued to be within the economy/lower price segments, suggesting that Bulgarian consumers still opted for lower quality products and space-saving models from a wide availability of economy-priced products in DIY stores.

New Housing

In 2019, with residential construction skyrocketing after declining in the previous two years, sales of baths and shower trays to the new housing sector recorded very good growth rates. Benefitting from the surge in the new dwellings output, sales of baths reversed the negative trend observed in the past two years, increasing rapidly, at a pace similar to shower trays.

Growing popularity of wet rooms considerably tempered the growth rate in the shower trays segment. Nonetheless, with consumer preference shifting from baths to shower trays for space-saving reasons, the bath segment is likely to return to a decline over the forecast period to the benefit of shower trays.

Most dwellings that are not fitted with a shower drain are usually fitted with a synthetic shower tray and/or synthetic bath, both products comprising the bulk of sales in their respective product category.

Housing RMI

In line with many other European bathroom markets, the replacement and refurbishment segment attracts most demand for baths and shower trays. Consumer trends towards space-saving solutions could be seen for the past couple of years in the RMI sector, notably also in the case of wet rooms. In 2019, with good growth recorded in private consumption and increased activities in the home improvement sector, marked for example by a rising consumer spending in dwelling repair, RMI saw an increase in sales volumes of shower trays and wet rooms to the detriment of baths.

Like in previous years, synthetic baths and shower trays dominated the replacement segment. Steel baths, for which RMI remains the main source of demand, practically stagnated, remaining a niche segment, while sales of ceramic/steel shower trays declined, also accounting for a marginal portion of the trays market.

Non-Housing

In 2019, sales of shower trays to non-housing saw very good growth, driven primarily by a substantial increase in construction output in the hotels/accommodation and office segments. Baths still dominate the non-housing segment, in 2019 recording slight growth, however, sales of shower trays and wet rooms keep growing much faster.

Demand for bath and shower tray products within the non-housing sector can vary; however, it mainly focuses on synthetic products, due to greater versatility in terms of design. In Bulgaria, hotels tend to be the main source of demand for bath products, with synthetic baths being favoured in this segment. Similarly, sales of shower trays in non-housing are mostly driven by the hospitality industry, although public buildings such as schools, hospitals and municipal buildings also make a considerable contribution to the total sales, opting for showers because of hygiene and space-saving reasons. Synthetic shower trays remained the preferred product type also due to their lower price and durability.

Supply Structure

The bath and shower tray markets are characterised by the high presence of large international manufacturers, some of which have established their position by acquiring local players (e.g. IDEAL STANDARD owns VIDIMA, and ROCA controls FAYANS). Domestic manufacturers have struggled to gain any considerable market shares, with the only exceptions being: INTER CERAMIC, focusing on sales of Chinese imports through DIY networks, and a hydromassage baths manufacturer, VICARD. Relatively low prices offered for Chinese and Turkish imports over several years resulted in a strengthening of their position on the price-driven Bulgarian market.

The synthetic bath and shower tray markets are highly fragmented with a relatively large number of small players and also a relatively high level of imports, which in 2019 continued to be supplied mostly from China, Austria and Germany. The synthetic bath segment remained dominated by the Austrian SANOTECHNIK, followed in terms of volume by the Spanish ROCA and INTER CERAMIC.

Sales of steel baths were led in 2019 by the ROCA-owned local brands: FAYANS and ROCA BULGARIA with some imports of steel baths coming mainly from Italy. Like in previous years, in 2019 Hydromassage baths were the only segment dominated by a local manufacturer, VICARD, holding almost one third of the segment, followed in terms of volume by the Austrian SANOTECHNIK, and two more Bulgarian players AQUARELAX and HYDROSYSTEMI.

SANOTECHNIK also held the largest share in the synthetic shower tray segment, other significant players included ROCA and GEBERIT. The segment of ceramic shower trays was in the hands of ROCA and IDEAL STANDARD. The bulk of shower trays' sales comprises of Chinese imports. Similarly, the market for

synthetic baths continues to see a high presence of Chinese imported products.

Forecasts

Given the exceptional circumstances related to the spread of the COVID-19 virus and measures in place for its containment, forecasts for 2020 and beyond are based on the latest information available at the time of publication. BRG has attempted to factor in the latest developments – see Macroeconomic data in Table II.3 and supporting summary table at the end of the Background section.

The Bulgarian economy, after a very good performance in 2019 was hit by the COVID-19 pandemic outbreak. Bulgaria's recovery from the 2008 financial crisis, which started to be palpable in 2015/16 and accelerated in 2019 was interrupted and in 2020 the country, like many others around the world, is facing a recession.

All projections for the Bulgarian 2020 GDP growth, issued after the pandemic began in Europe, assume a decline, with the values depending on source, from a 4.0% fall (IMF), to 5.9% (Fitch) and 6.5% (S&P), to a 7.0% decrease (EC). Similarly, forecasts by international financial institutions for Bulgaria's GDP growth for 2021 indicate a strong rebound of the local economy (e.g. about 6% by EC and IMF), with moderate growth rates expected in 2022-24.

Growth in consumption, the main driver of Bulgaria's economic development, is projected to show a positive momentum already in the third quarter of 2020, further improving towards the end of the year. Unemployment rate, recording historical lows in 2019 (4.2%), is expected to double in 2020 and to gradually recover in 2021 (e.g. EC forecasts a 7% unemployment rate for 2020 and 5.8% for 2021, while IMF expects 8% in 2020 and 4.5% in 2021). Average wages, which recorded good gains in the past couple of years, are anticipated to slow down in 2020 and 2021 (e.g. 3.5% up in 2020 and 2.3% in 2021 according to EC). The CPI indicis are likely to fall in 2020 due to a large drop in oil prices with EC forecasting the average value to reach 1.1% and remain at a similar level in 2021.

As international trade constitutes a key segment of Bulgaria's economy (e.g. exports account for just short of two thirds of the country's GDP), deterioration of the economic conditions in other countries, particularly the EU members, will also affect the local market. The EC is anticipating a 13.2% decline in exports in 2020 and a partial recovery, 10.8%, in 2021.

In the aftermath of the COVID-19 outbreak investments fell drastically. According to the EC forecasts, total investments in 2020 should decline by 18% with a very slow recovery in 2021, about 1%, due to high uncertainty in the business, as well as a lowered capacity of the companies to invest.

A relatively mild development of the pandemic in terms of registered cases and mortality, when compared to most other countries allowed a shorter period of the anti-pandemic restrictions with construction, production, distribution and installation activities carried out at a reduced capacity. The delays which occurred in the

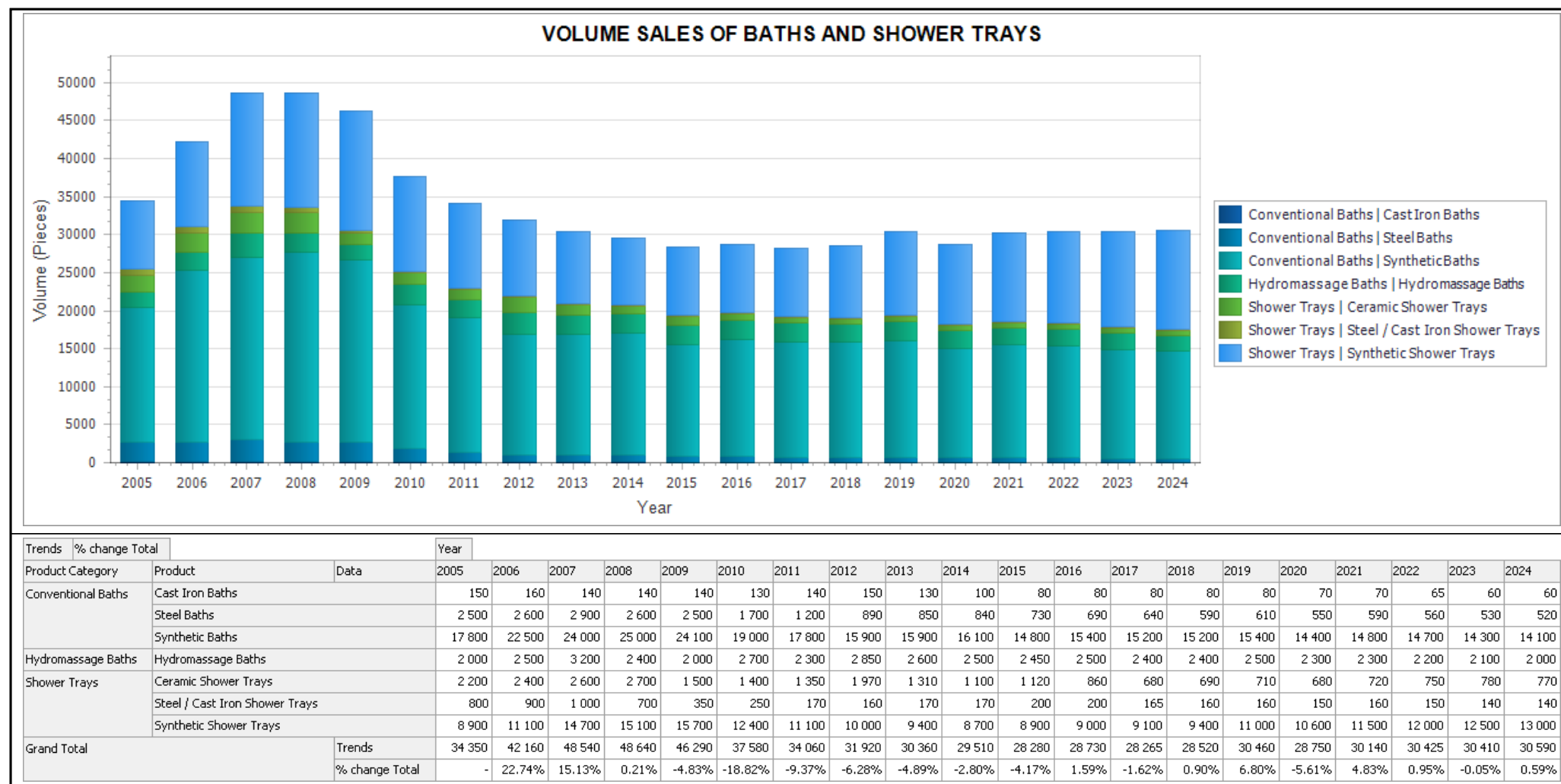
aftermath, especially in the international trade, are likely to have a drastic impact on the Bulgarian bathroom market, characterised by high levels of imports, including considerable supplies from the Far East. Considering a substantial deterioration of the country's economic conditions, the delays are unlikely to be fully made up for in the second half of the year, therefore BRG expects a sharp decline in overall sales of baths and shower trays in 2020. The baths segment is anticipated to show a deeper fall compared to shower trays, benefitting from the consumer preference shifting towards space-saving solutions. Assuming no second wave of the pandemic will occur, demand is anticipated to rebound in the second half of 2020, and sales in 2021 are forecast to record good growth driven primarily by the shower trays segment, although, on the back of a 'low-base' effect, baths should show a slight increase in sales.

In the medium- to long-term, with the Bulgarian economy gradually recovering, the baths and shower trays market is anticipated to record moderate growth, driven by the trays segment with demand for baths sales declining. By 2024, the combined sales of baths and showers are expected to remain below the 2008 level.

Growth rates in the case of both baths and showers should be driven by the synthetic models, with acrylic products holding the chunk of sales, although mineral cast models are expected to continue to increase their shares in the product mix. Sales of cast-iron products, both baths and shower trays, are expected to keep decreasing at a slow rate remaining marginal throughout the forecast period. Sales of steel baths under pressure from synthetic models, are also anticipated to decline in the coming years, with relatively small – and decreasing – market shares.

1.2 Historical Trends and Forecasts

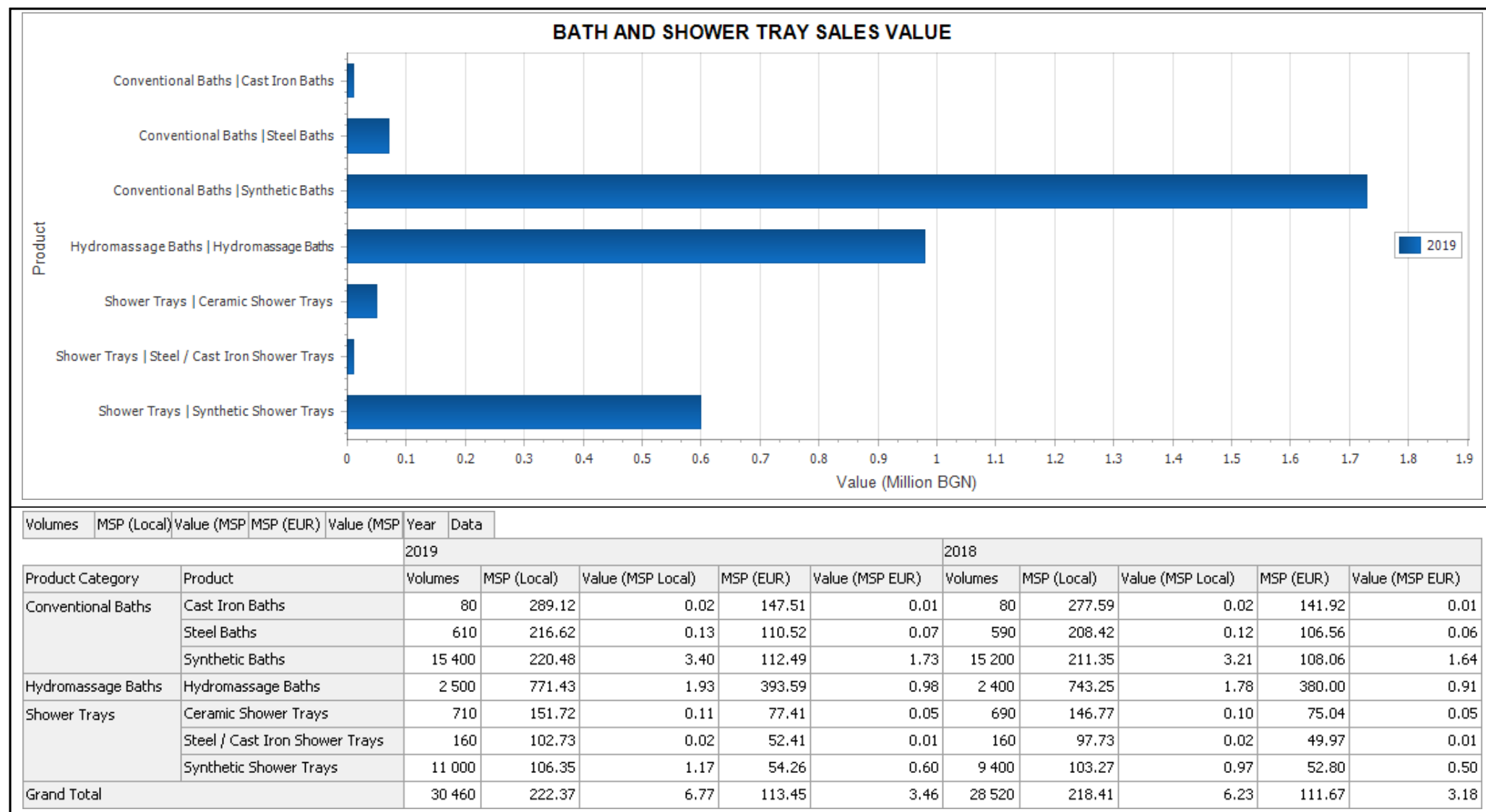
BG - SUMMARY OF TRENDS IN THE BATH AND SHOWER TRAY MARKET : HISTORICAL AND FORECASTS



Source: BRG based on industry interviews.

1.3.1 Prices and Market Values : Baths and Shower Trays

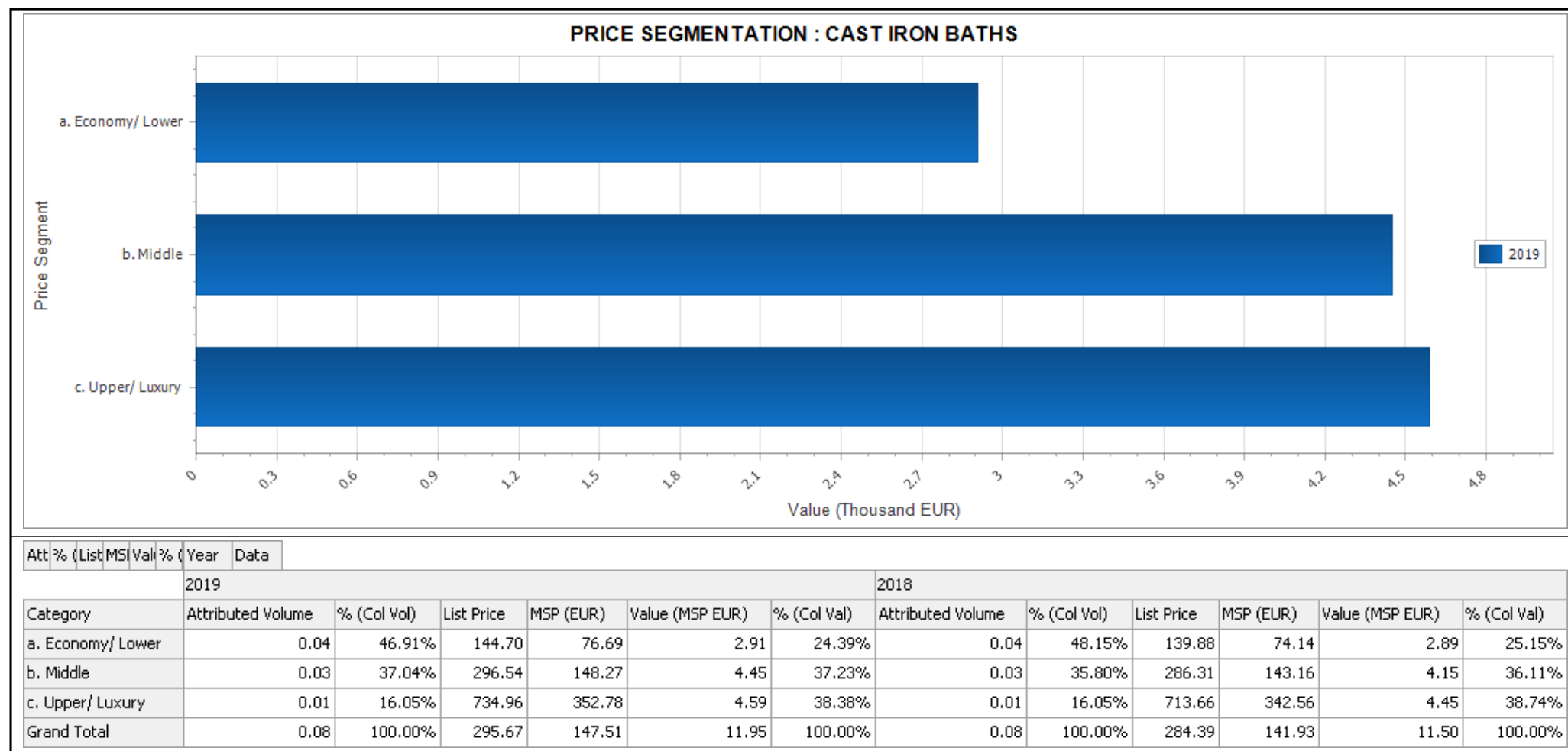
BG - ESTIMATED VALUES OF THE BATH AND SHOWER TRAY MARKET



Source: BRG based on industry interviews. Local Prices Shown in BGN. Values Shown in Millions (at MSP = Manufacturers' Selling Price).

1.3.2 Price Segmentation : Cast Iron Baths

BG - ESTIMATED PRICE SEGMENTATION FOR CAST IRON BATHS

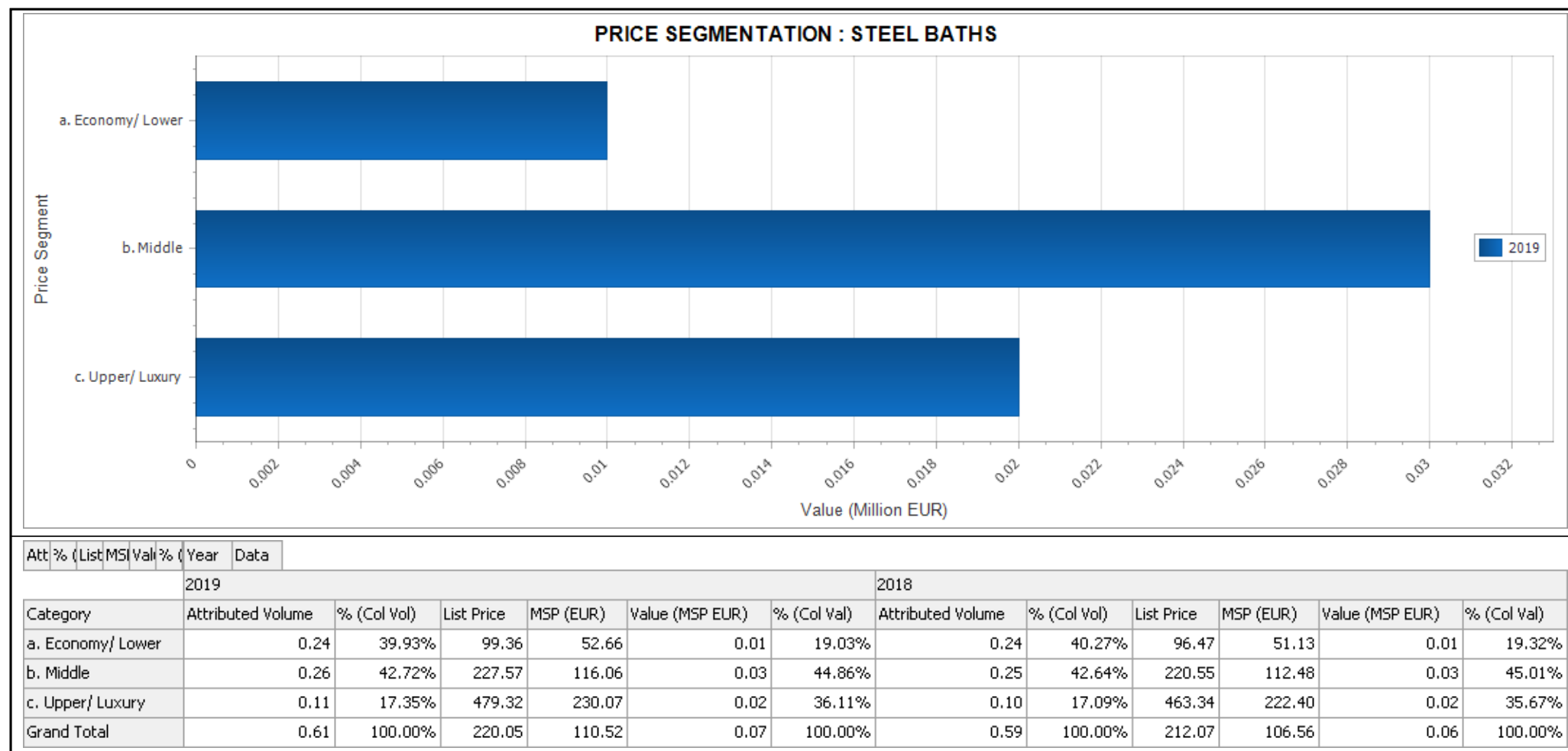


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes and Values Shown in Thousands (at MSP = Manufacturers' Selling Price). Economy/ Lower <€100, Middle €100-€200, Upper/ Luxury >€200

1.3.3 Price Segmentation : Steel Baths

BG - ESTIMATED PRICE SEGMENTATION FOR STEEL BATHS

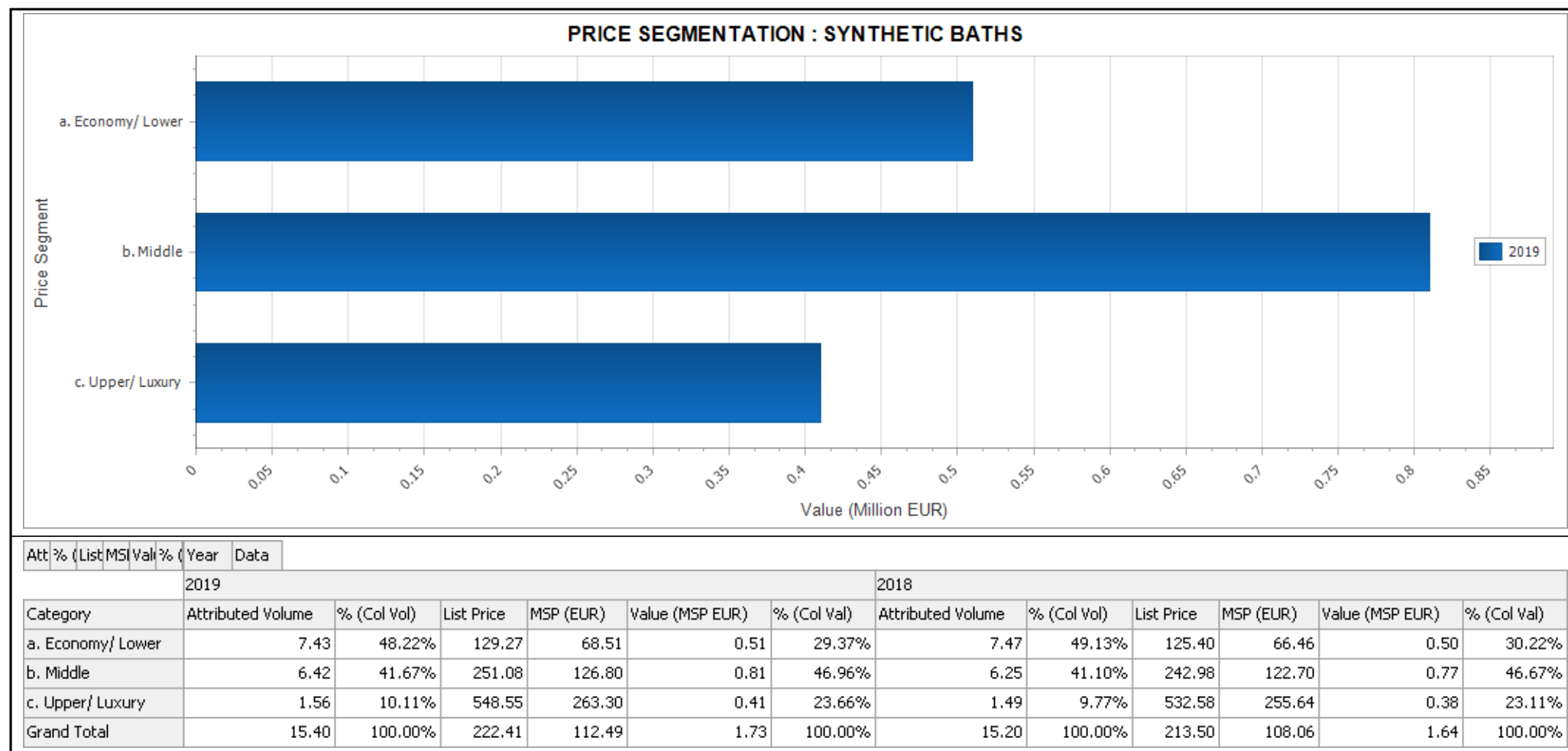


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€75, Middle €75-€150, Upper/ Luxury >€150

1.3.4 Price Segmentation : Synthetic Baths

BG - ESTIMATED PRICE SEGMENTATION FOR SYNTHETIC BATHS

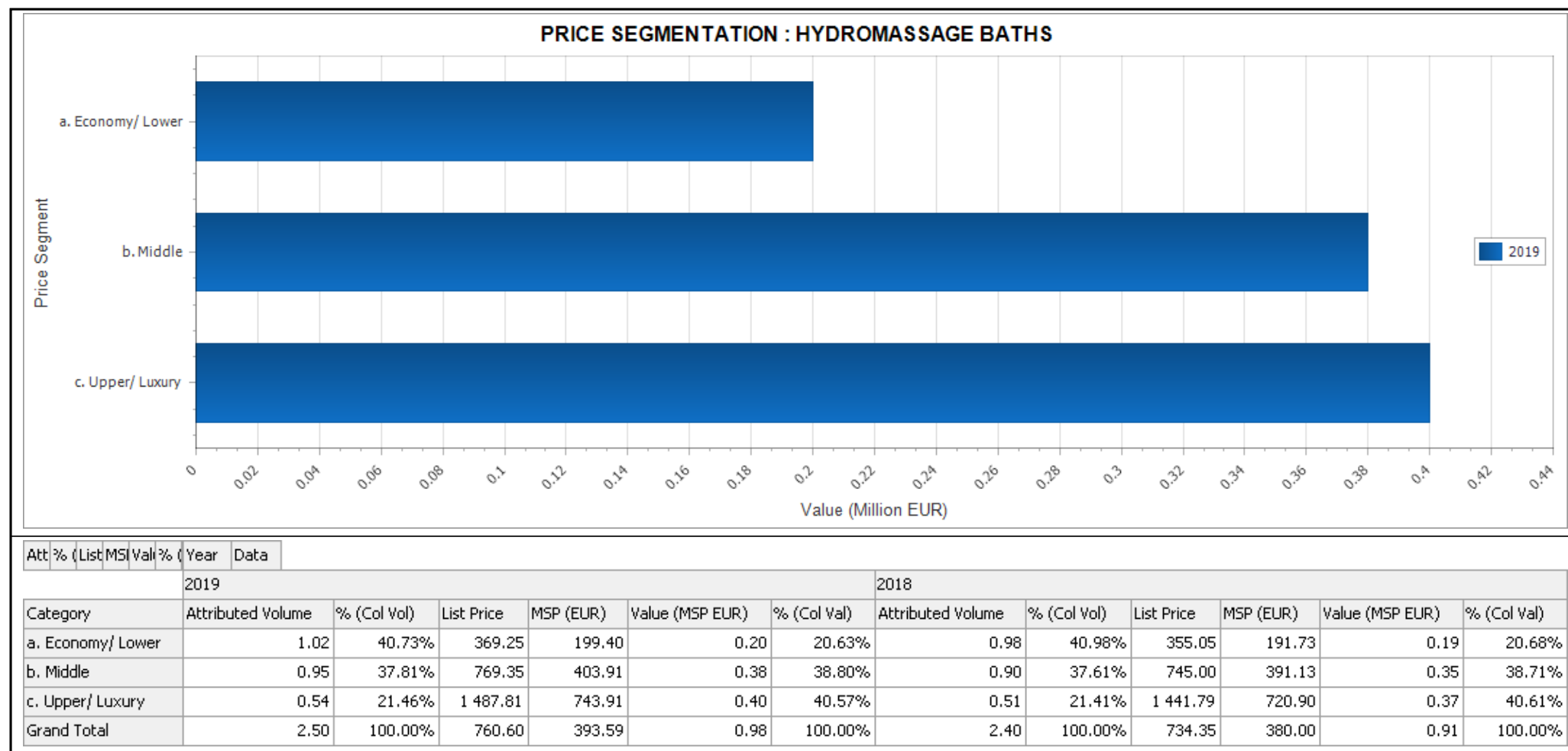


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€75, Middle €75-€150, Upper/ Luxury >€150

1.3.5 Price Segmentation : Hydromassage Baths

BG - ESTIMATED PRICE SEGMENTATION FOR HYDROMASSAGE BATHS

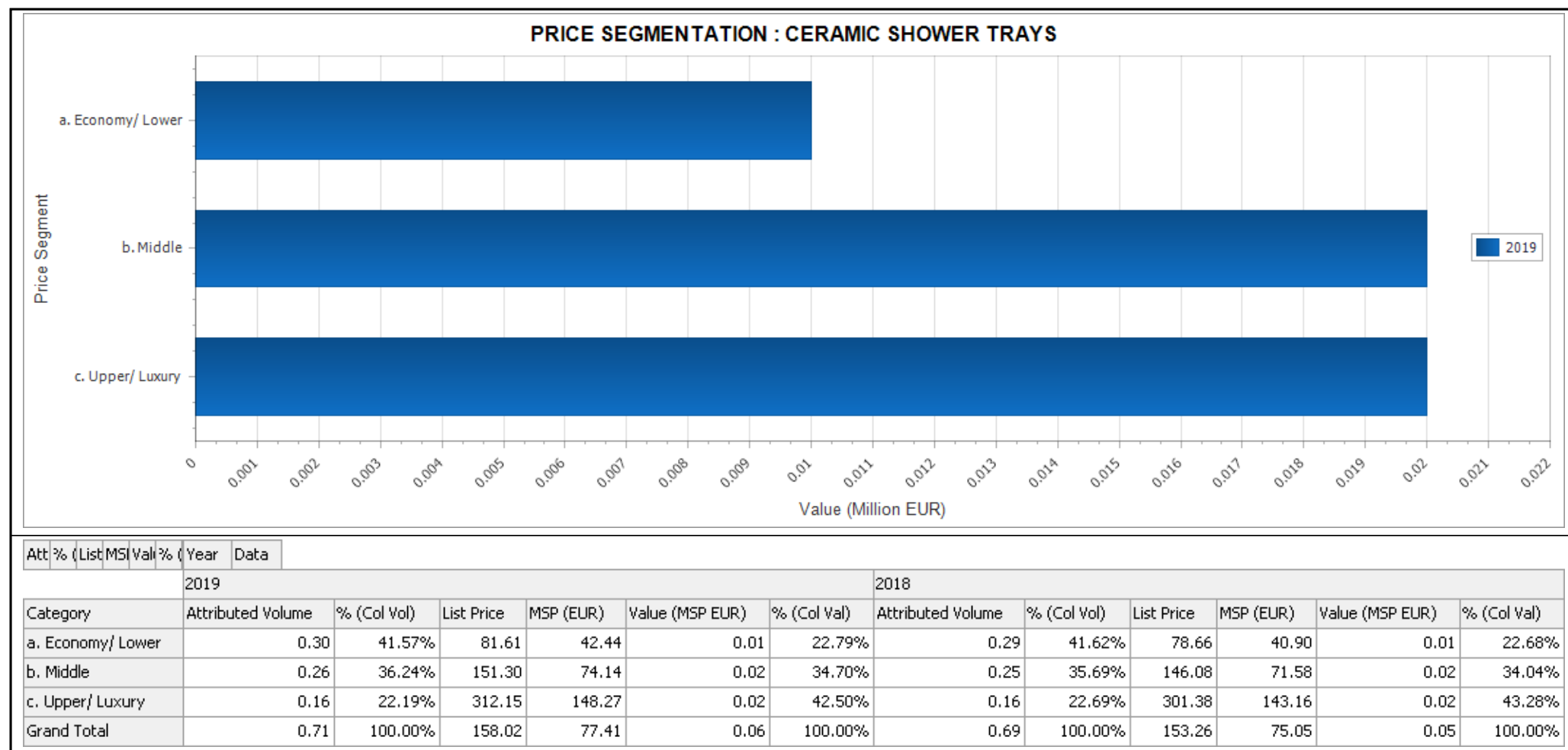


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€300, Middle €300-€600, Upper/ Luxury >€600

1.3.6 Price Segmentation : Ceramic Shower Trays

BG - ESTIMATED PRICE SEGMENTATION FOR CERAMIC SHOWER TRAYS

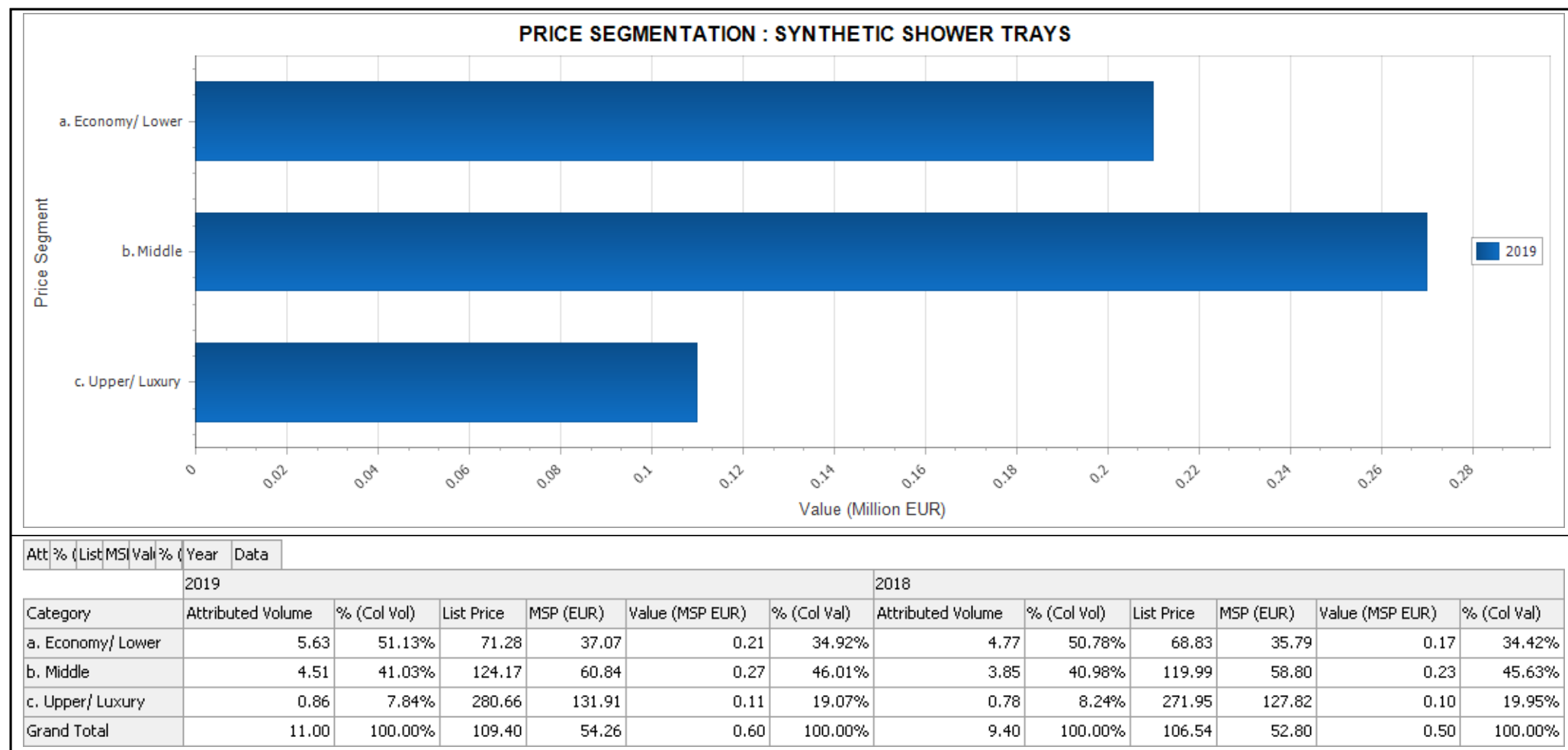


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€50, Middle €50-€100, Upper/ Luxury >€100

1.3.7 Price Segmentation : Synthetic Shower Trays

BG - ESTIMATED PRICE SEGMENTATION FOR SYNTHETIC SHOWER TRAYS

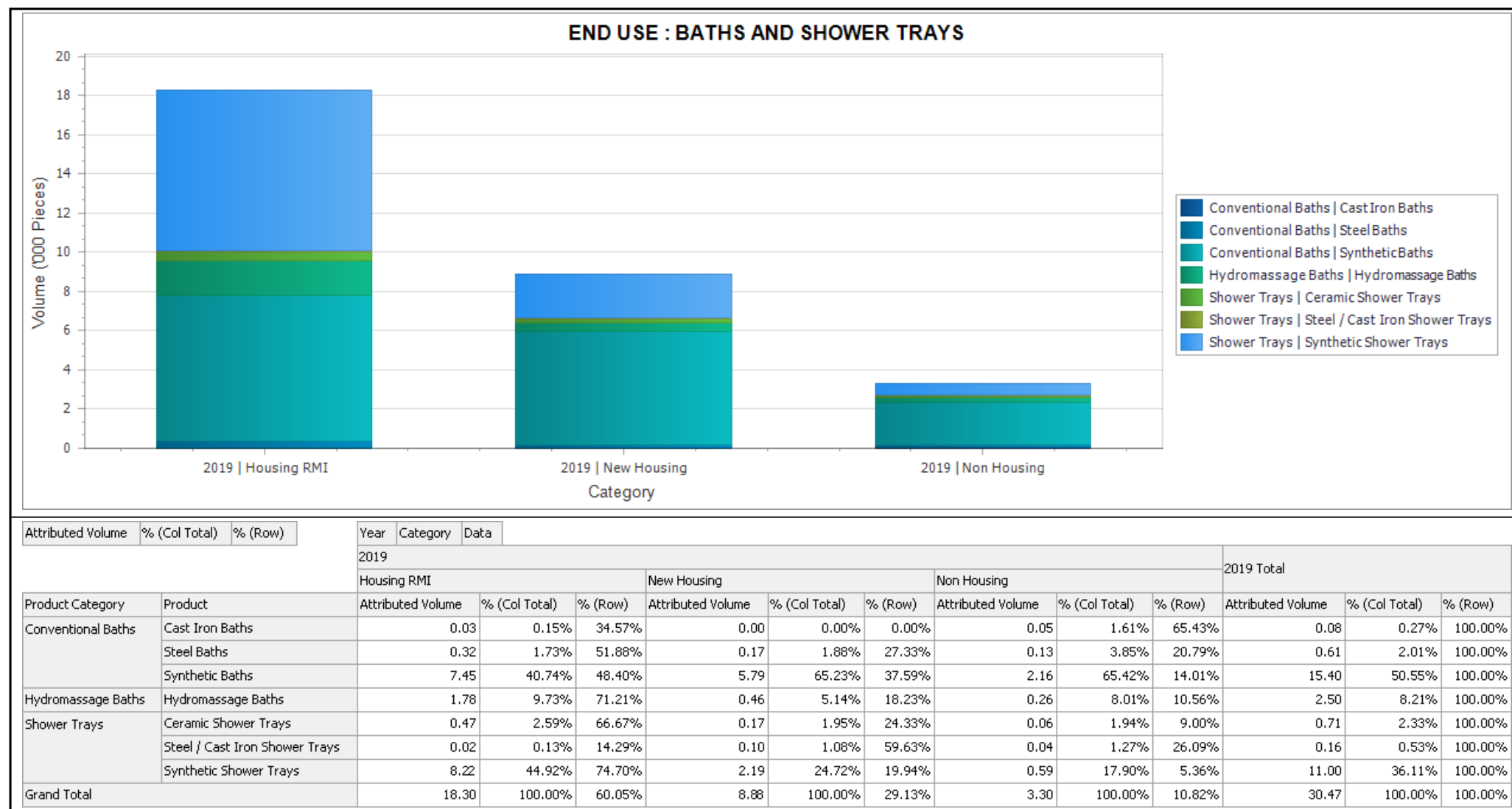


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€40, Middle €40-€80, Upper/ Luxury >€80

1.4.1 End Use : Base Year

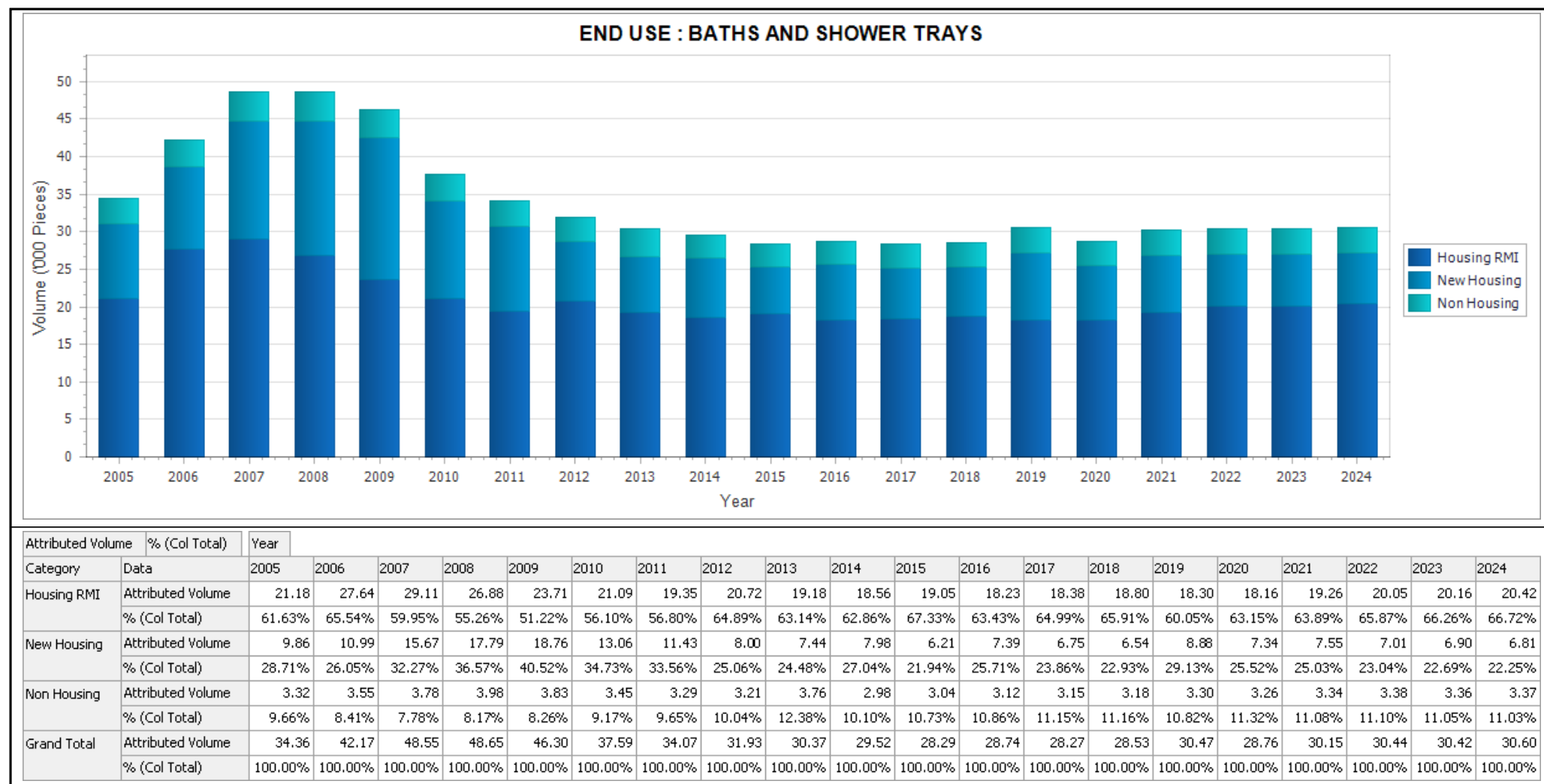
BG - SALES OF BATHS AND SHOWER TRAYS BY TYPE AND END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

1.4.2 End Use : Historical and Forecasts

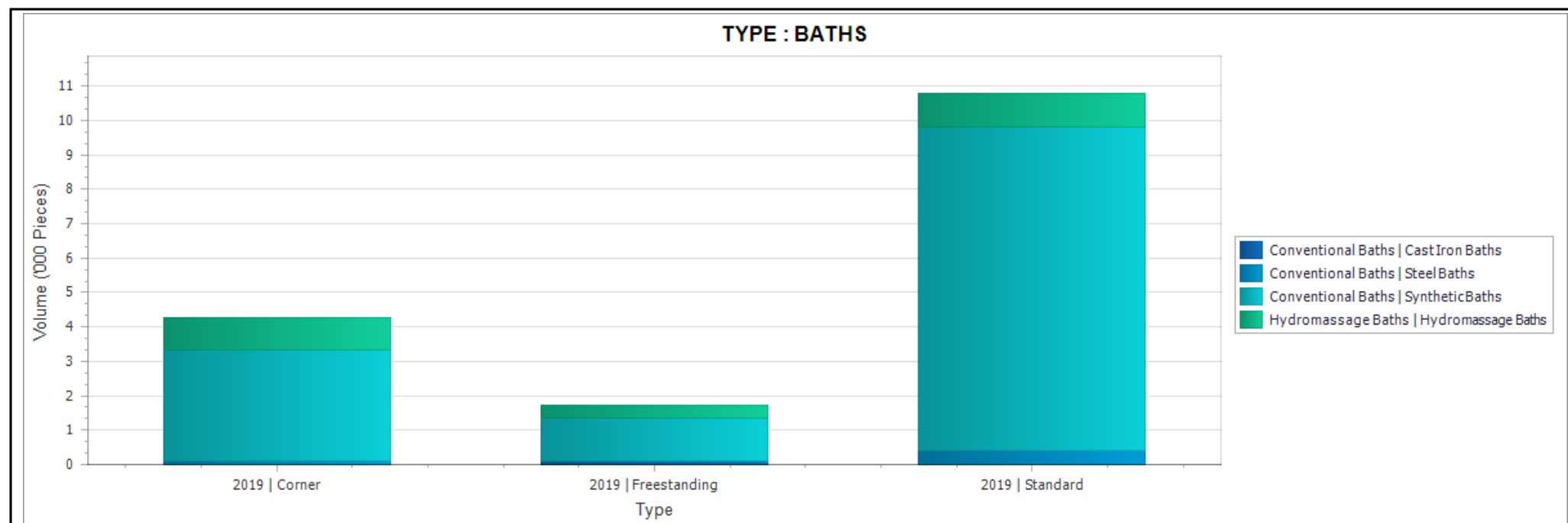
BG - SALES OF BATHS AND SHOWERS TRAYS BY END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

1.4.3 Sales by Type : Baths

BG - BATH SALES BY TYPE ('000 PIECES)

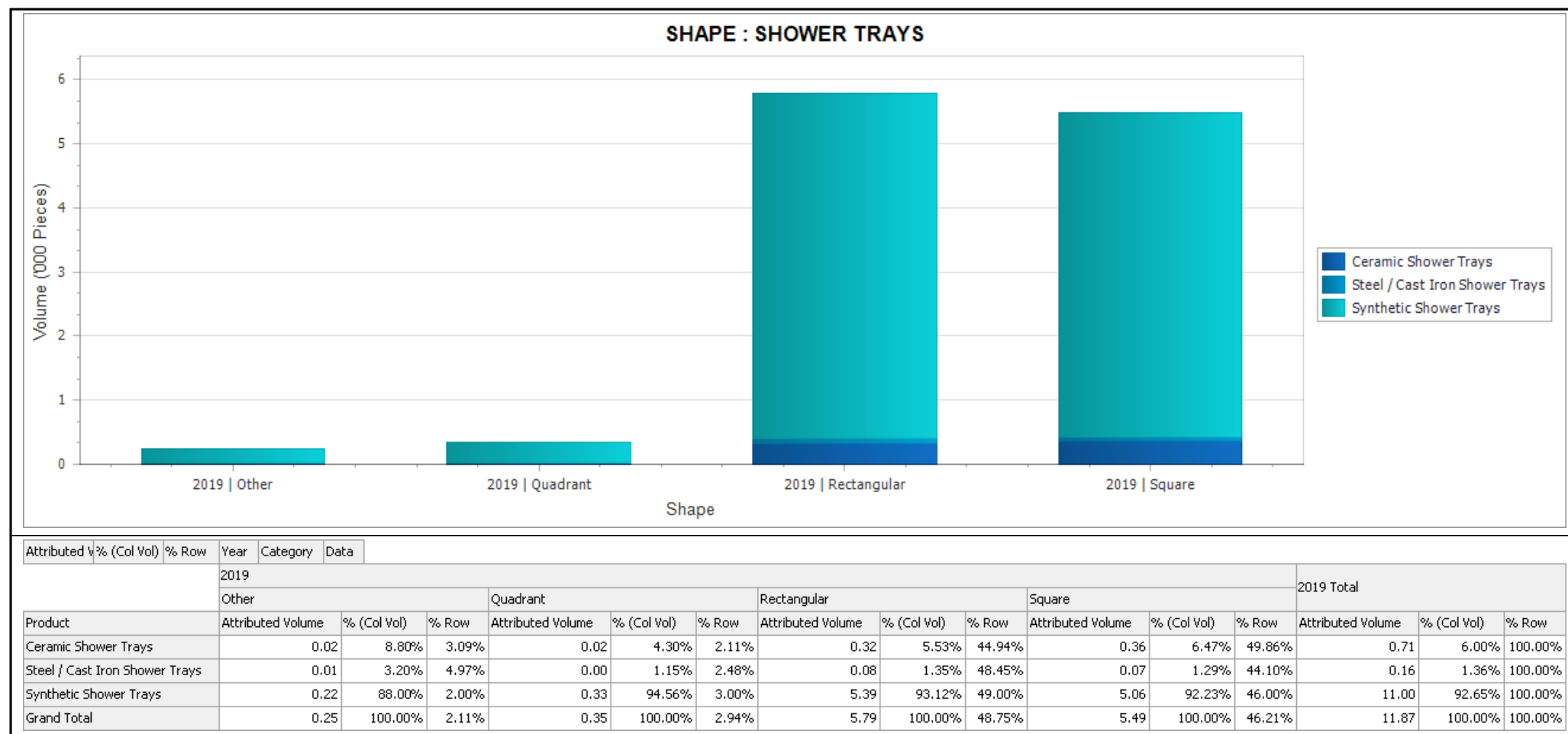


Attributed Volume	% (Col Total)	% Row	Year	Category	Data								
2019											2019 Total		
Corner					Freestanding			Standard					
Product Category	Product	Attributed Volume	% (Col Total)	% Row	Attributed Volume	% (Col Total)	% Row	Attributed Volume	% (Col Total)	% Row	Attributed Volume	% (Col Total)	% Row
Conventional Baths	Cast Iron Baths	0.00	0.00%	0.00%	0.08	4.67%	100.00%	0.00	0.00%	0.00%	0.08	0.48%	100.00%
	Steel Baths	0.10	2.30%	18.01%	0.03	1.46%	4.60%	0.42	3.90%	77.39%	0.54	3.25%	100.00%
	Synthetic Baths	3.23	75.97%	23.33%	1.23	71.96%	8.89%	9.39	87.06%	67.78%	13.86	82.70%	100.00%
Hydromassage Baths	Hydromassage Baths	0.93	21.73%	40.66%	0.38	21.90%	16.48%	0.98	9.04%	42.86%	2.28	13.57%	100.00%
Grand Total		4.26	100.00%	25.40%	1.71	100.00%	10.22%	10.79	100.00%	64.38%	16.76	100.00%	100.00%

Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

1.4.4 Sales by Shape : Shower Trays

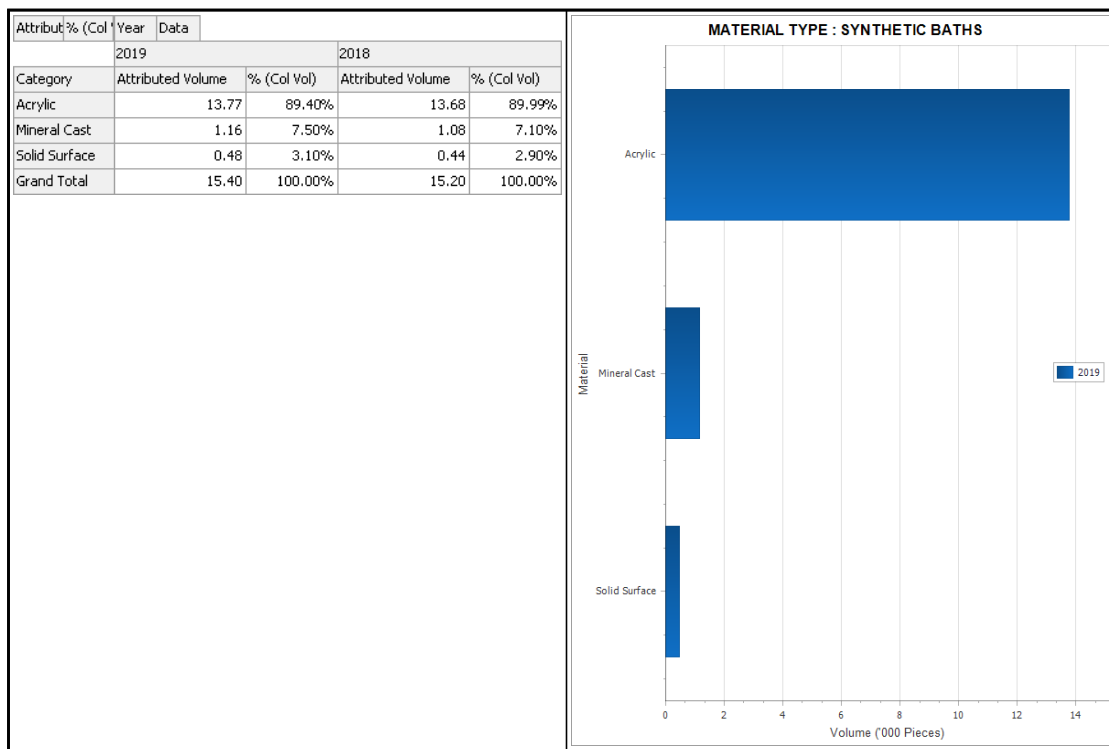
BG - SHOWER TRAY SALES BY SHAPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

1.4.5 Sales by Material : Synthetic Baths

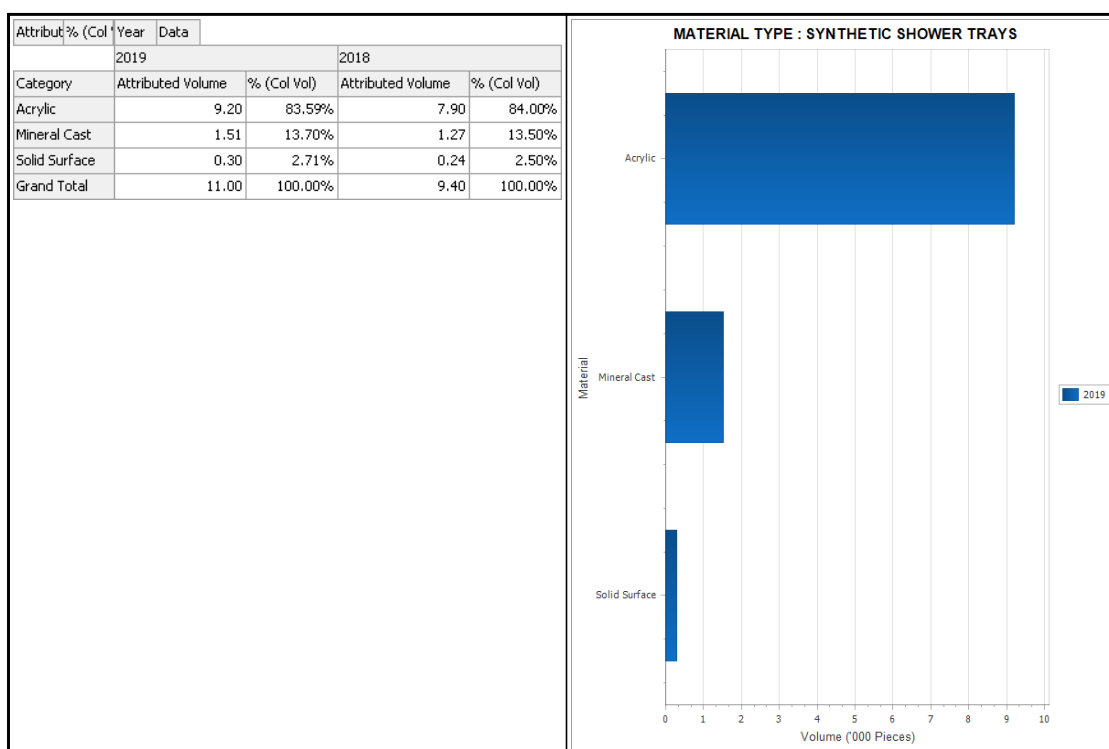
BG - SYNTHETIC BATH SALES BY MATERIAL TYPE ('000 PIECES)



Source: BRG based on industry interviews

1.4.6 Sales by Material : Synthetic Shower Trays

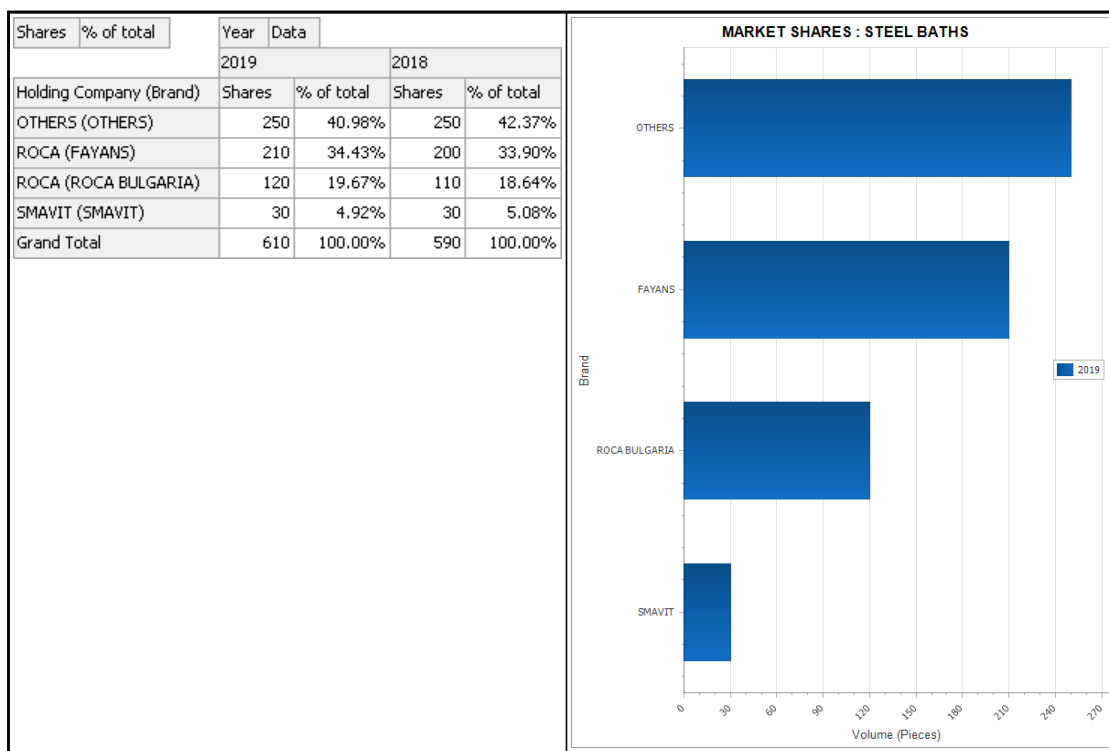
BG - SYNTHETIC SHOWER TRAY SALES BY MATERIAL TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

1.5.1 Market Shares : Steel Baths

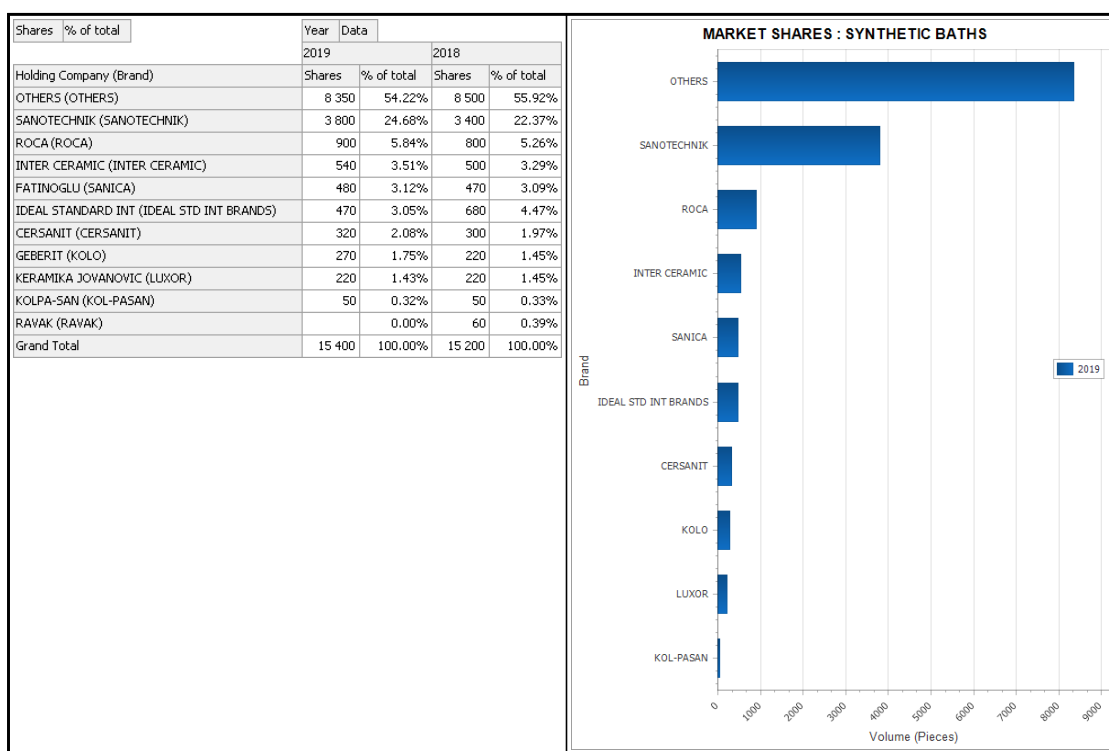
BG - ESTIMATED MARKET SHARES FOR STEEL BATHS



Source: BRG based on industry interviews.

1.5.2 Market Shares : Synthetic Baths

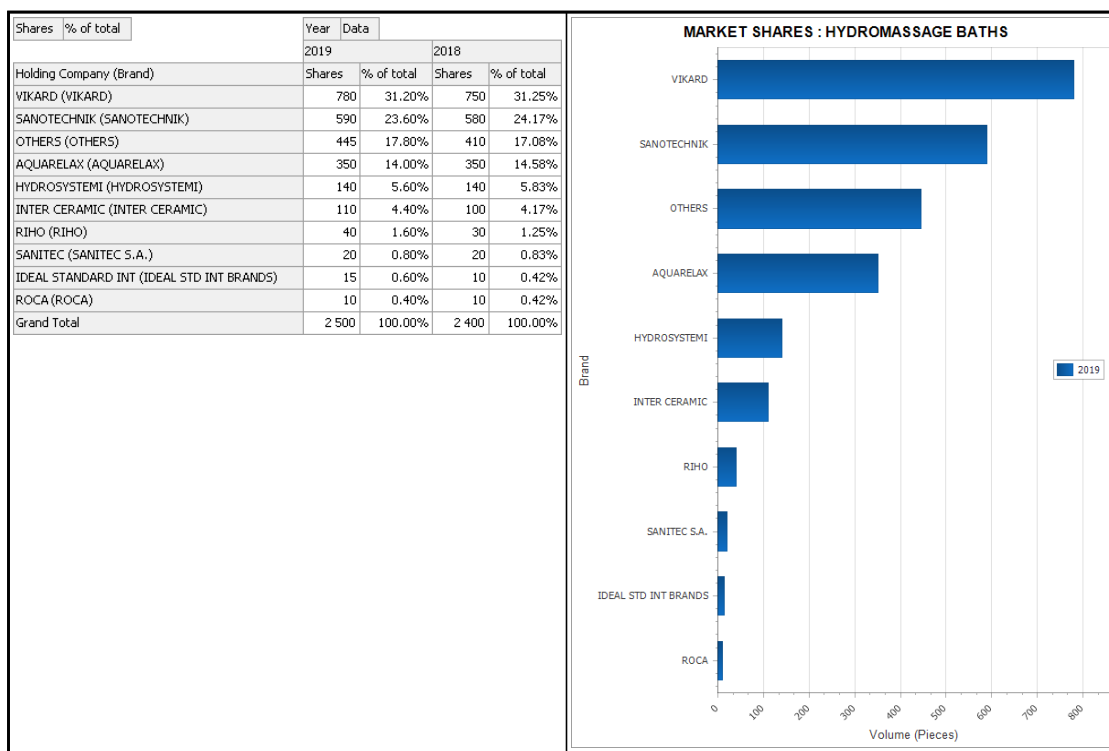
BG - ESTIMATED MARKET SHARES FOR SYNTHETIC BATHS



Source: BRG based on industry interviews.

1.5.3 Market Shares : Hydromassage Baths

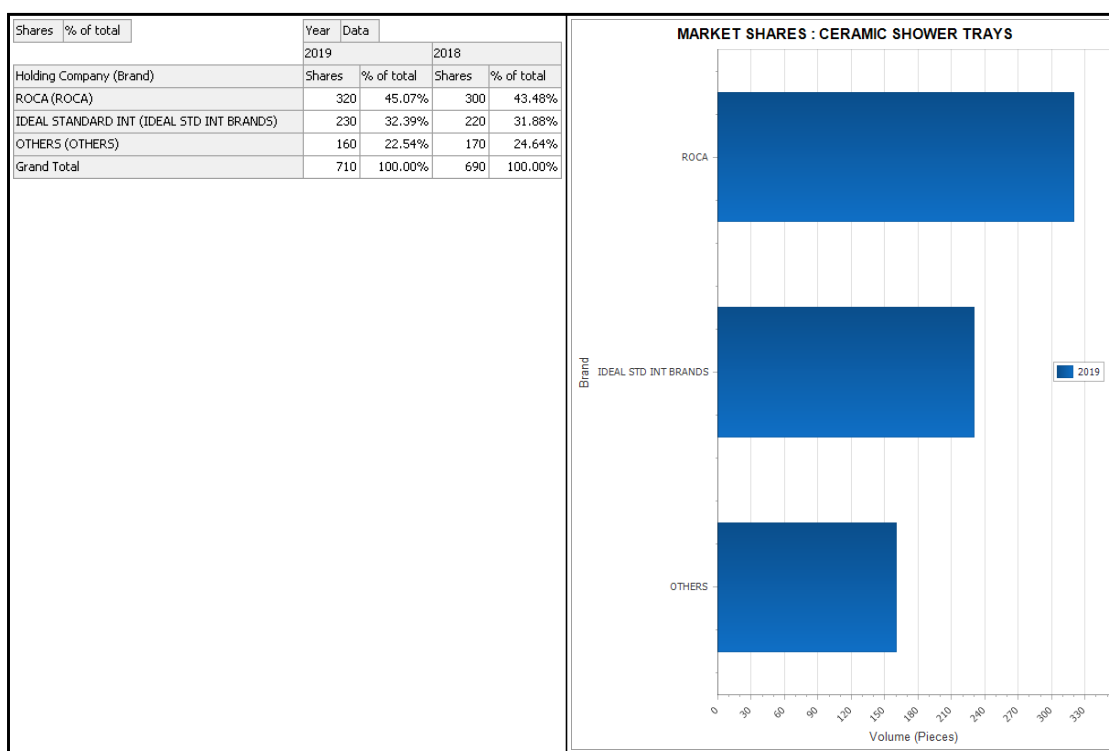
BG - ESTIMATED MARKET SHARES FOR HYDROMASSAGE BATHS



Source: BRG based on industry interviews.

1.5.4 Market Shares : Ceramic Shower Trays

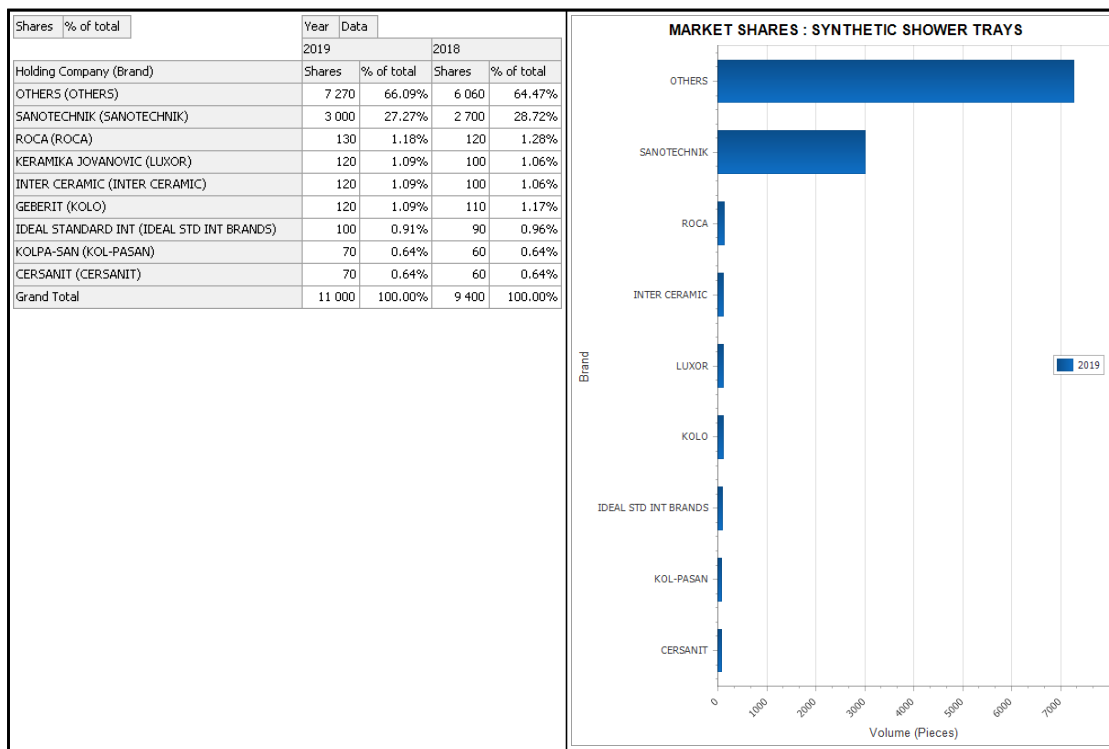
BG - ESTIMATED MARKET SHARES FOR CERAMIC SHOWER TRAYS



Source: BRG based on industry interviews

1.5.5 Market Shares : Synthetic Shower Trays

BG - ESTIMATED MARKET SHARES FOR SYNTHETIC SHOWER TRAYS



Source: BRG based on industry interviews.

1.6.1 BG - IMPORTS OF BATHS - CAST IRON 2019

Source Country	2019				2018			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
Spain	17	99.7%	38	97.4%	5	100.0%	11	100.0%
OTHERS	0	0.3%	1	2.6%	0	0.0%	0	0.0%
Total	17	100.0%	39	100.0%	5	100.0%	11	100.0%

Source : Trademap

1.6.2 BG - EXPORTS OF BATHS - CAST IRON 2019

Destination	2019				2018			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
Cyprus	4	56.9%	13	61.9%	0	0.0%	0	0.0%
Romania	2	27.4%	4	19.0%	4	67.7%	8	61.5%
Greece	1	15.7%	4	19.0%	1	26.9%	4	30.8%
OTHERS	0	0.0%	0	0.0%	0	5.3%	1	7.7%
Total	7	100.0%	21	100.0%	5	100.0%	13	100.0%

Source : Trademap

1.6.3 BG - IMPORTS OF BATHS - STEEL 2019

Source Country	2019				2018			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
Turkey	5	64.3%	19	61.3%	0	2.1%	3	12.5%
Spain	2	27.5%	4	12.9%	3	25.8%	6	25.0%
Germany	0	3.1%	4	12.9%	0	0.0%	0	0.0%
China	0	2.8%	1	3.2%	2	15.5%	10	41.7%
Serbia	0	1.2%	1	3.2%	0	0.0%	0	0.0%
France	0	1.2%	2	6.5%	0	0.0%	0	0.0%
OTHERS	0	0.0%	0	0.0%	6	56.6%	5	20.8%
Total	7	100.0%	31	100.0%	10	100.0%	24	100.0%

Source : Trademap

1.6.4 BG - EXPORTS OF BATHS - STEEL 2019

Destination	2019				2018			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
Cyprus	3	84.5%	8	47.1%	2	17.7%	20	33.9%
Belarus	0	9.0%	6	35.3%	0	0.0%	0	0.0%
Moldova, Republic of	0	3.7%	1	5.9%	2	18.8%	19	32.2%
Russian Federation	0	2.8%	2	11.8%	0	0.0%	0	0.0%
OTHERS	0	0.0%	0	0.0%	7	63.5%	20	33.9%
Total	3	100.0%	17	100.0%	10	100.0%	59	100.0%

Source : Trademap

1.6.5 BG - IMPORTS OF BATHS AND SHOWER TRAYS - SYNTHETIC 2019

Source Country	2019				2018			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
China	254	22.4%	640	16.2%	437	30.2%	914	18.9%
Croatia	249	22.0%	727	18.4%	220	15.2%	595	12.3%
Egypt	187	16.5%	477	12.1%	249	17.2%	737	15.3%
Italy	151	13.3%	787	19.9%	119	8.2%	794	16.4%
Germany	130	11.4%	510	12.9%	200	13.8%	821	17.0%
Poland	58	5.1%	269	6.8%	36	2.5%	113	2.3%
Turkey	47	4.1%	210	5.3%	76	5.2%	321	6.6%
Macedonia, North	11	1.0%	33	0.8%	21	1.5%	56	1.2%
OTHERS	46	4.0%	303	7.7%	89	6.2%	480	9.9%
Total	1 133	100.0%	3 956	100.0%	1 447	100.0%	4 831	100.0%

Source : Trademap

1.6.6 BG - EXPORTS OF BATHS AND SHOWER TRAYS - SYNTHETIC 2019

Destination	2019				2018			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
Italy	686	28.3%	2 871	26.2%	1 083	36.0%	4 554	32.4%
Spain	482	19.9%	2 410	22.0%	593	19.7%	3 014	21.5%
Romania	216	8.9%	888	8.1%	193	6.4%	854	6.1%
Belgium	147	6.1%	694	6.3%	151	5.0%	795	5.7%
Austria	121	5.0%	440	4.0%	107	3.6%	370	2.6%
United Kingdom	118	4.9%	757	6.9%	146	4.8%	928	6.6%
France	92	3.8%	476	4.4%	101	3.4%	439	3.1%
Hungary	78	3.2%	258	2.4%	66	2.2%	209	1.5%
Slovakia	64	2.7%	216	2.0%	36	1.2%	186	1.3%
Netherlands	54	2.2%	345	3.2%	54	1.8%	338	2.4%
Greece	52	2.2%	213	1.9%	84	2.8%	431	3.1%
OTHERS	314	12.9%	1 374	12.6%	391	13.0%	1 928	13.7%
Total	2 424	100.0%	10 942	100.0%	3 005	100.0%	14 046	100.0%

Source : Trademap

1.7.1

Route to Market: Baths
BG - ESTIMATED DISTRIBUTION FOR BATHS: 2019

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	78.8%
	Wholesalers / Merchants
	78.8%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	0.6%	1.5%	11.9%	10.0%	6.5%	8.0%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	2.1%		21.9%		14.5%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
0.7%	2.5%	1.0%	5.0%	3.5%
Installers				
12.8%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	0.3%	50.8%	0.6%	15.9%	10.0%	8.4%	1.1%	6.0%	0.5%	1.0%	1.0%	4.4%
	Residential						Non-Residential					
	86.0%						14.0%					
	New Build			Residential RMI			New Build			Non-Residential RMI		
	34.5%			51.5%			8.0%			6.0%		
	Project		Non-Project	Project		Non-Project	Project		Non-Project	Project		Non-Project
	1.0%		33.5%	5.0%		46.5%	0.4%		7.6%	0.5%		5.5%

1.7.2

Route to Market: Baths
BG - ESTIMATED DISTRIBUTION FOR BATHS: 2024

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	75.0%
	Wholesalers / Merchants
	75.0%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	1.0%	2.5%	14.0%	9.0%	5.0%	10.0%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	3.5%		23.0%		15.0%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
0.5%	2.5%	1.5%	5.5%	4.0%
Installers				
14.0%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	3.5%	44.5%	1.0%	16.5%	10.0%	9.6%	1.0%	6.5%	1.0%	1.0%	1.0%	4.4%
	Residential						Non-Residential					
	85.1%						14.9%					
	New Build			Residential RMI			New Build			Non-Residential RMI		
	29.2%			55.9%			8.5%			6.4%		
	Project		Non-Project	Project		Non-Project	Project		Non-Project	Project		Non-Project
	1.0%		28.2%	1.0%		54.9%	0.4%		8.1%	0.5%		5.9%

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

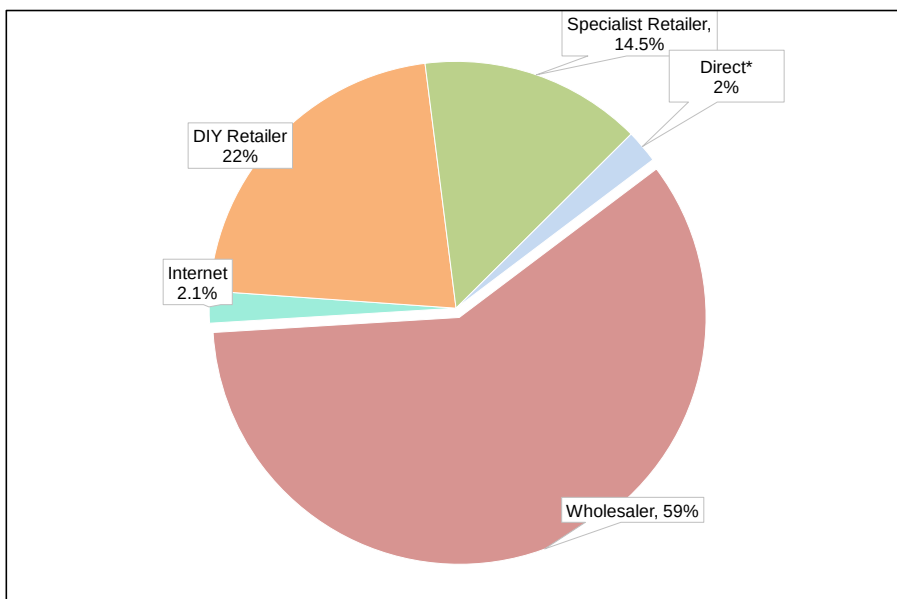
1.7.3 Route to Market - Consolidated View : Baths
BG - ESTIMATED DISTRIBUTION FOR BATHS : 2019

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
59.3%	2.1%	21.9%	14.5%	2.2%	6.0%	0.9%	80.0%	13.1%
100%					6.9%		93.1%	

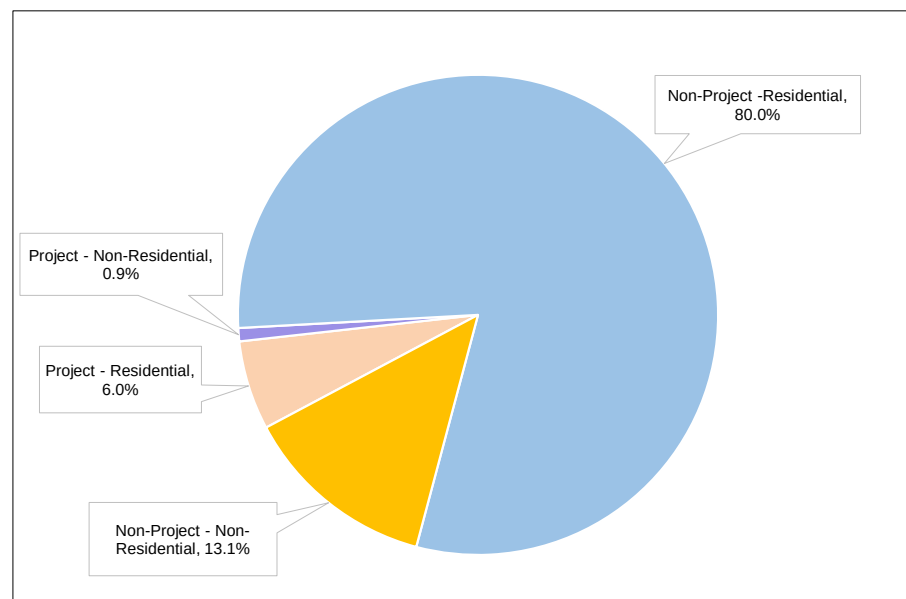
1.7.4 Route to Market - Consolidated View : Baths
BG - ESTIMATED DISTRIBUTION FOR BATHS : 2024

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
53.5%	3.5%	23.0%	15.0%	5.0%	2.0%	0.9%	83.1%	14.0%
100%					2.9%		97.1%	

BG - SALES OF BATHS BY DISTRIBUTION CHANNEL: 2019



BG - SALES OF BATHS BY POINT OF DECISION AND END-USE SECTOR: 2019



Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

1.7.5 Route to Market: Shower Trays
BG - ESTIMATED DISTRIBUTION FOR SHOWER TRAYS: 2019

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	74.4%
	Wholesalers / Merchants
	74.4%

Retail Level	Manufacturer 1.0%	Wholesaler 2.0%	Manufacturer 15.8%	Wholesaler 8.0%	Manufacturer 6.8%	Wholesaler 9.0%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	3.0%		23.8%		15.8%	

Manufacturer 1.0%	Wholesaler 2.0%	Internet 1.0%	DIY 5.0%	Specialist 2.8%
Installers				
11.8%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	0.2%	51.9%	1.7%	17.8%	12.0%	10.6%
	Residential					
	94.2%					

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.8%	1.5%	0.3%	1.0%	1.0%	1.2%
Non-Residential					
5.8%					

New Build		Residential RMI	
20.7%		73.4%	
Project	Non-Project	Project	Non-Project
1.0%	19.7%	6.0%	67.4%

New Build		Non-Residential RMI	
3.0%		2.8%	
Project	Non-Project	Project	Non-Project
0.3%	2.7%	0.4%	2.4%

1.7.6 Route to Market: Shower Trays
BG - ESTIMATED DISTRIBUTION FOR SHOWER TRAYS: 2024

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	73.0%
	Wholesalers / Merchants
	73.0%

Retail Level	Manufacturer 2.0%	Wholesaler 3.5%	Manufacturer 17.0%	Wholesaler 7.0%	Manufacturer 6.0%	Wholesaler 11.0%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	5.5%		24.0%		17.0%	

Manufacturer 0.6%	Wholesaler 2.0%	Internet 1.5%	DIY 5.0%	Specialist 5.0%
Installers				
14.1%				

End Use Level	Manufacturer 1.1%	Wholesaler 47.9%	Internet 3.4%	DIY 17.7%	Specialist 11.0%	Installer 12.5%
	Residential					
	93.6%					
	New Build			Residential RMI		
	13.9%			79.7%		
	Project		Non-Project	Project		Non-Project
	1.0%		12.9%	7.0%		72.7%
	0.3%	1.6%	0.6%	1.3%	1.0%	1.6%
	Non-Residential					
	6.4%					
	New Build			Non-Residential RMI		
	3.5%			2.9%		
	Project		Non-Project	Project		Non-Project
	0.2%		3.3%	0.3%		2.6%

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

1.7.7 Route to Market - Consolidated View : Shower Trays

BG - ESTIMATED DISTRIBUTION FOR SHOWER TRAYS : 2019

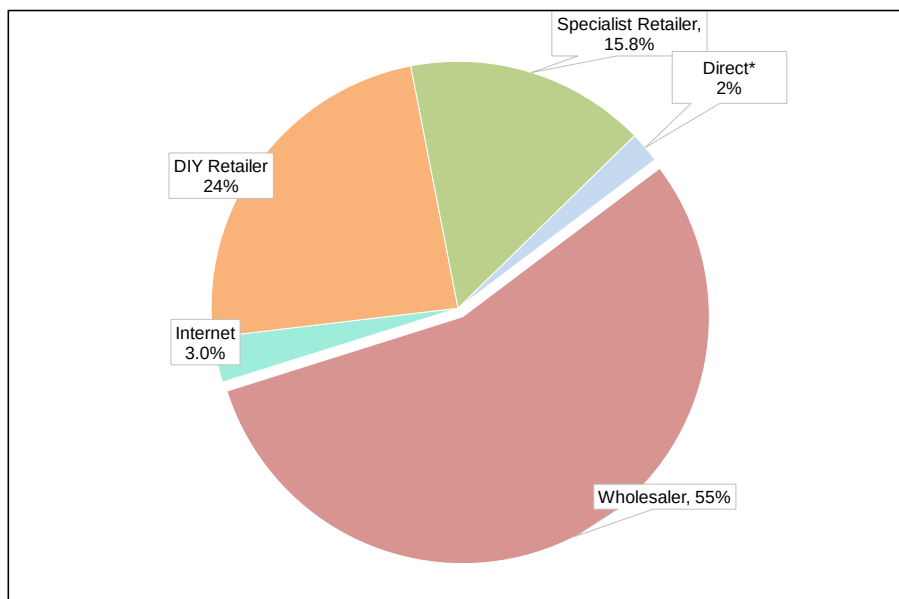
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
55.4%	3.0%	23.8%	15.8%	2.0%	7.0%	0.7%	87.2%	5.1%
100%					7.7%		92.3%	

1.7.8 Route to Market - Consolidated View : Shower Trays

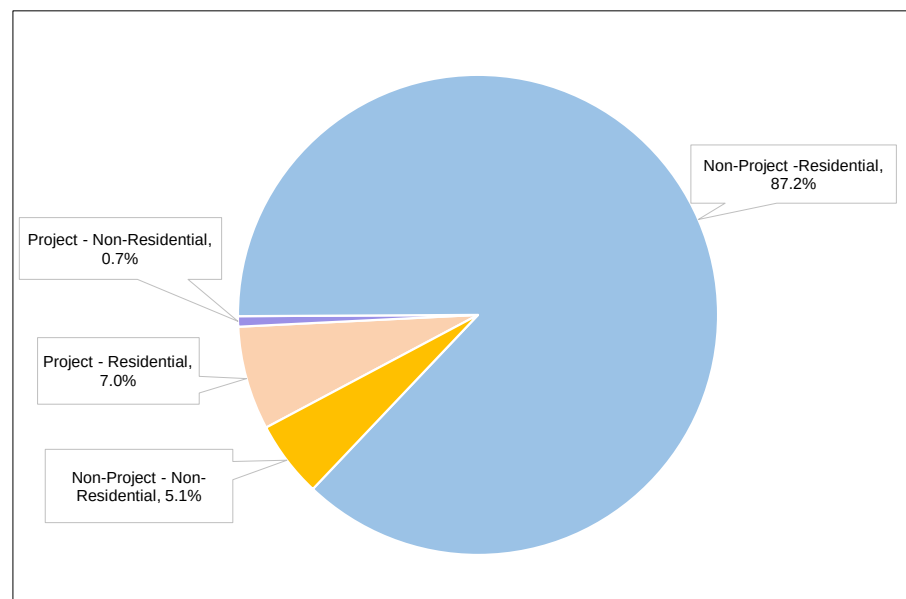
BG - ESTIMATED DISTRIBUTION FOR SHOWER TRAYS : 2024

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
51.5%	5.5%	24.0%	17.0%	2.0%	8.0%	0.5%	85.6%	5.9%
100%					8.5%		91.5%	

BG - SALES OF SHOWER TRAYS BY DISTRIBUTION CHANNEL: 2019



BG - SALES OF SHOWER TRAYS BY POINT OF DECISION AND END-USE SECTOR: 2019



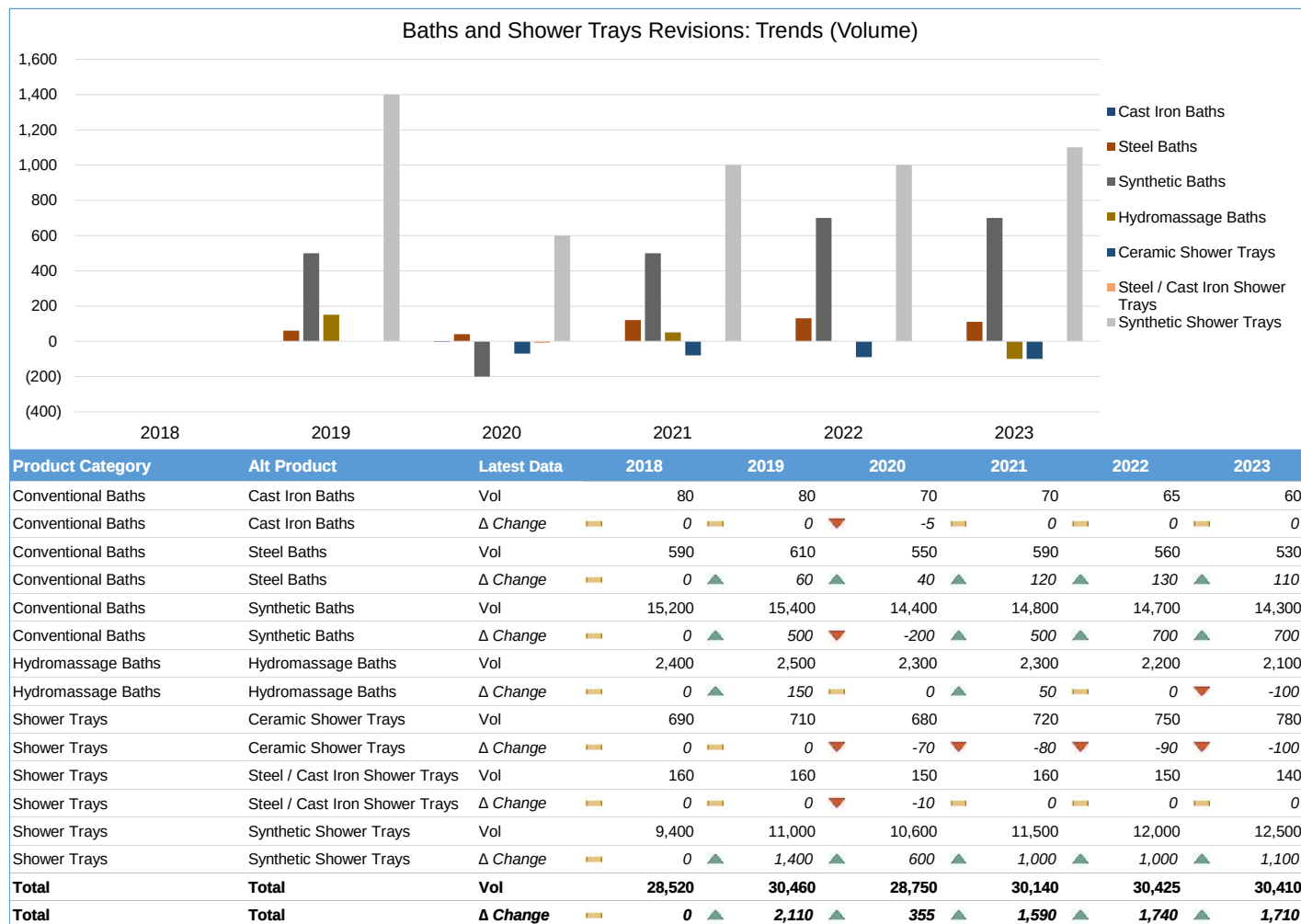
Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

1.8 Revisions in the Bulgarian Baths and Shower Trays Market (July 2020)

BG - REVISIONS IN THE BULGARIAN BATHS AND SHOWER TRAYS MARKET

Data Comparison: July 2019



Based on the industry feedback, indicating a much faster growth rate in sales to new housing due to considerably higher new dwellings output, the 2019 sales figures have been upgraded for: steel baths, synthetic baths, hydromassage baths, ceramic shower trays, synthetic shower trays.

BULGARIA

SANITARY WARE

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



Market Characteristics and Product Mix

The Bulgarian sanitaryware market has been very cyclical over the last two decades, suffering from low levels of job mobility and corresponding productivity, high emigration levels among the educated youth, and high levels of inflation that impact negatively on the disposable income of Bulgarian households. The presence of such key aspects has had a profound impact on the Bulgarian housing market, which is characterised by a high number of households burdened by high housing costs, coupled with the declining and ageing population. The concurrent nature of such variables has been one of the main drivers behind the steady switch away from upper and luxury products in recent years.

Since the early 2000s, Bulgarian households have increasingly favoured wall hung WCs over floor standing models; however, traditional floor standing models (monobloc, coupled with a ceramic cistern) remain the common product option.

There is not much demand for bidets; this is related to bathroom size in Bulgaria, as the majority are small with no space for bidets, as well as due to the existence of other structures, for instance WCs with incorporated bidet, which are more popular than traditional bidets. Wall-hung WCs have recently become a very popular choice, for years increasing their market shares to the detriment of the floor standing models. Within the ceramic sanitaryware market another product has significantly developed: washbasins. This product has experienced considerable success in Bulgaria and its market expansion has been to the detriment of pedestals and, to a lesser extent, half pedestals. These trends show that, even though Bulgaria remains a country with major economic and social challenges compared to other transition European economies, manufacturers seem to have been able to establish demand for the same types of products that have become successful in the whole of Europe. Interestingly, the vast majority of washbasins sold in Bulgaria are ceramic models, preferred by the consumers for aesthetic reasons, durability and relatively affordable prices. The segment of non-ceramic washbasins has been growing throughout recent years, but with sales that remain marginal, primarily due to relatively high prices.

Within the plastic cistern market, the trend away from exposed towards concealed plastic models started in 2002, when concealed plastic cisterns were first introduced to the Bulgarian market. In the years following the 2008 crisis, the trend towards concealed plastic cisterns slowed down somewhat as Bulgarian households have become more price driven; however, in recent years with the country's economic conditions improving, consumers preference re-start to shift towards concealed models.

Close coupled toilets, which include ceramic cisterns, have become relatively popular as a cheap alternative to the exposed plastic models and typically of a better quality; this trend has considerably affected sales of exposed plastic cisterns. Still, the replacement of an already installed exposed cistern with a new one is

easier and significantly cheaper than the installation of concealed models or close coupled WC replacements. For non-residential, new build and complete bathroom renovations, concealed cisterns are already perceived as a standard choice. Sales of concealed cisterns have achieved strong growth in the last few years, due to a high popularity of replacing old exposed cisterns with concealed models, as well as a relatively large number of installations directed to the non-residential sector.

Recent Market Trends

In 2019, the sanitaryware market in Bulgaria recorded a slight increase with all product categories showing a positive momentum, except exposed plastic cisterns, declining under strong competition from the concealed models. Continued growth of private consumption, increasing salaries and growing consumer confidence, as well as a very good growth rate observed in new residential construction were behind the growth of the sanitaryware segment.

In terms of volume, the largest product group, WCs/toilets, recorded a moderate growth rate. Concealed cistern sales grew the fastest, primarily due to the relatively small portion of the market they accounted for. For several years a wide range of close coupled toilets (WC bowl and ceramic cistern – one of the most popular WC types in Bulgaria), has been distributed at relatively affordable prices through DIY stores, positively affecting sales of WCs/toilets. Also, the popularity of wall hung WCs continued to grow due to the minimalist aesthetics, although floor standing models still accounted for the chunk of WC sales.

In 2019, among the washbasin models, wall hung products held the largest share, although decreasing, followed by washbasins/countertops, which for another consecutive year recorded a slight increase in the segment's shares. The two largest washbasin product groups continued to be considerably more in demand than hand washbasins and pedestal washbasins, showing both a decreasing trend for the past few years. Sales of other types of ceramic washbasins, including inset, semi-recessed and undermount models remained marginal. Overall, sales of other ceramic sanitaryware saw a slight increase, driven mostly by growth in sales to new housing with close coupled cisterns and close coupled WCs dominating the segment.

The preferred installation for concealed cisterns remained wet, and this trend should be reinforced in the near future.

Prices and Market Values

In 2019, the MSPs (manufacturers' selling price) for sanitaryware products saw an increase across all product categories, resulting from growing production costs, primarily labour and material costs.

Sales of washbasins and WCs continued to account for most of the market value within ceramic sanitaryware. As the Bulgarian market is still price-driven, the bulk of sales of ceramic sanitaryware remained in the economy segment, although with the

Bulgarian economy improving, a gradual shift of consumers towards middle and upper product groups has been observed. Growth of the prices was, however, tempered by a tough competition, increased among others by a strong presence of Chinese imports on the market.

The deterioration of the economic conditions in the aftermath of the COVID-19 outbreak is expected to considerably slow down the shift towards middle and upper price brackets observed in recent years.

New Housing

On the back of impressive growth in the residential construction sector, in 2019, sales of sanitaryware to new housing showed excellent growth rates, making up for the drops experienced in 2017 and 2018.

Concealed plastic cisterns grew fastest, successfully competing with the exposed models, which nonetheless also experienced growth, although at a slower pace.

It is estimated that around six pieces of ceramic sanitaryware are installed in a new dwelling, which in the case of houses often includes two WCs, one or two washbasins/countertops, an exposed/concealed cistern and a bath/shower tray. The WCs/toilets and washbasins/countertops account for just short of two thirds of total sanitaryware sales to the residential segment.

Overall, however, it should be noted that new housing has a limited impact on total sanitaryware sales due to a relatively high share of RMI in the market.

Housing RMI

Sales to the residential refurbishment and modernisation segment maintain a significant relevance for the Bulgarian sanitaryware market, especially for sales of ceramic sanitaryware.

In 2019, the replacement sales volume declined very slightly, although continuing to be by far the main source of demand for sanitaryware products, with a relatively low contribution to total sales coming from the new housing sector. Only concealed cisterns, as a product relatively new on the market, generate relatively less sales to RMI.

With continued improvement of the Bulgarian economy, growing private consumption, reflected particularly in categories such as “home repair”, kept demand for all ceramic sanitaryware product groups at a high level. Also, non-ceramic washbasins, as well as concealed cisterns saw growth in replacement demand with external cisterns declining as consumers more and more often opt to replace external models with concealed ones.

Non-Housing

The volume of sanitary ware products going to the non-housing segment primarily includes holiday rental and coastal apartments, hotels and offices, as well as sports and entertainment facilities. Sales to the non-housing sector remain reliant on private propensity to invest – particularly on the Black Sea coast which, for its tourist attractiveness, remains preferred for hotel investments – and to a lesser extent on the distribution of public funds for construction of public use buildings, although the ongoing improvement in the availability of the EU and international funds in recent years, also had a positive impact on the sales to non-housing.

Overall, in 2019, thanks to a good growth rate recorded in non-residential construction, particularly in the hotel/accommodation and new office segments, sales of sanitaryware in the non-housing sector increased. Products usually preferred in commercial installations, such as concealed plastic cisterns, wall hung WCs and washbasins/countertops, continued growing. Only the segment of exposed plastic cisterns recorded a significant decline. Sales of urinals, which are almost exclusively installed in the non-housing sector, remained practically stable.

Supply Structure

The ceramic sanitaryware market is dominated by local brands of international manufacturers such as IDEAL STANDARD (VIDIMA) and ROCA (FAYANS/ROCA BULGARIA/ROCA), and a local player, INTER CERAMIC, offering Chinese imports under its own brand. The rest of the market remains highly fragmented.

The Bulgarian sanitary ware segment is almost self-sufficient in terms of supply, with the majority of the market covered by domestic production. In November 2019, VIDIMA completed upgrading its production facilities in Sevlievo, in north-central Bulgaria, considerably increasing its production capacity. However, a growing penetration of Chinese, Turkish and Italian imports, gradually affect the supply structure and the leadership of VIDIMA and ROCA. Products from China include brands such as INTER CERAMIC and FORMA VITA (included in 'Others'), sold mainly via DIY stores and regional merchants (including MARTINELI and HIKOVI). The Italian manufacturers supply the market with premium ceramic (porcelain) sanitaryware products, such as HATRIA, KERASAN and GALASSIA/GALVIT. The Turkish imports account for lower quality unbranded products such as KALEVIT and VITRA. Exports of porcelain ceramic sanitaryware were mainly directed towards France, Italy, the UK and Germany.

The plastic cistern market is dominated by local manufacturer SANITAPLAST JSC for exposed models, and by GROHE and GEBERIT for concealed plastic cistern products. As in previous years, the majority of imports of plastic cisterns came from Poland, Turkey, Germany and China, while exports were mainly going to Romania.

Forecasts

Given the exceptional circumstances related to the spread of the COVID-19 virus and measures in place for its containment, forecasts for 2020 and beyond are based on the latest information available at the time of publication. BRG has attempted to factor in the latest developments – see Macroeconomic data in Table II.3, and supporting summary table at the end of the Background section.

After a very good performance in 2019, the Bulgarian economy was hit by the COVID-19 pandemic outbreak. Bulgaria's recovery from the 2008 financial crisis, which started to be palpable in 2015/16 and accelerated in 2019, was interrupted and in 2020, the country, like many others around the world, is facing a recession.

All projections for the Bulgarian 2020 GDP growth issued after the pandemic began in Europe, assume a decline, with the values depending on source, from a 4.0% fall (IMF), to 5.9% (Fitch) and 6.5% (S&P), to a 7.0% decrease (EC). Similarly, forecasts by international financial institutions for Bulgaria's GDP growth for 2021 indicate a strong rebound of the local economy (e.g. about 6% by EC and IMF), with moderate growth rates expected in 2022-24.

Growth in consumption, the main driver of the Bulgaria's economic development, is projected to show a positive momentum already in the third quarter of 2020, further improving at the end of the year. The unemployment rate recorded a historical low in 2019 (4.2%) but is expected to double in 2020 and to gradually recover in 2021 (e.g. EC forecasts a 7% unemployment rate for 2020 and 5.8% for 2021, while IMF expects 8% in 2020 and 4.5% in 2021). Average wages, which recorded good gains in the past couple of years, are anticipated to slow down in 2020 and 2021 (e.g. 3.5% up in 2020 and 2.3% in 2021 according to EC). The CPI indicis are likely to fall in 2020 due to large fall in oil prices with EC forecasting the average value to reach 1.1% and remain at a similar level in 2021.

Since international trade constitutes a key segment of Bulgaria's economy (e.g. export accounts for short of two thirds of the country's GDP), deterioration of the economic conditions in other countries, particularly the EU members, will also affect the local market. The EC is anticipating a 13.2% decline in exports in 2020 and a partial recovery, 10.8%, in 2021.

In the aftermath of the COVID-19 outbreak, investments fell drastically. According to EC, forecast total investments in 2020 should decline by 18% with a very slow recovery in 2021, by about 1%, due to high uncertainty in the business, as well as a lowered capacity of the companies to invest.

A relatively mild development of the pandemic in terms of registered cases and mortality, allowed for a shorter period of the anti-pandemic restrictions (compared to most other countries), with construction, production, distribution and installation activities carried out at a reduced capacity. The delays which occurred in the aftermath, especially in the international trade, are likely to have a drastic impact on

the Bulgarian bathroom market; characterised by a high level of imports, including considerable supplies from the Far East. Considering a substantial deterioration of the country's economic conditions, the delays are unlikely to be fully caught up in the second half of the year. However, a strong presence of local providers on the market, allows for expectations of a moderate decline in the overall sales volume in 2020.

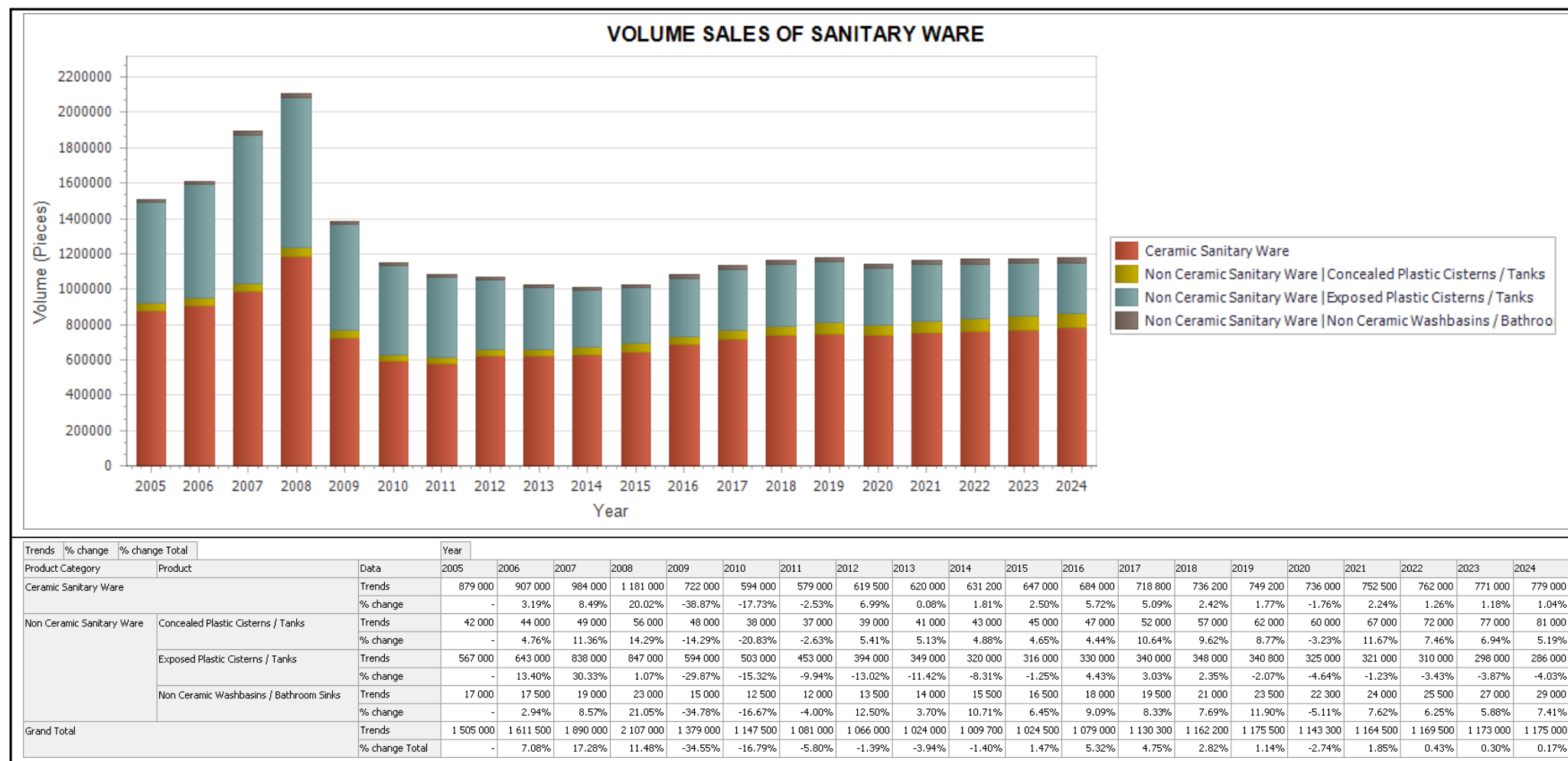
Assuming no second wave of the pandemic will occur, demand is anticipated to rebound in the second half of 2020, with sales in 2021 forecast to show a good recovery, although mostly as a result of a 'low-base' effect. The segment of concealed plastic cisterns is anticipated to show a very good growth rate to the detriment of the exposed models, due to its relatively small size.

In the medium- to long-term, with the Bulgarian economy gradually recovering, sales of sanitary ware are expected to record growth, driven primarily by demand from the RMI sector. With the strong trend towards concealed cisterns, exposed cisterns are the only product likely to see a negative outlook in the forecast period.

The medium to long-term outlook for the Bulgarian sanitaryware market remains positive; however, with a slight deceleration of growth as a result of the deterioration of the economic conditions in Bulgaria and its main trade partners. The overall market, which only started to recover after a prolonged period of decline following the 2008 financial crisis, will now need years to return to the 2008 sales levels. To this extent, the prospect of growth remains highly dependent on an improving housing market, economic circumstances, consumer confidence and private propensity to invest in ordinary and extraordinary repair of the existing residential stock. The market growth should mainly come from the huge existing building stock that requires structural refurbishment.

2.2.1 Historical Trends and Forecasts : Sanitary Ware

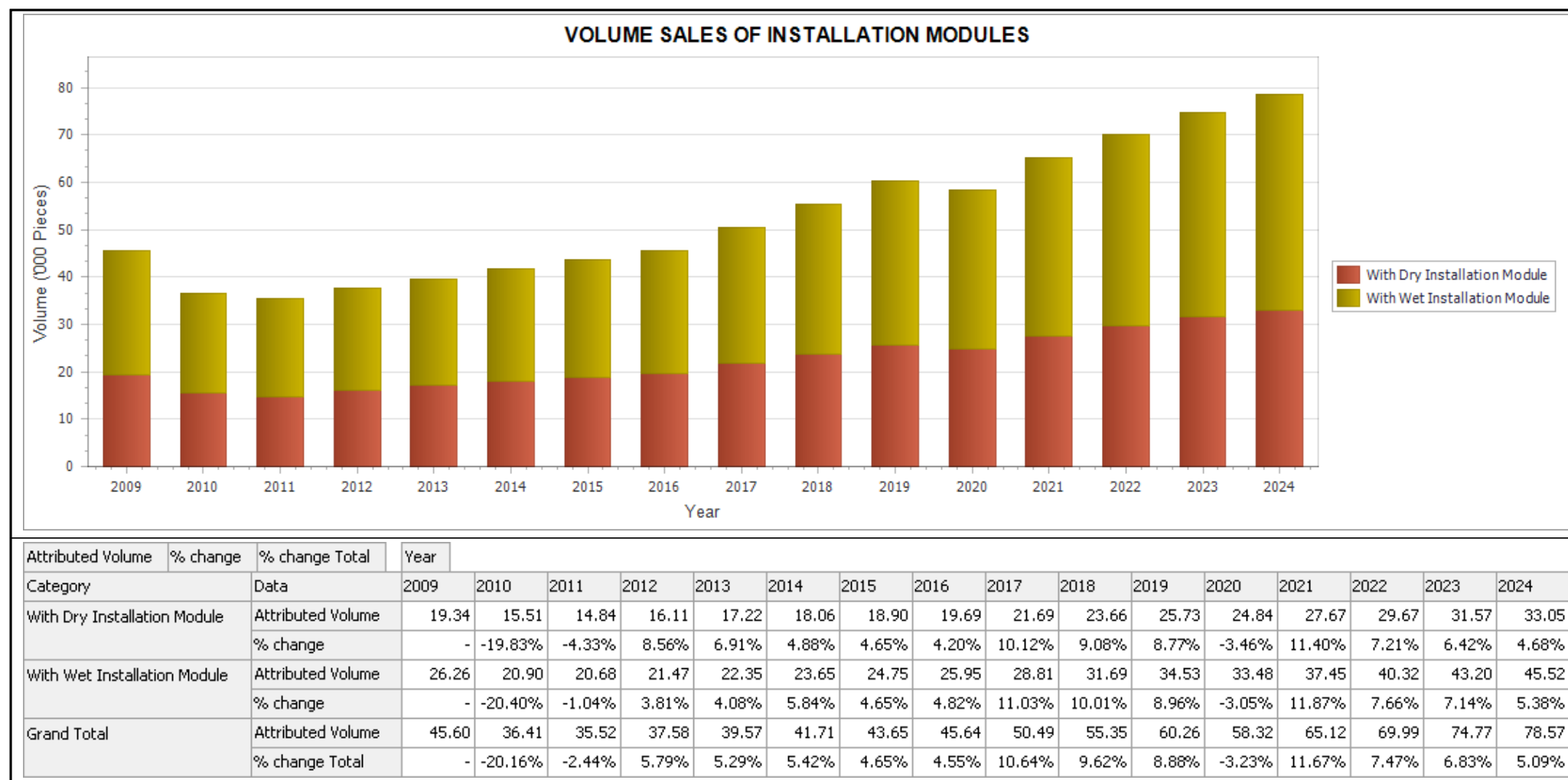
BG - SUMMARY OF TRENDS IN THE SANITARY WARE MARKET : HISTORICAL AND FORECASTS



Source: BRG based on industry interviews.

2.2.2 Historical Trend and Forecasts: Installation Mod.

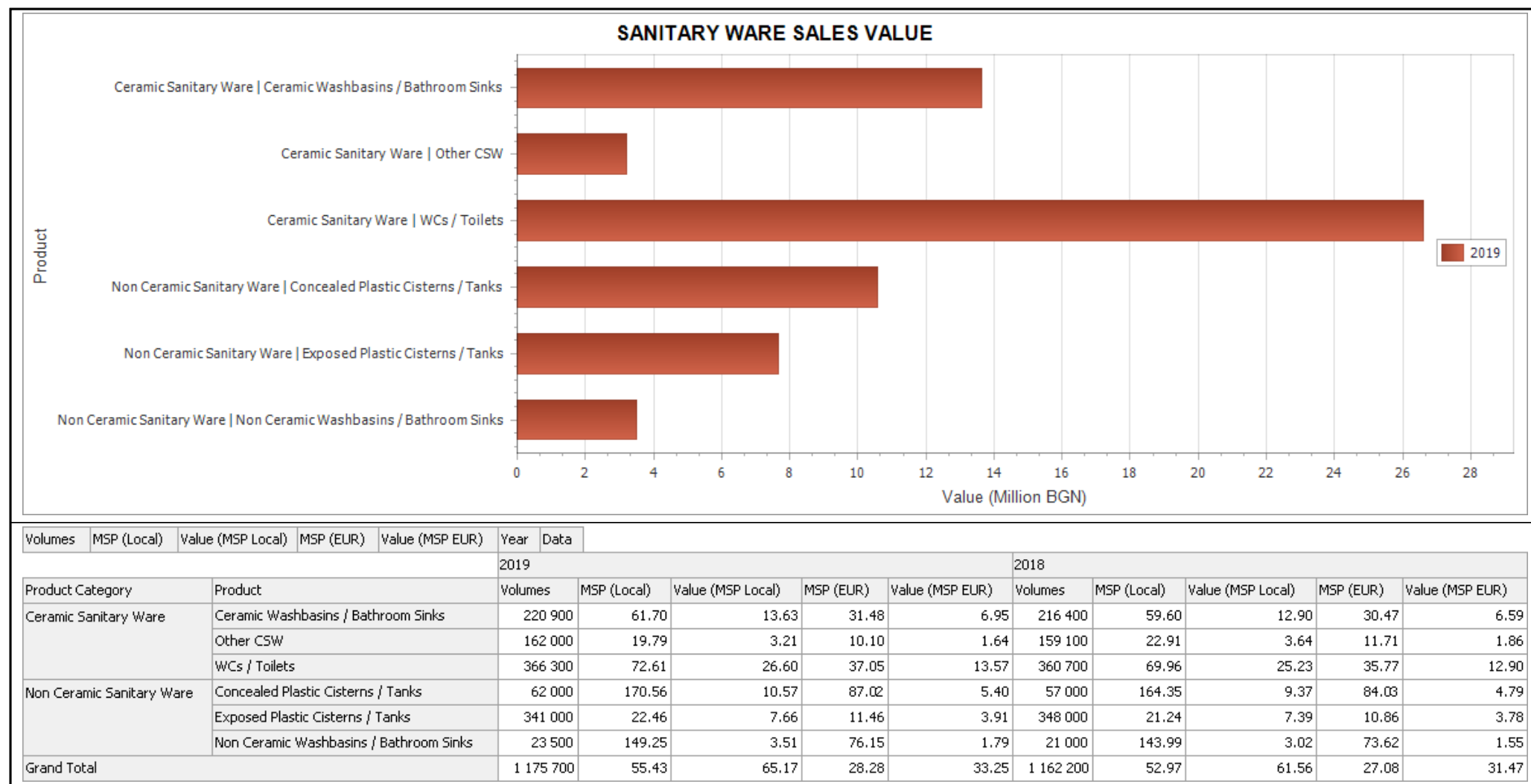
BG - SUMMARY OF TRENDS IN THE INSTALLATION MODULE MARKET : HISTORICAL AND FORECASTS ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

2.3.1 Prices and Market Values : Sanitary Ware

BG - ESTIMATED VALUES OF THE SANITARY WARE MARKET



Source: BRG based on industry interviews. Local Prices Shown in BGN. Values Shown in Millions (at MSP = Manufacturers' Selling Price).

2.3.2 Prices and Market Values by Type : CSW

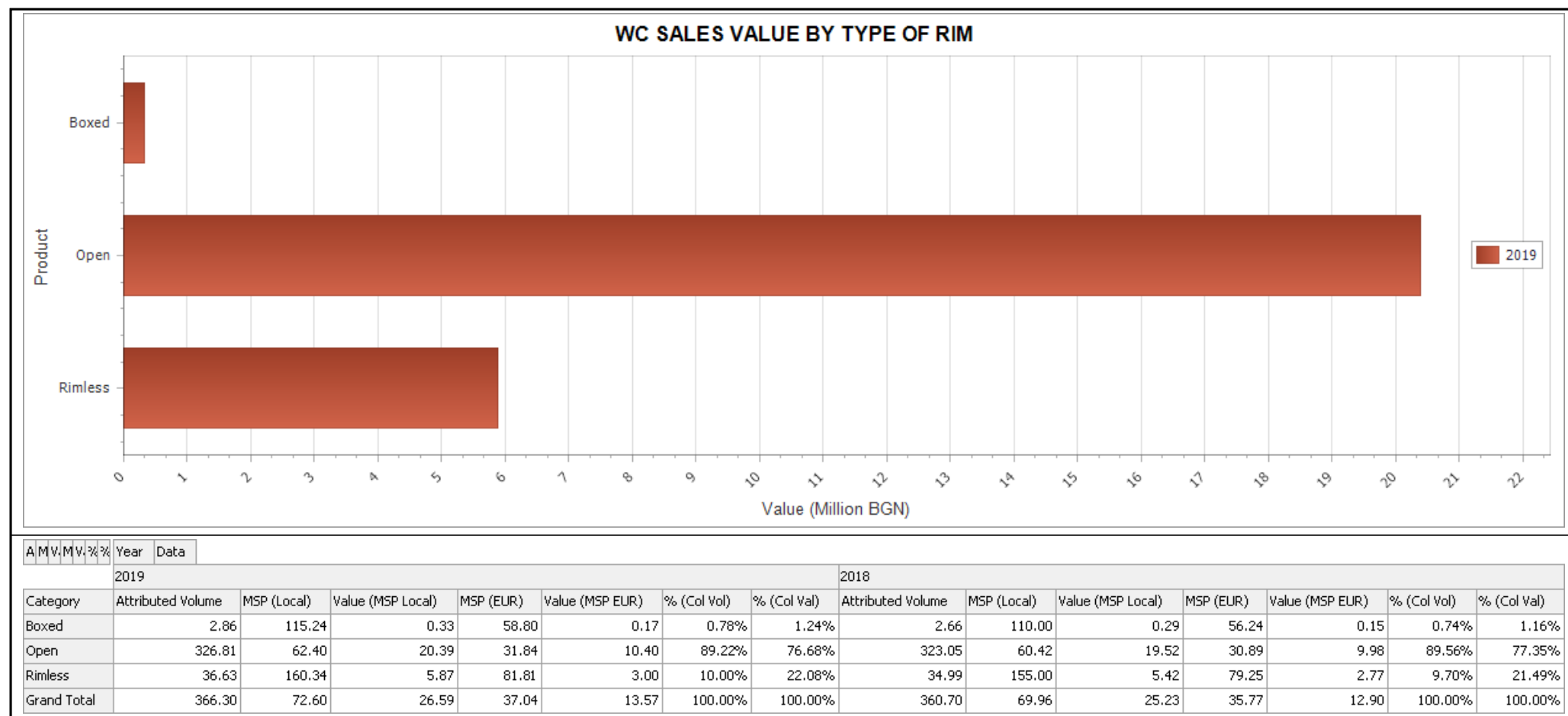
BG - ESTIMATED VALUES OF THE CERAMIC SANITARY WARE MARKET BY TYPE OF PRODUCT

Attributed	% (Col Vol)	MSP (Local)	Value (MSP)	MSP (EUR)	Value (MSP)	% (Col Vol)	Year	Data								
2019									2018							
Alt Product	Category	Attributed Volume	% (Col Vol)	MSP (Local)	Value (MSP Local)	MSP (EUR)	Value (MSP EUR)	% (Col Vol)	Attributed Volume	% (Col Vol)	MSP (Local)	Value (MSP Local)	MSP (EUR)	Value (MSP EUR)	% (Col Vol)	
Ceramic Washbasins / Bathroom Sinks	Countertop Washbasins	81.29	36.80%	113.24	9.21	57.78	4.70	49.80%	78.77	36.40%	110.00	8.66	56.24	4.43	49.48%	
	Hand Washbasins	24.52	11.10%	31.07	0.76	15.85	0.39	4.12%	24.67	11.40%	30.00	0.74	15.34	0.38	4.23%	
	Inset Washbasins	4.42	2.00%	100.21	0.44	51.13	0.23	2.40%	4.11	1.90%	97.00	0.40	49.60	0.20	2.28%	
	Pedestal Washbasins	17.45	7.90%	45.09	0.79	23.01	0.40	4.26%	17.31	8.00%	44.00	0.76	22.50	0.39	4.35%	
	Semi-Recessed Washbasins	1.11	0.50%	95.20	0.11	48.57	0.05	0.57%	0.97	0.45%	92.50	0.09	47.30	0.05	0.51%	
	Undermount Washbasins	2.21	1.00%	110.23	0.24	56.24	0.12	1.32%	2.06	0.95%	106.00	0.22	54.20	0.11	1.24%	
	Wall Hung Washbasins	89.91	40.70%	77.17	6.94	39.37	3.54	37.54%	88.51	40.90%	75.00	6.64	38.35	3.39	37.91%	
Other CSW	Bidets	5.18	3.20%	59.12	0.31	30.17	0.16	7.73%	5.25	3.30%	57.00	0.30	29.15	0.15	7.95%	
	Close-Coupled Cisterns	129.38	79.86%	18.64	2.41	9.51	1.23	60.85%	126.75	79.66%	18.00	2.28	9.21	1.17	60.60%	
	Others	1.46	0.90%	22.45	0.03	11.46	0.02	0.83%	1.43	0.90%	21.50	0.03	10.99	0.02	0.82%	
	Pedestals & Half Pedestals	18.63	11.50%	46.60	0.87	23.78	0.44	21.91%	18.46	11.60%	45.00	0.83	23.01	0.42	22.05%	
	Service Sinks	0.00	0.00%	0.00	0.00	1.00	0.00	0.00%	0.00	0.00%	0.00	0.00	1.00	0.00	0.00%	
	Shower Trays	0.71	0.44%	151.73	0.11	77.41	0.06	2.72%	0.69	0.43%	146.76	0.10	75.04	0.05	2.69%	
	Urinals	6.64	4.10%	35.57	0.24	18.15	0.12	5.96%	6.52	4.10%	34.00	0.22	17.39	0.11	5.89%	
	Washing Tanks	0.00	0.00%	0.00	0.00	1.00	0.00	0.00%	0.00	0.00%	0.00	0.00	1.00	0.00	0.00%	
WCs / Toilets	Close-Coupled WC Bowls	116.12	31.70%	85.18	9.89	43.46	5.05	24.97%	112.90	31.30%	83.00	9.37	42.44	4.79	25.00%	
	Floor Standing WC Bowls	203.85	55.65%	105.22	21.45	53.69	10.94	54.16%	203.80	56.50%	101.00	20.58	51.64	10.52	54.92%	
	Wall Hung WC Bowls	46.34	12.65%	178.37	8.27	91.01	4.22	20.87%	44.01	12.20%	171.00	7.53	87.43	3.85	20.08%	
Grand Total		749.21	100.00%	82.82	62.05	42.26	31.66	100.00%	736.21	100.00%	79.81	58.76	40.80	30.04	100.00%	

Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Local Prices Shown in BGN. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price).

2.3.3 Prices and Market Values by Type of Rim : WCs

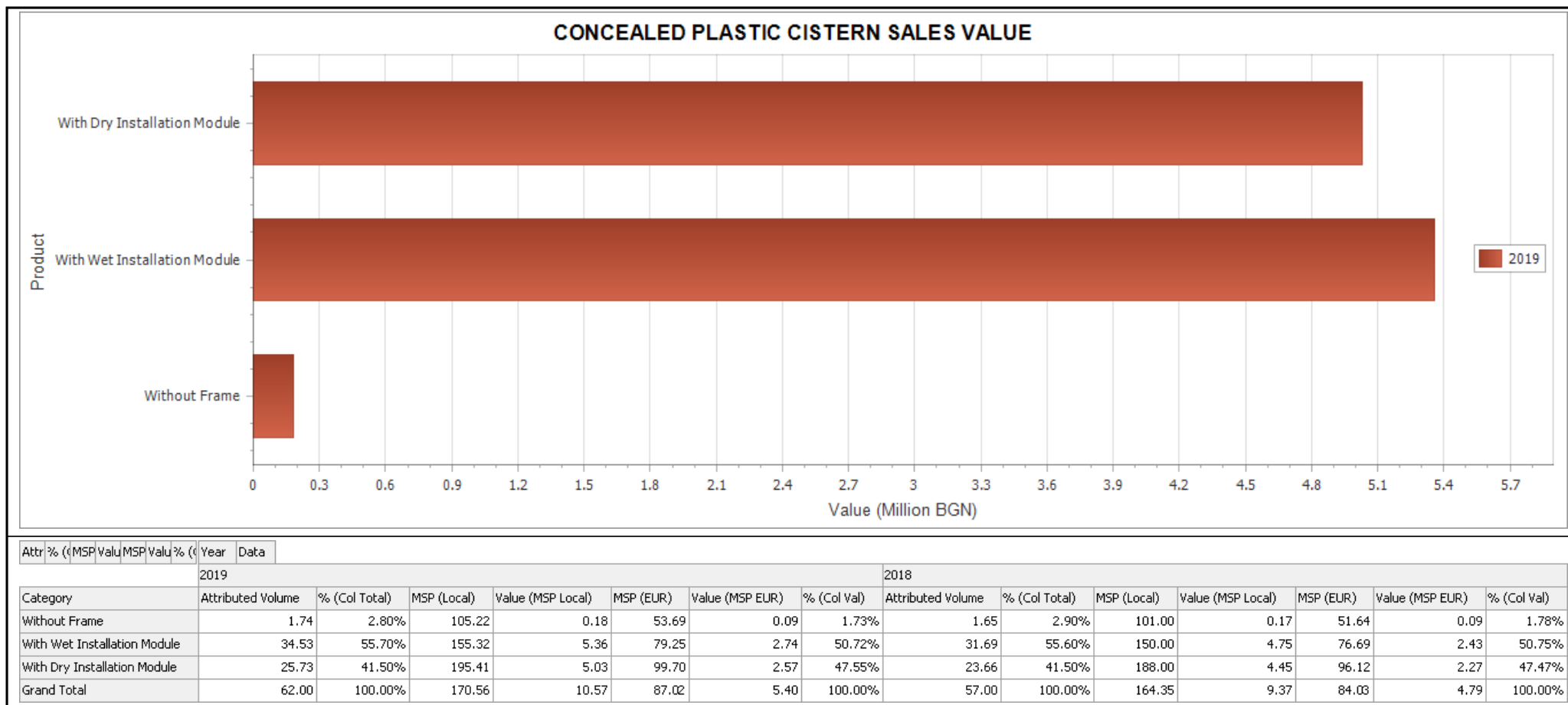
BG - ESTIMATED VALUES OF THE WC MARKET BY TYPE OF RIM



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Local Prices Shown in BGN. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price).

2.3.4 Prices and Market Values by Type : Conc. Cisterns

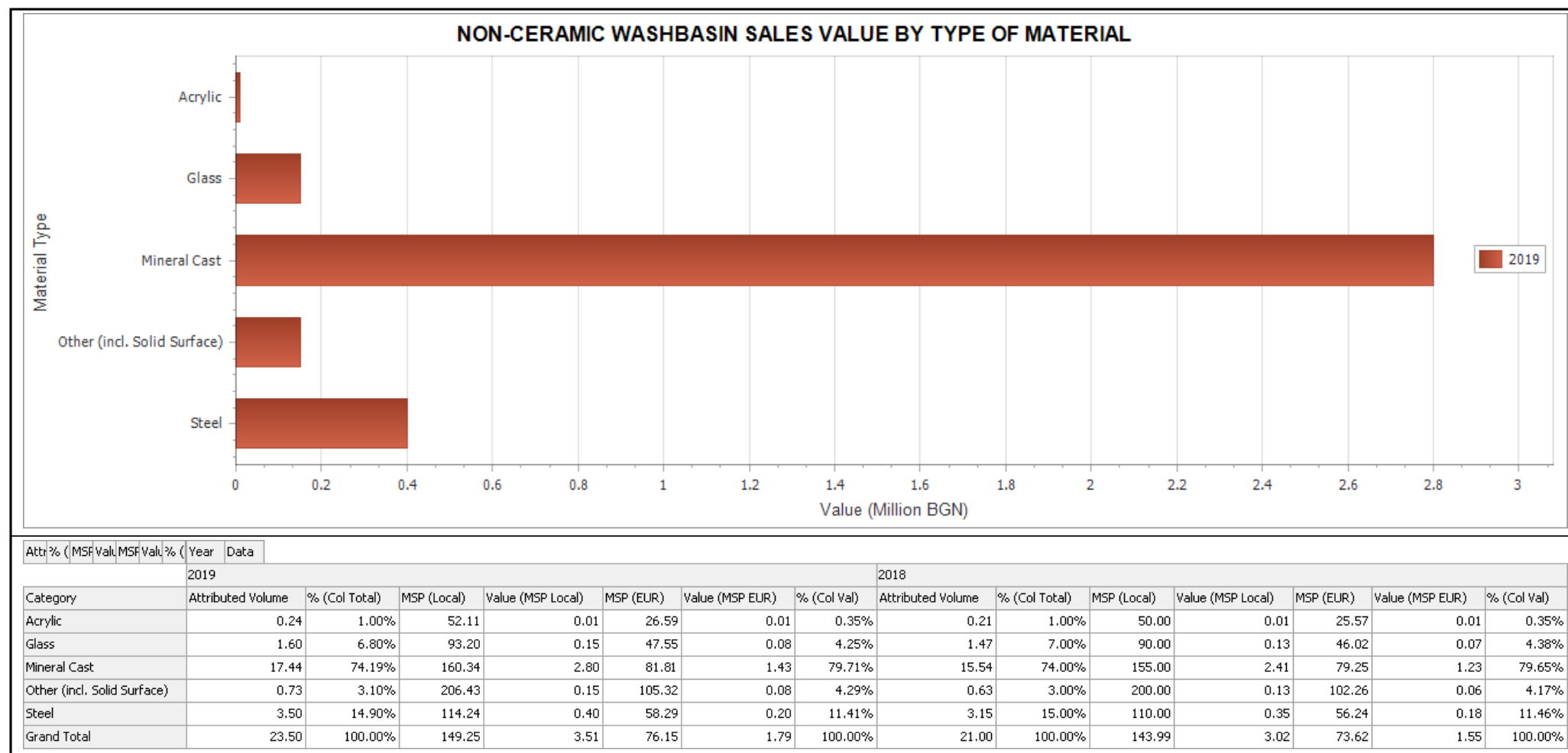
BG - ESTIMATED VALUE OF THE CONCEALED PLASTIC CISTERNS MARKET BY TYPE OF INSTALLATION



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Local Prices Shown in BGN. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price).

2.3.5 Prices and Market Values : Non-Ceramic Washbasins

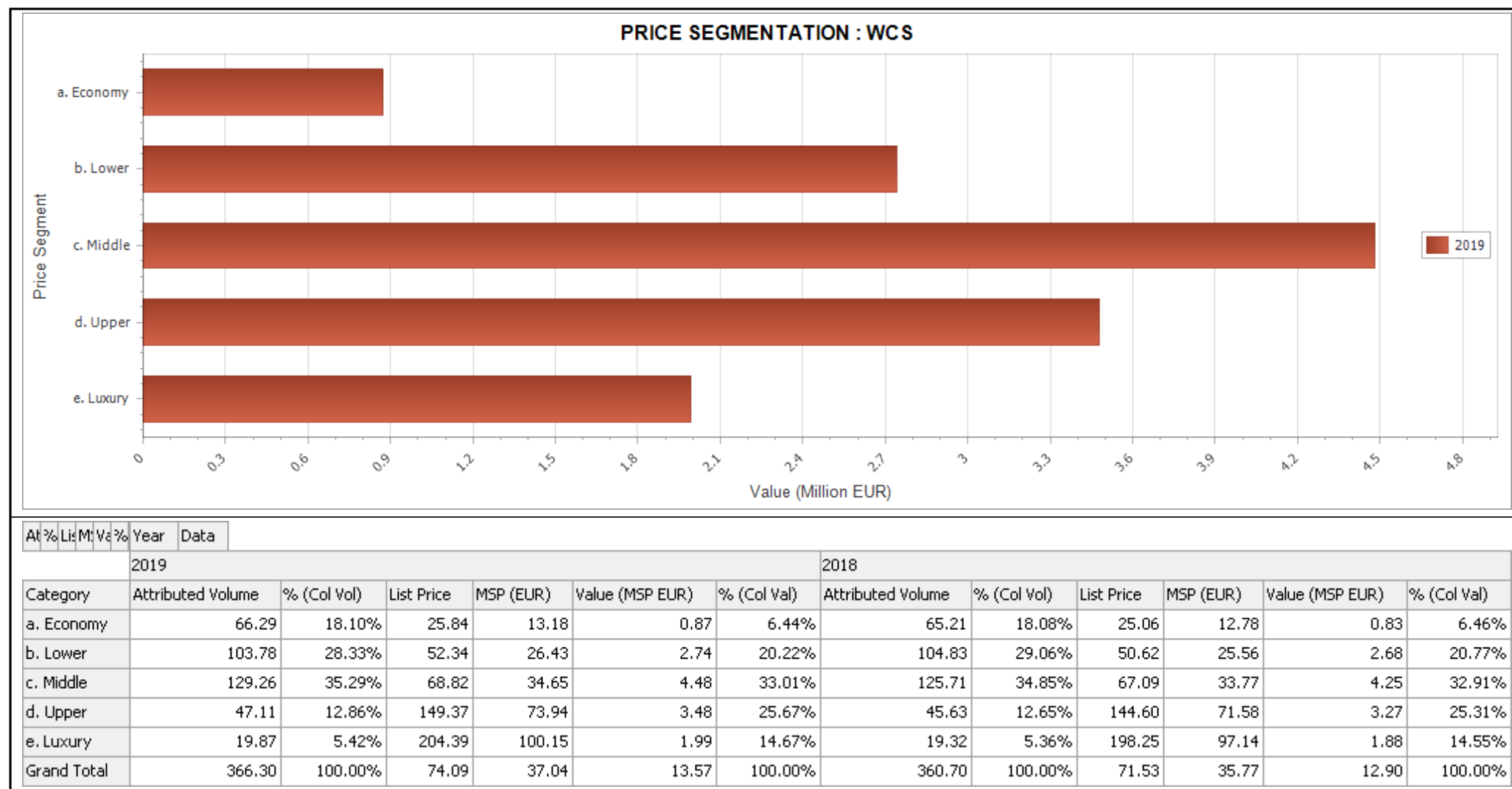
BG - ESTIMATED VALUE OF THE NON-CERAMIC WASHBASIN MARKET BY MATERIAL TYPE



Source: BRG based on industry interviews. Local Prices Shown in BGN. Values Shown in Millions (at MSP = Manufacturers' Selling Price).

2.3.6 Price Segmentation : WCs

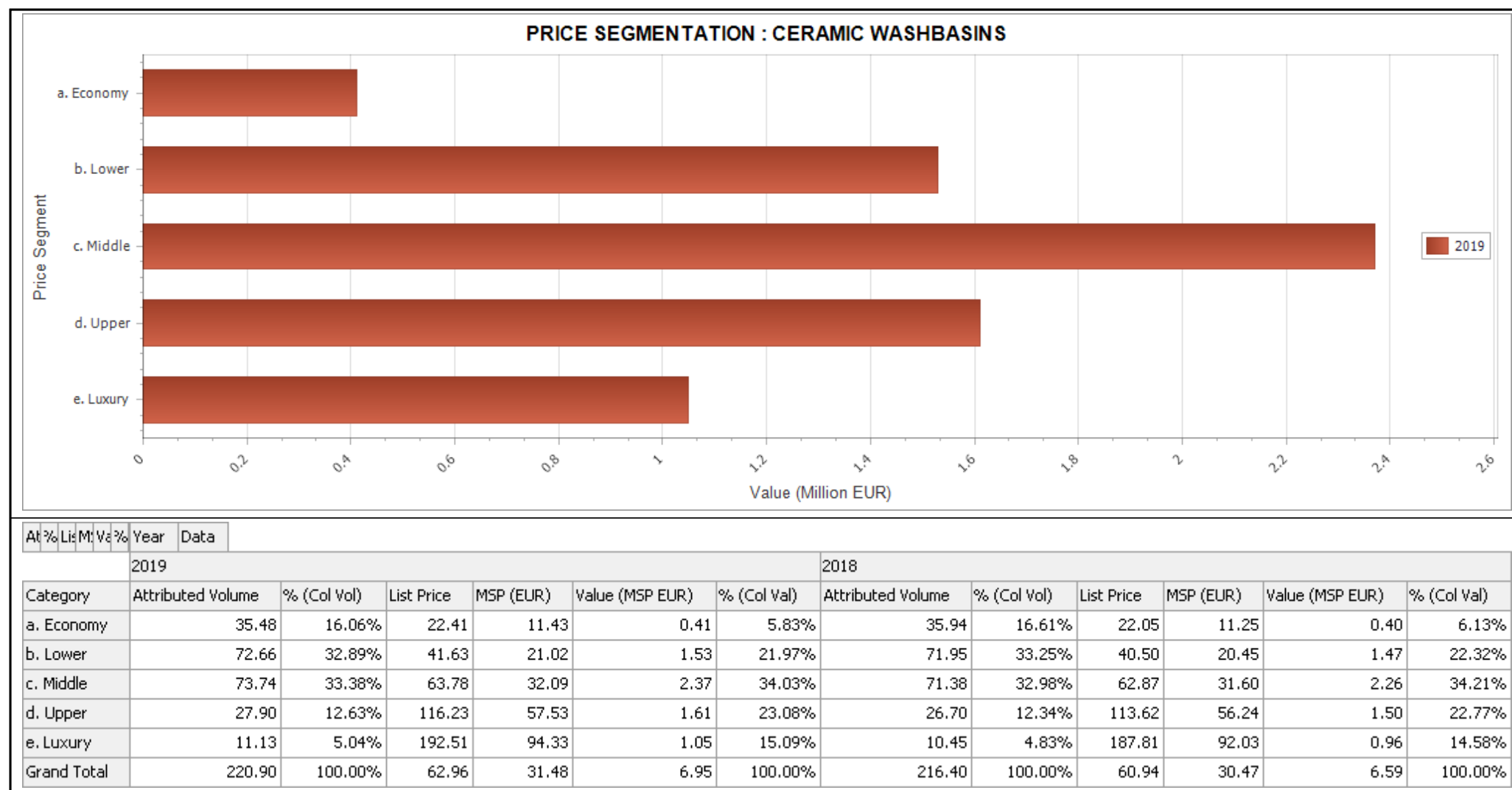
BG - ESTIMATED PRICE SEGMENTATION FOR WC



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Includes all WC Types. Volumes Shown in Thousands and Values Shown in Millions. Economy <€15, Lower €15-€30, Middle €30-€60, Upper >€60-€90, Luxury >€90

2.3.7 Price Segmentation : Ceramic Washbasins

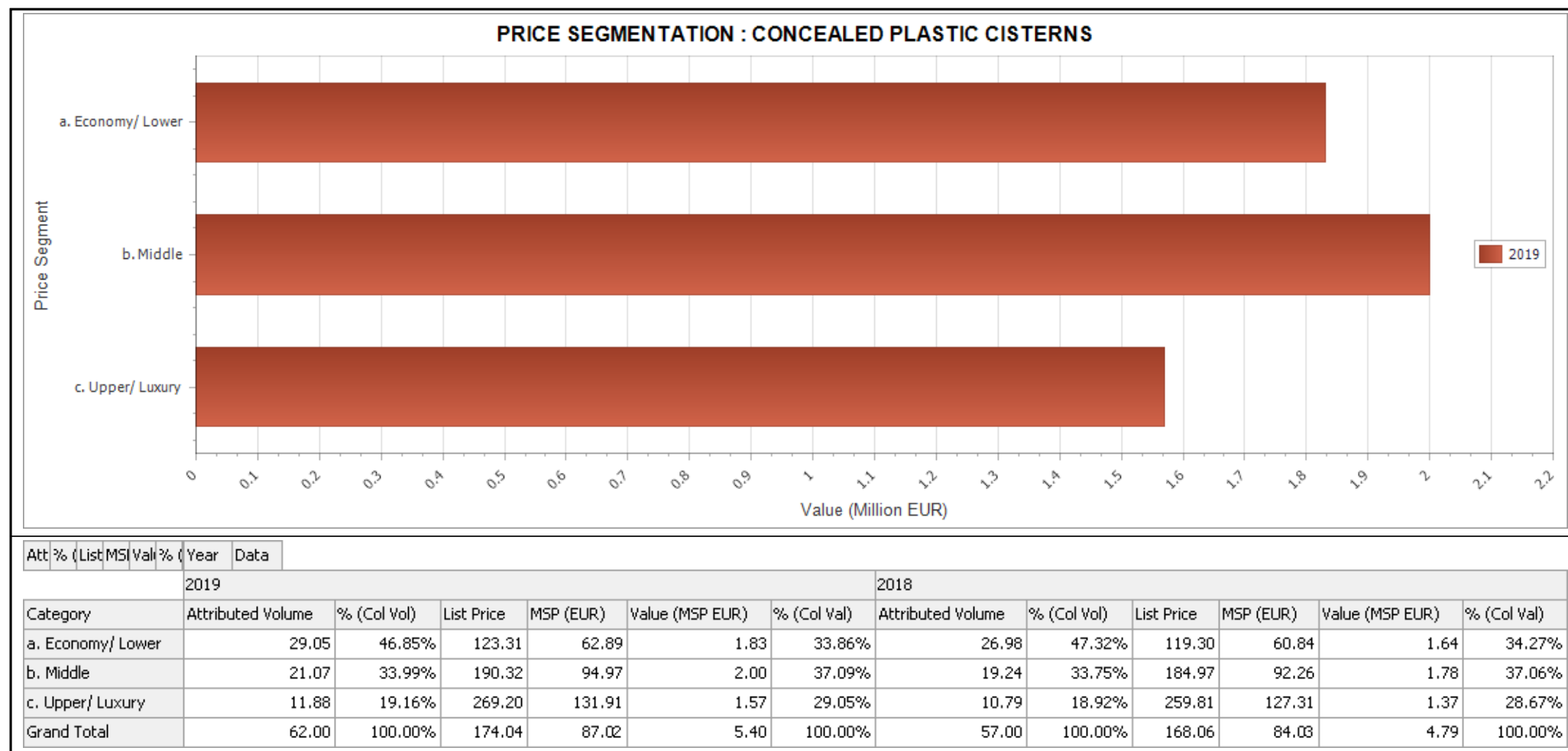
BG - ESTIMATED PRICE SEGMENTATION FOR CERAMIC WASHBASINS



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Includes all Washbasin Types. Volumes Shown in Thousands and Values Shown in Millions. Economy <€15, Lower €15-€25, Middle €25-€40, Upper >€40-€80, Luxury >€80

2.3.8 Price Segmentation : Concealed Plastic Cisterns

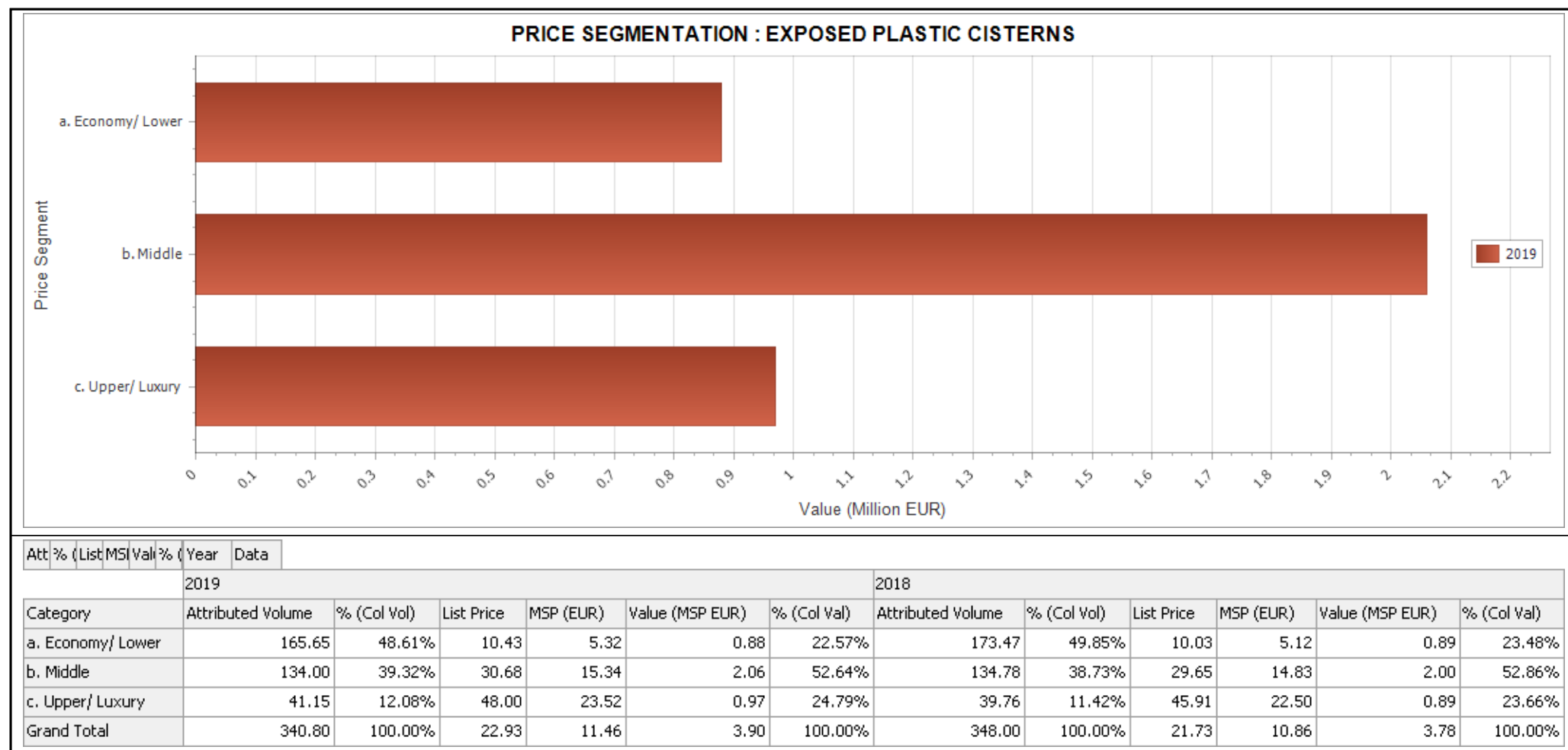
BG - ESTIMATED PRICE SEGMENTATION FOR CONCEALED PLASTIC CISTERNS



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions. Economy/ Lower <€70, Middle €70-€110, Upper/ Luxury >€110

2.3.9 Price Segmentation : Exposed Plastic Cisterns

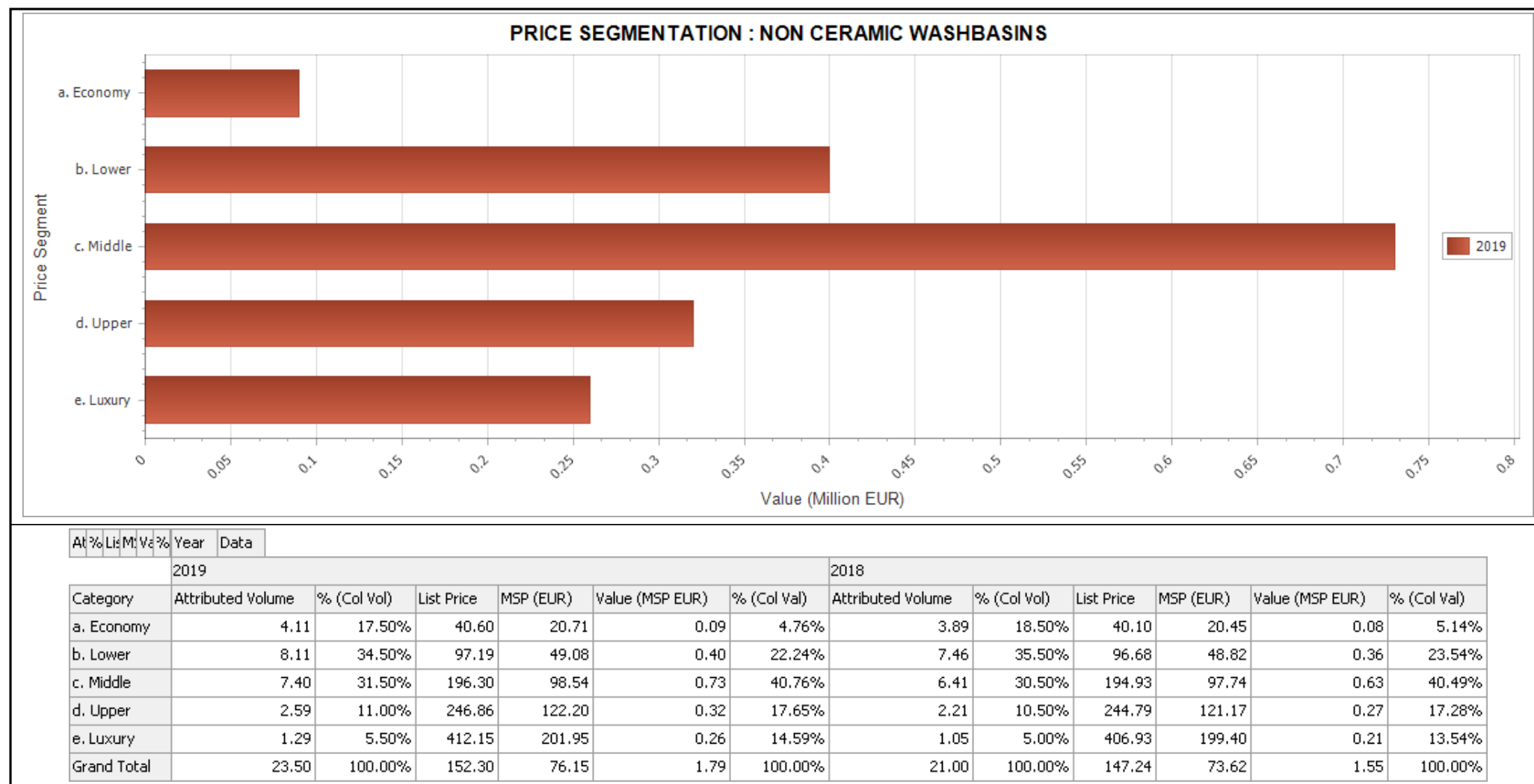
BG - ESTIMATED PRICE SEGMENTATION FOR EXPOSED PLASTIC CISTERNS



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions. Economy/ Lower <€10, Middle €10-€20, Upper/ Luxury >€20

2.3.10 Price Segmentation : Non Ceramic Washbasins

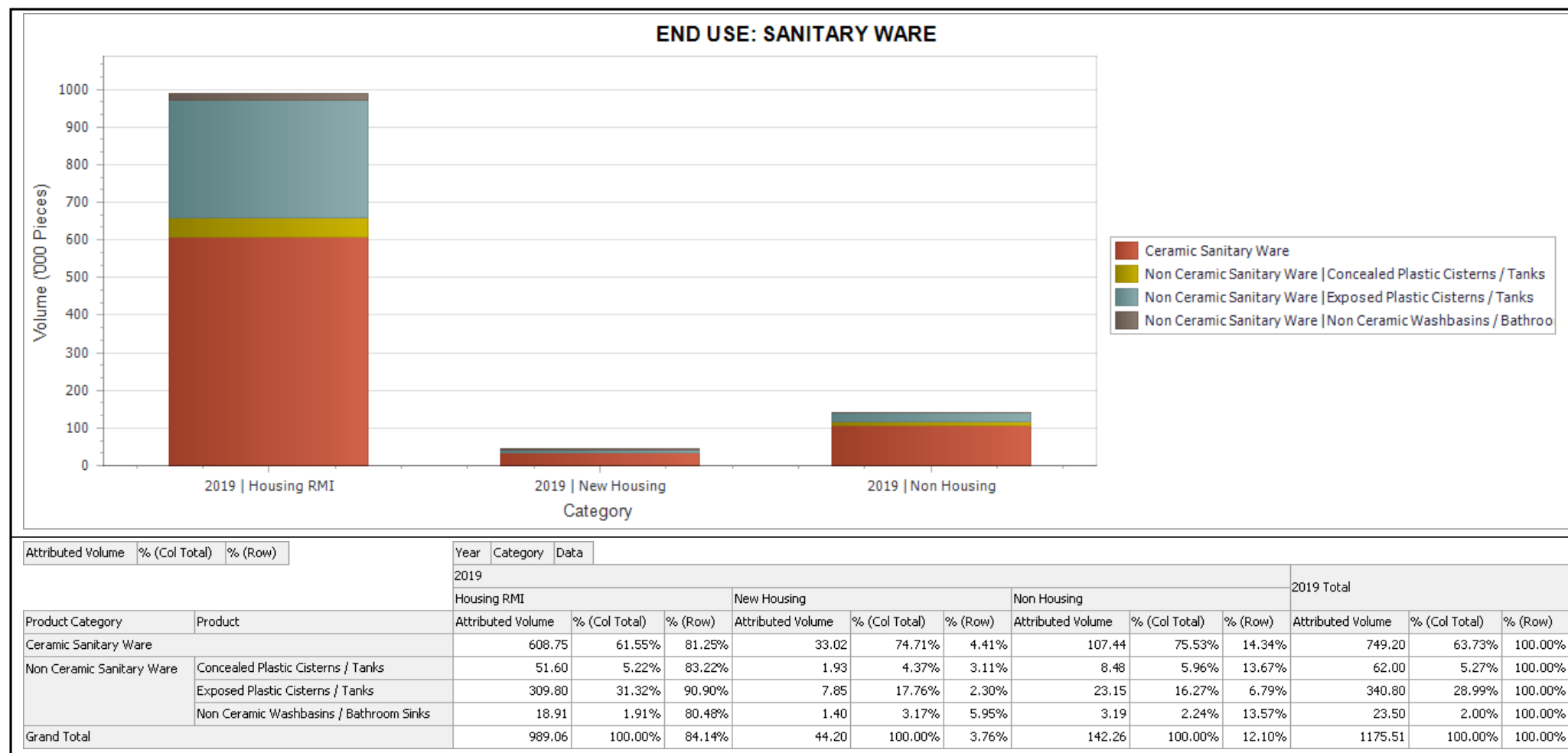
BG - ESTIMATED PRICE SEGMENTATION FOR NON CERAMIC WASHBASINS



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Includes all Washbasin Types. Volumes Shown in Thousands and Values Shown in Millions. Economy <€40, Lower €40-€80, Middle €80-€150, Upper >€150-€180, Luxury >€180

2.4.1 End Use : Base Year

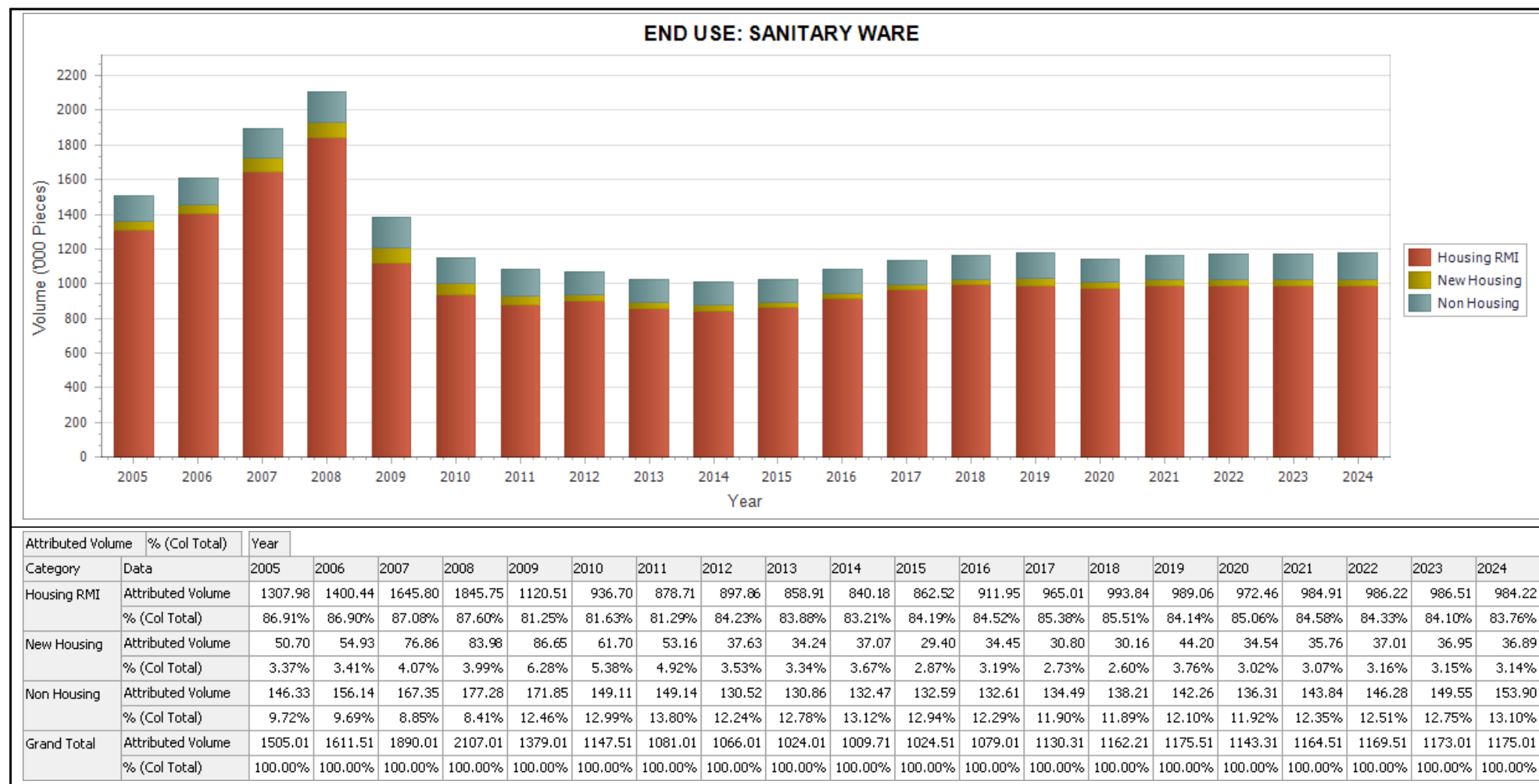
BG - SALES OF SANITARY WARE BY TYPE AND END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

2.4.2 End Use : Historical and Forecasts

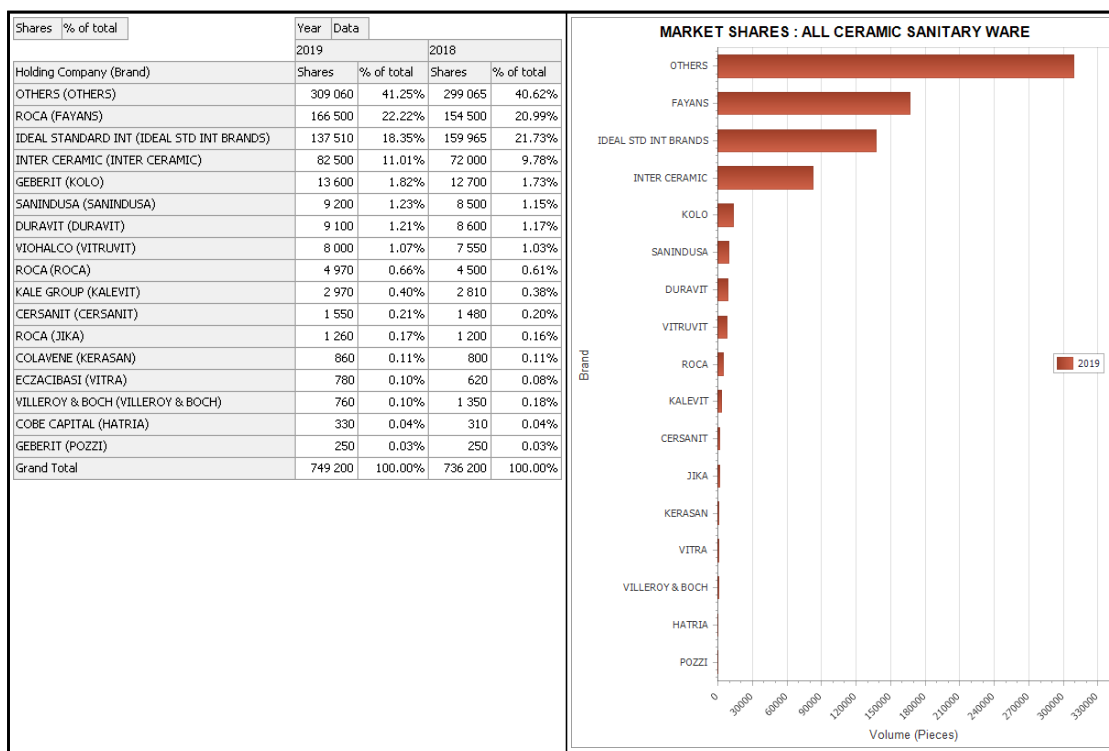
BG - SALES OF SANITARY WARE BY END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

2.5.1 Market Shares : All Ceramic Sanitary Ware

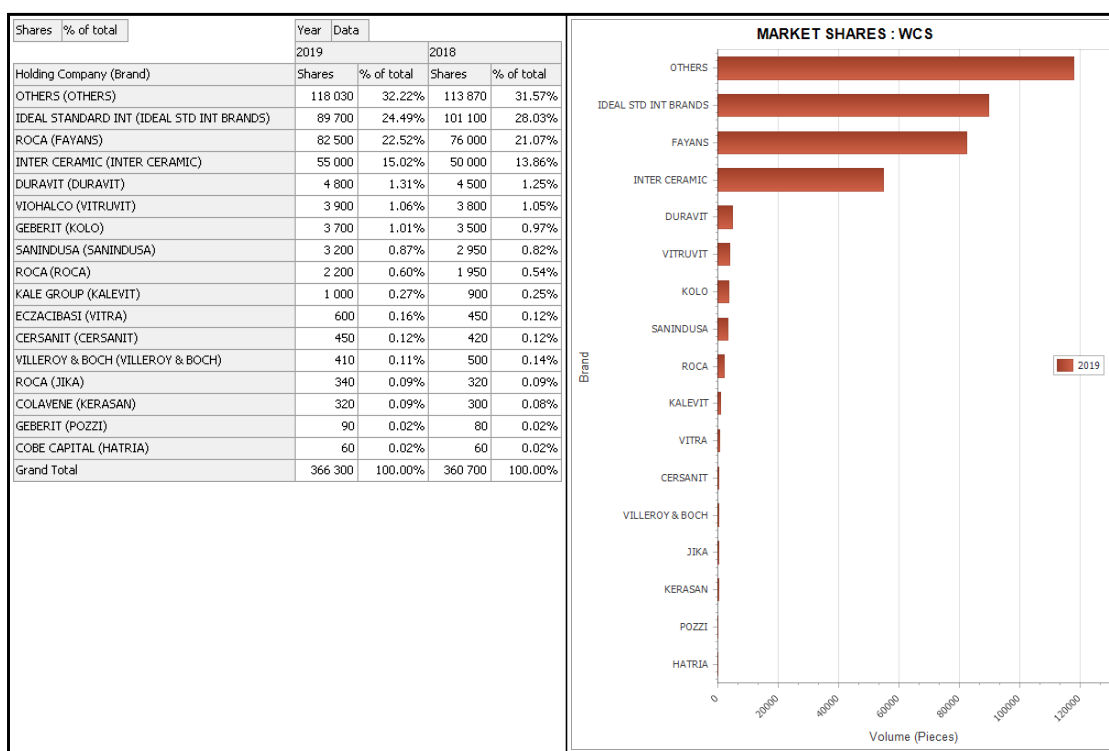
BG - ESTIMATED MARKET SHARES FOR ALL CERAMIC SANITARY WARE



Source: BRG based on industry interviews

2.5.2 Market Shares : WCs

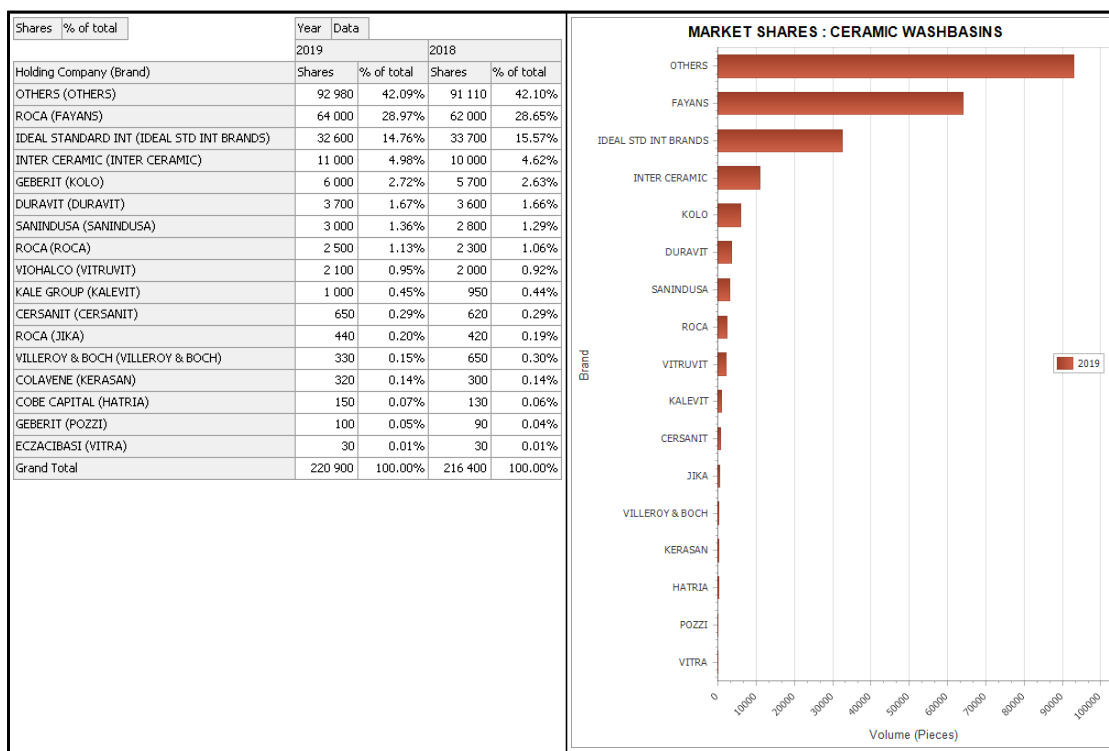
BG - ESTIMATED MARKET SHARES FOR WCS



Source: BRG based on industry interviews

2.5.3 Market Shares : Ceramic Washbasins

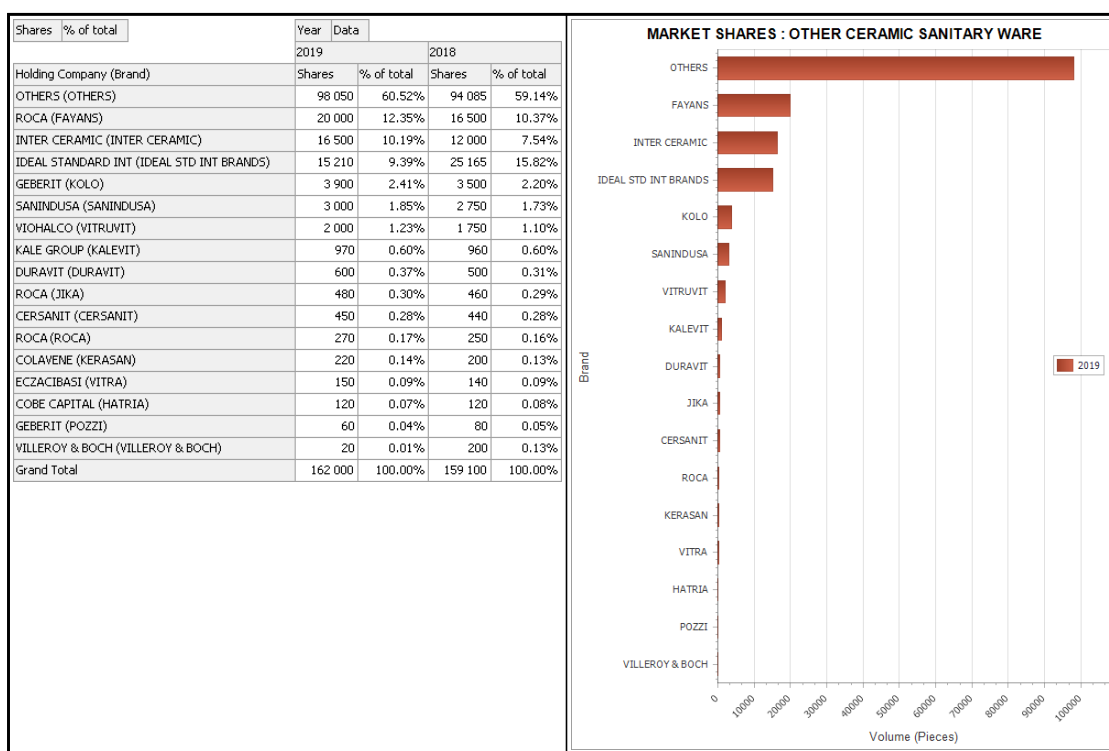
BG - ESTIMATED MARKET SHARES FOR CERAMIC WASHBASINS



Source: BRG based on industry interviews

2.5.4 Market Shares : Other Ceramic Sanitary Ware

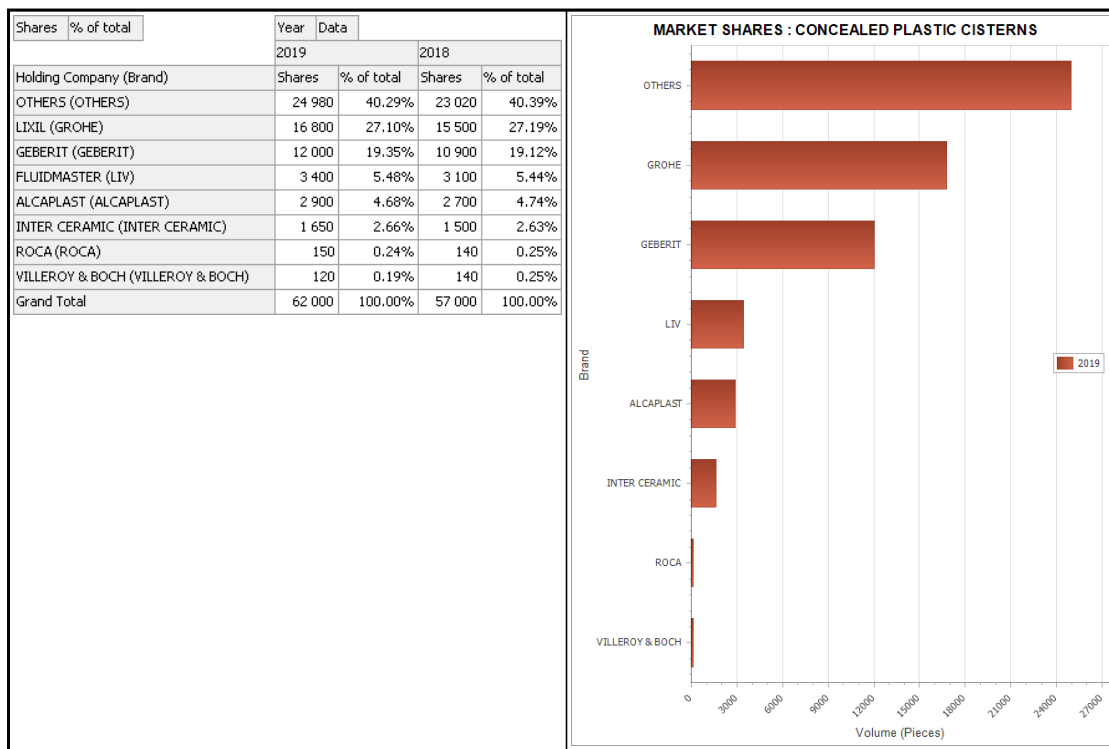
BG - ESTIMATED MARKET SHARES FOR OTHER CERAMIC SANITARY WARE



Source: BRG based on industry interviews

2.5.5 Market Shares : Concealed Plastic Cisterns

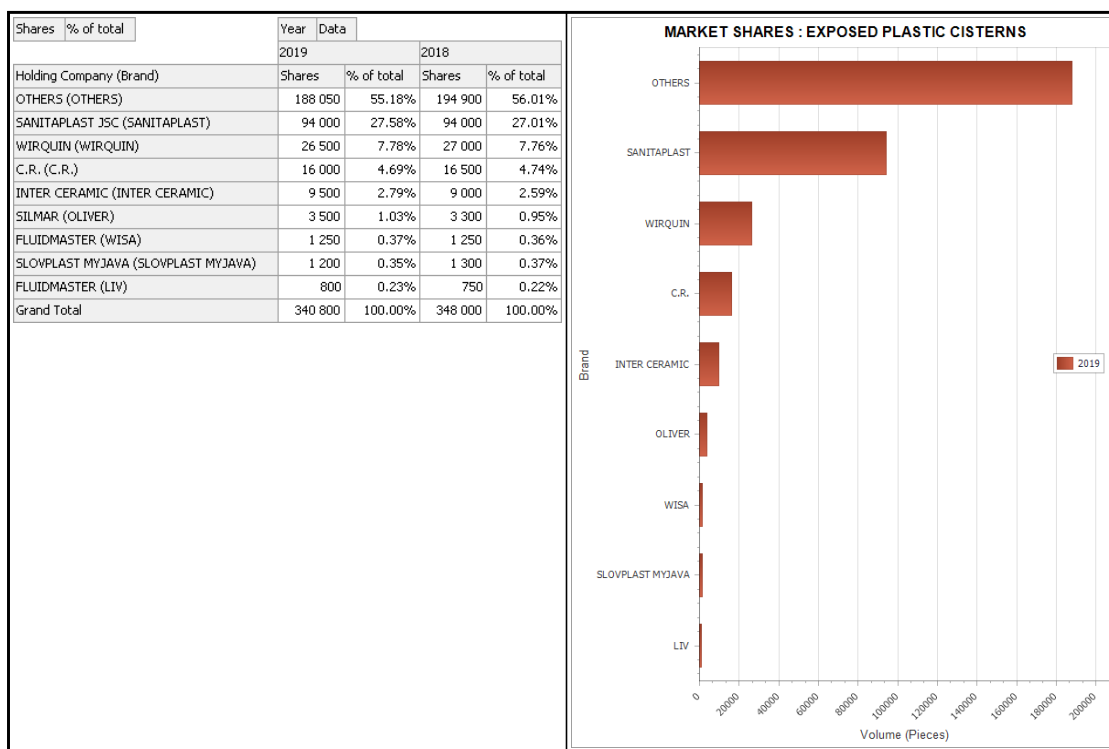
BG - ESTIMATED MARKET SHARES FOR CONCEALED PLASTIC CISTERNS



Source: BRG based on industry interviews

2.5.6 Market Shares : Exposed Plastic Cisterns

BG - ESTIMATED MARKET SHARES FOR EXPOSED PLASTIC CISTERNS



Source: BRG based on industry interviews.

2.6.1 BG - IMPORTS OF ALL CERAMIC SANITARY WARE 2019

Source Country	2019				2018			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
Turkey	2 687	23.9%	4 639	19.8%	2 868	22.6%	4 984	20.6%
China	2 016	17.9%	1 982	8.5%	1 838	14.5%	1 835	7.6%
Italy	1 485	13.2%	4 986	21.3%	1 803	14.2%	5 567	23.1%
Romania	1 162	10.3%	1 469	6.3%	976	7.7%	1 184	4.9%
India	812	7.2%	444	1.9%	1 363	10.8%	723	3.0%
United Kingdom	739	6.6%	1 781	7.6%	1 345	10.6%	2 579	10.7%
Czech Republic	679	6.0%	2 612	11.1%	851	6.7%	2 670	11.1%
Germany	574	5.1%	2 517	10.7%	457	3.6%	1 930	8.0%
Poland	260	2.3%	531	2.3%	371	2.9%	686	2.8%
Portugal	176	1.6%	271	1.2%	29	0.2%	38	0.2%
Spain	150	1.3%	542	2.3%	184	1.5%	539	2.2%
OTHERS	498	4.4%	1 675	7.1%	585	4.6%	1 409	5.8%
Total	11 238	100.0%	23 449	100.0%	12 670	100.0%	24 144	100.0%

Source : Trademap

2.6.2 BG - EXPORTS OF ALL CERAMIC SANITARY WARE 2019

Destination	2019				2018			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
France	8 527	17.0%	14 055	16.6%	8 677	16.5%	13 957	16.3%
Italy	7 785	15.5%	12 329	14.6%	8 736	16.6%	13 310	15.6%
United Kingdom	7 077	14.1%	9 946	11.8%	6 682	12.7%	9 749	11.4%
Germany	5 604	11.2%	8 543	10.1%	7 279	13.9%	11 474	13.4%
Romania	3 574	7.1%	6 743	8.0%	3 004	5.7%	5 911	6.9%
Greece	3 241	6.5%	6 622	7.8%	3 422	6.5%	6 923	8.1%
Poland	2 135	4.3%	3 736	4.4%	868	1.7%	1 546	1.8%
Croatia	1 885	3.8%	2 632	3.1%	1 851	3.5%	2 326	2.7%
Serbia	1 317	2.6%	1 823	2.2%	1 914	3.6%	2 348	2.7%
Russian Federation	1 155	2.3%	2 292	2.7%	1 257	2.4%	2 069	2.4%
Spain	665	1.3%	973	1.1%	829	1.6%	955	1.1%
OTHERS	7 204	14.4%	14 927	17.6%	7 955	15.2%	14 925	17.5%
Total	50 169	100.0%	84 621	100.0%	52 476	100.0%	85 493	100.0%

Source : Trademap

2.6.3 BG - IMPORTS OF PLASTIC CISTERNS 2019

Source Country	2019				2018			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
Germany	413	35.1%	2 751	38.6%	325	30.9%	2 213	33.9%
Turkey	247	20.9%	940	13.2%	212	20.1%	803	12.3%
China	184	15.6%	476	6.7%	153	14.6%	479	7.3%
Italy	61	5.2%	385	5.4%	51	4.8%	321	4.9%
Austria	45	3.8%	995	14.0%	47	4.5%	1 034	15.8%
France	45	3.8%	227	3.2%	52	4.9%	260	4.0%
Slovenia	38	3.2%	123	1.7%	45	4.3%	155	2.4%
Spain	32	2.7%	310	4.3%	18	1.7%	206	3.2%
Belgium	23	2.0%	130	1.8%	14	1.3%	96	1.5%
Poland	21	1.8%	96	1.3%	22	2.1%	116	1.8%
Portugal	14	1.2%	248	3.5%	0	0.0%	0	0.0%
OTHERS	54	4.6%	448	6.3%	113	10.7%	848	13.0%
Total	1 177	100.0%	7 129	100.0%	1 053	100.0%	6 531	100.0%

Source : Trademap

2.6.4 BG - EXPORTS OF PLASTIC CISTERNS 2019

Destination	2019				2018			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
Romania	190	25.6%	806	18.0%	183	34.6%	772	25.8%
Poland	102	13.7%	473	10.6%	49	9.3%	190	6.4%
Spain	63	8.4%	325	7.3%	1	0.2%	8	0.3%
Italy	41	5.5%	188	4.2%	12	2.4%	33	1.1%
Greece	41	5.5%	299	6.7%	54	10.2%	250	8.4%
Algeria	40	5.4%	196	4.4%	23	4.2%	102	3.4%
Austria	40	5.3%	480	10.7%	41	7.6%	492	16.4%
United Kingdom	34	4.5%	222	5.0%	2	0.4%	4	0.1%
Germany	22	2.9%	392	8.8%	44	8.3%	466	15.6%
Belgium	18	2.4%	90	2.0%	0	0.0%	0	0.0%
France	17	2.3%	97	2.2%	30	5.7%	76	2.5%
OTHERS	137	18.4%	905	20.2%	90	17.0%	599	20.0%
Total	743	100.0%	4 473	100.0%	530	100.0%	2 992	100.0%

Source : Trademap

2.7.1

Route to Market: Ceramic Sanitary Ware
BG - ESTIMATED DISTRIBUTION FOR CERAMIC SANITARY WARE: 2019

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	78.0%
	Wholesalers / Merchants
	78.0%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	0.7%	1.5%	9.7%	12.0%	7.5%	8.0%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	2.2%		21.7%		15.5%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
1.7%	2.0%	0.5%	5.0%	3.5%
Installers				
12.7%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	0.5%	49.5%	1.2%	14.7%	10.0%	9.8%	1.9%	5.0%	0.5%	2.0%	2.0%	3.0%
	Residential						Non-Residential					
	85.7%						14.3%					
	New Build			Residential RMI			New Build			Non-Residential RMI		
	4.4%			81.3%			8.0%			6.3%		
	Project		Non-Project	Project		Non-Project	Project		Non-Project	Project		Non-Project
	0.4%		4.0%	7.0%		74.3%	0.5%		7.5%	0.6%		5.7%

2.7.2

Route to Market: Ceramic Sanitary Ware
BG - ESTIMATED DISTRIBUTION FOR CERAMIC SANITARY WARE: 2024

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	75.0%
	Wholesalers / Merchants
	75.0%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	1.0%	2.5%	12.0%	11.0%	7.0%	9.0%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	3.5%		23.0%		16.0%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
1.0%	2.0%	1.0%	5.5%	2.5%
Installers				
12.0%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	3.0%	44.5%	1.7%	14.5%	11.0%	9.8%	1.0%	6.0%	0.8%	3.0%	2.5%	2.2%
	Residential						Non-Residential					
	84.5%						15.5%					
	New Build			Residential RMI			New Build			Non-Residential RMI		
	3.5%			80.9%			8.0%			7.5%		
	Project		Non-Project	Project		Non-Project	Project		Non-Project	Project		Non-Project
	0.4%		3.1%	7.0%		73.9%	0.5%		7.5%	0.6%		6.9%

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

2.7.3 Route to Market - Consolidated View : Ceramic Sanitary Ware

BG - ESTIMATED DISTRIBUTION FOR CERAMIC SANITARY WARE : 2019

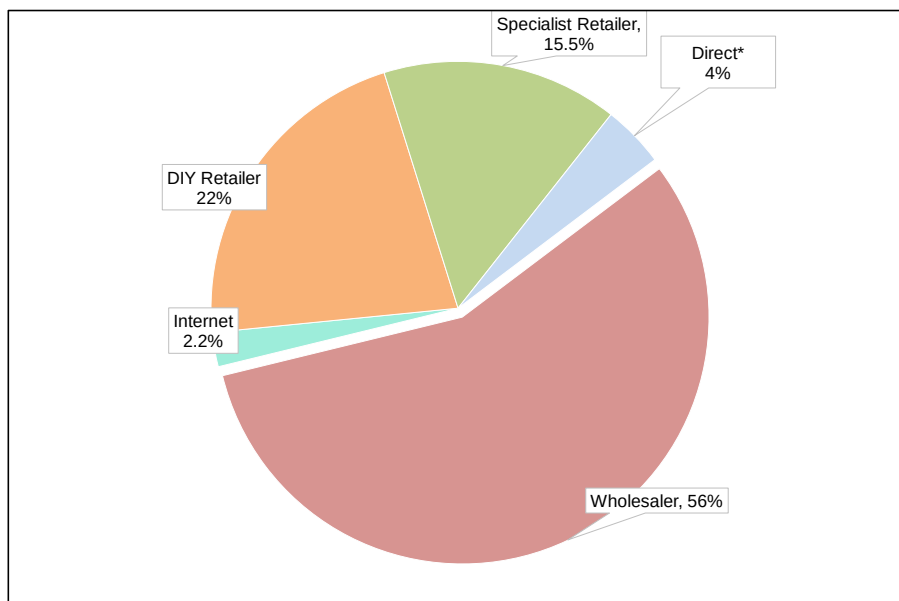
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
56.5%	2.2%	21.7%	15.5%	4.1%	7.4%	1.1%	78.3%	13.2%
100%					8.5%		91.5%	

2.7.4 Route to Market - Consolidated View : Ceramic Sanitary Ware

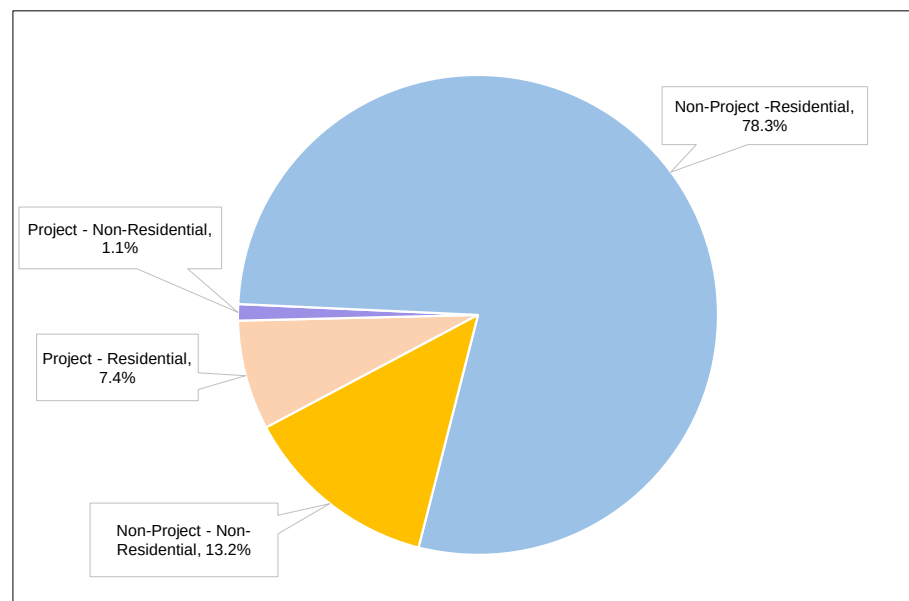
BG - ESTIMATED DISTRIBUTION FOR CERAMIC SANITARY WARE : 2024

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
52.5%	3.5%	23.0%	16.0%	5.0%	7.4%	1.1%	77.1%	14.4%
100%					8.5%		91.5%	

BG - SALES OF CERAMIC SANITARY WARE BY DISTRIBUTION CHANNEL: 2019



BG - SALES OF CERAMIC SANITARY WARE BY POINT OF DECISION AND END-USE SECTOR: 2019



Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

2.7.5 Route to Market: Plastic Cisterns
BG - ESTIMATED DISTRIBUTION FOR PLASTIC CISTERNS: 2019

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	81.5%
	Wholesalers / Merchants
	81.5%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	0.9%	1.5%	10.1%	12.0%	5.3%	9.0%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	2.4%		22.1%		14.3%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
1.0%	2.0%	0.5%	5.5%	2.1%
Installers				
11.1%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	0.4%	54.0%	1.5%	15.4%	11.0%	9.8%	0.8%	3.0%	0.4%	1.2%	1.2%	1.2%
	Residential						Non-Residential					
	92.1%						7.9%					
	New Build			Residential RMI			New Build			Non-Residential RMI		
	2.4%			89.7%			4.2%			3.7%		
	Project		Non-Project	Project		Non-Project	Project		Non-Project	Project		Non-Project
	0.3%		2.1%	8.0%		81.7%	0.3%		3.9%	0.4%		3.3%

2.7.6 Route to Market: Plastic Cisterns
BG - ESTIMATED DISTRIBUTION FOR PLASTIC CISTERNS: 2024

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	77.0%
	Wholesalers / Merchants
	77.0%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	1.0%	2.5%	12.5%	11.0%	5.0%	11.0%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	3.5%		23.5%		16.0%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
0.7%	2.0%	0.7%	6.0%	3.8%
Installers				
13.3%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	3.2%	47.5%	2.0%	16.1%	11.0%	12.2%	0.6%	3.0%	0.7%	1.4%	1.2%	1.1%
	Residential						Non-Residential					
	92.0%						8.0%					
	New Build			Residential RMI			New Build			Non-Residential RMI		
	2.2%			89.8%			4.5%			3.5%		
	Project		Non-Project	Project		Non-Project	Project		Non-Project	Project		Non-Project
	0.2%		2.0%	8.0%		81.8%	0.4%		4.1%	0.5%		3.0%

Source: BRG Based on Industry Interviews. N.B. Include both Exposed and Concealed Plastic Cisterns - Totals may vary due to roundings

2.7.7 Route to Market - Consolidated View : Plastic Cisterns

BG - ESTIMATED DISTRIBUTION FOR PLASTIC CISTERNS : 2019

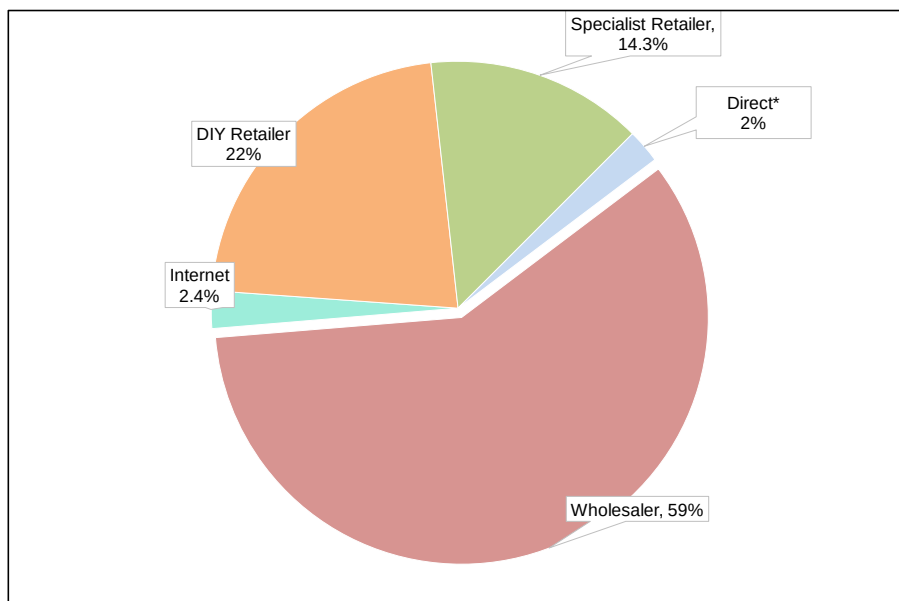
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
59.0%	2.4%	22.1%	14.3%	2.2%	8.3%	0.7%	83.8%	7.2%
100%					9.0%		91.0%	

2.7.8 Route to Market - Consolidated View : Plastic Cisterns

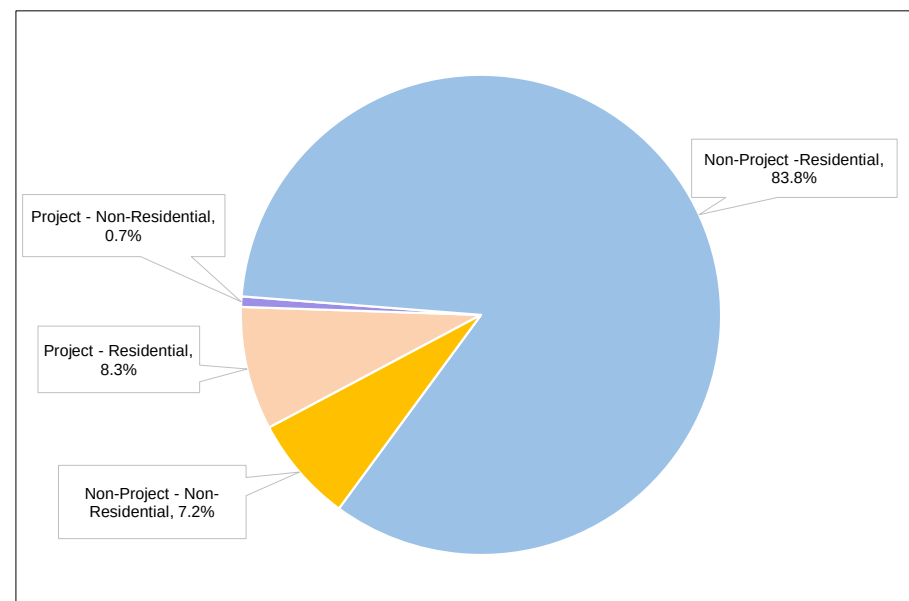
BG - ESTIMATED DISTRIBUTION FOR PLASTIC CISTERNS : 2024

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
52.5%	3.5%	23.5%	16.0%	4.5%	8.2%	0.9%	83.8%	7.1%
100%					9.1%		90.9%	

BG - SALES OF PLASTIC CISTERNS BY DISTRIBUTION CHANNEL: 2019



BG - SALES OF PLASTIC CISTERNS BY POINT OF DECISION AND END-USE SECTOR: 2019



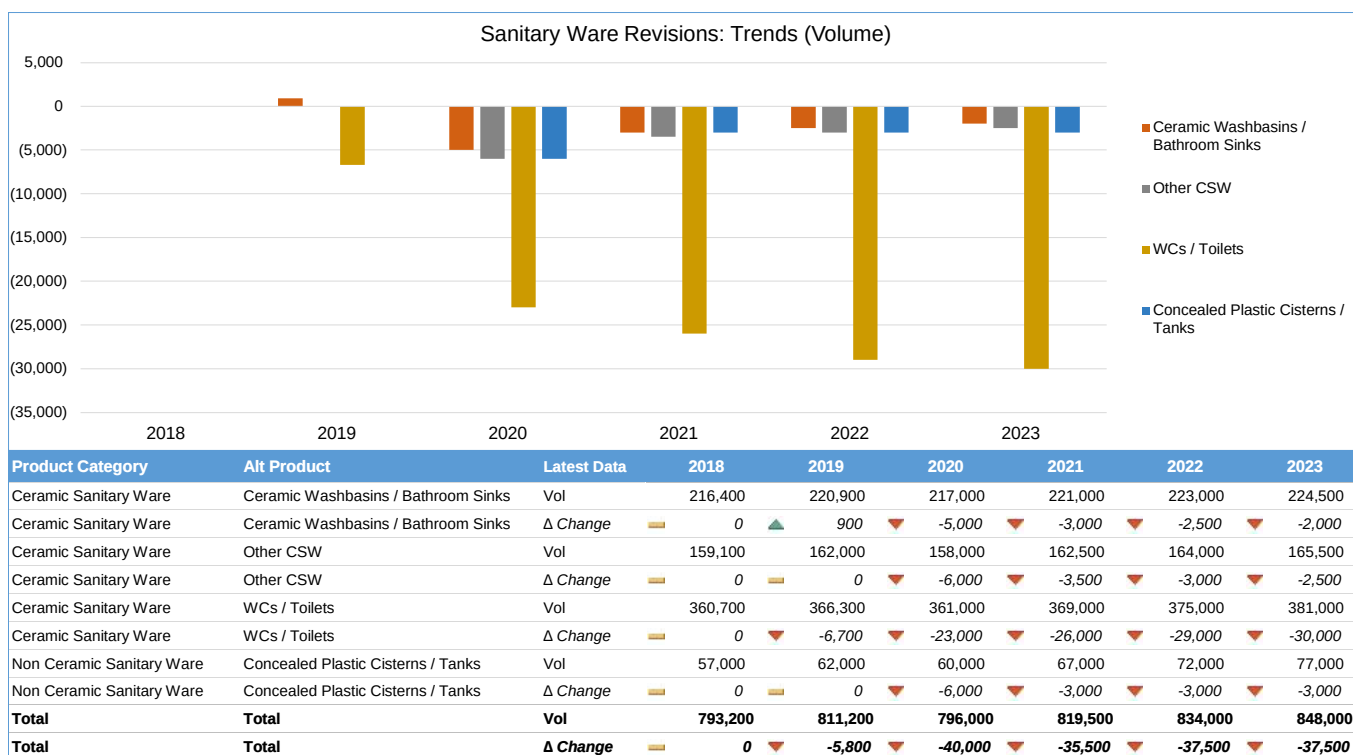
Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

2.8 Revisions in the Bulgarian Sanitary Ware Market (July 2020)

BG - REVISIONS IN THE BULGARIAN SANITARY WARE MARKET

Data Comparison: July 2019



The 2019 sales volume for WCs has been slightly downgraded, in line with the industry feedback, showing a slightly weaker demand in the RMI sector.

The 2019 sales figure for exposed plastic cisterns has been downgraded, based on the information from the key market players, showing a decline in sales of this product type to the benefit of concealed models.

Historical trends for non-ceramic washbasins were revised upwards as further research indicated that penetration and popularity of these products is already on higher level than previously thought.

BULGARIA

TAPS AND MIXERS

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



Market Characteristics and Product Mix

The Bulgarian taps and mixers market is a mature one, strongly dependent on replacement and refurbishment demand. Although new housing and non-housing construction are important sales drivers, housing RMI is by far the main end-use segment. The market experienced a strong decrease following the financial crisis of 2008 due to a sharp decline in household disposable income, low consumer confidence and also the collapse of the residential market.

Since the early 2000s, the taps and mixers market has been characterised by the dominance of one-head models due to the increasing relevance of the market leader, IDEAL STANDARD. Important shifts, however, have occurred in the product mix, as sales of pillar taps have declined at a rapid pace to become the smallest segment, after electronic models, within the overall taps and mixers market. Nowadays, pillar taps are believed to have their use limited to public and industrial buildings. Furthermore, in this context the demand for taps and mixers has shifted away from two head in favour of one head mixers. The main driver behind this trend is that two head mixers are mostly sold as a premium product and this type of mixer has benefited from new offers in terms of design and from the emergence of concealed models. Sales of thermostatic mixers, often perceived as luxury products in Bulgaria, are still at a nascent stage. The demand for thermostatic models remains heavily reliant on the hospitality segment and public institutions.

Self-closing and electronic models entered the Bulgarian market in the early 2000s' and remain rather niche products in terms of volumes sold. However, the demand for such products has eroded the share of manual taps and mixers since their introduction in the Bulgarian taps and mixers market. These types of taps and mixers are mainly installed in the non-residential segment and, so far, they have met only weak success in residential bathrooms and kitchens. Sales of electronic taps and mixers for public spaces are increasingly associated with providing a high degree of sanitation and water efficiency, while self-closing taps have also been historically dependent on the non-housing market and are installed mainly in public spaces such as commercial buildings, hospitals and schools.

Recent Market Trends

In 2019, a positive development of demand for ceramic sanitaryware and for baths and shower trays on the back of continued recovery of the Bulgarian economy was behind the positive growth observed across all the taps and mixers application groups.

Similarly to the baths and shower trays, as well as sanitary ware sectors, sales to the RMI market were the key growth driver, with private consumption showing a very good rate of growth and spending on "home repair" considerably growing.

In 2019, washbasin taps and mixers accounted for the largest product group in terms of application, followed by kitchen taps and mixers. The third largest product category remained shower taps and mixers, which were followed by bath taps and mixers, in line with the general trend of showers increasing their market shares and volumes to the detriment of baths. The segment of bidet taps and mixers held a relatively small share in the product mix, with the share of sales to new housing remaining at a relatively low level, although recording in 2019 a very good growth rate.

One head mixers remained by far the largest product group in terms of volume, with almost six times more one head models sold in 2019 than two head products. Sales of thermostatic mixers continued growing as of 2019, although holding a relatively small portion of the market, due to relatively high prices. Also, sales of self-closing and electronic models kept growing, however, still remaining relatively marginal. It is believed that pillar taps remain a niche market in Bulgaria.

The Bulgarian market, in 2019, saw a further shift in the product mix, with the ongoing move towards more technologically advanced product alternatives such as thermostatic and electronic mixers, installed more and more often in the form of concealed systems.

Prices and Market Values

In 2019, the average manufacturer's selling price (MSP) for taps and mixers saw moderate increases, resulting from growing production costs and the continued shift of consumer preference away from the economy towards the middle and – to a lesser degree – the upper product ranges. The increase in production costs, which occurred largely due to increasing labour and material costs, resulted in rising MSPs for certain product types, whereas the growing popularity of the products above the budget price bracket followed further recovery of the Bulgarian economy. Nevertheless, in spite of the shift in consumer preferences towards products from the middle- and high-end markets, the economy price segment still accounted for the largest share of taps and mixers sales.

Additionally, the increase in the average MSPs was driven by the growing demand for thermostatic and electronic models, also boosted by improving economic conditions. Electronic and thermostatic mixers were in particular demanded by hotels, villas and specific luxury building developments.

Overall, the price increases, were relatively small, as competition in the market remained tough with a considerable number of players and large volume of Chinese imports available through the DIY channel.

In the aftermath of the COVID-19 outbreak, the pressure on prices should intensify, due to worsened average household incomes and deterioration of the crediting conditions, although it should be tempered by anticipated rise in costs of production and distribution.

New Housing

New housing is the smallest end-use segment for sales of taps and mixers, however, in 2019, it recorded the fastest growth rate due to excellent results observed in the residential construction market, and exceptionally accounted for the largest contribution to the overall increase of the taps and mixers market, usually driven by the RMI sector.

Sales of one head mixers continued to dominate the new housing market, while sales of thermostatic mixers were growing in popularity, also gaining share from one head mixer sales.

In terms of application, washbasin taps and mixers accounted for the largest portion of the market, followed by bath models, which, as of 2019, only slightly outsold shower mixers – in line with the trend observed within the baths and shower trays segment, where shower mixers continue to increase their market share at the detriment of bath mixers. Following the surge in the residential construction segment, sales to all the application segments recorded good growth, including sales of bidet taps and mixers, although bidets still haven't gained any substantial foothold on the market, thus sales of bidet mixers remained marginal.

Housing RMI

Replacement continued to represent the bulk of sales in 2019 for taps and mixers. Driven by increasing private consumption, the total residential RMI segment experienced further growth in the overall sales of taps and mixers. The difference in average life span between mixers and their various application types may be the reason for the growth recorded in the RMI segment for mixers, while in product groups such as baths and washbasins, sales to RMI slightly decreased.

In terms of application, all product groups showed a positive growth rate, with washbasin models accounting for the chunk of the segment, followed by shower taps and mixers, sales of which surpassed sales of baths mixers, following the trend observed in the baths and shower trays RMI segment, with a growing number of baths replaced by showers.

The vast majority of products installed in the replacement segment are one or two head mixers. Sales of bidet taps and mixers to the RMI segment account for the chunk of sales within the bidet mixers sales; however, compared to other application groups the volume of bidet mixers sold to RMI were marginal.

Non-Housing

In 2019 the non-residential construction output, recorded good growth, particularly in the sectors for hotels/accommodation and new offices, which had a positive impact on the sales volume of taps and mixers. All major product groups saw good growth rates in terms of application, with washbasin mixers accounting for the

largest portion of the market, followed by those for shower and bath applications. As demand for bidet taps and mixers in non-housing is considerably higher than in the new housing segment, the market share held by bidet models in non-housing was relatively higher. Despite this, in comparison to other application groups, sales of bidet mixers remained relatively small.

Sales to the non-housing sector were sustained by the constant growth observed in the hospitality industry, particularly on the Black Sea coast, as well as the increased dynamics within the office segment, including in the capital and other large cities, such as Plovdiv, Varna and Burgas. It may be assumed that sales of new products commonly associated with commercial installations, such as electronic taps, continued to grow in this segment.

Supply Structure

The taps and mixers market is largely dominated by the IDEAL STANDARD brand VIDIMA, whose main production and logistics infrastructure is located in Sevlievo. In November 2019, the company completed upgrading the Seviljevo facilities, considerably increasing the capacity. VIDIMA mostly comprises products from the middle-end market; however, to strengthen its portfolio, the company also offers in Bulgaria taps and mixers under the brand of IDEAL STANDARD, primarily covering the upper price segment.

The historical low degree of the market's fragmentation was reversed in the last decade, as competitors from Spain, Germany and Italy kept gradually increasing their shares, weakening the market leadership of IDEAL STANDARD's brands. Nonetheless, in 2019, VIDIMA still maintained its leading position in the taps and mixers market, followed by the German GROHE, the Spanish ROCA, and the local INTER CERAMIC, distributing Chinese imports.

Products from China, branded and unbranded, have been gaining market share mostly within the low-priced product ranges, distributed in large quantities by merchants and DIY stores. Considering the price-driven nature of the market, this is creating a clear gap between the local production of VIDIMA and German and Italian manufacturers (which tend to offer middle and high quality taps and mixers) on the one hand, and the imported products from the Far East on the other. In 2019, like in 2018, imports of taps and mixers predominantly came from China (including INTER CERAMIC), Germany (brands such as GROHE), and Turkey.

Forecasts

Given the exceptional circumstances related to the spread of the COVID-19 virus and measures in place for its containment, forecasts for 2020 and beyond are based on the latest information available at the time of publication. BRG has attempted to factor in the latest developments – see Macroeconomic data in Table II.3, and supporting summary table at the end of the Background section.

After a very good performance in 2019, the Bulgarian economy was hit by the COVID-19 pandemic outbreak. Bulgaria's recovery from the 2008 financial crisis, which started to be palpable in 2015/16 and accelerated in 2019, was interrupted and in 2020, the country, like many others around the world, is facing a recession.

All projections for the Bulgarian 2020 GDP growth issued after the pandemic began in Europe, assume a decline, with the values depending on source, from a 4.0% fall (IMF), to 5.9% (Fitch) and 6.5% (S&P), to a 7.0% decrease (EC). Similarly, forecasts by international financial institutions for Bulgaria's GDP growth for 2021 indicate a strong rebound of the local economy (e.g. about 6% by EC and IMF), with moderate growth rates expected in 2022-24.

Growth in consumption, the main driver of the Bulgaria's economic development, is projected to show a positive momentum already in the third quarter of 2020, further improving at the end of the year. The unemployment rate recorded a historical low in 2019 (4.2%) but is expected to double in 2020 and to gradually recover in 2021 (e.g. EC forecasts a 7% unemployment rate for 2020 and 5.8% for 2021, while IMF expects 8% in 2020 and 4.5% in 2021). Average wages, which recorded good gains in the past couple of years, are anticipated to slow down in 2020 and 2021 (e.g. 3.5% up in 2020 and 2.3% in 2021 according to EC). The CPI indicis are likely to fall in 2020 due to large fall in oil prices with EC forecasting the average value to reach 1.1% and remain at a similar level in 2021.

Since international trade constitutes a key segment of Bulgaria's economy (e.g. export accounts for short of two thirds of the country's GDP), deterioration of the economic conditions in other countries, particularly the EU members, will also affect the local market. The EC is anticipating a 13.2% decline in exports in 2020 and a partial recovery, 10.8%, in 2021.

In the aftermath of the COVID-19 outbreak, investments fell drastically. According to EC, forecast total investments in 2020 should decline by 18% with a very slow recovery in 2021, by about 1%, due to high uncertainty in the business, as well as a lowered capacity of the companies to invest.

A relatively mild development of the pandemic in terms of registered cases and mortality, allowed for a shorter period of the anti-pandemic restrictions (compared to most other countries), with construction, production, distribution and installation activities carried out at a reduced capacity. The delays which occurred in the aftermath, especially in the international trade, are likely to have a drastic impact on the Bulgarian bathroom market; characterised by a high level of imports, including considerable supplies from the Far East. Considering a substantial deterioration of the country's economic conditions, the delays are unlikely to be fully caught up in the second half of the year. However, a strong presence of local providers on the market, allows for expectations of a moderate decline in the overall sales volume in 2020.

Assuming no second wave of the pandemic will occur, demand is anticipated to rebound in the second half of 2020, with sales in 2021 forecast to show a good

recovery, although mostly as a result of a 'low-base' effect.

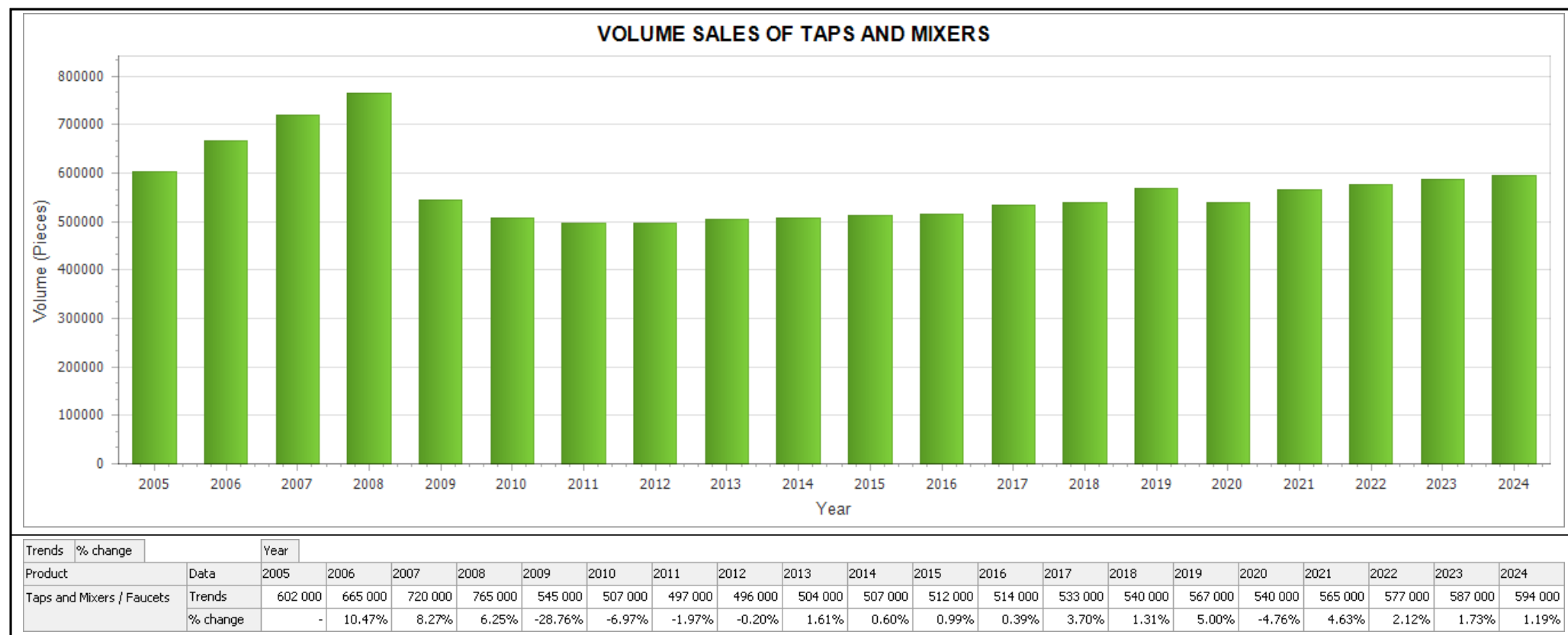
In the medium- to long-term, with the Bulgarian economy gradually recovering, sales of taps and mixers are expected to record moderate growth, driven primarily by demand from the RMI sector, with the growth rates tempered by a general deterioration of the country's economic conditions. The COVID-19 pandemic may likely affect the Bulgarian market increasing demand for economy segment products, primarily Chinese imports. Overall, the budget segment is anticipated to hold the chunk of sales over the forecast period.

As far as the product mix is concerned, the ongoing trend towards the preference for more technological products such as electronic, thermostatic and self-closing mixers is expected to remain strong over the forecast period, mainly at the expense of two head mixers; however, one head mixers should retain a high level of sales as these models are still favoured by Bulgarian households, especially in the renovation market.

With regard to application type, the overall demand for bath taps and mixers is anticipated to gradually falter with growing sales of shower mixers, in line with the trend observed within the baths and shower trays market.

3.2 Historical Trends and Forecasts : Taps and Mixers

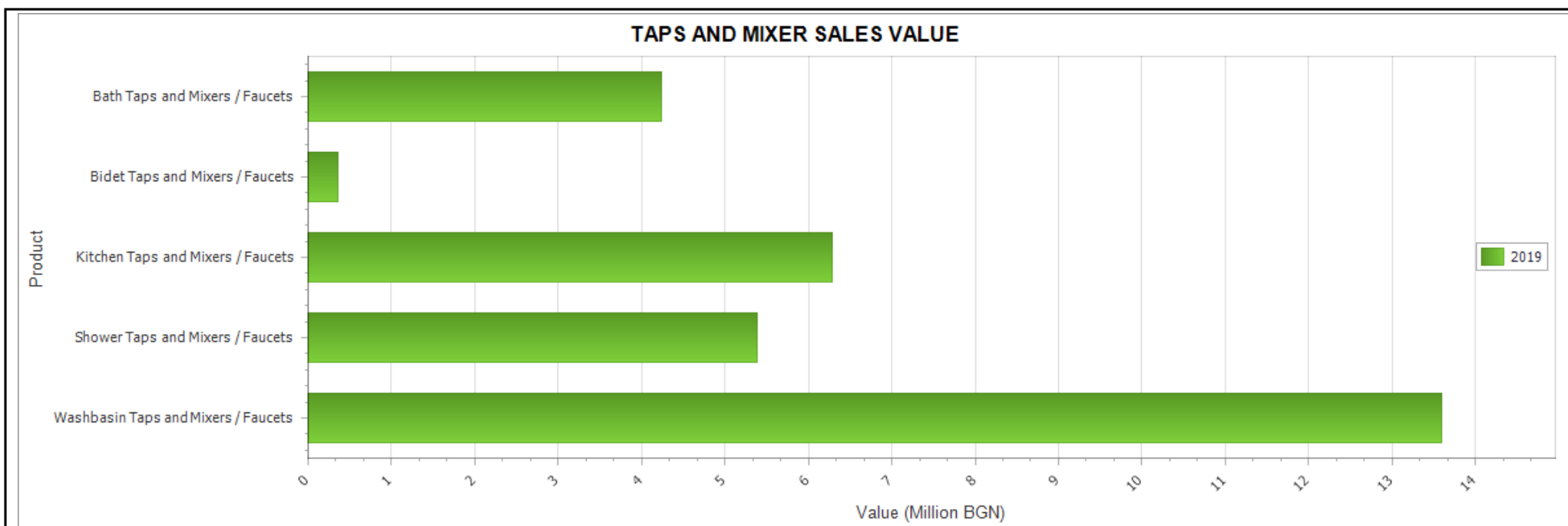
BG - SUMMARY OF TRENDS IN THE TAP AND MIXER MARKET : HISTORICAL AND FORECASTS



Source: BRG based on industry interviews. N.B. Includes Both Kitchen and Sanitary Taps & Mixers

3.3.1 Prices and Market Values : Taps and Mixers

BG - ESTIMATED VALUES OF THE TAP AND MIXER MARKET

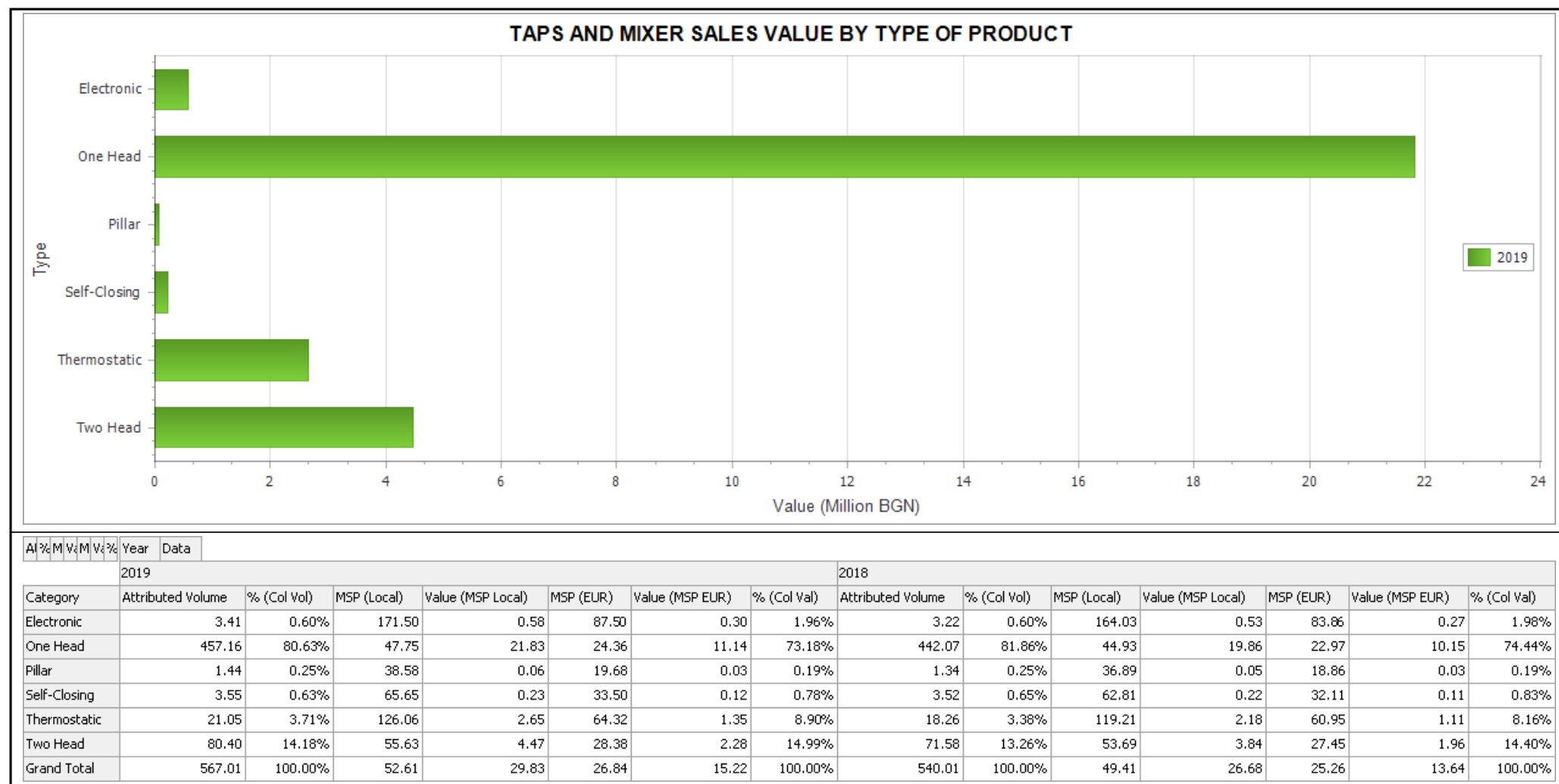


Alt Product	Volumes	MSP (Local)	Value (MSP Local)	MSP (EUR)	Value (MSP EUR)	Year	Data
2019						2018	
Bath Taps and Mixers / Faucets	67 800	62.47	4.24	31.87	2.16	64 300	59.71
Bidet Taps and Mixers / Faucets	6 500	53.12	0.35	27.10	0.18	6 300	50.46
Kitchen Taps and Mixers / Faucets	114 000	55.06	6.28	28.09	3.20	112 700	52.51
Shower Taps and Mixers / Faucets	81 500	65.97	5.38	33.66	2.74	74 400	61.42
Washbasin Taps and Mixers / Faucets	297 200	45.75	13.60	23.34	6.94	282 300	42.64
Grand Total	567 000	52.61	29.83	26.84	15.22	540 000	49.41

Source: BRG based on industry interviews. Local Prices Shown in BGN. Values Shown in Millions (at MSP = Manufacturers' Selling Price).

3.3.2 Prices and Market Values by Type : Taps & Mixers

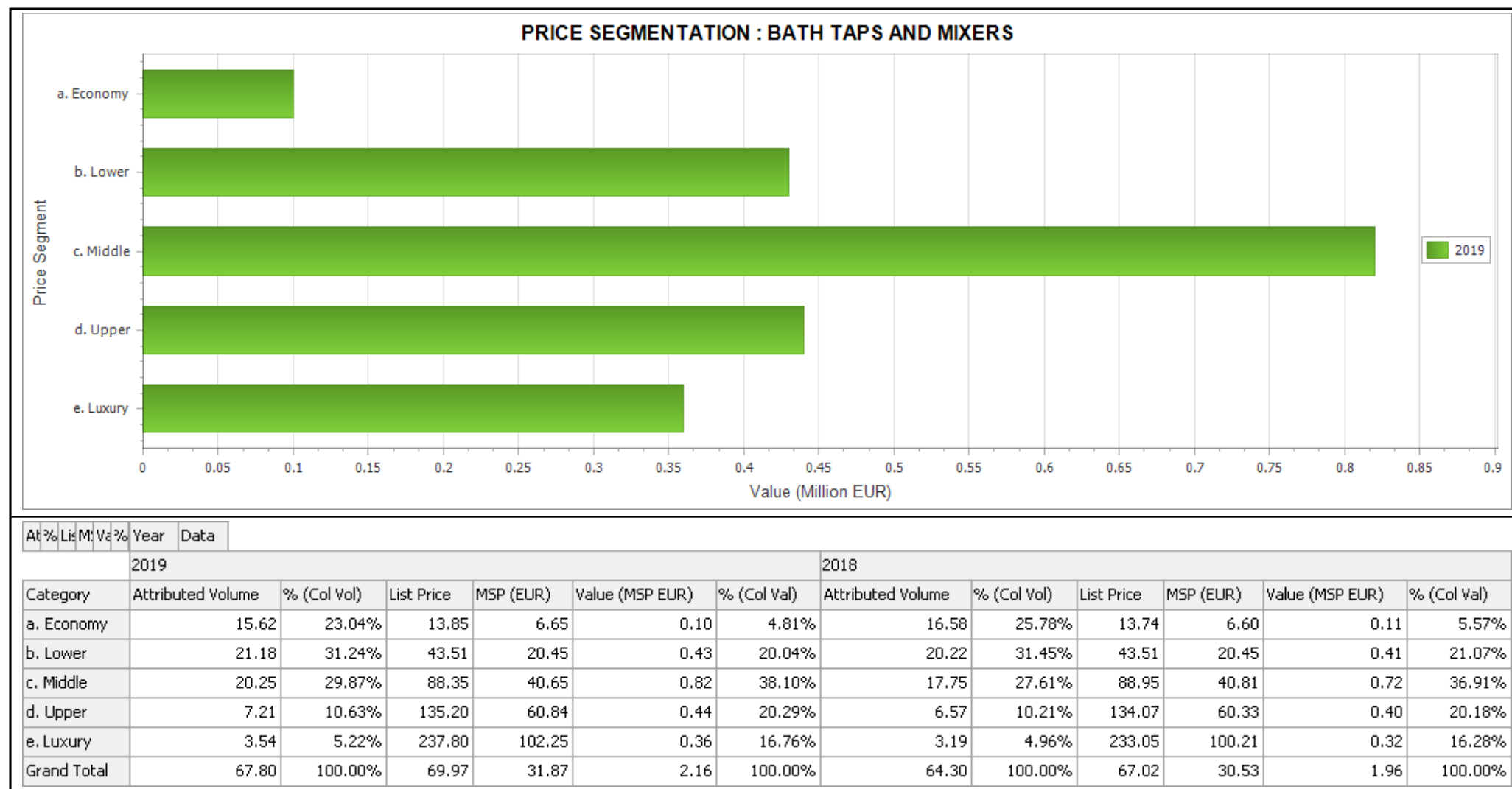
BG - ESTIMATED VALUES OF THE TAP AND MIXER MARKET BY TYPE OF PRODUCT



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Local Prices Shown in BGN. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price).

3.3.3 Price Segmentation : Bath Taps and Mixers

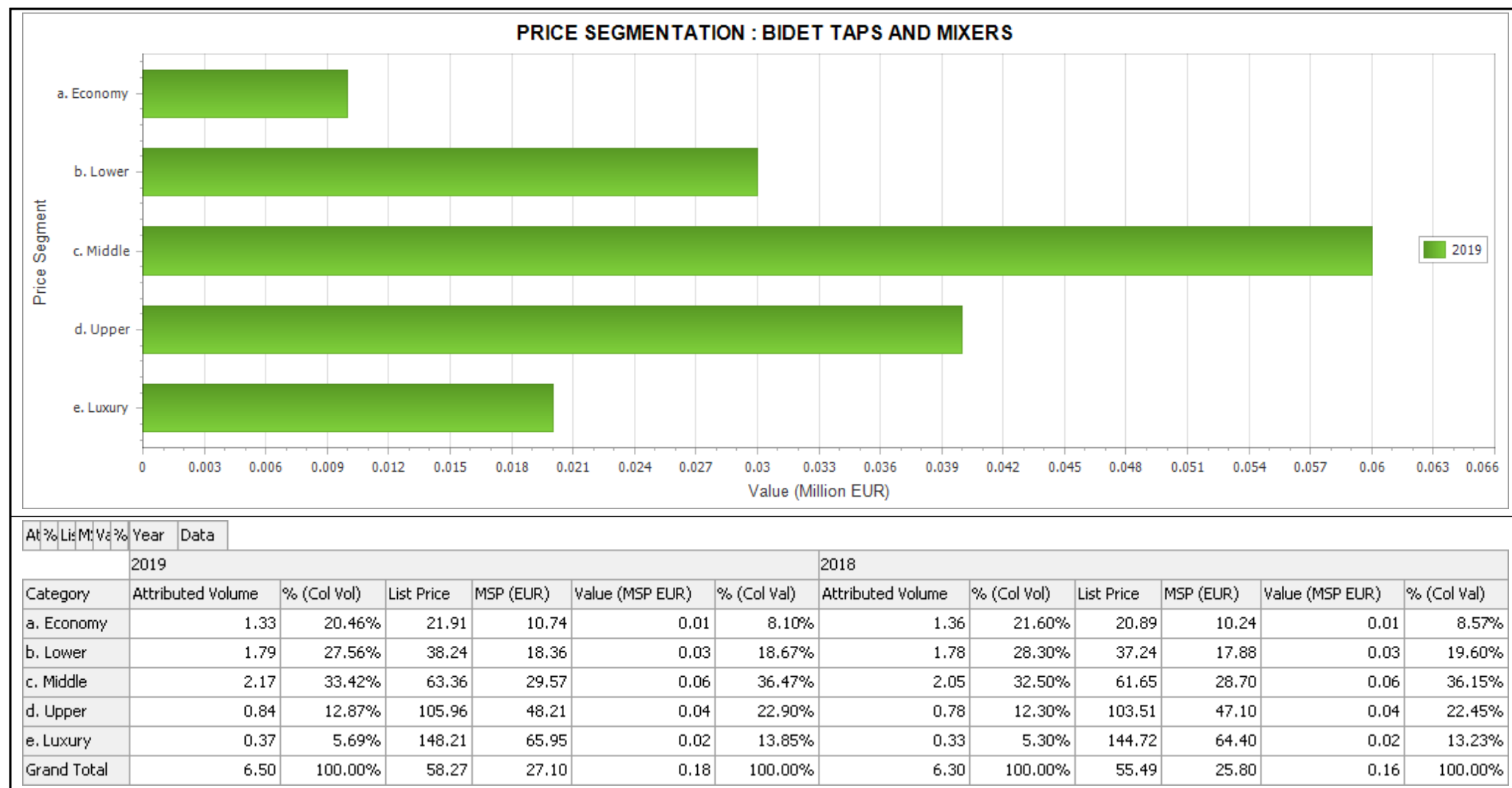
BG - ESTIMATED PRICE SEGMENTATION FOR BATH TAPS AND MIXERS



Source: BRG based on industry interviews. Total may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy <€15, Lower €15-€30, Middle €30-€50, Upper €50-€70 and Luxury >€70

3.3.4 Price Segmentation : Bidet Taps and Mixers

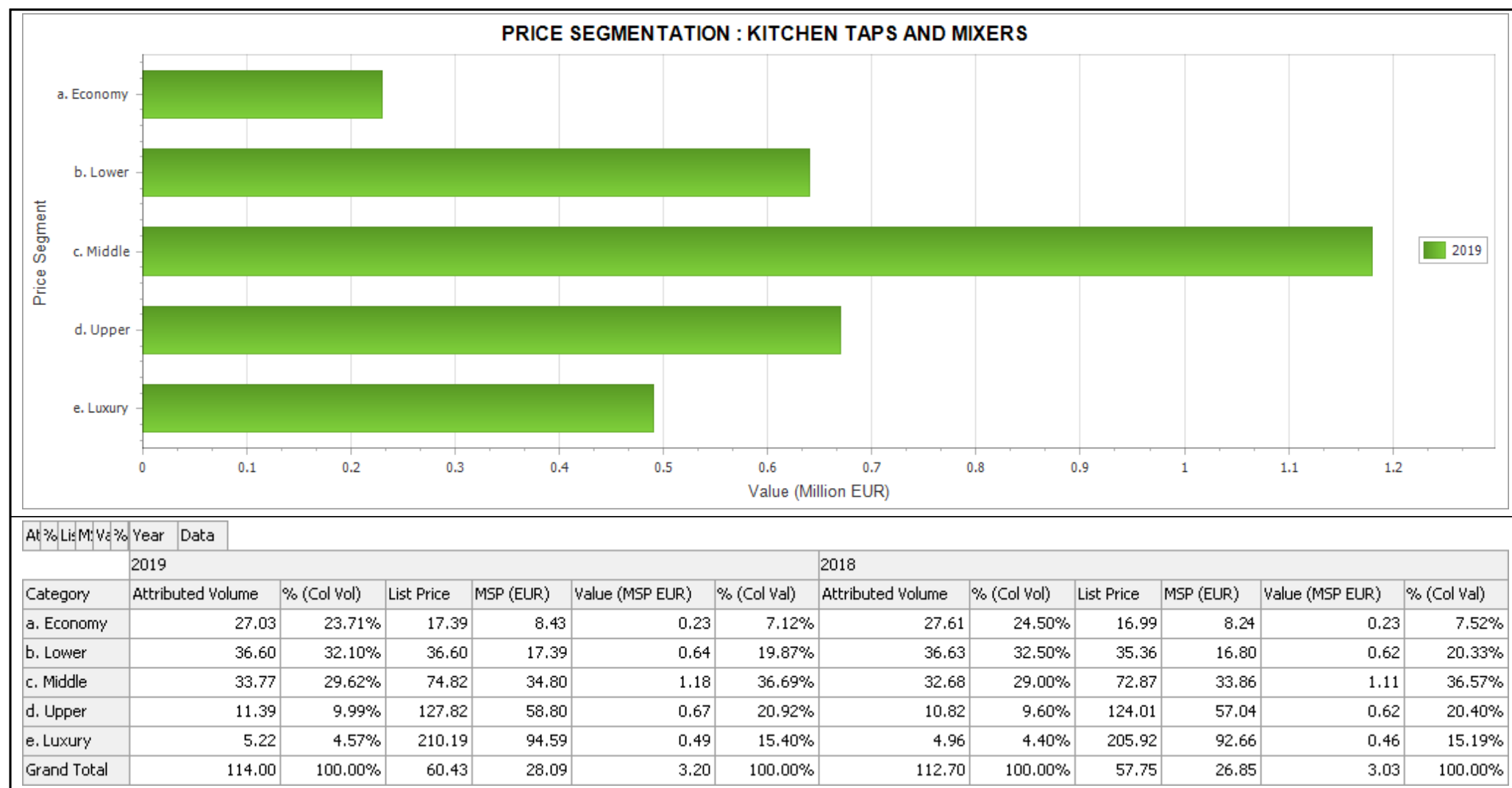
BG - ESTIMATED PRICE SEGMENTATION FOR BIDET TAPS AND MIXERS



Source: BRG based on industry interviews. Total may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy <€15, Lower €15-€25, Middle €25-€40, Upper €40-€60 and Luxury >€60

3.3.5 Price Segmentation : Kitchen Taps and Mixers

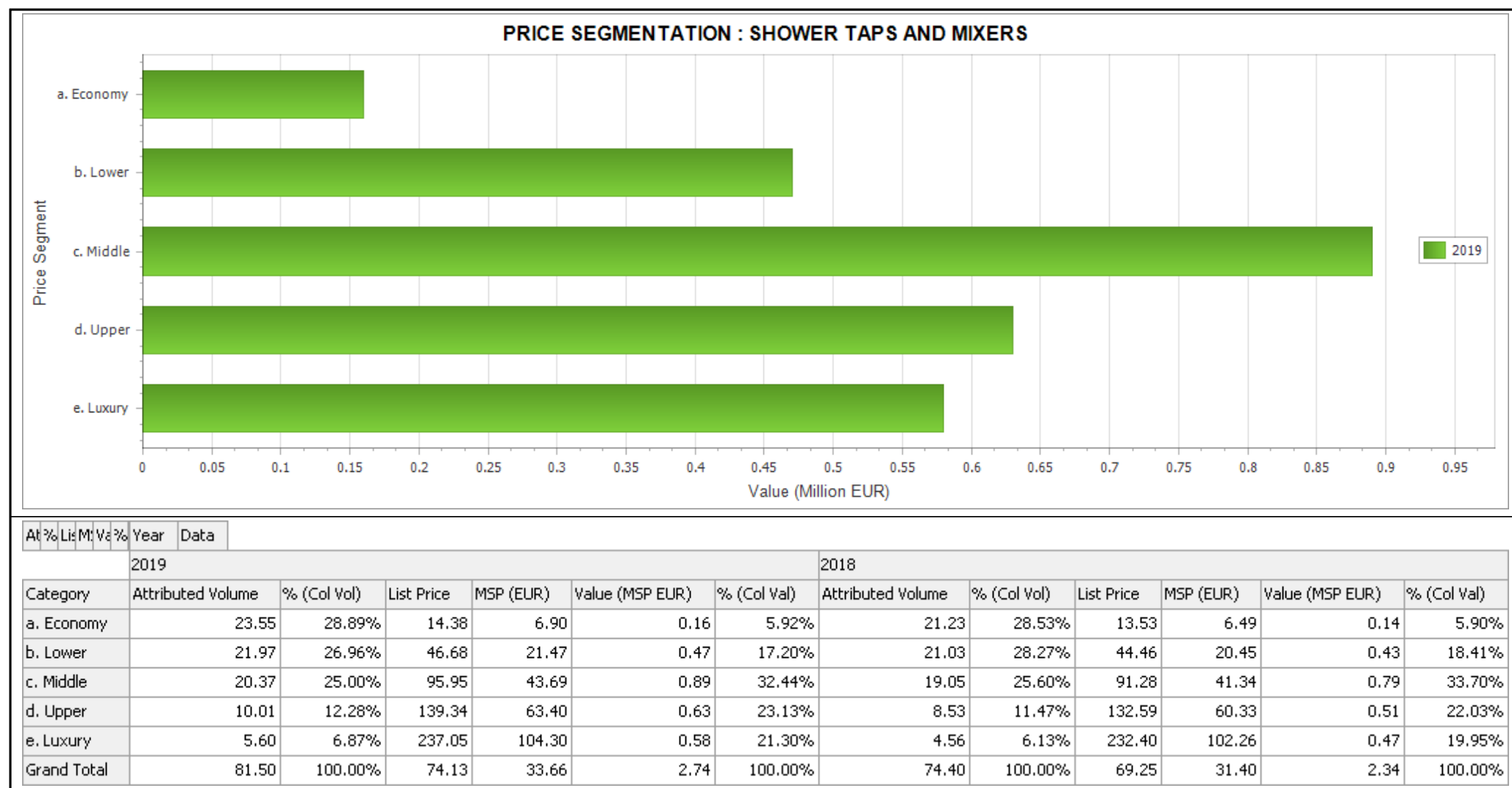
BG - ESTIMATED PRICE SEGMENTATION FOR KITCHEN TAPS AND MIXERS



Source: BRG based on industry interviews. Total may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy <€15, Lower €15-€30, Middle €30-€50, Upper €50-€80 and Luxury >€80

3.3.6 Price Segmentation : Shower Taps and Mixers

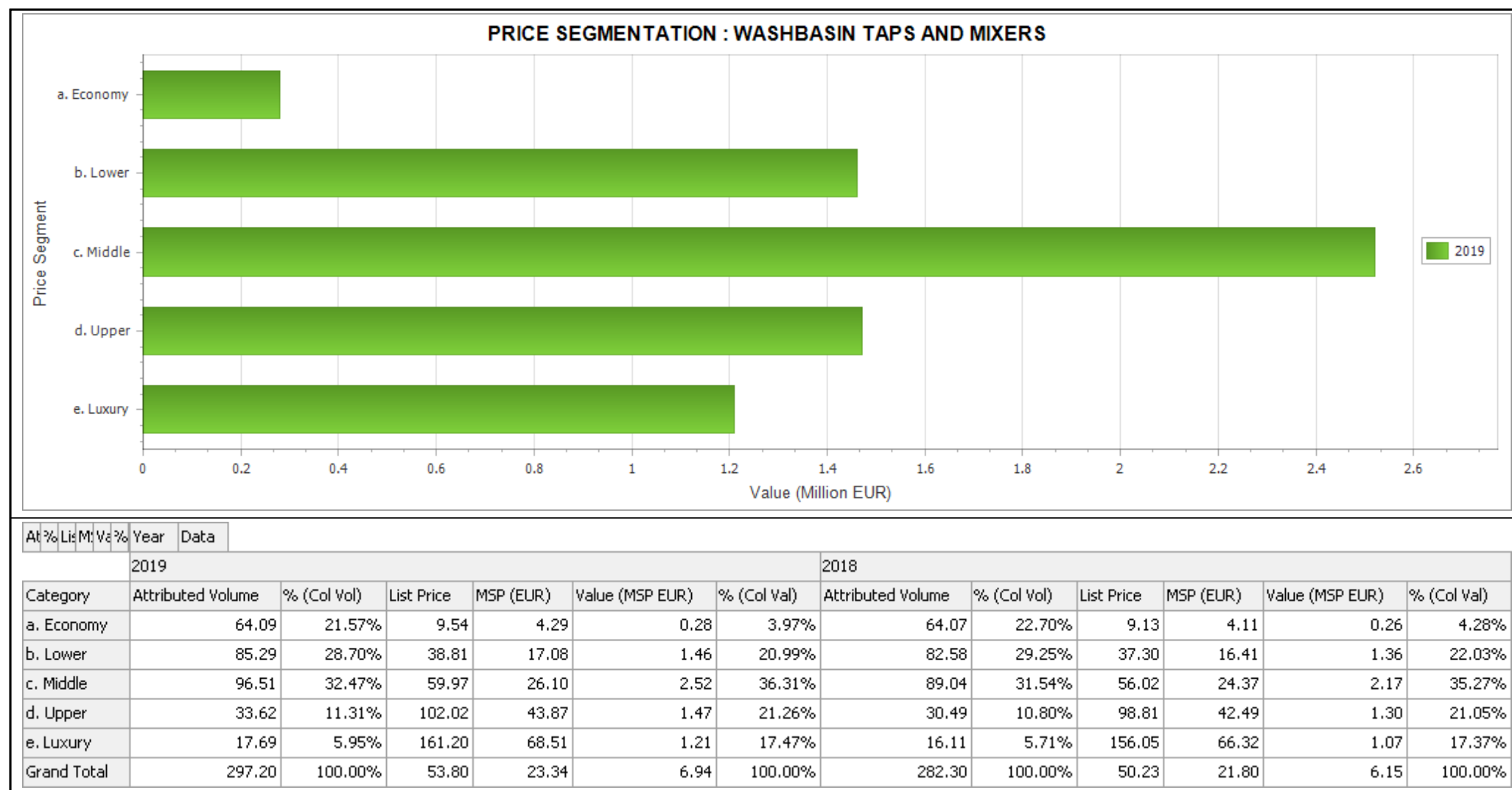
BG - ESTIMATED PRICE SEGMENTATION FOR SHOWER TAPS AND MIXERS



Source: BRG based on industry interviews. Total may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy <€15, Lower €15-€30, Middle €30-€50, Upper €50-€70 and Luxury >€70

3.3.7 Price Segmentation : Washbasin Taps and Mixers

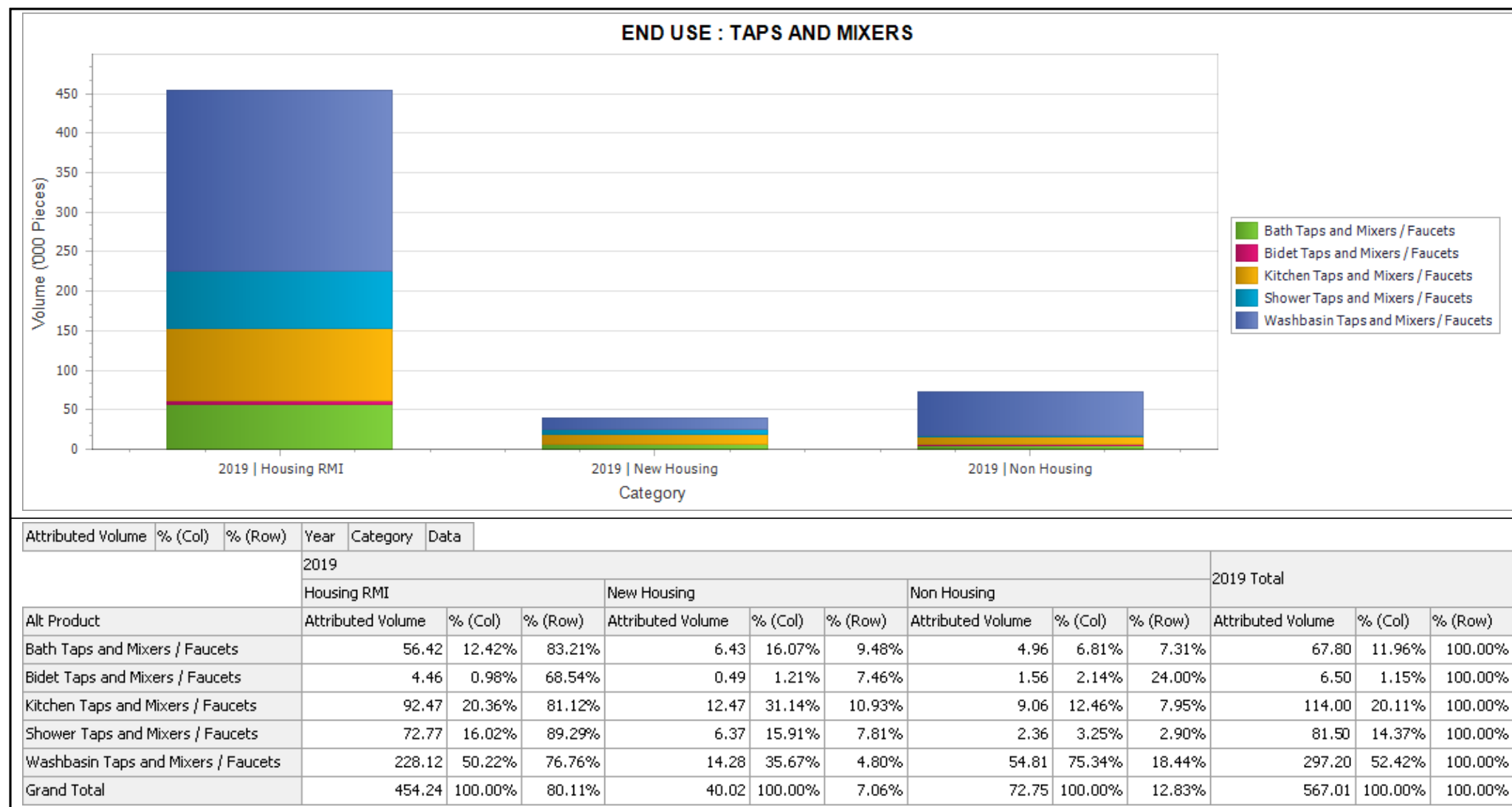
BG - ESTIMATED PRICE SEGMENTATION FOR WASHBASIN TAPS AND MIXERS



Source: BRG based on industry interviews. Total may show slight variance compared to market data due to rounding. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy <€10, Lower €10-€20, Middle €20-€30, Upper €30-€50 and Luxury >€50

3.4.1 End Use : Base Year

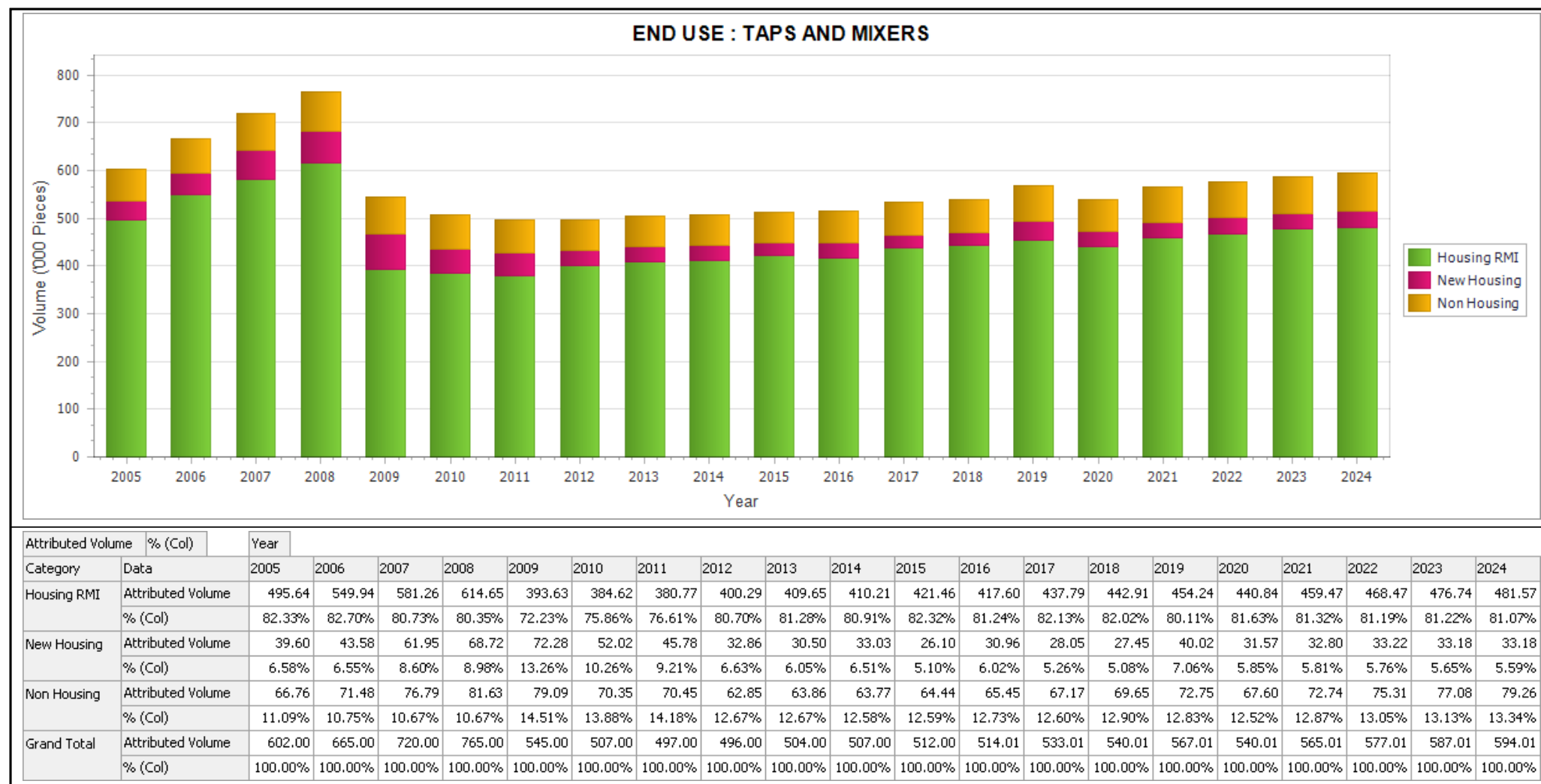
BG - SALES OF TAPS AND MIXERS BY TYPE AND END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance due to rounding. N.B. Includes Kitchen and Sanitary Taps & Mixers

3.4.2 End Use : Historical and Forecasts

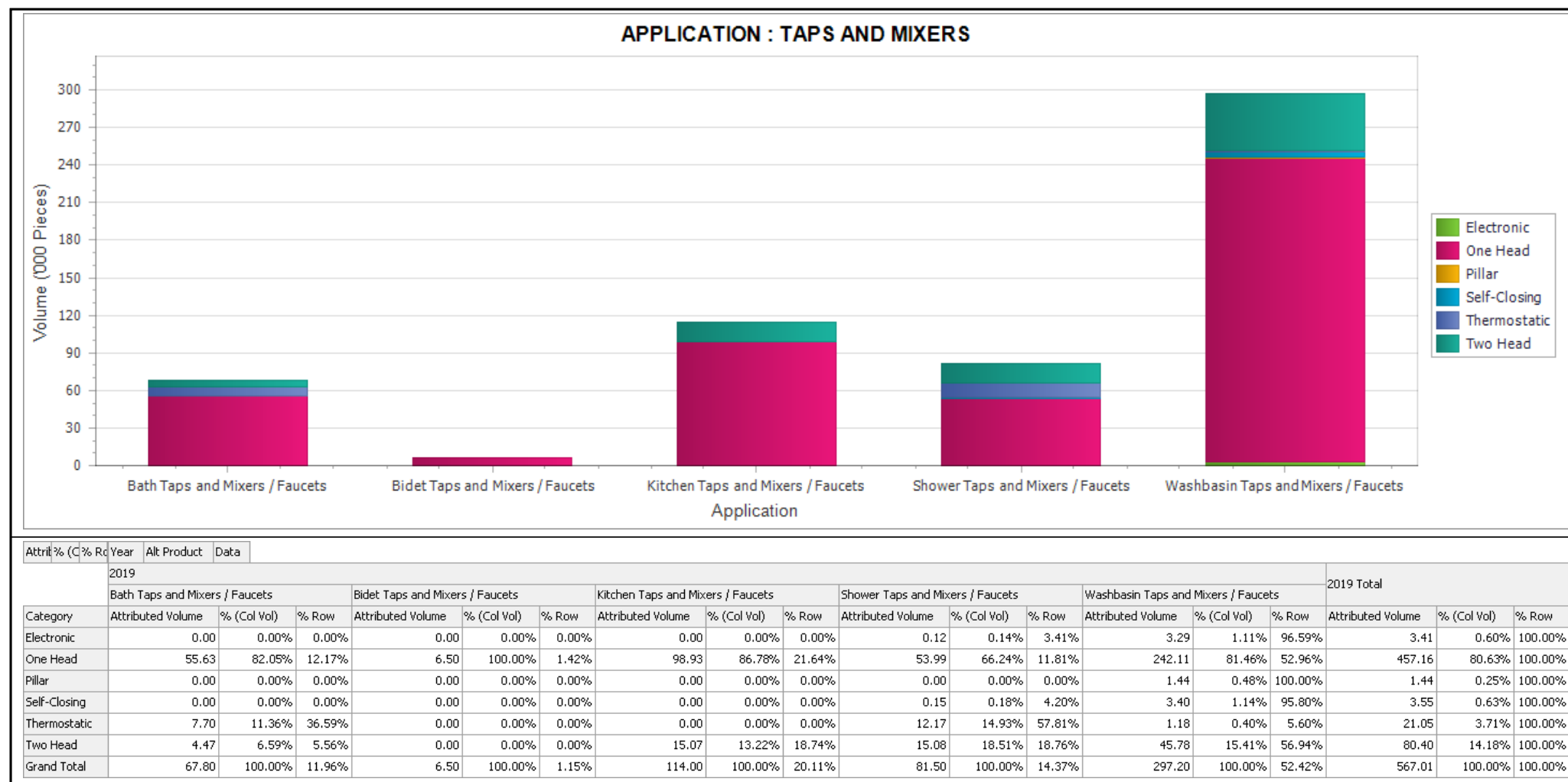
BG - SALES OF TAPS AND MIXERS BY END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. N.B. Includes Both Kitchen and Sanitary Taps & Mixers

3.4.3 Sales by Type and Application : Taps and Mixers

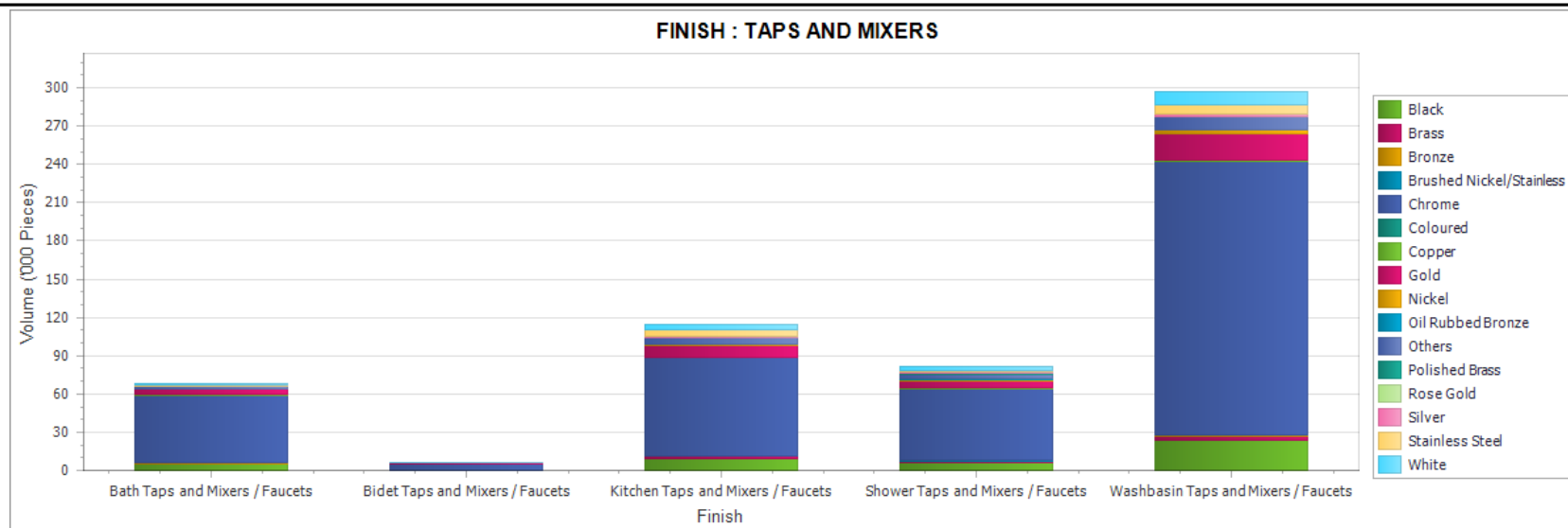
BG - TAP AND MIXER SALES BY TYPE AND APPLICATION ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

3.4.4 Sales by Type of Finish : Taps and Mixers

BG - TAP AND MIXER SALES BY TYPE OF FINISH ('000 PIECES)

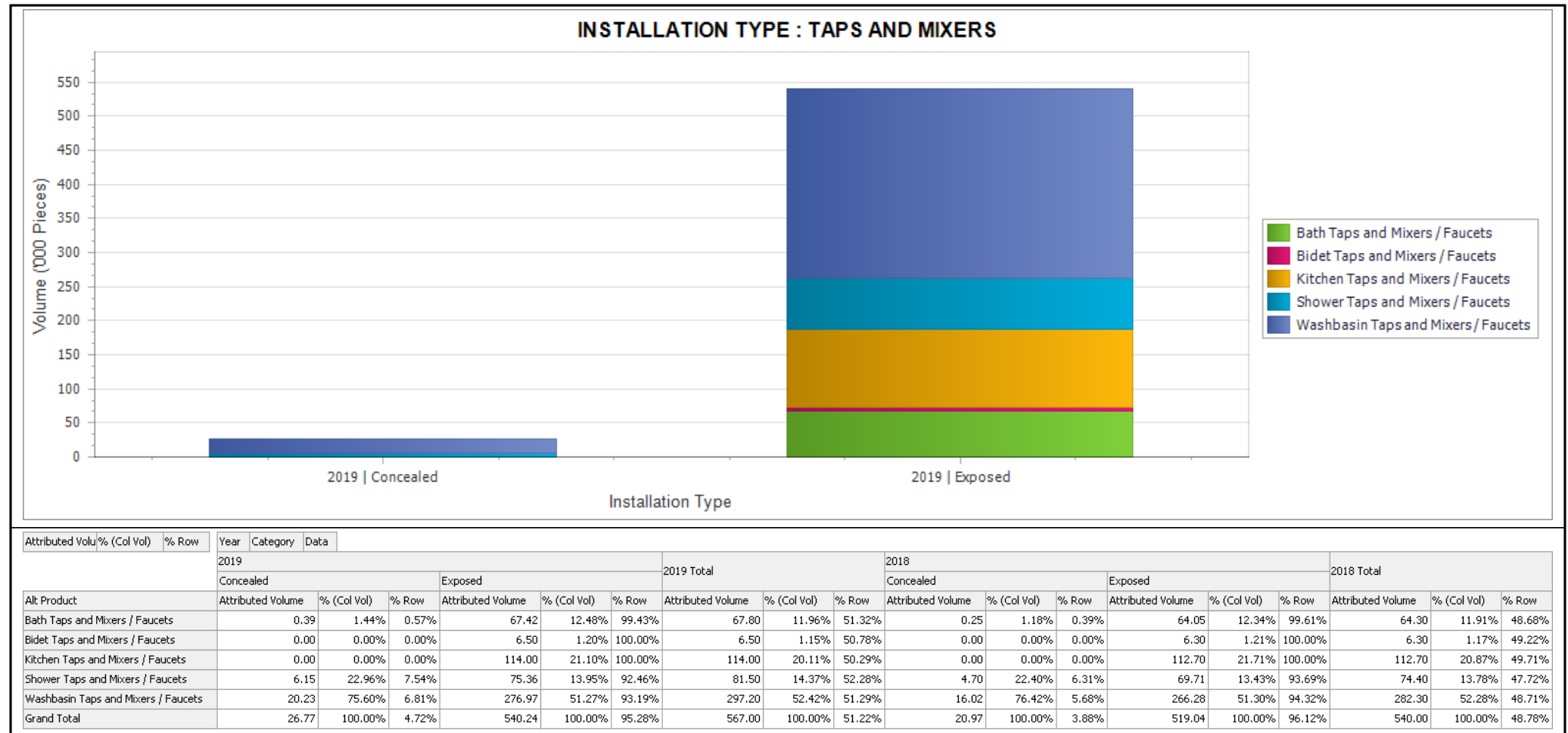


Attribute % (Col V) % Row	Year	Alt Product	Data															
2019																		
Bath Taps and Mixers / Faucets			Bidet Taps and Mixers / Faucets			Kitchen Taps and Mixers / Faucets			Shower Taps and Mixers / Faucets			Washbasin Taps and Mixers / Faucets			2019 Total			
Category	Attributed Volume	% (Col Vol)	% Row	Attributed Volume	% (Col Vol)	% Row	Attributed Volume	% (Col Vol)	% Row	Attributed Volume	% (Col Vol)	% Row	Attributed Volume	% (Col Vol)	% Row	Attributed Volume	% (Col Vol)	% Row
Black	5.09	7.50%	11.34%	0.33	5.00%	0.73%	9.12	8.00%	20.35%	6.52	8.00%	14.55%	23.78	8.00%	53.04%	44.83	7.91%	100.00%
Brass	0.54	0.80%	8.99%	0.05	0.80%	0.86%	1.82	1.60%	30.18%	0.65	0.80%	10.79%	2.97	1.00%	49.18%	6.04	1.07%	100.00%
Bronze	0.27	0.40%	10.30%	0.02	0.31%	0.76%	0.46	0.40%	17.26%	0.41	0.50%	15.44%	1.49	0.50%	56.25%	2.64	0.47%	100.00%
Brushed Nickel/Stainless	0.00	0.00%	0.00%	0.00	0.00%	0.00%	0.00	0.00%	0.00%	0.65	0.80%	100.00%		0.00%	0.00%	0.65	0.11%	100.00%
Chrome	53.29	78.59%	13.16%	5.22	80.27%	1.29%	76.95	67.50%	19.00%	55.34	67.90%	13.66%	214.28	72.10%	52.90%	405.08	71.44%	100.00%
Coloured	0.00	0.00%	0.00%	0.00	0.00%	0.00%	0.00	0.00%	0.00%	0.82	1.00%	100.00%		0.00%	0.00%	0.82	0.14%	100.00%
Copper	0.27	0.40%	12.02%	0.02	0.31%	0.88%	0.46	0.40%	20.15%	0.33	0.40%	14.41%	1.19	0.40%	52.54%	2.26	0.40%	100.00%
Gold	4.07	6.00%	10.27%	0.26	4.00%	0.66%	8.78	7.70%	22.16%	5.71	7.00%	14.40%	20.81	7.00%	52.52%	39.62	6.99%	100.00%
Nickel	0.54	0.80%	10.40%	0.05	0.80%	1.00%	1.60	1.40%	30.57%	0.65	0.80%	12.49%	2.38	0.80%	45.55%	5.22	0.92%	100.00%
Oil Rubbed Bronze	0.00	0.00%	0.00%	0.00	0.00%	0.00%	0.00	0.00%	0.00%	1.30	1.60%	100.00%		0.00%	0.00%	1.30	0.23%	100.00%
Others	1.70	2.50%	8.92%	0.20	3.00%	1.03%	4.56	4.00%	24.00%	2.45	3.00%	12.87%	10.11	3.40%	53.18%	19.00	3.35%	100.00%
Polished Brass	0.00	0.00%	0.00%	0.00	0.00%	0.00%	0.00	0.00%	0.00%	1.47	1.80%	100.00%		0.00%	0.00%	1.47	0.26%	100.00%
Rose Gold	0.14	0.20%	7.81%	0.01	0.20%	0.75%	0.46	0.40%	26.18%	0.25	0.30%	14.06%	0.89	0.30%	51.21%	1.74	0.31%	100.00%
Silver	0.27	0.40%	11.44%	0.02	0.31%	0.84%	0.57	0.50%	23.98%	0.33	0.40%	13.71%	1.19	0.40%	50.02%	2.38	0.42%	100.00%
Stainless Steel	1.36	2.00%	8.42%	0.10	1.51%	0.61%	5.13	4.50%	31.85%	1.79	2.20%	11.14%	7.73	2.60%	47.98%	16.11	2.84%	100.00%
White	0.27	0.40%	1.52%	0.23	3.51%	1.28%	4.11	3.60%	22.98%	2.85	3.50%	15.97%	10.40	3.50%	58.24%	17.86	3.15%	100.00%
Grand Total	67.81	100.00%	11.96%	6.50	100.00%	1.15%	114.00	100.00%	20.11%	81.51	100.00%	14.37%	297.21	100.00%	52.42%	567.02	100.00%	100.00%

Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

3.4.5 Sales by Type of Installation : Taps and Mixers

BG - TAP AND MIXER SALES BY INSTALLATION TYPE ('000 PIECES)



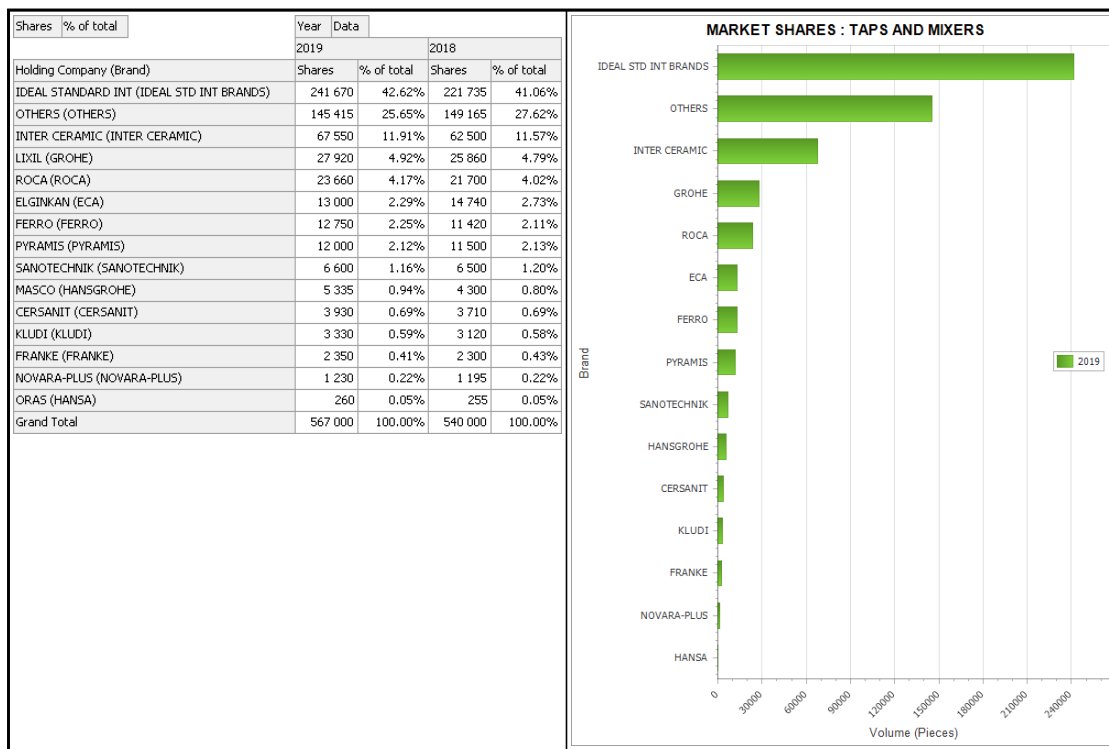
Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

BG - TAP AND MIXER SALES BY TYPE OF MOUNTING ('000 PIECES)



3.5 Market Shares : Taps and Mixers

BG - ESTIMATED MARKET SHARES FOR TAPS AND MIXERS



Source: BRG based on industry interviews. N.B. Includes Both Kitchen and Sanitary Taps & Mixers.

3.6.1 BG - IMPORTS OF TAPS & MIXERS 2019

Source Country	2019				2018			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
Greece	3 978	52.2%	2 396	7.0%	2 676	55.3%	1 699	5.9%
Hungary	1 229	16.1%	508	1.5%	19	0.4%	385	1.3%
China	939	12.3%	7 051	20.5%	887	18.3%	6 524	22.5%
Germany	542	7.1%	14 347	41.6%	497	10.3%	11 951	41.2%
Romania	209	2.7%	1 074	3.1%	123	2.5%	718	2.5%
Italy	184	2.4%	2 911	8.4%	116	2.4%	2 219	7.6%
France	153	2.0%	1 955	5.7%	164	3.4%	1 697	5.8%
Austria	88	1.2%	116	0.3%	65	1.3%	178	0.6%
Turkey	83	1.1%	767	2.2%	61	1.3%	442	1.5%
Poland	82	1.1%	640	1.9%	62	1.3%	389	1.3%
OTHERS	140	1.8%	2 696	7.8%	172	3.6%	2 811	9.7%
Total	7 626	100.0%	34 461	100.0%	4 843	100.0%	29 013	100.0%

Source : Trademap

3.6.2 BG - EXPORTS OF TAPS & MIXERS 2019

Destination	2019				2018			
	Volume		Value 000		Volume		Value 000	
	Tonnes	%	Euros	%	Tonnes	%	Euros	%
Germany	2 118	30.5%	32 223	31.8%	2 240	33.5%	30 200	32.8%
France	974	14.0%	13 624	13.5%	971	14.5%	12 848	13.9%
Italy	901	13.0%	12 084	11.9%	756	11.3%	10 311	11.2%
United Kingdom	708	10.2%	9 500	9.4%	654	9.8%	8 508	9.2%
Poland	674	9.7%	9 464	9.3%	62	0.9%	932	1.0%
Russian Federation	455	6.5%	6 032	6.0%	549	8.2%	7 151	7.8%
Greece	243	3.5%	3 279	3.2%	177	2.6%	3 466	3.8%
Egypt	202	2.9%	2 982	2.9%	327	4.9%	3 803	4.1%
Saudi Arabia	118	1.7%	1 796	1.8%	165	2.5%	2 128	2.3%
Austria	116	1.7%	1 563	1.5%	98	1.5%	1 263	1.4%
Romania	79	1.1%	1 617	1.6%	89	1.3%	1 893	2.1%
OTHERS	365	5.3%	7 103	7.0%	598	8.9%	9 649	10.5%
Total	6 953	100.0%	101 267	100.0%	6 686	100.0%	92 152	100.0%

Source : Trademap

3.7.1

Route to Market: Taps & Mixers / Faucets
BG - ESTIMATED DISTRIBUTION FOR TAPS & MIXERS / FAUCETS: 2019

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	78.2%
	Wholesalers / Merchants
	78.2%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	0.9%	2.0%	11.1%	13.0%	7.1%	9.0%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	2.9%		24.1%		16.1%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
0.9%	2.5%	0.5%	6.0%	4.1%
Installers				
13.9%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	0.4%	46.7%	1.9%	16.1%	10.0%	12.1%	1.5%	5.0%	0.5%	2.0%	2.0%	1.8%
	Residential						Non-Residential					
	87.2%						12.8%					
	New Build			Residential RMI			New Build			Non-Residential RMI		
	7.1%			80.1%			7.0%			5.8%		
	Project		Non-Project	Project		Non-Project	Project		Non-Project	Project		Non-Project
	0.5%		6.6%	7.0%		73.1%	0.4%		6.6%	0.5%		5.3%

3.7.2

Route to Market: Taps & Mixers / Faucets
BG - ESTIMATED DISTRIBUTION FOR TAPS & MIXERS / FAUCETS: 2024

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	75.0%
	Wholesalers / Merchants
	75.0%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	1.3%	2.7%	13.0%	12.0%	6.0%	11.0%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	4.0%		25.0%		17.0%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
0.7%	2.5%	1.0%	6.0%	5.0%
Installers				
15.2%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	3.1%	40.8%	2.2%	17.0%	10.0%	13.6%	0.9%	6.0%	0.8%	2.0%	2.0%	1.6%
	Residential						Non-Residential					
	86.7%						13.3%					
	New Build			Residential RMI			New Build			Non-Residential RMI		
	5.6%			81.1%			7.0%			6.3%		
	Project		Non-Project	Project		Non-Project	Project		Non-Project	Project		Non-Project
	0.4%		5.2%	6.0%		75.1%	0.4%		6.6%	0.5%		5.8%

Source: BRG Based on Industry Interviews. N.B. Include both Kitchen and Sanitary Taps & Mixers / Faucets - Totals may vary due to roundings

3.7.3 Route to Market - Consolidated View : Taps and Mixers / Faucets

BG - ESTIMATED DISTRIBUTION FOR TAPS AND MIXERS / FAUCETS : 2019

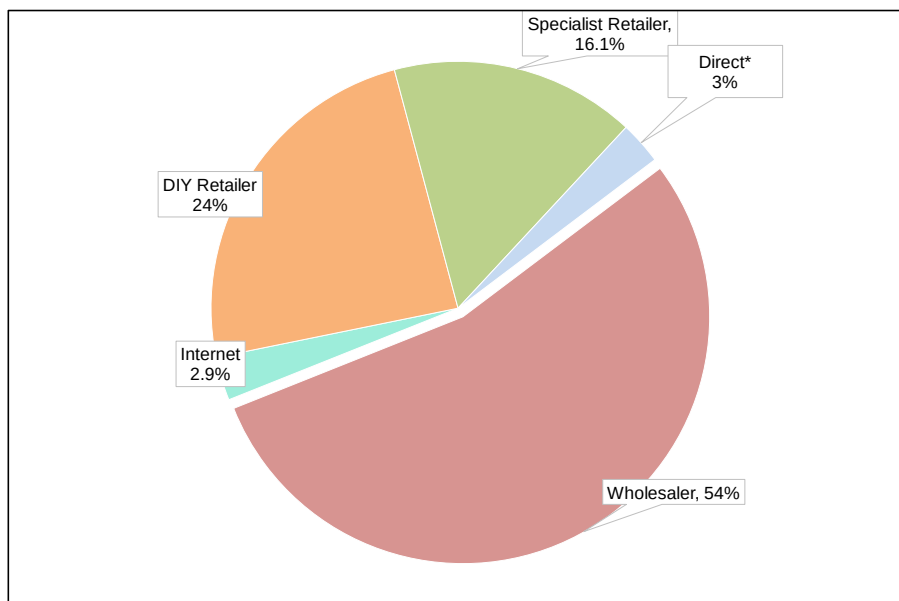
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
54.2%	2.9%	24.1%	16.1%	2.8%	7.5%	0.9%	79.7%	11.9%
100%					8.4%		91.6%	

3.7.4 Route to Market - Consolidated View : Taps and Mixers / Faucets

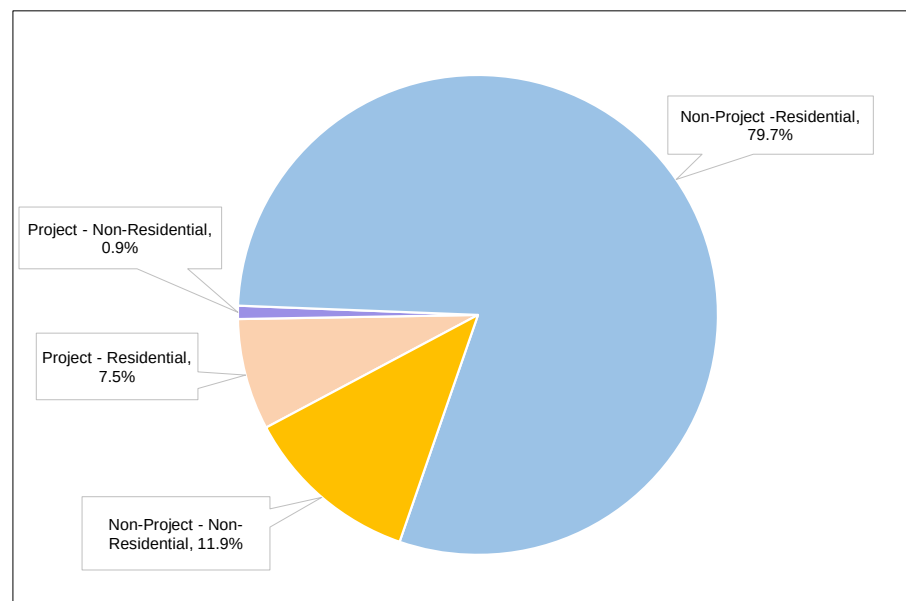
BG - ESTIMATED DISTRIBUTION FOR TAPS AND MIXERS / FAUCETS : 2024

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
49.3%	4.0%	25.0%	17.0%	4.7%	6.4%	0.9%	80.3%	12.4%
100%					7.3%		92.7%	

BG - SALES OF TAPS AND MIXERS / FAUCETS BY DISTRIBUTION CHANNEL: 2019



BG - SALES OF TAPS AND MIXERS / FAUCETS BY POINT OF DECISION AND END-USE SECTOR: 2019



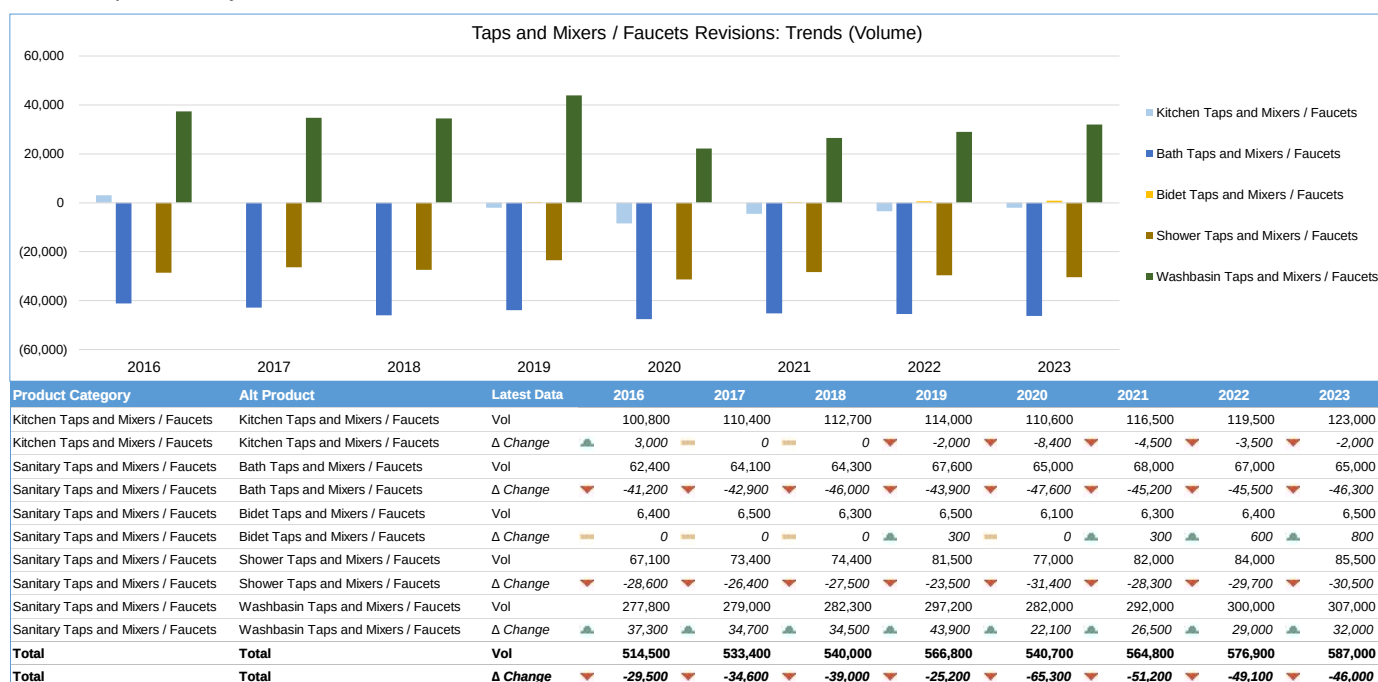
Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

3.8 Revisions in the Bulgarian Taps and Mixers / Faucets Market (July 2020)

BG - REVISIONS IN THE BULGARIAN TAPS AND MIXERS / FAUCETS MARKET

Data Comparison: July 2019



The historical shares of particular product groups within the bathroom taps and mixers market have been revised, based on the industry feedback, according to which demand for washbasin mixers is higher, at lower sales of bath and shower models.

BULGARIA

SHOWER WALL

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



Market Characteristics and Product Mix

The market for shower walls has seen a relatively recent development in line with a trend seen also in other transition economies, as the first shower enclosures were introduced in the early 1990s. In the years up to 2007, the shower wall products market grew significantly, driven also by dynamic sales of bath screens, which first appeared on the Bulgarian market in 2003. Similarly, the segment of conventional shower cubicles showed good rates of annual growth before the 2008 crisis, despite the fact that the development has been profoundly impacted by the fluctuation in new housing output and RMI activity. Sales of shower cubicles, however, never met the same level of market expansion as shower enclosures due to their greater space requirements and higher upfront costs.

Historically, the price driven nature of the market and the limited product availability resulted in the vast majority of households in Bulgaria opting for curtains to equip their bath. Even though the offers on the Bulgarian shower wall market have considerably increased in terms of product range, the segment's growth remains largely driven by sales of shower enclosures/doors, whose development has also benefited from the increased market penetration of shower trays.

Sales of shower enclosures are dominated by glass models. The Bulgarian market has shown a high preference for the corner entry type in recent years, together with side wall product alternatives. Due to their lower prices, in the last decade sliding doors were the most popular door type chosen for shower enclosures/doors. The shares of the two product groups, have been, however, gradually decreasing in shares, primarily to the benefit of side wall models, which in 2018 even outsold corner entry shower enclosures. Finally, sales of conventional shower cubicles, which are mainly made of glass, seem to be mainly sustained by the demand from the non-housing sector.

Recent Market Trends

In 2019, demand for shower wall products saw a very good rate of expansion across all the product categories, which can be attributed to the ongoing recovery of the economy, growing consumer confidence, continued rise in private consumption, and, last not least, impressive growth observed in the new dwellings output.

The overall market growth is mostly driven by sales of shower enclosures, which considerably increased in 2019 in the new housing market, although most sales go to the RMI segment. Overall sales of bath screens recorded a positive growth rate in 2019, benefitting from an increase recorded in bath sales that year. The shower cubicle segment saw an increase in sales, similarly driven by growing demand from the new residential market.

Sliding doors remained the most popular door type for shower enclosures in the Bulgarian market, due to their price appeal when compared to other types of doors. Also, Bulgarian bathrooms remained characterised by contained dimensions, hence this type of application is perceived as more suitable for the reduced space. Pivoting doors are the least in demand; it was reported that they are not as practical as the side wall, which continues gaining a foothold in the market.

Within the bath screen segment, in terms of screen type, single models dominated product mix for years, although their segment share has been gradually decreasing, mostly to the benefit of double bath screens, as of 2019 ranking second largest in terms of sales volume. Demand for folding models also has been growing, remaining however, considerably weaker than demand for the two largest product groups. Sales of sliding bath screens kept increasing, although, as of 2019, still only represented a marginal portion of the market.

Prices and Market Values

In 2019, the overall average manufacturer's selling price (MSP) for shower wall products continued to grow, in line with increasing production costs, including both material and labour costs, which directly affected the MSPs for particular product types.

Despite the recovery of the country's economy observed in recent years, reflected in a gradual shift towards higher-priced products, in overall terms, consumers still mostly opted for affordable bathroom products, with the bulk of shower wall sales generated by the sales of products from the economy price segment.

Improving economic conditions in recent years resulted in increased consumer preference for bath screens rather than traditional curtains, with a positive impact on both demand and supply, although this trend may be weakened as a result of the deteriorating economic conditions following the COVID-19 outbreak. Sales of shower enclosures are also pitched at the economy/lower price segment, accounting for the majority of the market value.

New Housing

Sales of shower wall products to the new housing sector were boosted by very good growth rates of growth within the residential sector, which saw the highest number of new dwellings since 2011. The new housing end-use segment has always held a relatively small share of overall shower wall sales in Bulgaria, however, the growth rate recorded in 2019 was so fast that the sales of shower wall products to the new housing market actually contributed to the entire underlying market growth. In terms of product categories, shower enclosures contributed most to the segment's development in 2019, although all product types grew at a very good pace.

The new housing market for shower walls remained dominated by the shower enclosures segment, in volume terms, accounting for three times as many bath

screens. Conventional shower cubicles remained a niche product, while sales of hydrotherapy shower cubicles were marginal.

Housing RMI

The housing RMI segment continued to be the key driver of demand for shower wall sales, although in 2019, recorded a very slight decline, on the back of considerable growth rates observed in 2017 and 2018. Increasing wages and growing household disposable income further benefited growth in private consumption and kept home improvement spending at a high level. Sales of bath screens and shower enclosures practically stagnated, while hydrotherapy shower cubicles experienced a moderate growth rate, however, in overall share terms, sales remained marginal.

Like in previous years, shower enclosures accounted for well over half of the total product volume sold to the RMI segment, whereas sales of bath screens generated more than a quarter of the product mix.

Non-Housing

The overall sales of shower walls to the non-housing end-use segment continued to grow in 2019. This increase is in line with industry feedback stating that demand from hotels and holiday apartments is recovering and also in line with the BNSI data indicating that non-housing construction activity is increasing, particularly in the hotel/accommodation and new office segments. Shower enclosures were by far the largest product group within the non-housing end-use segment, growing faster than the bath screen segment. In 2019, sales of conventional shower cubicles recorded a very good growth rate, already holding a substantial portion of the segment, whereas the number of hydromassage shower cubicles installed in the non-housing market was still relatively small.

Supply Structure

In 2019, sales of shower wall products remained characterised by a large volume of imports both from other European countries, as well as from China and Turkey.

Sales of bath screens and shower enclosures are led by the Austrian SANOTECHNIK, offering a balanced product portfolio, focusing mainly on the economy and middle prices segments, but with a considerable part dedicated to consumers looking for upper-class products.

The only domestic manufacturers, which held any substantial market shares were: EMIR, ranking the second largest player on two markets, bath screen and shower enclosures, AB GROUP, ranking third largest provider of shower enclosures, and VICARD, which is the largest player on the hydrotherapy shower cubicles segment. EMIR is based in Varna and also imports raw materials from Turkey. The shower cubicle market is practically only supplied by importers, with the main player being SANOTECHNIK.

Other large players on the shower wall market include: the Czech RAVAK, as well as GEBERIT and IDEAL STANDARD.

Forecasts

Given the exceptional circumstances related to the spread of the COVID-19 virus and measures in place for its containment, forecasts for 2020 and beyond are based on the latest information available at the time of publication. BRG has attempted to factor in the latest developments – see Macroeconomic data in Table II.3, and supporting summary table at the end of the Background section.

After a very good performance in 2019, the Bulgarian economy was hit by the COVID-19 pandemic outbreak. Bulgaria's recovery from the 2008 financial crisis, which started to be palpable in 2015/16 and accelerated in 2019, was interrupted and in 2020, the country, like many others around the world, is facing a recession.

All projections for the Bulgarian 2020 GDP growth issued after the pandemic began in Europe, assume a decline, with the values depending on source, from a 4.0% fall (IMF), to 5.9% (Fitch) and 6.5% (S&P), to a 7.0% decrease (EC). Similarly, forecasts by international financial institutions for Bulgaria's GDP growth for 2021 indicate a strong rebound of the local economy (e.g. about 6% by EC and IMF), with moderate growth rates expected in 2022-24.

Growth in consumption, the main driver of the Bulgaria's economic development, is projected to show a positive momentum already in the third quarter of 2020, further improving at the end of the year. The unemployment rate recorded a historical low in 2019 (4.2%) but is expected to double in 2020 and to gradually recover in 2021 (e.g. EC forecasts a 7% unemployment rate for 2020 and 5.8% for 2021, while IMF expects 8% in 2020 and 4.5% in 2021). Average wages, which recorded good gains in the past couple of years, are anticipated to slow down in 2020 and 2021 (e.g. 3.5% up in 2020 and 2.3% in 2021 according to EC). The CPI indicis are likely to fall in 2020 due to large fall in oil prices with EC forecasting the average value to reach 1.1% and remain at a similar level in 2021.

Since international trade constitutes a key segment of Bulgaria's economy (e.g. export accounts for short of two thirds of the country's GDP), deterioration of the economic conditions in other countries, particularly the EU members, will also affect the local market. The EC is anticipating a 13.2% decline in exports in 2020 and a partial recovery, 10.8%, in 2021.

In the aftermath of the COVID-19 outbreak, investments fell drastically. According to EC, forecast total investments in 2020 should decline by 18% with a very slow recovery in 2021, by about 1%, due to high uncertainty in the business, as well as a lowered capacity of the companies to invest.

A relatively mild development of the pandemic in terms of registered cases and mortality, allowed for a shorter period of the anti-pandemic restrictions (compared

to most other countries), with construction, production, distribution and installation activities carried out at a reduced capacity. The delays which occurred in the aftermath, especially in the international trade, are likely to have a drastic impact on the Bulgarian bathroom market; characterised by a high level of imports, including considerable supplies from the Far East. Considering a substantial deterioration of the country's economic conditions, the delays are unlikely to be fully caught up in the second half of the year, therefore BRG expects a sharp decline in overall sales of shower wall products in 2020.

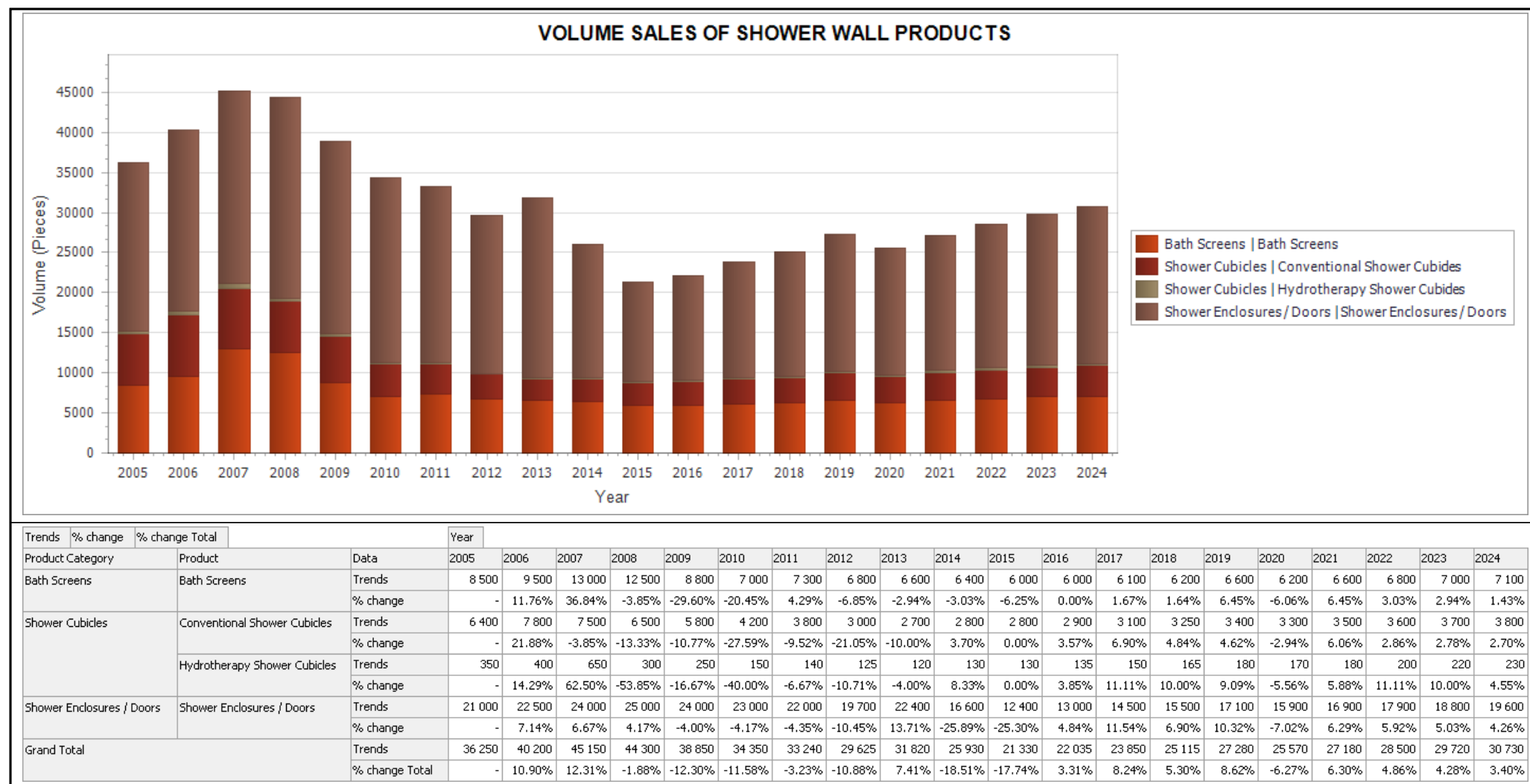
Assuming no second wave of the pandemic will occur, demand is anticipated to rebound in the second half of 2020, with sales in 2021 forecast to show a good recovery, although mostly as a result of a 'low-base' effect.

In the medium- to long-term, with the Bulgarian economy gradually recovering, the shower wall market is anticipated to record moderate growth, driven primarily by the shower enclosures segment, which is forecast to keep growing in line with the increase in demand for synthetic shower trays.

Although weakening demand for baths is anticipated to have a negative impact on bath screen sales, in the long run it should be, however, offset with a growing trend to replace traditional curtains. Sales of conventional shower cubicles should grow at a moderate rate and at low levels, while sales of hydrotherapy shower cubicles are expected to remain marginal, even if showing the fastest rate of growth.

4.2 Historical Trends and Forecasts : Shower Wall

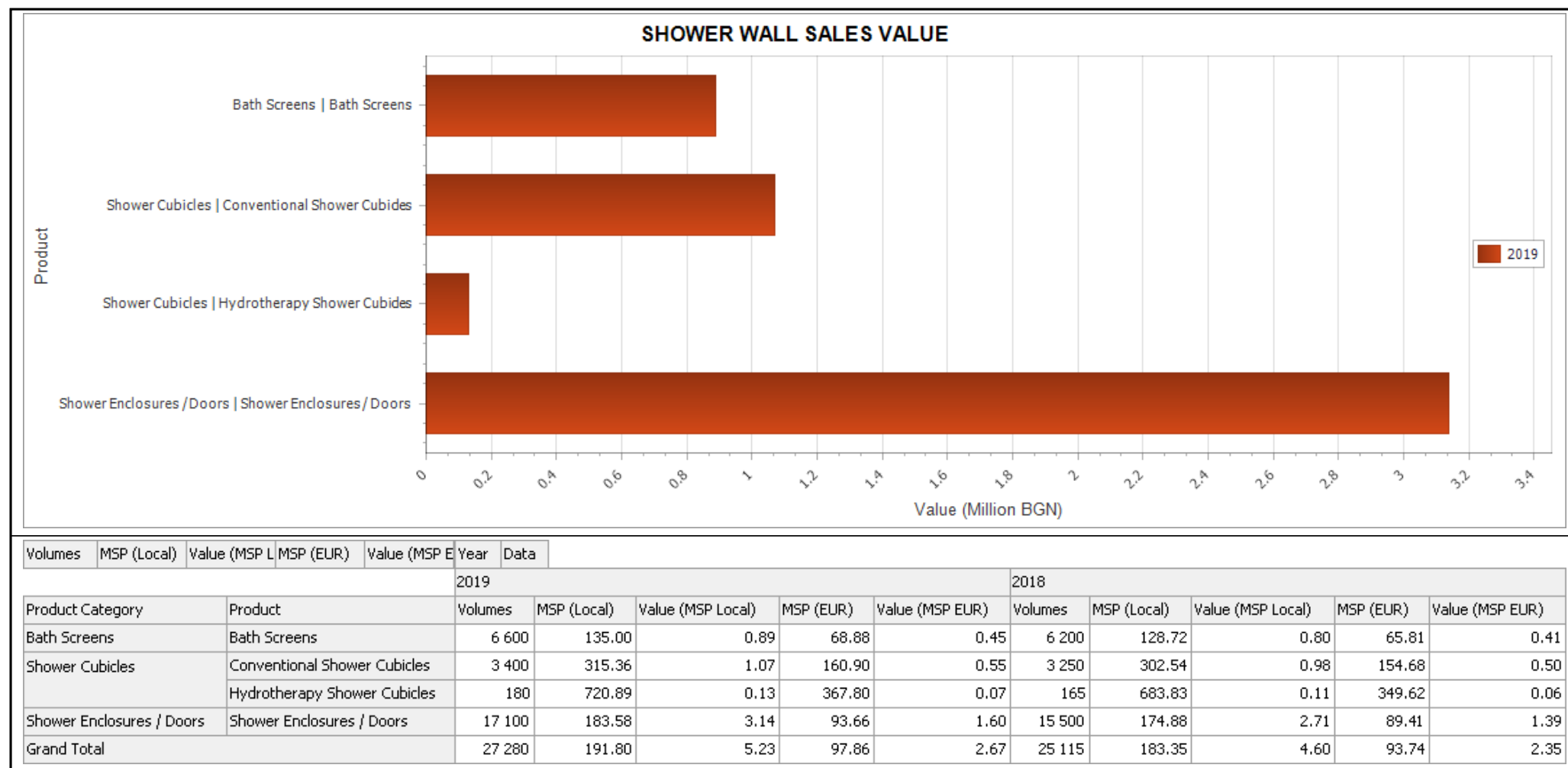
BG - SUMMARY OF TRENDS IN THE SHOWER WALL MARKET : HISTORICAL AND FORECASTS



Source: BRG based on industry interviews.

4.3.1 Prices and Market Values : Shower Wall

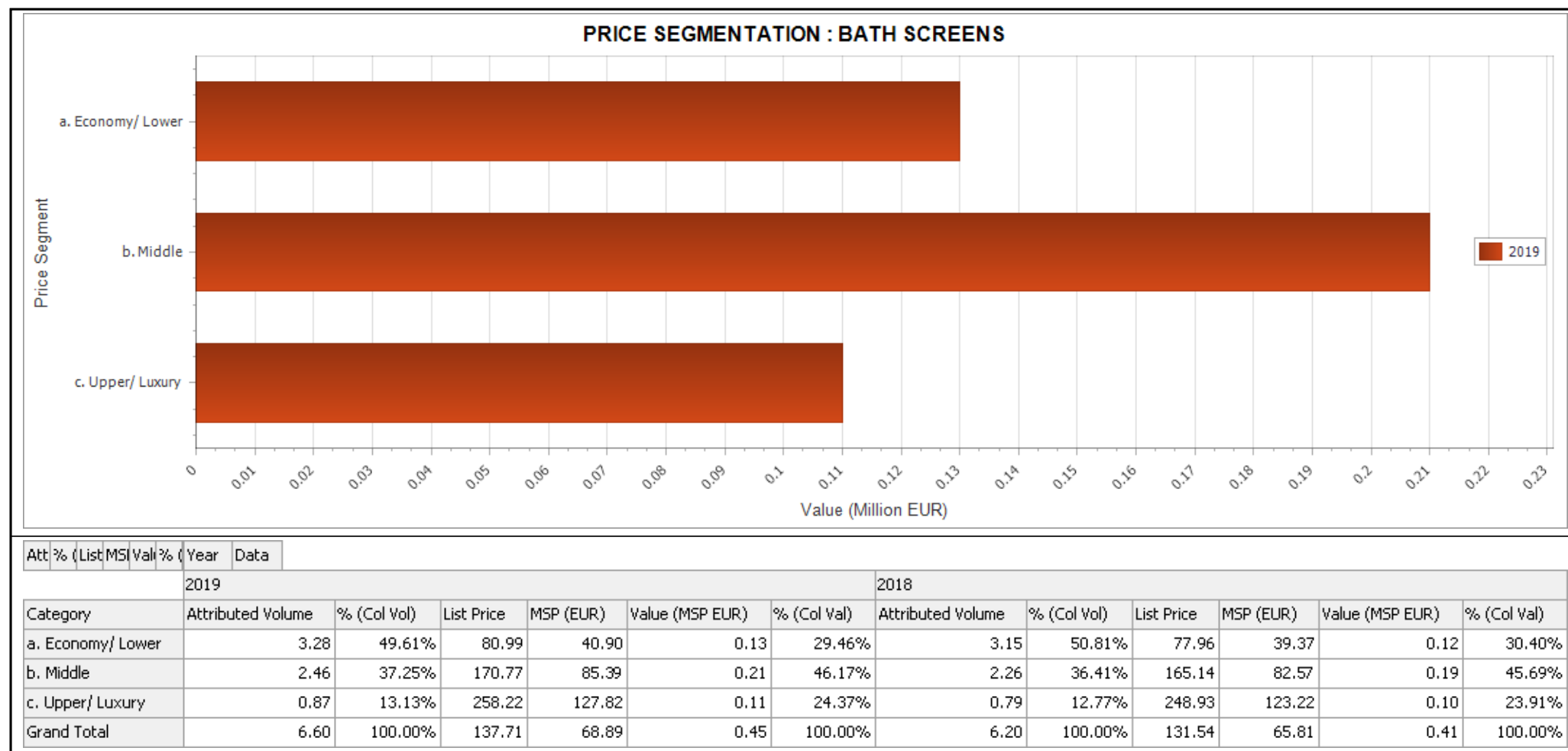
BG - ESTIMATED VALUES OF THE SHOWER WALL MARKET



Source: BRG based on industry interviews. Local Prices Shown in BGN. Values Shown in Millions (at MSP = Manufacturers' Selling Price).

4.3.2 Price Segmentation : Bath Screens

BG - ESTIMATED PRICE SEGMENTATION FOR BATH SCREENS

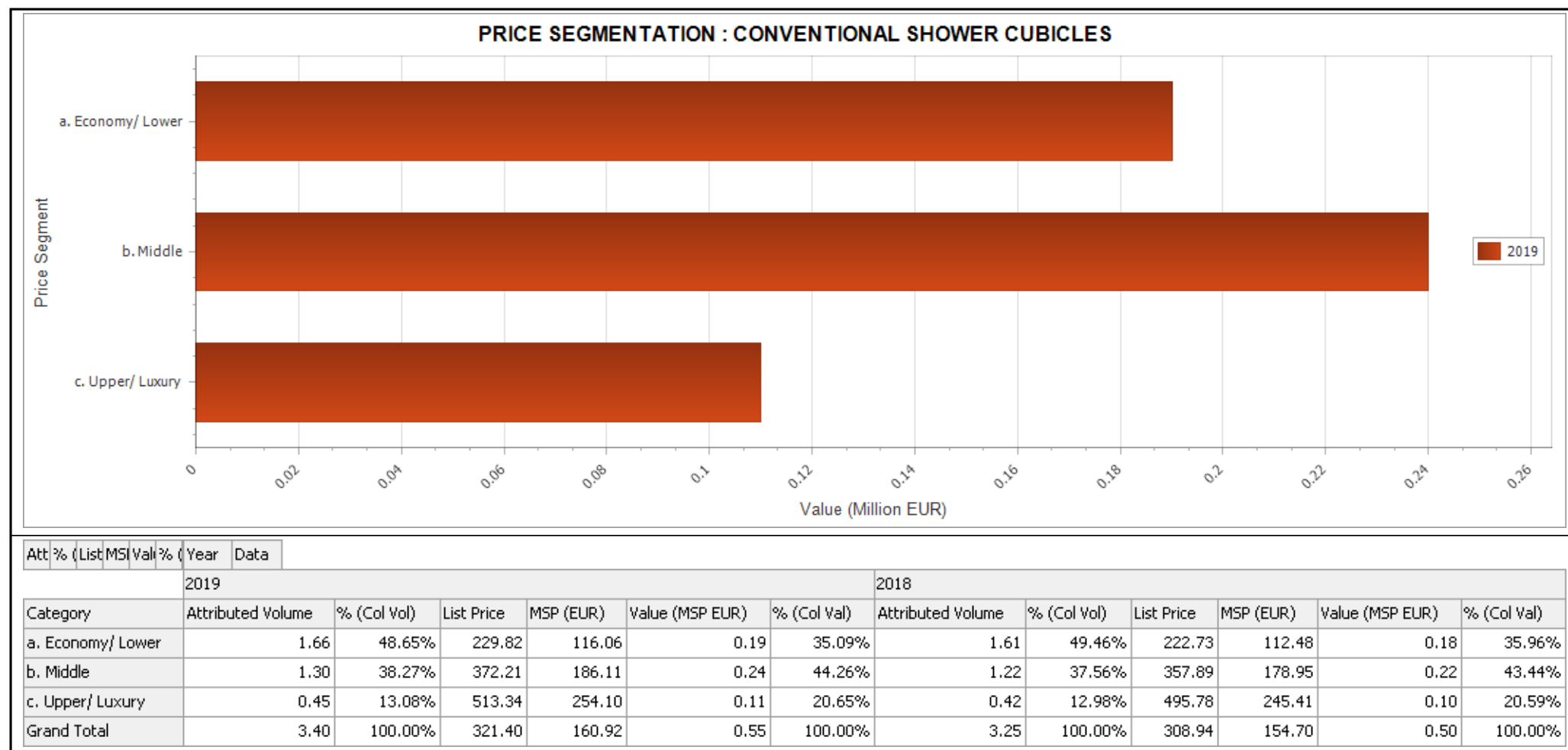


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€60, Middle €60-€100, Upper/ Luxury >€100

4.3.3 Price Segmentation : Conventional Shower Cubicles

BG - ESTIMATED PRICE SEGMENTATION FOR CONVENTIONAL SHOWER CUBICLES

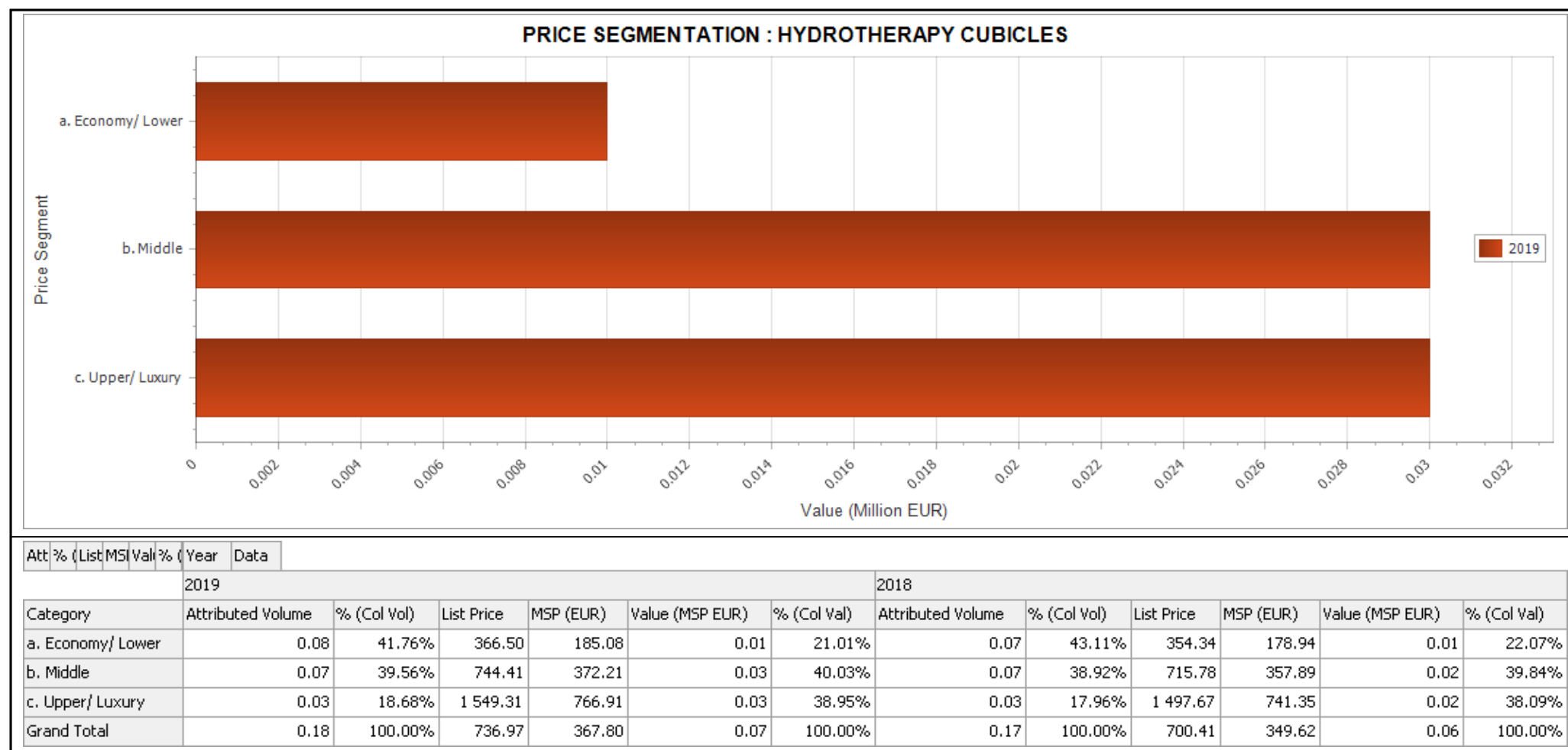


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€130, Middle €130-€200, Upper/ Luxury >€200

4.3.4 Price Segmentation : Hydrotherapy Shower Cubicles

BG - ESTIMATED PRICE SEGMENTATION FOR HYDROTHERAPY CUBICLES

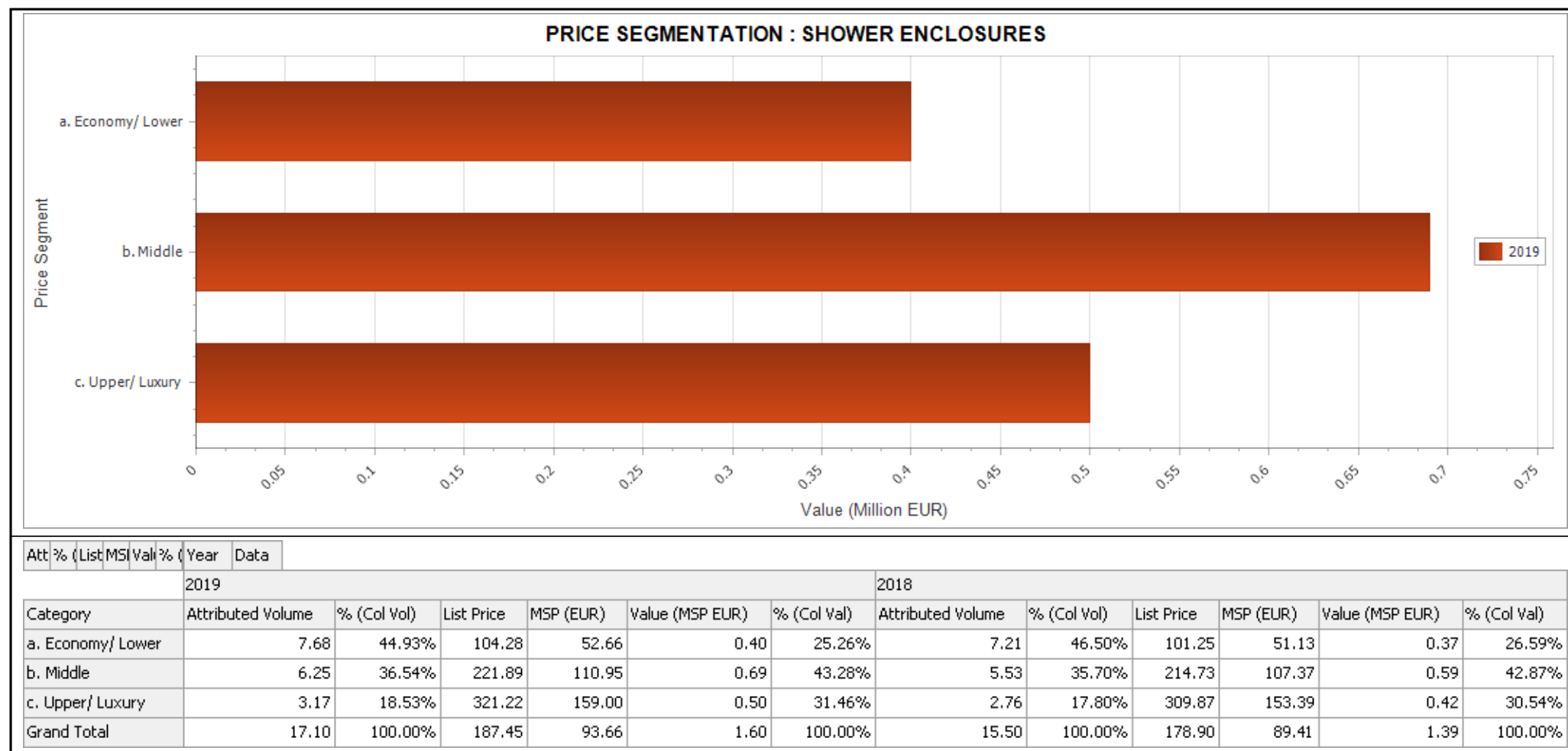


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€300, Middle €300-€600, Upper/ Luxury >€600

4.3.5 Price Segmentation : Shower Enclosures

BG - ESTIMATED PRICE SEGMENTATION FOR SHOWER ENCLOSURES

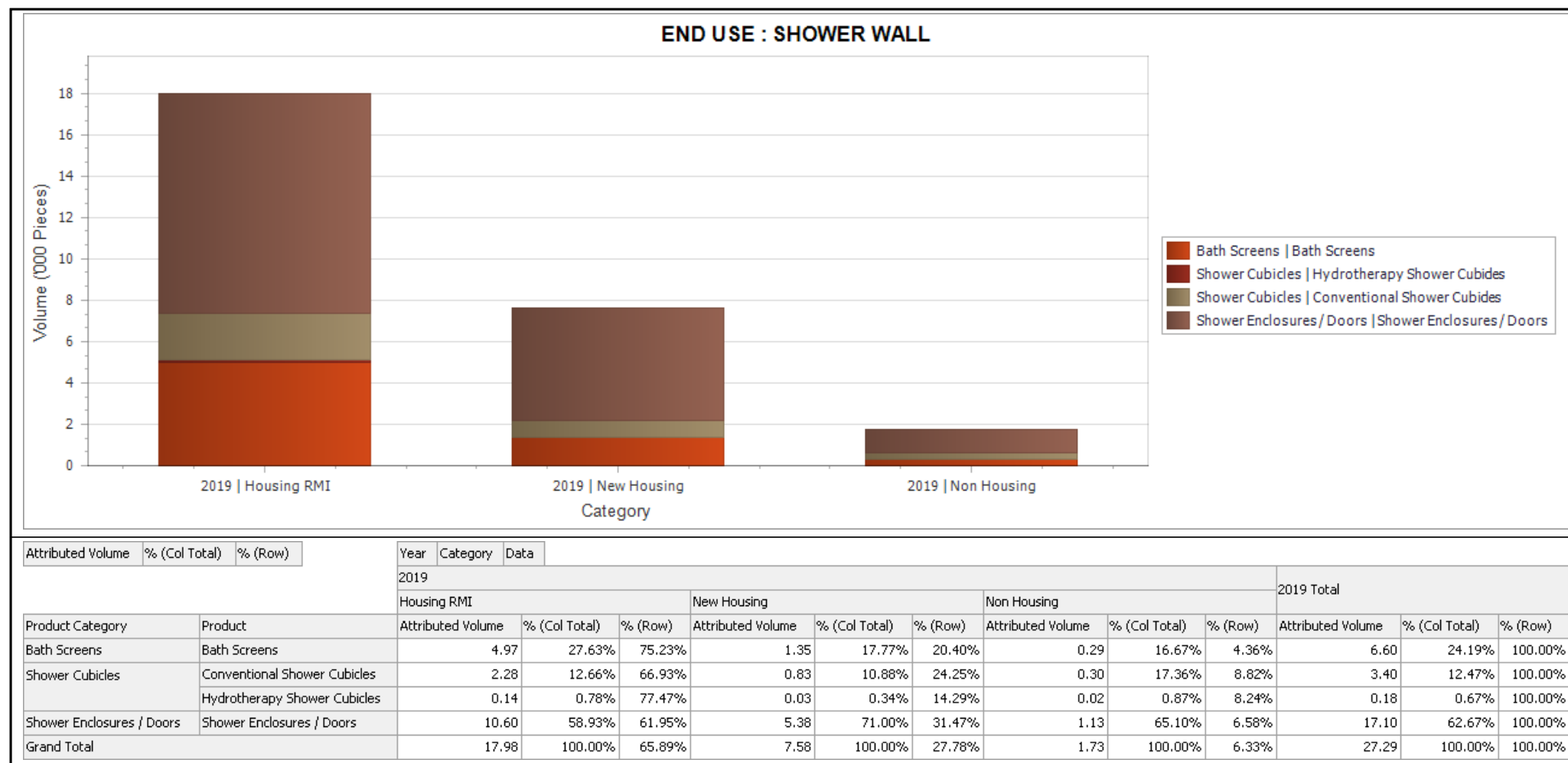


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€70, Middle €70-€130, Upper/ Luxury >€130

4.4.1 End Use : Base Year

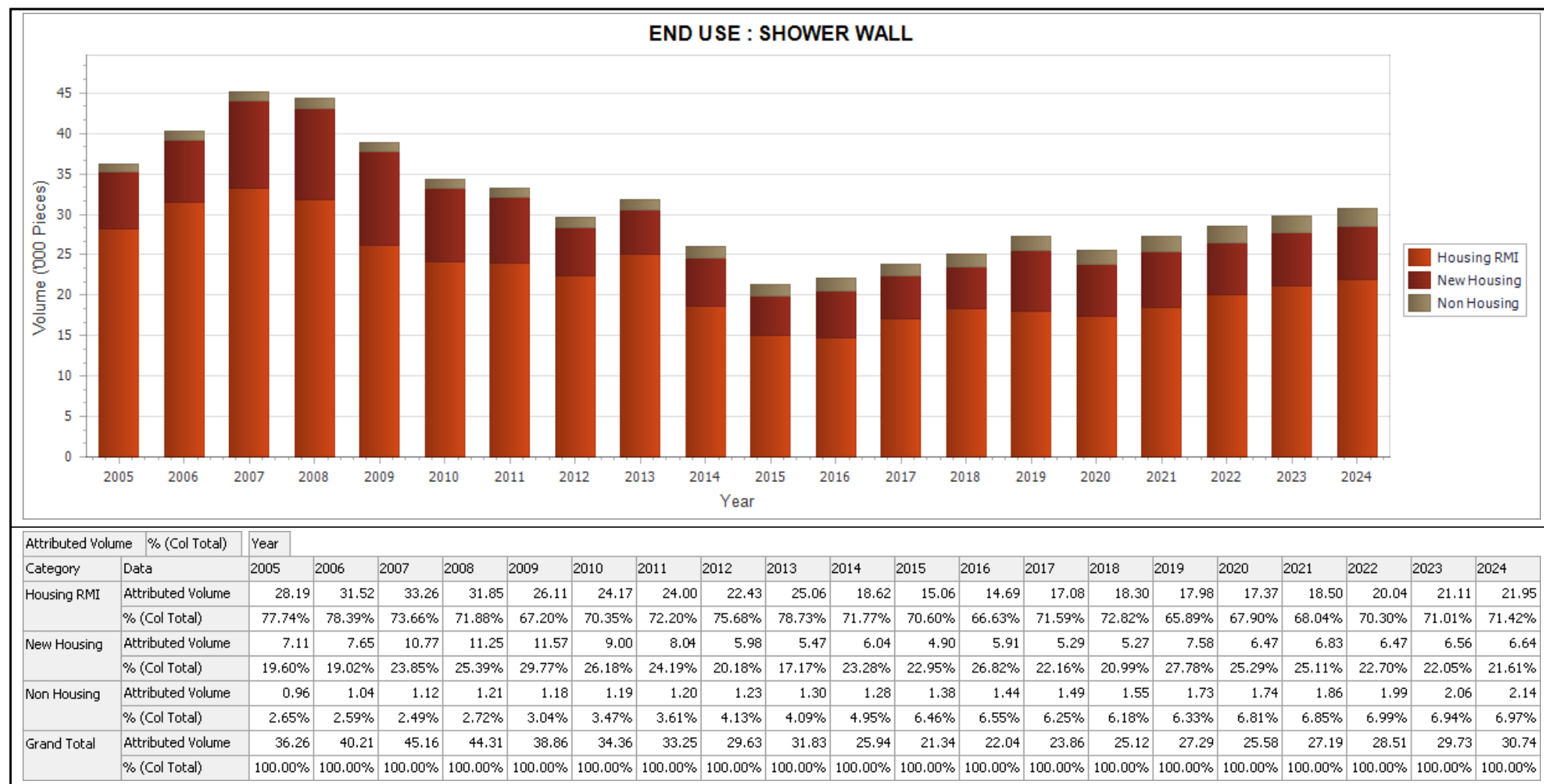
BG - SALES OF SHOWER WALL BY TYPE AND END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

4.4.2 End Use : Historical and Forecasts

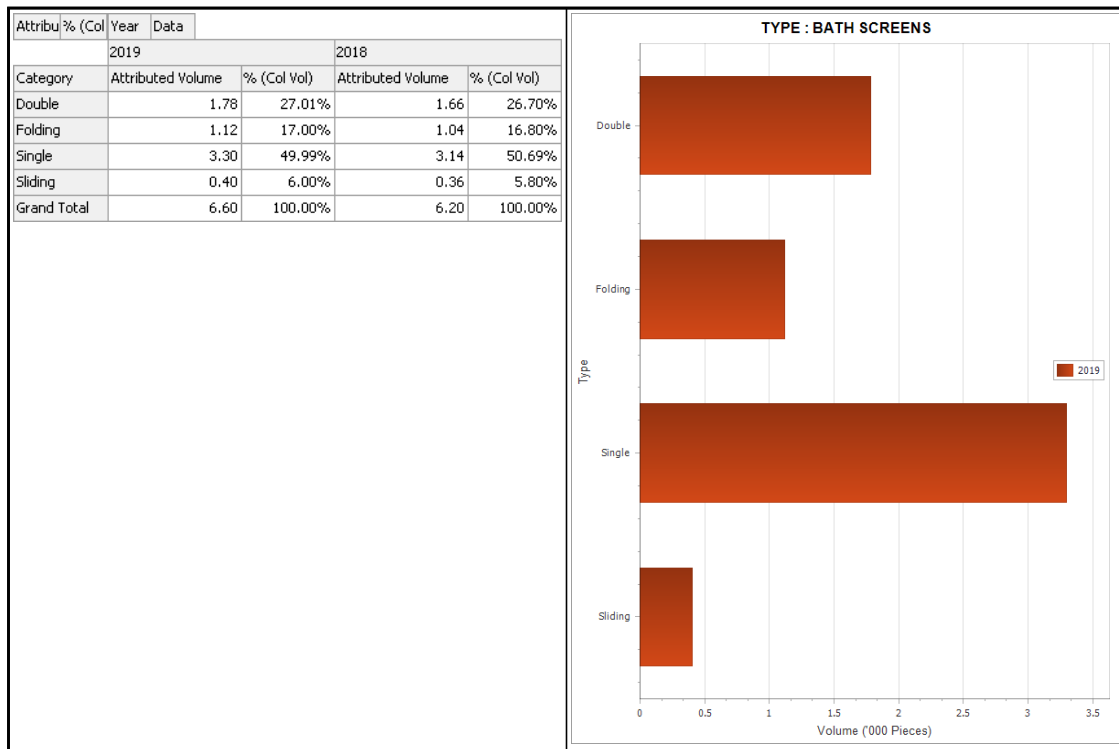
BG - SALES OF SHOWER WALL PRODUCTS BY END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

4.4.3 Sales by Type : Bath Screens

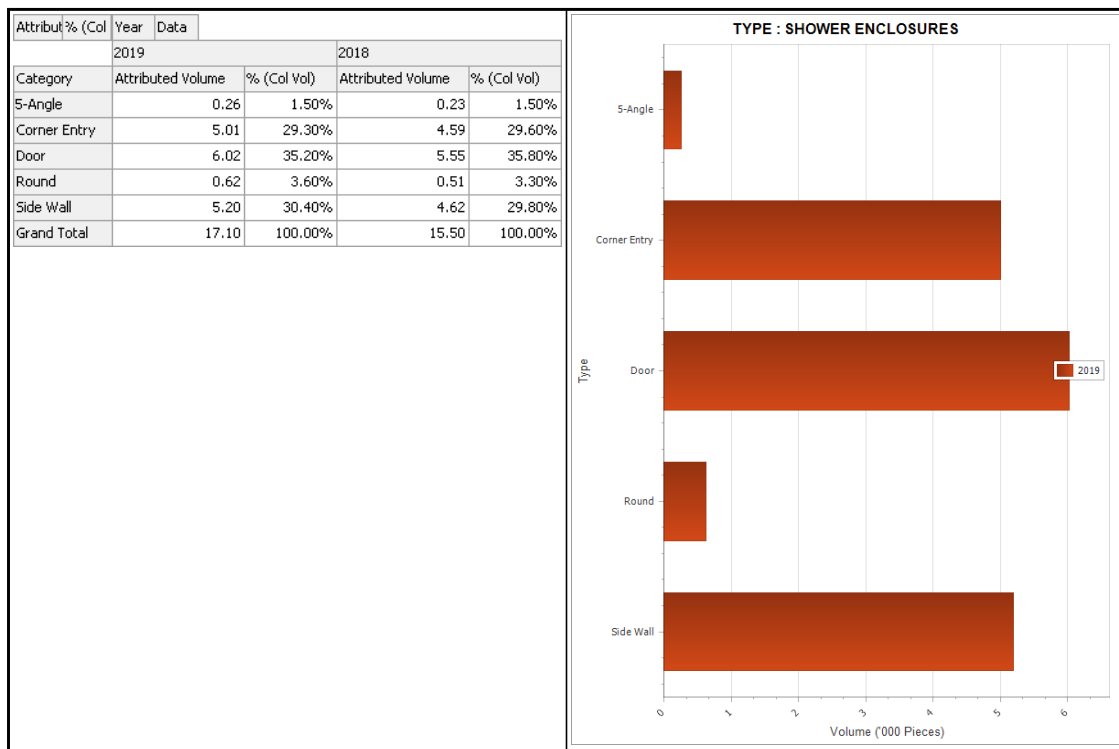
BG - BATH SCREEN SALES BY TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

4.4.4 Sales by Type : Shower Enclosures

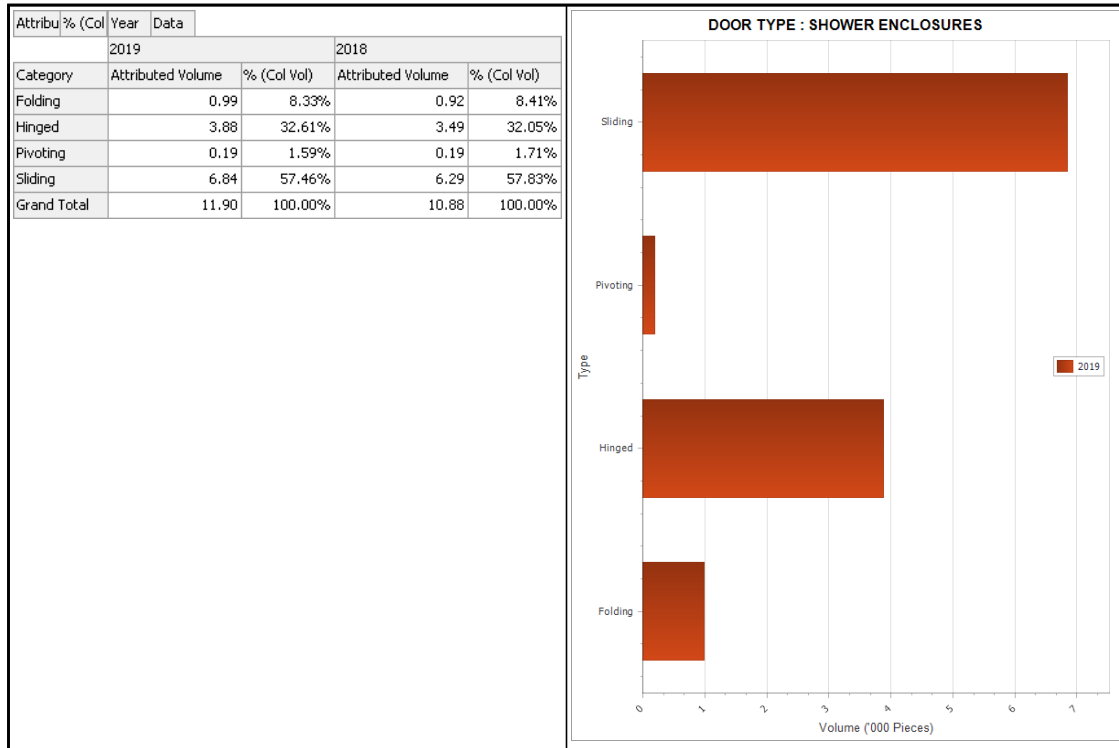
BG - SHOWER ENCLOSURE SALES BY TYPE ('000 PIECES)



Source: BRG based on industry interviews

4.4.5 Sales by Type of Door : Shower Enclosures

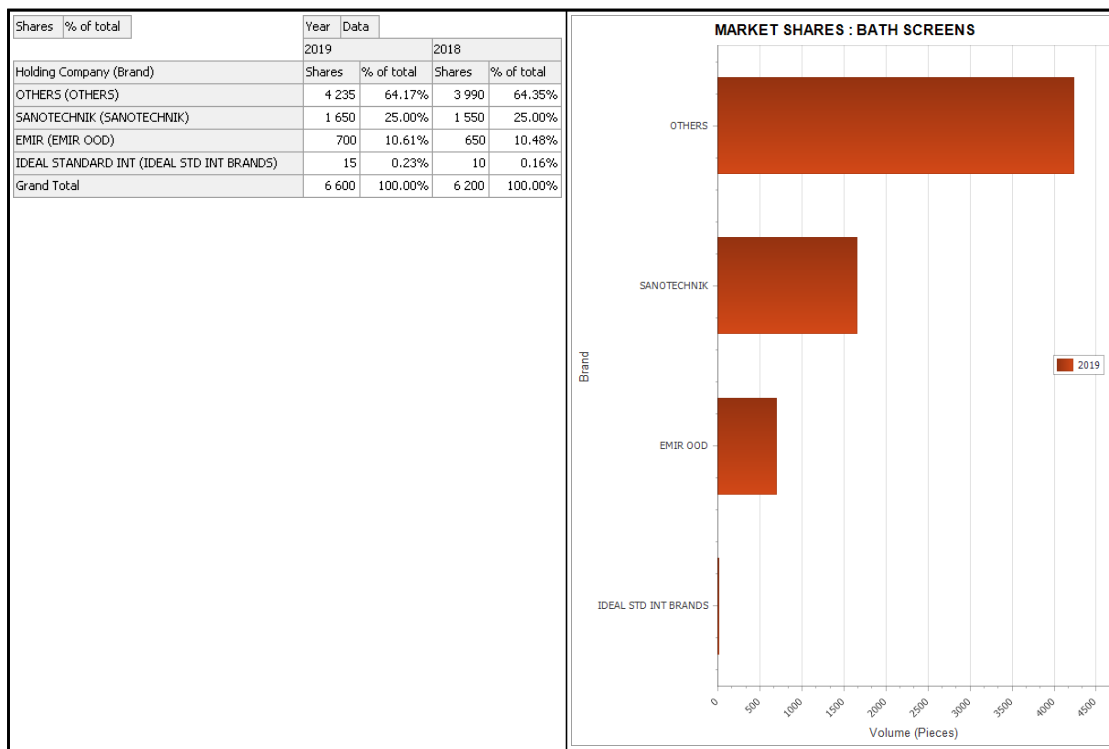
BG - SHOWER ENCLOSURE SALES BY DOOR TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

4.5.1 Market Shares : Bath Screens

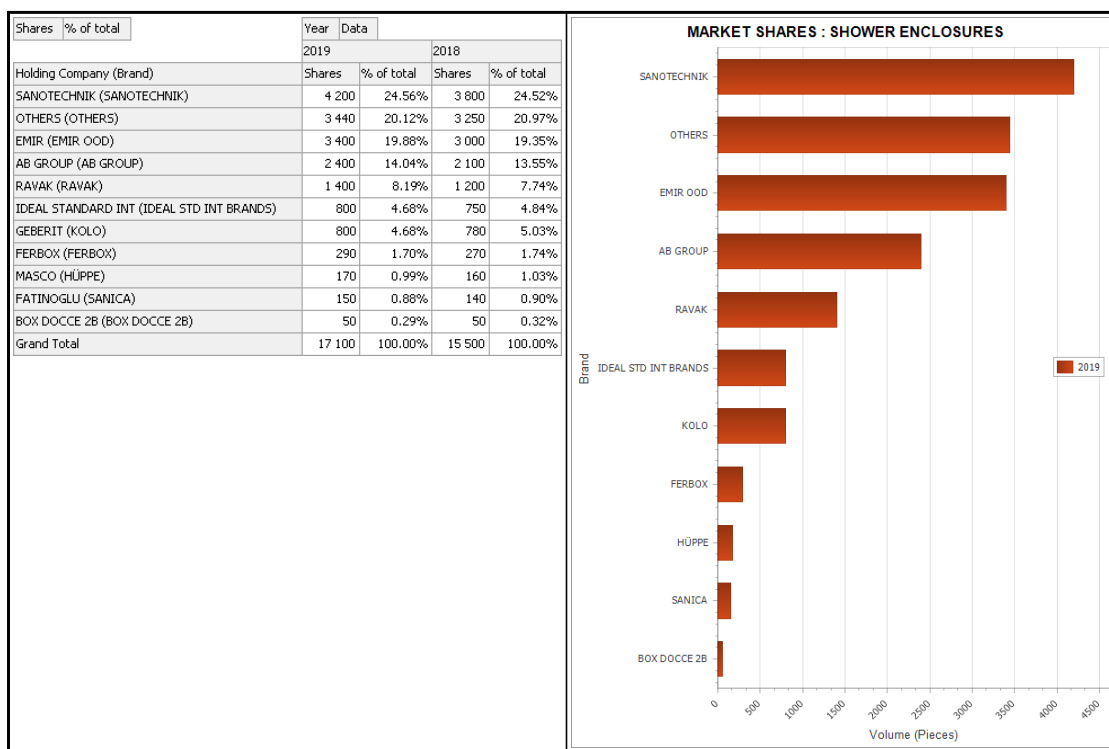
BG - ESTIMATED MARKET SHARES FOR BATH SCREENS



Source: BRG based on industry interviews.

4.5.2 Market Shares : Shower Enclosures

BG - ESTIMATED MARKET SHARES FOR SHOWER ENCLOSURES



Source: BRG based on industry interviews.

4.6.1

Route to Market: Shower Wall
BG - ESTIMATED DISTRIBUTION FOR SHOWER WALL: 2019

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	75.7%
	Wholesalers / Merchants
	75.7%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	0.9%	1.5%	15.4%	8.0%	6.0%	10.0%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	2.4%		23.4%		16.0%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
0.9%	3.0%	0.5%	4.0%	4.2%
Installers				
12.6%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	0.2%	51.0%	1.5%	18.4%	11.0%	11.6%	0.9%	2.2%	0.4%	1.0%	0.8%	1.0%
	Residential						Non-Residential					
	93.7%						6.3%					
	New Build			Residential RMI			New Build			Non-Residential RMI		
	27.8%			65.9%			3.5%			2.8%		
	Project		Non-Project	Project		Non-Project	Project		Non-Project	Project		Non-Project
	1.0%		26.8%	6.0%		59.9%	0.3%		3.2%	0.4%		2.4%

4.6.2

Route to Market: Shower Wall
BG - ESTIMATED DISTRIBUTION FOR SHOWER WALL: 2024

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	73.0%
	Wholesalers / Merchants
	73.0%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	1.3%	2.5%	17.0%	8.0%	6.0%	11.0%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	3.8%		25.0%		17.0%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
0.7%	3.0%	0.9%	4.0%	4.0%
Installers				
12.6%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	1.5%	46.2%	2.2%	19.5%	12.0%	11.6%	0.5%	2.3%	0.7%	1.5%	1.0%	1.0%
	Residential						Non-Residential					
	93.0%						7.0%					
	New Build			Residential RMI			New Build			Non-Residential RMI		
	21.6%			71.4%			3.9%			3.1%		
	Project		Non-Project	Project		Non-Project	Project		Non-Project	Project		Non-Project
	1.0%		20.6%	7.0%		64.4%	0.3%		3.6%	0.4%		2.7%

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

4.6.3 Route to Market - Consolidated View : Shower Wall

BG - ESTIMATED DISTRIBUTION FOR SHOWER WALL : 2019

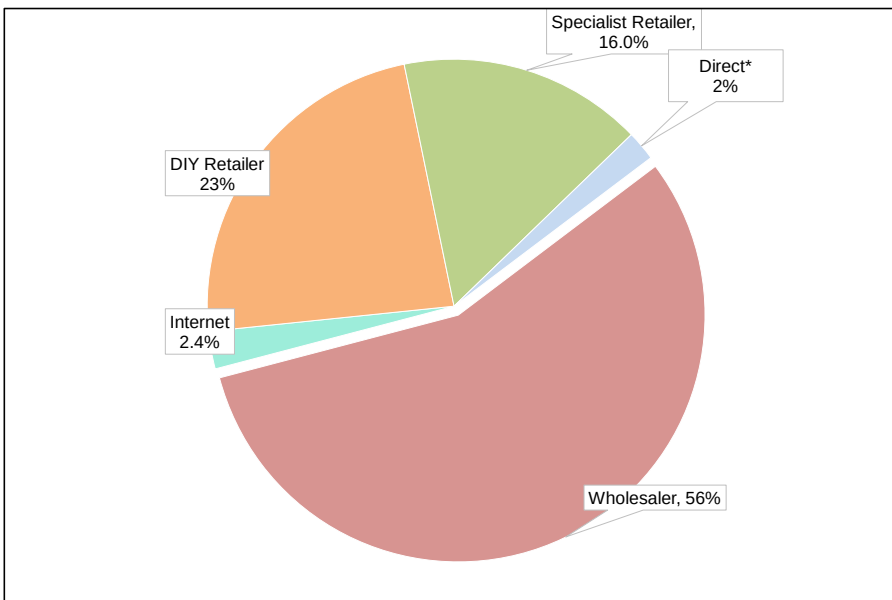
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
56.2%	2.4%	23.4%	16.0%	2.0%	7.0%	0.7%	86.7%	5.6%
100%					7.7%		92.3%	

4.6.4 Route to Market - Consolidated View : Shower Wall

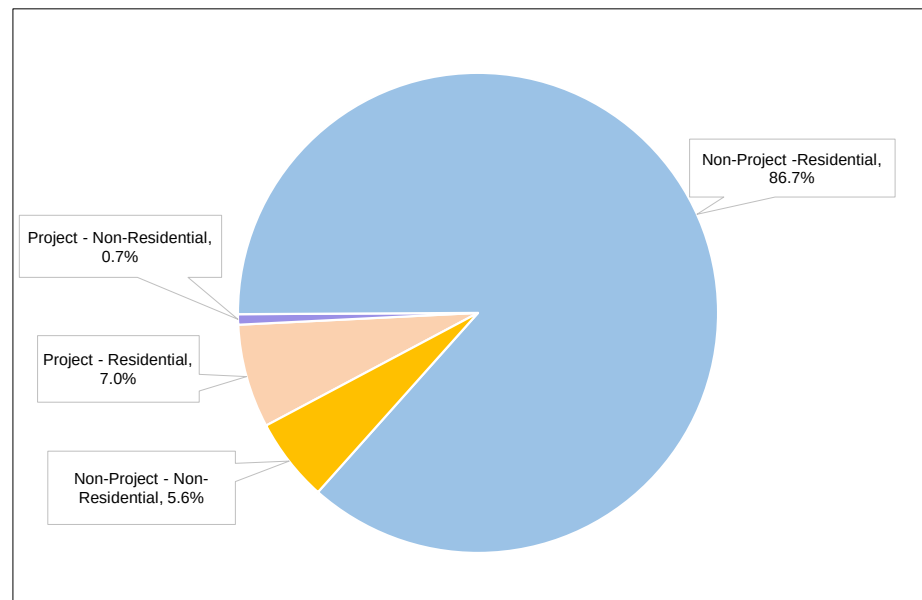
BG - ESTIMATED DISTRIBUTION FOR SHOWER WALL : 2024

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
51.5%	3.8%	25.0%	17.0%	2.7%	8.0%	0.7%	85.0%	6.3%
100%					8.7%		91.3%	

BG - SALES OF SHOWER WALL BY DISTRIBUTION CHANNEL: 2019



BG - SALES OF SHOWER WALL BY POINT OF DECISION AND END-USE SECTOR: 2019



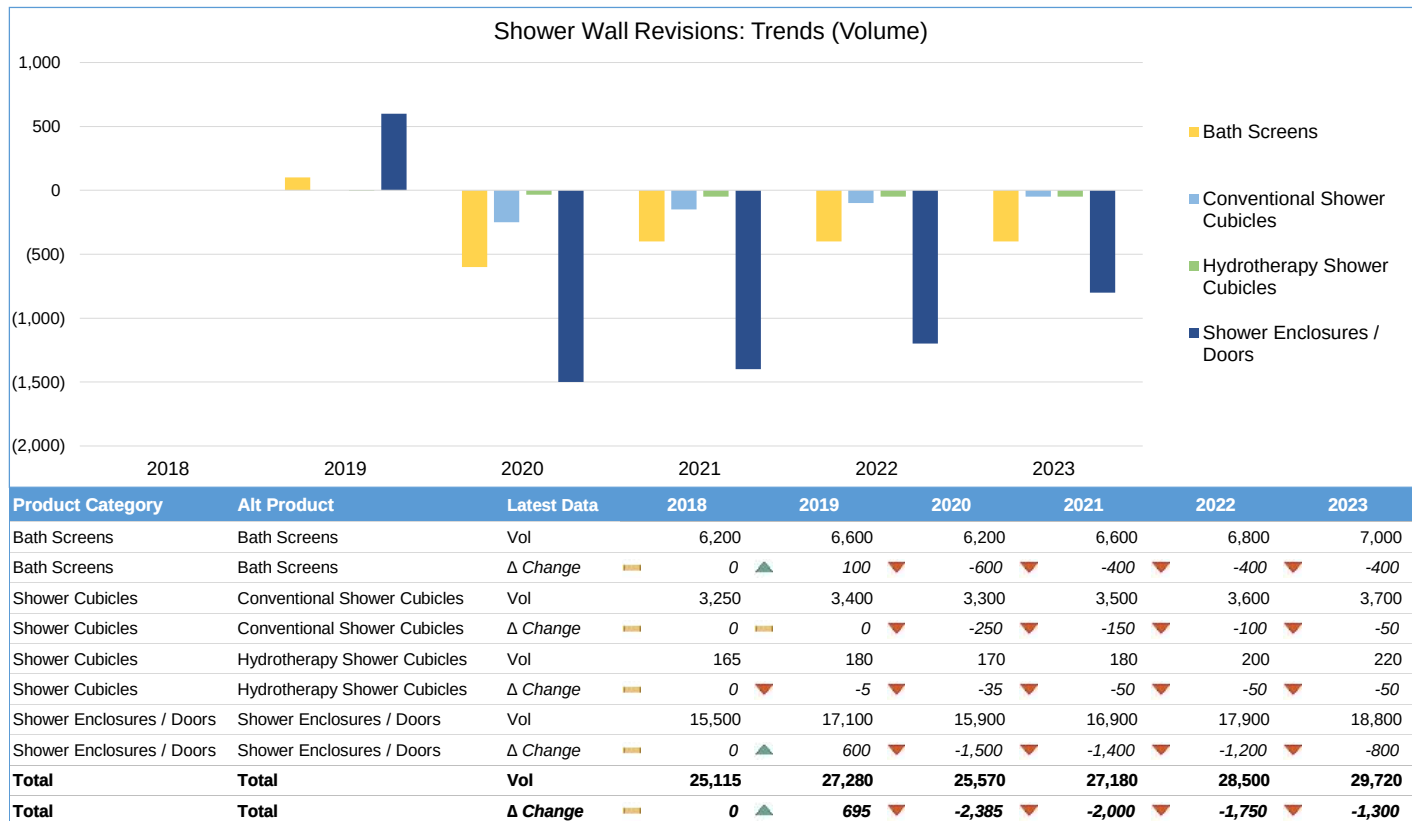
Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

4.7 Revisions in the Bulgarian Shower Wall Market (July 2020)

BG - REVISIONS IN THE BULGARIAN SHOWER WALL MARKET

Data Comparison: July 2019



The 2019 sales volumes have been slightly increased for bath screens and shower enclosures, based on the industry feedback indicating higher than expected demand, particularly in the new housing sector, due to a dramatic increase in the number of new dwellings completions.

BULGARIA

BATHROOM ACCESSORIES

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



Market Characteristics and Product Mix

The Bulgarian bathroom accessories market can be characterised by a low degree of dynamism of some drivers which may be regarded as fundamental, such as the price or product mix, which impact the degree of transformation of the product preference by end-use consumers. Over the last decade, sales of bathroom accessories in the Bulgarian market were considerably boosted by the development of specialist retailers, including IKEA, which commenced trading in Bulgaria in 2011, as well as the DIY segment, the later focusing on the economy price segment. Nonetheless, the success of specialist retailers as driven by discretionary purchases among consumers was also highly dependent on the price accessibility remaining highly dependent on the oscillations of household purchasing power.

The 2008 financial crisis resulted in amplifying the price-driven trend, with a dramatic fall of total sales and consumers shifting to products from the budget price segment. Due to a prolonged economic recession, the first signs of recovery were seen no sooner than in 2013-2014.

Thus, Bulgarian households show an interest in minimalist design and metallic finishes, with sales of synthetic materials remaining strong due to the variety of shapes that these allow. In fact, metal and synthetic keep dominating the market for years, both continuing to increase their shares at the expense of materials such as glass and wood.

The most popular bathroom accessories have historically been towel and bathrobe hooks. A further peculiarity concerns the fact that end-use customers prefer to buy sets of accessories rather than separate products. Thus, accessory products would be purchased separately when replacing an old accessory or if a product is not included in a set. The main material used for accessories is brass, although it was reported by market players that porcelain and glass were gaining a foothold in the market.

Recent Market Trends

In 2019, the overall bathroom accessories market showed a very good growth rate, benefitting from the ongoing recovery in the country's economic conditions, reflected especially in terms of new dwellings output and good growth rates of private consumption as reported by the BNSI, with significant increase in spending in categories such as "home repair", or "home improvement".

The preference for bathroom accessories in the lower priced segment continued to be a relevant trends in 2019. Therefore, the strategy implemented by companies and retailers to attract end-use consumers has been to offer discounts and to strengthen the product offering in the economy and lower segments. For instance, accessories made of stainless steel, which are more marketable than brass in

terms of price. This strategy has also led to a higher penetration of low-quality Chinese products, widely available in DIY stores.

As of 2019, the bulk of bathroom accessories sold still come from the economy price segment, which confirms that functionality and price continue to prevail. Nevertheless, with household disposable income on a growing trend, consumers have been gradually moving towards products from the middle and, to a lesser extent, upper class models.

As in previous years, sales of bathroom accessories remained largely dominated by sales of metal and synthetic models, with other material types being marginal.

Prices and Market Values

The manufacturer's selling price (MSP) for bathroom accessories experienced a slight increase in 2019. The MSPs for particular product types increased primarily due to growing labour and material costs. Intensified competition, combined with the increased presence of imports from China, tempered the MSP hikes, which on average remained slightly above the average inflation level. The competition is particularly high in the economy market segment, with DIY stores, and to certain extent also specialist retailers, maintaining their high share of imports from the Far East in an increasingly fragmented market environment. Also, Turkish products, having gained a foothold in the market continue to contribute to the growing competition, to some extent constraining the market penetration of imports from China.

Sets of three-piece ceramic sanitaryware (soap holder, toothbrush holder and tumbler) have been most in demand. Within the economy price segment, a three-piece set can be purchased for around €10. The segment is mainly supplied by IDEAL FORMA, VENUS, CHROM, FIX PLUS, VISOTA and many unbranded products distributed via supermarkets and DIY stores. In this particular context, the production of IDEAL STANDARD may be regarded within the middle and upper price segments.

New Housing

In 2019, the development of demand for bathroom accessories in the new housing segment was characterised by a very good growth rate, in the aftermath of an excellent performance within the residential construction market.

Among the various products that are sold to the new build sector are toilet brushes. Such products represent one of the most popular purchases in the Bulgarian bathroom accessories market. These are quite popular as they are perceived as convenient and functional; they can play the role of two-in-one accessories and save space in the bathroom as these products are sometimes found with additional functions.

Housing RMI

The RMI segment represents the biggest demand for bathroom accessories, in 2019 accounting for almost two thirds of total sales. This segment continued to see a growth of demand in 2019 as, like in previous year, sales increased at a two-digit rate. Toilet products are reportedly the product for which the replacement rate is the highest since they have a much shorter lifespan than most other bathroom products, such as ceramic sanitary ware for instance. For that reason, combined with the fact that bath accessories are typically the cheapest, the bathroom accessories segment could record growth in the RMI sector, unlike other product groups such as washbasins, or baths. The most important bathroom accessories are believed to be towel and bathrobe hooks and towel holders.

There are various types of towel holders, from free standing to ring models to units fixed to the wall. Sales of fixed and free-standing towel holders recorded moderate growth in 2019, whereas sales of other types saw a more dynamic market performance.

Noteworthy in terms of increased preference is the constantly growing penetration of shower storage units and soap dispensers.

Non-Housing

Overall sales of bathroom accessories in the non-housing segment experienced a very good rate of growth in 2019, on the back of remarkable increase in the non-housing construction market, particularly in the hospitality and office segment.

Among the products sold to the non-residential sector, the majority were toilet paper holders that are usually sold with a complete or partial cover. A few models were still offered without any cover, but these are becoming very rare. Complete covers are reported to be becoming increasingly popular as they protect the toilet paper, mainly from dust and water.

Supply Structure

The Bulgarian bathroom accessories market remains highly fragmented, although the lion's share is accounted for by imports from the Far East, as well as products by multiple international manufacturers such as IDEAL STANDARD, ROCA and INDA. Nevertheless, the largest player, as of 2019, remained a local manufacturer KAPITAN, followed by INTER CERAMIC, distributing Chinese imports under its own brand, and IDEAL STANDARD. Other Bulgarian manufacturers include FORMATIC and FIX PLUS although their shares are considerably lower. Also, the Swedish specialist retailer, IKEA, has been gaining share since its entry in the Bulgarian market, eroding the market share of local specialist bathroom manufacturers, although – in line with its profile – only in the bathroom accessories and bathroom furniture segments.

Forecasts

Given the exceptional circumstances related to the spread of the COVID-19 virus and measures in place for its containment, forecasts for 2020 and beyond are based on the latest information available at the time of publication. BRG has attempted to factor in the latest developments – see Macroeconomic data in Table II.3, and supporting summary table at the end of the Background section.

After a very good performance in 2019, the Bulgarian economy was hit by the COVID-19 pandemic outbreak. Bulgaria's recovery from the 2008 financial crisis, which started to be palpable in 2015/16 and accelerated in 2019, was interrupted and in 2020, the country, like many others around the world, is facing a recession.

All projections for the Bulgarian 2020 GDP growth issued after the pandemic began in Europe, assume a decline, with the values depending on source, from a 4.0% fall (IMF), to 5.9% (Fitch) and 6.5% (S&P), to a 7.0% decrease (EC). Similarly, forecasts by international financial institutions for Bulgaria's GDP growth for 2021 indicate a strong rebound of the local economy (e.g. about 6% by EC and IMF), with moderate growth rates expected in 2022-24.

Growth in consumption, the main driver of the Bulgaria's economic development, is projected to show a positive momentum already in the third quarter of 2020, further improving at the end of the year. The unemployment rate recorded a historical low in 2019 (4.2%) but is expected to double in 2020 and to gradually recover in 2021 (e.g. EC forecasts a 7% unemployment rate for 2020 and 5.8% for 2021, while IMF expects 8% in 2020 and 4.5% in 2021). Average wages, which recorded good gains in the past couple of years, are anticipated to slow down in 2020 and 2021 (e.g. 3.5% up in 2020 and 2.3% in 2021 according to EC). The CPI indicis are likely to fall in 2020 due to large fall in oil prices with EC forecasting the average value to reach 1.1% and remain at a similar level in 2021.

Since international trade constitutes a key segment of Bulgaria's economy (e.g. export accounts for short of two thirds of the country's GDP), deterioration of the economic conditions in other countries, particularly the EU members, will also affect the local market. The EC is anticipating a 13.2% decline in exports in 2020 and a partial recovery, 10.8%, in 2021.

In the aftermath of the COVID-19 outbreak, investments fell drastically. According to EC, forecast total investments in 2020 should decline by 18% with a very slow recovery in 2021, by about 1%, due to high uncertainty in the business, as well as a lowered capacity of the companies to invest.

A relatively mild development of the pandemic in terms of registered cases and mortality, allowed for a shorter period of the anti-pandemic restrictions (compared to most other countries), with construction, production, distribution and installation activities carried out at a reduced capacity. The delays which occurred in the aftermath, especially in the international trade, are likely to have a drastic impact on the Bulgarian bathroom market; characterised by a high level of imports, including

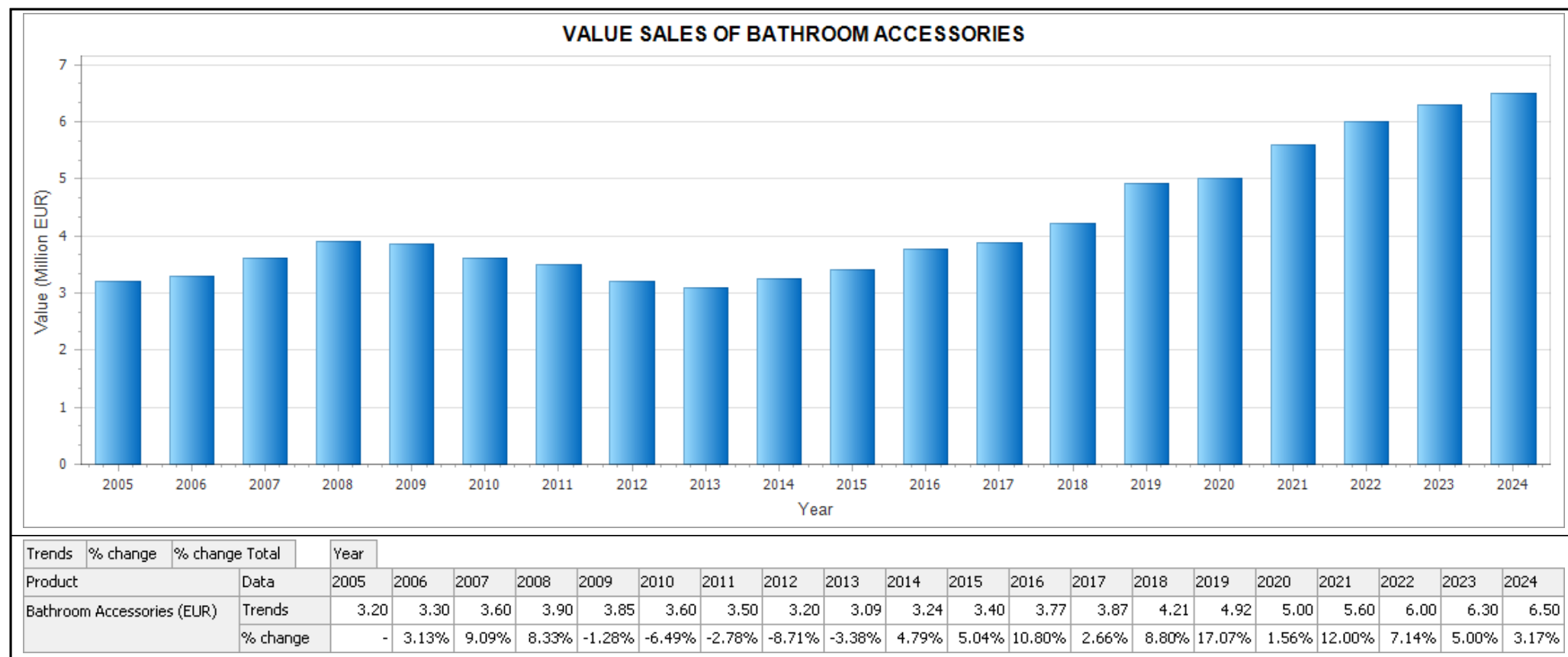
considerable supplies from the Far East. Considering a substantial deterioration of the country's economic conditions, the delays are unlikely to be fully caught up in the second half of the year. However, a strong presence of local providers on the market (e.g. 30% of KAPITAN's revenues come from internet sales), allows for expectations for the impact on the overall sales volume in 2020 to be moderate, with the overall result likely to be on a par with the 2019 sales level.

Assuming no second wave of the pandemic will occur, demand is anticipated to rebound in the second half of 2020, with sales in 2021 forecast to show a good recovery, although mostly as a result of a 'low-base' effect.

In the medium- to long-term, with the Bulgarian economy gradually recovering, sales of bathroom accessories are expected to record moderate growth, driven primarily by demand from the RMI sector. Toilet paper holders are expected to remain the largest product group in terms of sales volume, with partial cover models being most popular, although decreasing at the expense of those models without cover. Bathrobe hooks are expected to continue to record the second largest sales volumes within the product category, with total sales slightly decreasing, however, remaining well above one fifth of the bathroom accessories segment (in terms of volume). Sales of toilet brushes (individual) are expected to remain at a high level and increasing, primarily due to demand from the RMI sector.

5.2 Historical Trends and Forecasts

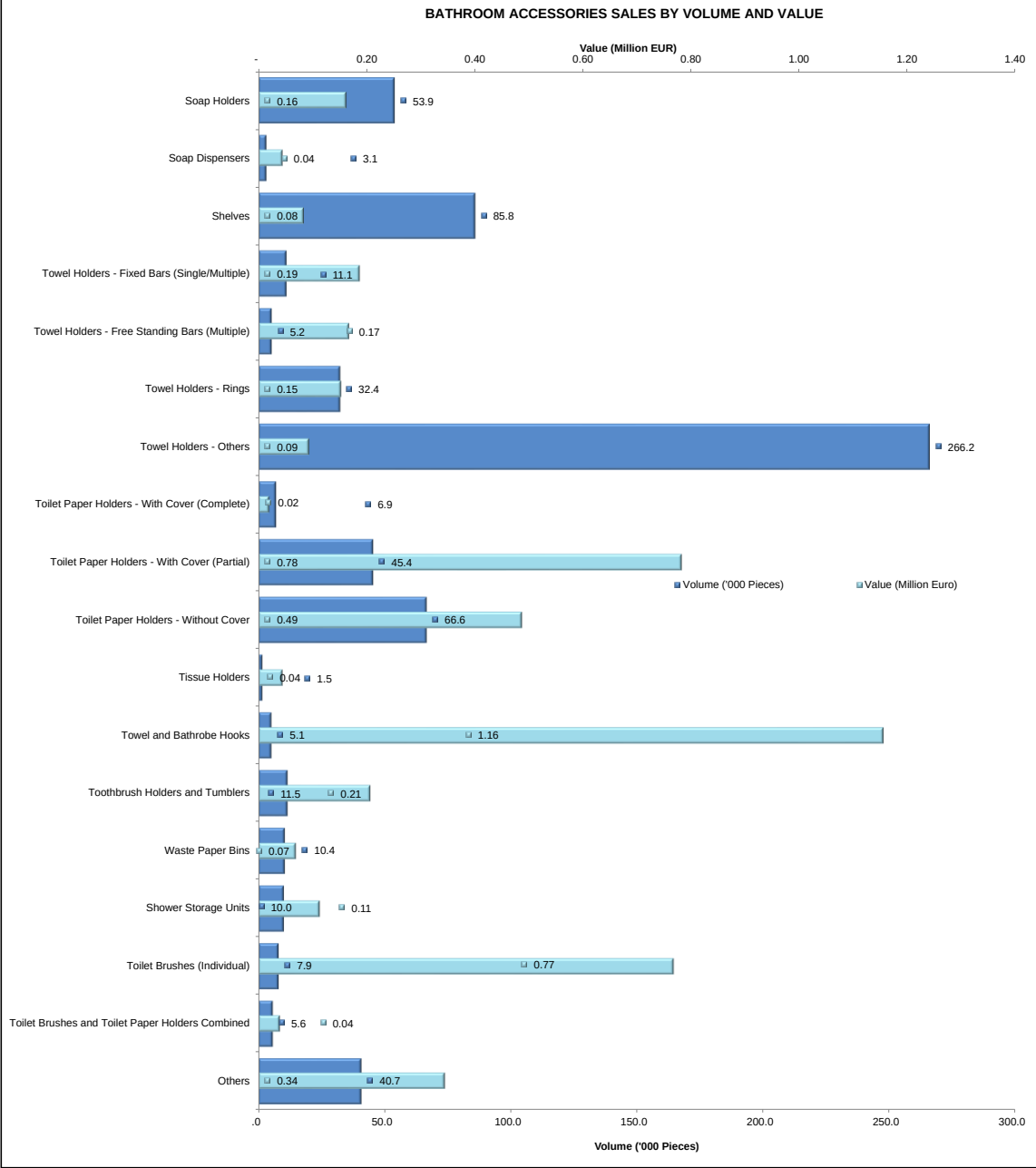
BG - SUMMARY OF TRENDS IN THE BATHROOM ACCESSORIES MARKET : HISTORICAL AND FORECASTS (MILLION EURO)



Source: BRG based on industry interviews.

BG - ESTIMATED VALUES OF THE BATHROOM ACCESSORIES MARKET BY TYPE OF PRODUCT

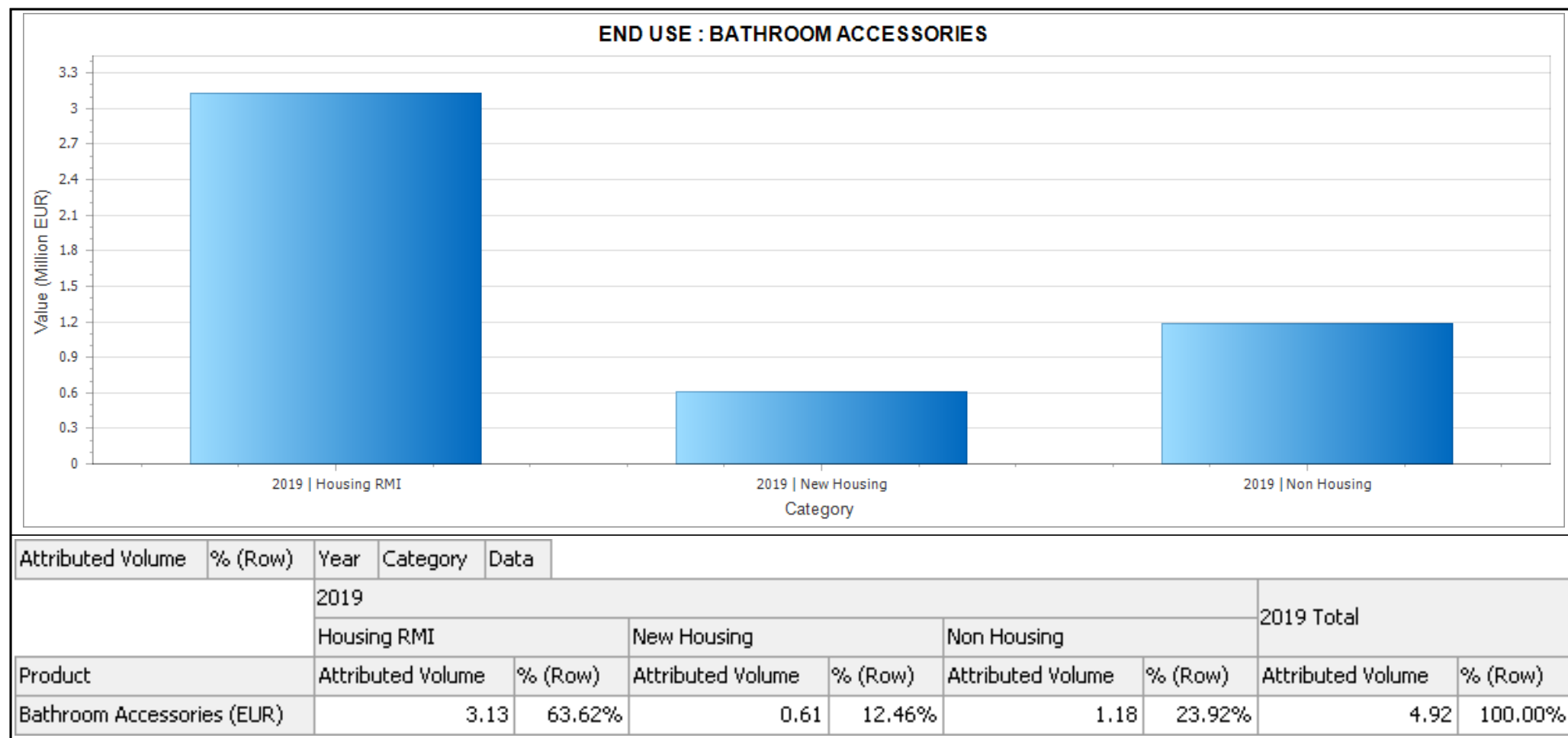
Market Value		2019		
		Volume ('000 Pieces)	Value (Million BGN)	Value (Million EUR)
Soap Holders	Volume / Value	40.7	0.3	0.2
	Share	6.1%	3.3%	3.3%
	Average Price (BGN/EUR)		7.8	4.0
Soap Dispensers	Volume / Value	5.6	0.1	0.0
	Share	0.8%	0.9%	0.9%
	Average Price (BGN/EUR)		15.4	7.9
Shelves	Volume / Value	7.9	0.2	0.1
	Share	1.2%	1.7%	1.7%
	Average Price (BGN/EUR)		20.6	10.5
Towel Holders: Fixed Bars (Single/Multiple)	Volume / Value	10.0	0.4	0.2
	Share	1.5%	3.8%	3.8%
	Average Price (BGN/EUR)		36.5	18.7
Towel Holders: Free Standing Bars (Multiple)	Volume / Value	10.4	0.3	0.2
	Share	1.6%	3.4%	3.4%
	Average Price (BGN/EUR)		31.5	16.1
Towel Holders: Rings	Volume / Value	11.5	0.3	0.2
	Share	1.7%	3.1%	3.1%
	Average Price (BGN/EUR)		26.0	13.3
Towel Holders: Others	Volume / Value	5.1	0.2	0.1
	Share	0.8%	1.9%	1.9%
	Average Price (BGN/EUR)		36.0	18.4
Toilet Paper Holders: With Cover (Complete)	Volume / Value	1.5	0.0	0.0
	Share	0.2%	0.4%	0.4%
	Average Price (BGN/EUR)		26.0	13.3
Toilet Paper Holders: With Cover (Partial)	Volume / Value	66.6	1.5	0.8
	Share	9.9%	15.9%	15.9%
	Average Price (BGN/EUR)		23.0	11.8
Toilet Paper Holders: Without Cover	Volume / Value	45.4	1.0	0.5
	Share	6.8%	9.9%	9.9%
	Average Price (BGN/EUR)		21.0	10.7
Tissue Holders	Volume / Value	6.9	0.1	0.0
	Share	1.0%	0.9%	0.9%
	Average Price (BGN/EUR)		12.5	6.4
Towel and Bathrobe Hooks	Volume / Value	266.2	2.3	1.2
	Share	39.8%	23.5%	23.5%
	Average Price (BGN/EUR)		8.5	4.3
Toothbrush Holders and Tumblers	Volume / Value	32.4	0.4	0.2
	Share	4.8%	4.2%	4.2%
	Average Price (BGN/EUR)		12.5	6.4
Waste Paper Bins	Volume / Value	5.2	0.1	0.1
	Share	0.8%	1.4%	1.4%
	Average Price (BGN/EUR)		26.0	13.3
Shower Storage Units	Volume / Value	11.1	0.2	0.1
	Share	1.7%	2.3%	2.3%
	Average Price (BGN/EUR)		20.0	10.2
Toilet Brushes (Individual)	Volume / Value	85.8	1.5	0.8
	Share	12.8%	15.6%	15.6%
	Average Price (BGN/EUR)		17.5	8.9
Toilet Brushes and Toilet Paper Holders Combined	Volume / Value	3.1	0.1	0.0
	Share	0.5%	0.8%	0.8%
	Average Price (BGN/EUR)		25.0	12.8
Others	Volume / Value	53.9	0.7	0.3
	Share	8.1%	7.0%	7.0%
	Average Price (BGN/EUR)		12.5	6.4
TOTAL	Volume in '000/Value in Million	669.3233684	9.6	4.9
	Share	100.0%	100.0%	100.0%
	Average Price (BGN/EUR)		14.4	7.4



Source: BRG based on industry interviews
N.B. Prices Shown at MSP (= Manufacturers' Selling Price).

5.4.1 End Use : Base Year

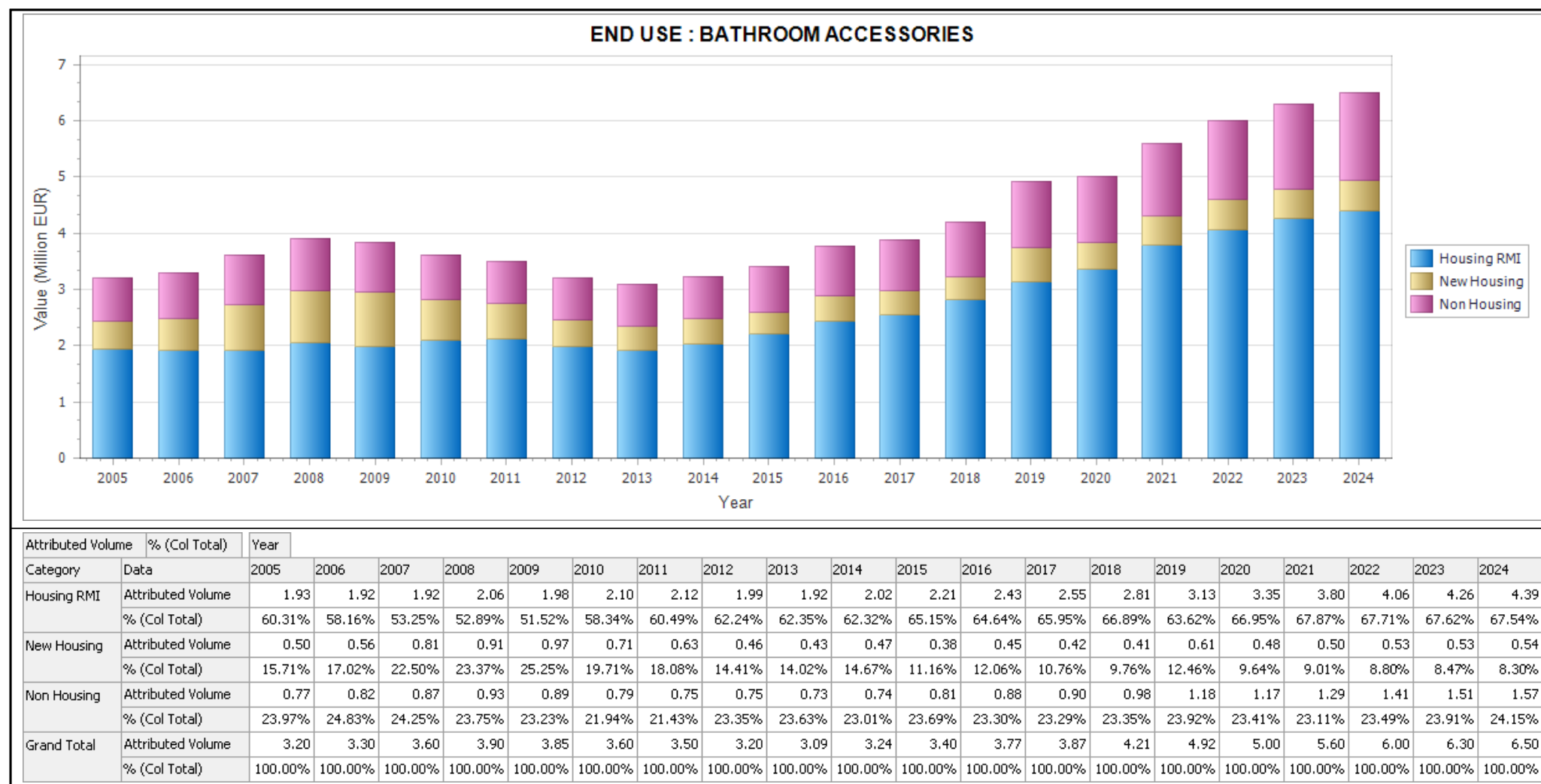
BG - SALES OF BATHROOM ACCESSORIES BY END USE SEGMENT (MILLION EURO)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

5.4.2 End Use : Historical and Forecasts

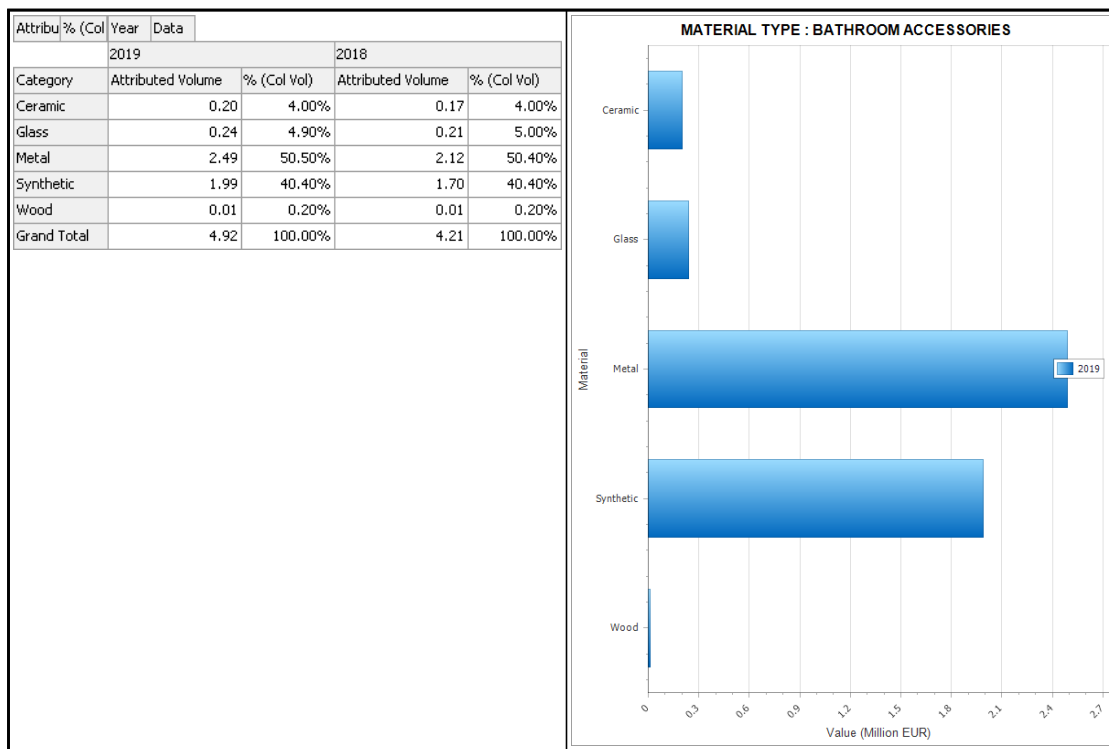
BG - SALES OF BATHROOM ACCESSORIES BY END USE SEGMENT (MILLION EURO)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

5.4.3 Sales by Type of Material : Bathroom Accessories

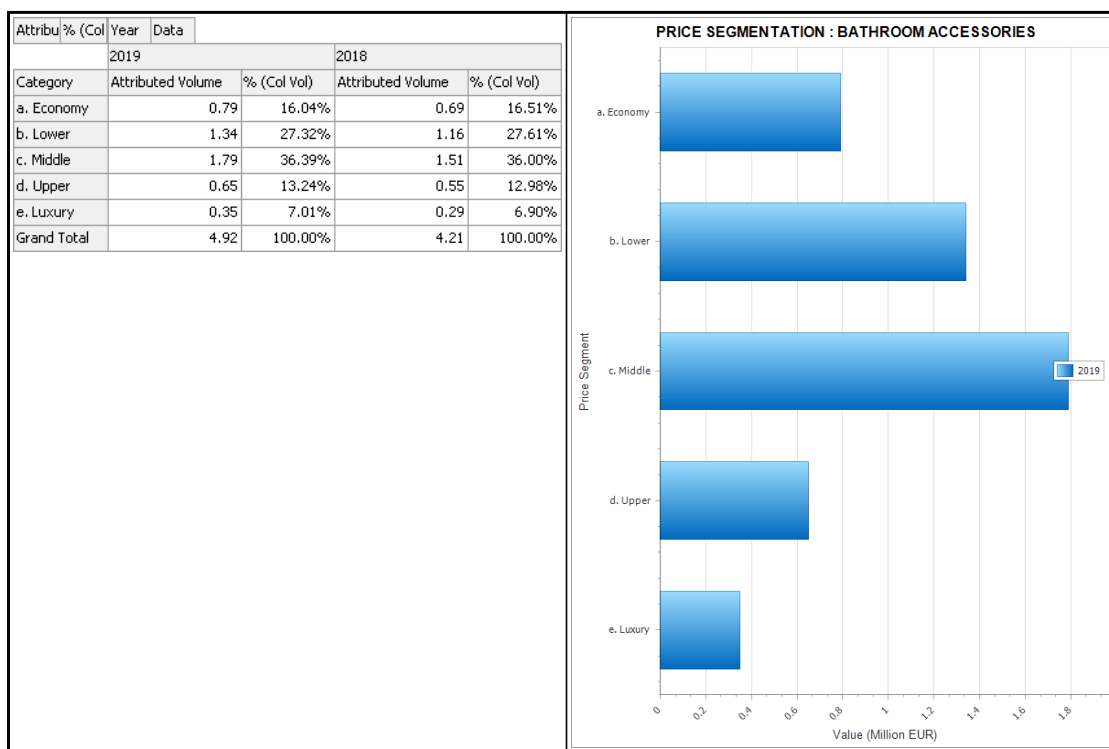
BG - BATHROOM ACCESSORY SALES BY MAIN MATERIAL TYPE (MILLION EUR)



Source: BRG based on industry interviews

5.4.4 Sales by Price Segment : Bathroom Accessories

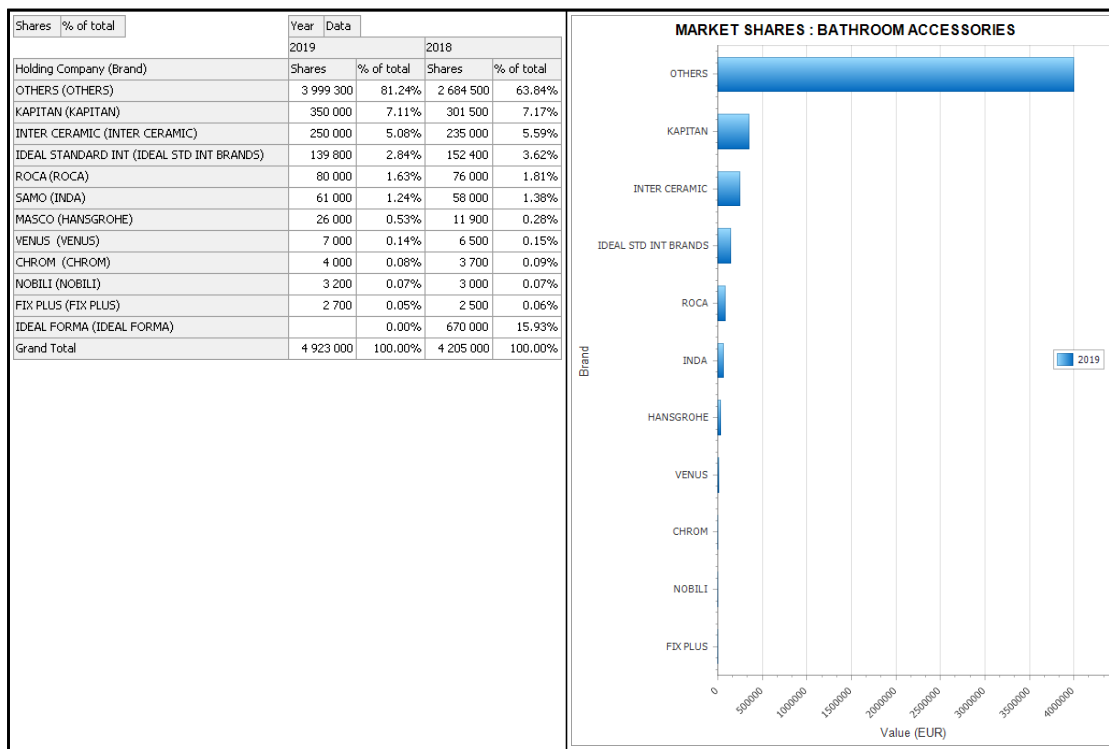
BG - BATHROOM ACCESSORY SALES BY PRICE SEGMENT (MILLION EUR)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

5.5 Market Shares : Bathroom Accessories

BG - ESTIMATED MARKET SHARES FOR BATHROOM ACCESSORIES (EUR)



Source: BRG based on industry interviews.

5.6.1 Route to Market: Bathroom Accessories (EUR)
BG - ESTIMATED DISTRIBUTION FOR BATHROOM ACCESSORIES (EUR): 2019

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	74.8%
	Wholesalers / Merchants
	74.8%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	3.1%	4.0%	13.9%	12.0%	6.6%	10.0%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	7.1%		25.9%		16.6%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
0.9%	2.0%	1.0%	5.0%	2.6%
Installers				
11.5%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	0.1%	36.8%	5.1%	16.9%	10.0%	7.1%	0.5%	10.0%	1.0%	4.0%	4.0%	4.4%
	Residential						Non-Residential					
	76.1%						23.9%					
	New Build			Residential RMI			New Build			Non-Residential RMI		
	12.5%			63.6%			13.0%			10.9%		
	Project		Non-Project	Project		Non-Project	Project		Non-Project	Project		Non-Project
	0.5%		12.0%	6.0%		57.6%	0.5%		12.5%	0.6%		10.3%

5.6.2 Route to Market: Bathroom Accessories (EUR)
BG - ESTIMATED DISTRIBUTION FOR BATHROOM ACCESSORIES (EUR): 2024

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	72.0%
	Wholesalers / Merchants
	72.0%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	4.5%	5.0%	15.0%	12.0%	6.0%	12.0%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	9.5%		27.0%		18.0%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
0.8%	2.0%	1.5%	5.0%	4.0%
Installers				
13.3%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	1.2%	30.0%	6.5%	18.0%	10.0%	10.1%	0.5%	11.0%	1.5%	4.0%	4.0%	3.2%
	Residential						Non-Residential					
	75.8%						24.2%					
	New Build			Residential RMI			New Build			Non-Residential RMI		
	8.3%			67.5%			13.0%			11.2%		
	Project		Non-Project	Project		Non-Project	Project		Non-Project	Project		Non-Project
	0.4%		7.9%	6.0%		61.5%	0.5%		12.5%	0.6%		10.6%

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

5.6.3 Route to Market - Consolidated View : Bathroom Accessories

BG - ESTIMATED DISTRIBUTION FOR BATHROOM ACCESSORIES : 2019

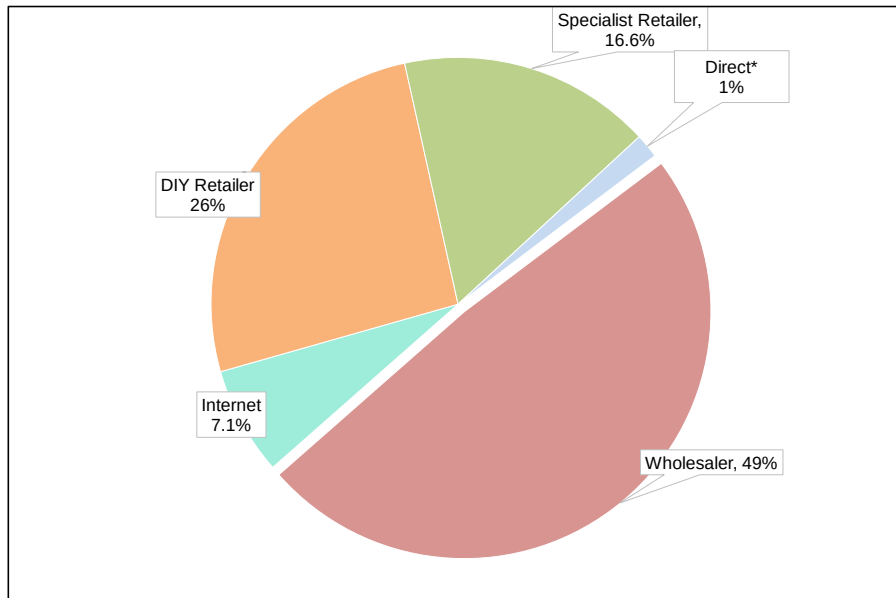
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
48.8%	7.1%	25.9%	16.6%	1.6%	6.5%	1.1%	69.6%	22.8%
100%					7.6%		92.4%	

5.6.4 Route to Market - Consolidated View : Bathroom Accessories

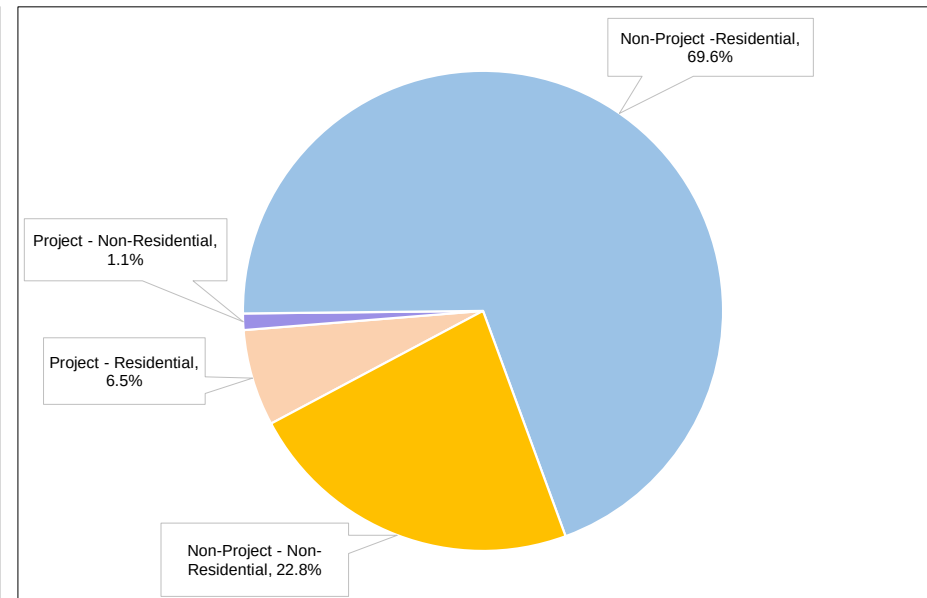
BG - ESTIMATED DISTRIBUTION FOR BATHROOM ACCESSORIES : 2024

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
43.0%	9.5%	27.0%	18.0%	2.5%	6.4%	1.1%	69.4%	23.1%
100%					7.5%		92.5%	

BG - SALES OF BATHROOM ACCESSORIES BY DISTRIBUTION CHANNEL: 2019



BG - SALES OF BATHROOM ACCESSORIES BY POINT OF DECISION AND END-USE SECTOR: 2019



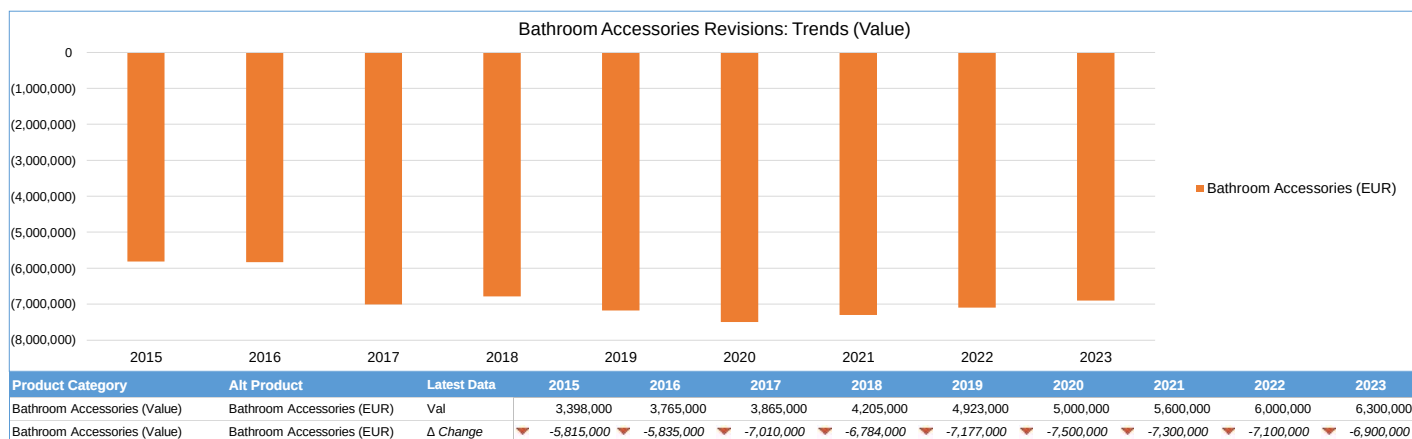
Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

5.7 Revisions in the Bulgarian Bathroom Accessories Market (July 2020)

BG - REVISIONS IN THE BULGARIAN BATHROOM ACCESSORIES MARKET

Data Comparison: July 2019



The market sizes were considerably downgraded, based on industry feedback, indicating lower demand for bathroom accessories in Bulgaria with the chunk of local production being exported. As these were previously counted as sales in Bulgaria, the overall market is in actuality much smaller.

BULGARIA

SHOWER ACCESSORIES

THE EUROPEAN BATHROOM & KITCHEN PRODUCT MARKETS



Market Characteristics and Product Mix

With the emergence of DIY stores and supermarkets/hypermarkets in Bulgaria, the shower accessories market benefited from continuous growth up to 2008. Much of the sales of shower accessories were linked to the replacement demand and, therefore, the sustained development of such a variable has a major role in pushing up sales of shower accessories, also supporting a positive evolution of the wider macroeconomic context. Increasing popularity of sets was among the major trends seen since 2002.

Sales of handsets (single function and adjustable) are thought to account for the vast majority of the shower head market, the remaining part being split between fixed heads and fixed side jets. Such a trend reflects the desire of the consumer to use more price appealing and highly functional products. The choice of single function handsets remains dependent on the price-driven nature of the market with a pivotal role played by the size of household disposable incomes, which became particularly important in the post-2008 crisis period.

Shower heads available to Bulgarian consumers are mostly compatible with plastic flexible hoses, which formed the largest market in volume terms among all shower accessories, since the hoses tend to be most often replaced due to limescale and quality issues. Although the quality of flexible hoses has improved in recent years, especially thanks to the development of metal flexible hoses, plastic alternatives still account for the bulk of sales.

Sales of bars with a length of 90 centimetres (cm) or less kept stable over the years, while the shower support segment remained largely dominated by the demand for holders. The sales of bars with a length of 90 cm have been rather marginal, as the demand is driven by specific segments such as hospitality, and other non-hosing segments.

Sales of shower pipes, introduced a few years ago by a range of manufacturers, amongst others HANSGROHE, are gaining share, although they still represent a niche sector of the market. A typical shower pipe would consist of one fixed shower head, a hand shower head, flexible hose and water bearing pipe. On the other hand, shower panels have not yet gained a wider foothold in the market, which may be ascribed to their relatively high prices.

Recent Market Trends

Continued recovery of the Bulgarian economy, reflected in increasing private consumption, kept benefiting the expansion of the Bulgarian shower accessories market in 2019, additionally boosted by the ongoing shift towards showering, with all product categories recording positive growth rates. A considerable increase in the volume of products imported from countries such as China over the last decade, pushed the level of competition much higher, although primarily in the

economy price segment. With budget price Chinese products widely available in DIY stores, several European manufacturers present on the Bulgarian market were forced to enter the budget price market in order to remain competitive.

In line with the trend seen in previous years, sales of flexible hoses remained dominated by plastic models, whereas handsets, either single function or adjustable, continued to comprise the bulk of sales of shower heads. At the level of volumes, shower heads have strengthened their market position, remaining the dominant product within the shower accessories.

Prices and Market Values

In 2019, the average manufacturers' selling prices (MSPs) increased, primarily due to growing material and labour costs, following the shortage of workforce in the Bulgarian market. Because of tough levels of competition, intensified by the strong presence of Chinese imports, the MSP hikes were only slightly higher than the average inflation rate. Similarly to other bathroom product markets in Bulgaria, products from the economy price segment accounted for the chunk of the bathroom accessories sales, with a gradual shift observed in consumer preferences primarily towards middle-end products.

New Housing

A considerable rise in the number of new dwelling completions in 2019 positively affected sales of shower accessories, which was amplified by the growing trend towards showering. Very good growth rates could be observed across the product categories, with the fastest increase shown by the shower pipes segment, although the shower pipes sales volume remained relatively low. Also, sales of shower panels recorded very good growth, although in terms of volume, sales remained marginal.

Housing RMI

In 2019, sales to RMI continued to maintain the highest share in the overall shower accessories market. Demand increased across all segments, primarily due to continued growth in private consumption reflected in a higher spending in market sectors such as "home repair" and "home improvement". A relatively large portion of shower pipes sales come from the RMI sector, as shower pipes are more and more often chosen as replacement for old shower sets. The growth rate is still hindered by relatively high prices.

Non-Housing

With the observed improvement in the country's economic conditions, the non-housing segment has become relatively important for the Bulgarian shower accessories market. To this extent, demand came from multiple sectors, although mostly from the hospitality and office segments, whose fast growth in 2019 had a

very positive impact on the overall sales volume. Sales of shower pipes and shower panels continued to grow at a relatively good pace, gaining popularity mostly in the hotel segment, however, both account for relatively small portions of the market.

Supply Structure

Imports from China and Turkey account for the majority of products available on the Bulgarian shower accessories market. European players, such as the IDEAL STANDARD, ROCA, HANSGROHE and SANOTECHNIK also hold strong market positions. Many imports of shower accessories also come from Italy (e.g. by NOBILI). Several top European manufacturers followed suit with the producers from the Far East in distribution through the DIY channel and, although the competition on price has proved to be challenging, the move typically helped to boost their sales volumes.

Forecasts

Given the exceptional circumstances related to the spread of the COVID-19 virus and measures in place for its containment, forecasts for 2020 and beyond are based on the latest information available at the time of publication. BRG has attempted to factor in the latest developments – see Macroeconomic data in Table II.3, and supporting summary table at the end of the Background section.

After a very good performance in 2019, the Bulgarian economy was hit by the COVID-19 pandemic outbreak. Bulgaria's recovery from the 2008 financial crisis, which started to be palpable in 2015/16 and accelerated in 2019, was interrupted and in 2020, the country, like many others around the world, is facing a recession.

All projections for the Bulgarian 2020 GDP growth issued after the pandemic began in Europe, assume a decline, with the values depending on source, from a 4.0% fall (IMF), to 5.9% (Fitch) and 6.5% (S&P), to a 7.0% decrease (EC). Similarly, forecasts by international financial institutions for Bulgaria's GDP growth for 2021 indicate a strong rebound of the local economy (e.g. about 6% by EC and IMF), with moderate growth rates expected in 2022-24.

Growth in consumption, the main driver of the Bulgaria's economic development, is projected to show a positive momentum already in the third quarter of 2020, further improving at the end of the year. The unemployment rate recorded a historical low in 2019 (4.2%) but is expected to double in 2020 and to gradually recover in 2021 (e.g. EC forecasts a 7% unemployment rate for 2020 and 5.8% for 2021, while IMF expects 8% in 2020 and 4.5% in 2021). Average wages, which recorded good gains in the past couple of years, are anticipated to slow down in 2020 and 2021 (e.g. 3.5% up in 2020 and 2.3% in 2021 according to EC). The CPI indicis are likely to fall in 2020 due to large fall in oil prices with EC forecasting the average value to reach 1.1% and remain at a similar level in 2021.

Since international trade constitutes a key segment of Bulgaria's economy (e.g. export accounts for short of two thirds of the country's GDP), deterioration of the economic conditions in other countries, particularly the EU members, will also affect the local market. The EC is anticipating a 13.2% decline in exports in 2020 and a partial recovery, 10.8%, in 2021.

In the aftermath of the COVID-19 outbreak, investments fell drastically. According to EC, forecast total investments in 2020 should decline by 18% with a very slow recovery in 2021, by about 1%, due to high uncertainty in the business, as well as a lowered capacity of the companies to invest.

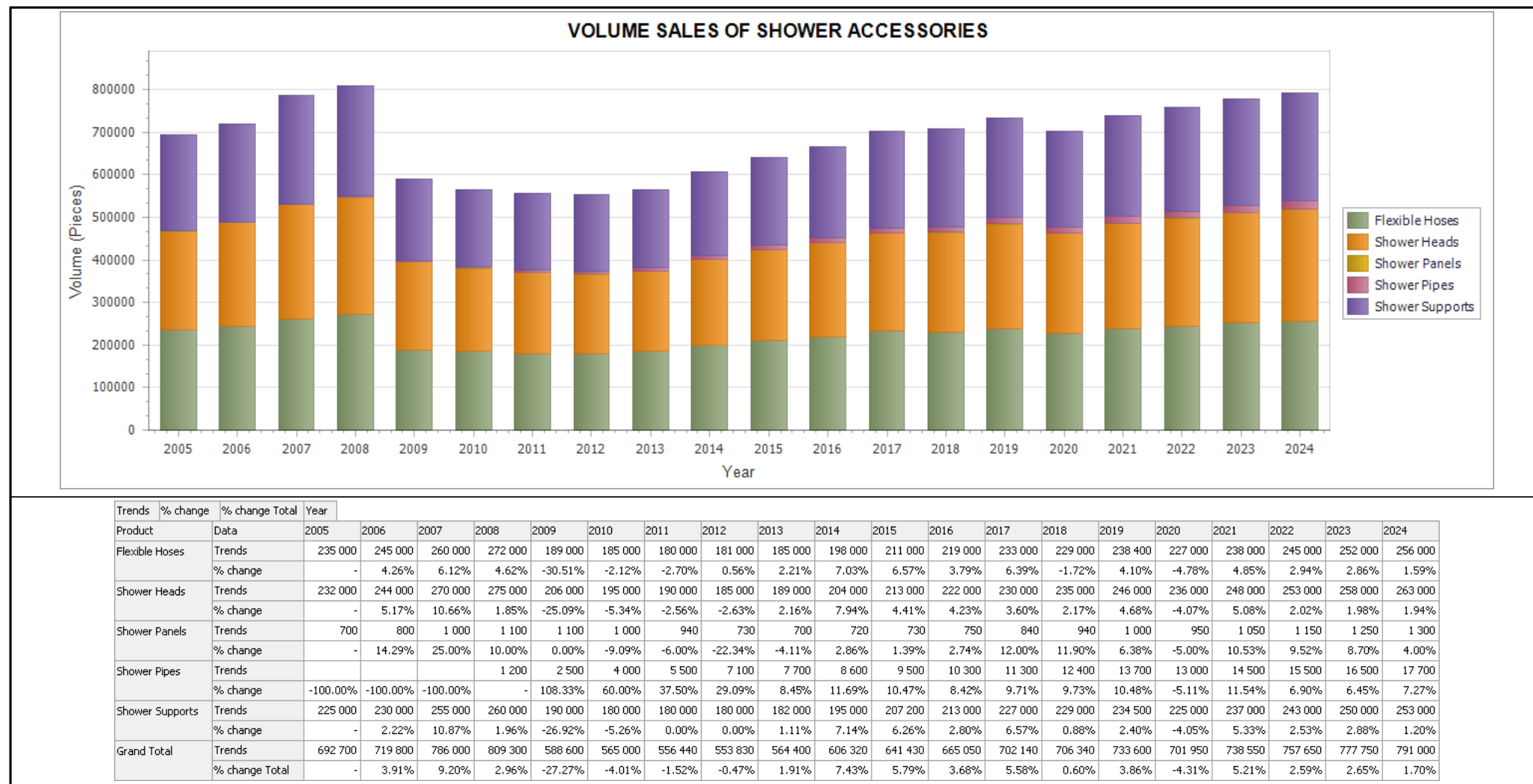
A relatively mild development of the pandemic in terms of registered cases and mortality, allowed for a shorter period of the anti-pandemic restrictions (compared to most other countries), with construction, production, distribution and installation activities carried out at a reduced capacity. The delays which occurred in the aftermath, especially in the international trade, are likely to have a drastic impact on the Bulgarian bathroom market; characterised by a high level of imports, including considerable supplies from the Far East. Considering a substantial deterioration of the country's economic conditions, the delays are unlikely to be fully caught up in the second half of the year, for which reason BRG expects a sharp decline in sales in 2020 across all product types. Assuming no second wave of the pandemic will occur, demand is anticipated to rebound in the second half of 2020, with sales in 2021 forecast to show a good recovery, although mostly as a result of a 'low-base' effect.

In the medium- to long-term, with the Bulgarian economy gradually recovering, sales of shower accessories are expected to record moderate growth rates, driven primarily by demand from the RMI sector anticipated to remain the main driver of the segments' growth. Sales to the new housing segment are correlated with the development of the residential construction market and are expected to remain below the 2019 level, with sales to non-housing anticipated to experience very slow progress in the medium- to long-term, due to worsened business climate in the aftermath of the COVID-19 outbreak.

Sales of shower pipes are expected to show the best growth rates, although primarily due to relatively small size of the segment. With demand for shower pipes growing, the average prices may likely decrease, mostly due to an expanded offering in the economy price bracket, which should additionally boost the increase in sales. Sales in the segment of shower panels are, in turn, anticipated to remain marginal, as the relatively high prices are expected to considerably temper demand for this product type in the years following the recession caused by the COVID-19 outbreak.

6.2.1 Historical Trends & Forecasts : Shower Accessories

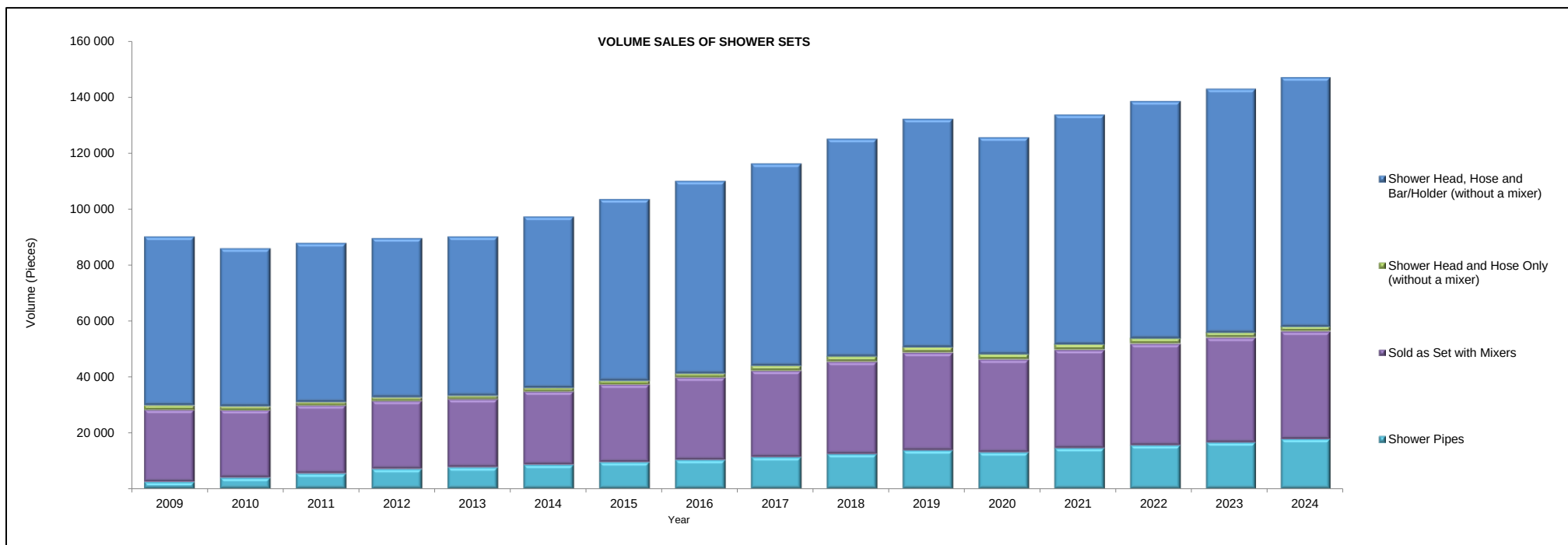
BG - SUMMARY OF TRENDS IN THE SHOWER ACCESSORIES MARKET : HISTORICAL AND FORECASTS



Source: BRG based on industry interviews.

6.2.2 Historical Trends and Forecasts : Shower Sets

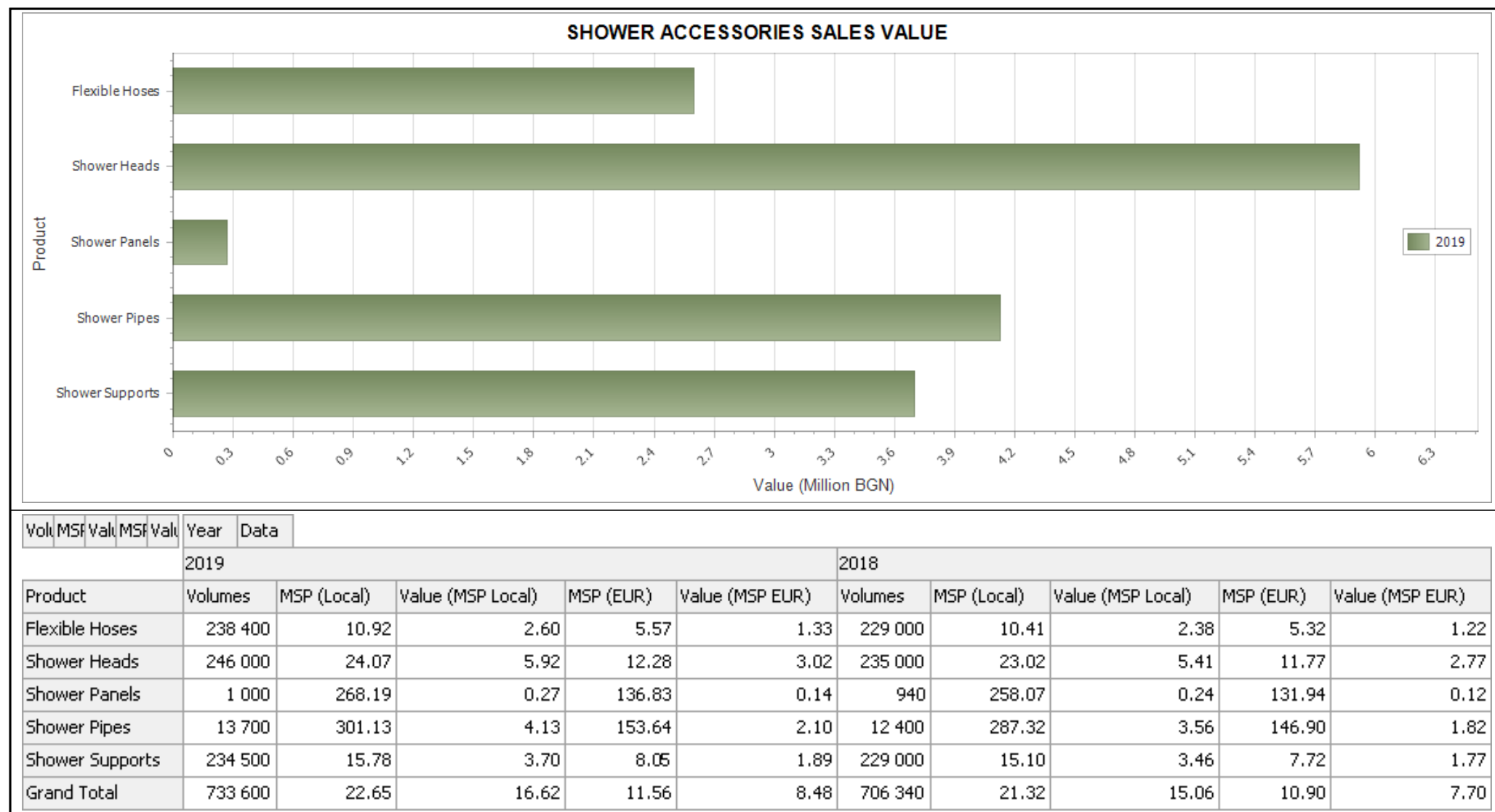
BG - SUMMARY OF TRENDS IN THE SHOWER SETS MARKET : HISTORICAL AND FORECASTS



Product Type	Product	2009	2010	2011	2012	2013	2014	2015	2016	2017	2018	2019	2020	2021	2022	2023	2024
Shower Sets	Shower Head, Hose and Bar/Holder (without a mixer)	60 300	56 500	56 900	56 900	56 900	61 200	64 900	68 800	72 200	77 700	81 500	77 400	82 000	84 700	87 000	89 000
	% Change	-	-6.30%	0.71%	0.00%	0.00%	7.56%	6.05%	6.01%	4.94%	7.62%	4.89%	-5.03%	5.94%	3.29%	2.72%	2.30%
	Shower Head and Hose Only (without a mixer)	1 700	1 400	1 200	1 300	1 300	1 400	1 400	1 500	1 900	2 000	2 100	2 000	2 100	2 000	1 900	1 800
	% Change	-	-17.65%	-14.29%	8.33%	0.00%	7.69%	0.00%	7.14%	26.67%	5.26%	5.00%	-4.76%	5.00%	-4.76%	-5.00%	-5.26%
	Sold as Set with Mixers	25 800	24 200	24 400	24 400	24 400	26 200	27 800	29 500	30 900	33 000	34 900	33 200	35 100	36 300	37 500	38 500
	% Change	-	-6.20%	0.83%	0.00%	0.00%	7.38%	6.11%	6.12%	4.75%	6.80%	5.76%	-4.87%	5.72%	3.42%	3.31%	2.67%
	Shower Pipes	2 500	4 000	5 500	7 100	7 700	8 600	9 500	10 300	11 300	12 400	13 700	13 000	14 500	15 500	16 500	17 700
	% Change	-	60.00%	37.50%	29.09%	8.45%	11.69%	10.47%	8.42%	9.71%	9.73%	10.48%	-5.11%	11.54%	6.90%	6.45%	7.27%
Grand Total		90 300	86 100	88 000	89 700	90 300	97 400	103 600	110 100	116 300	125 100	132 200	125 600	133 700	138 500	142 900	147 000
% Change Total		-	-4.65%	2.21%	1.93%	0.67%	7.86%	6.37%	6.27%	5.63%	7.57%	5.68%	-4.99%	6.45%	3.59%	3.18%	2.87%

Source: BRG based on Industry Interviews.

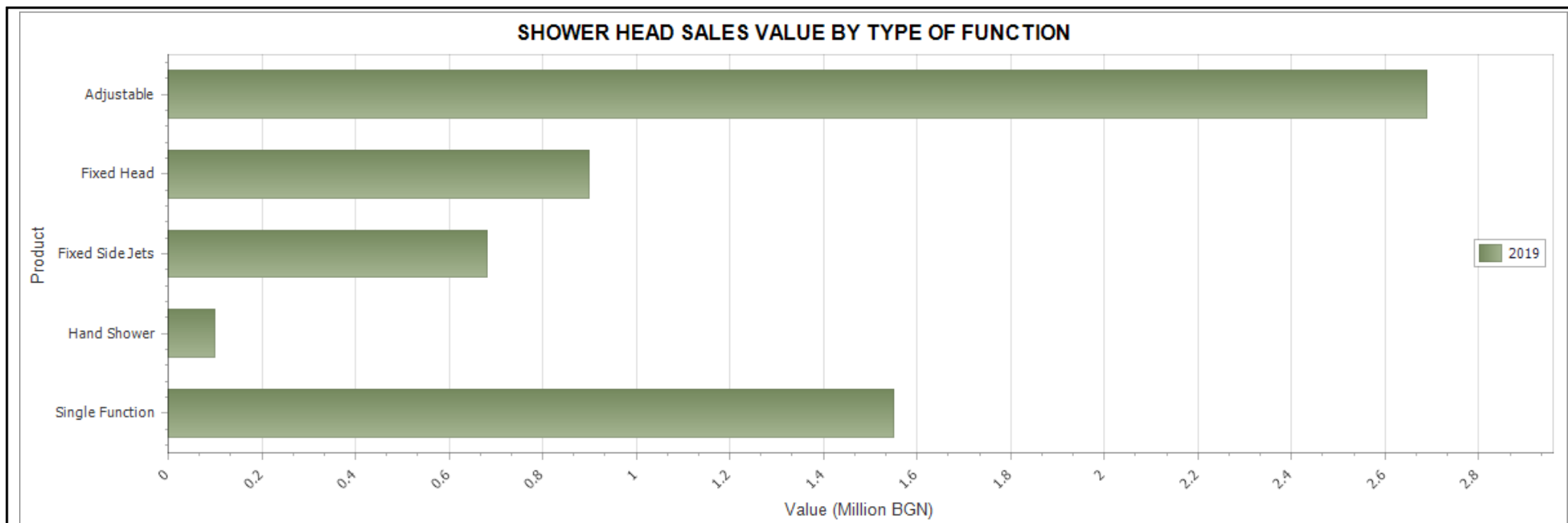
6.3.1 Prices and Market Values : Shower Accessories
BG - ESTIMATED VALUES OF THE SHOWER ACCESSORIES MARKET



Source: BRG based on industry interviews. Local Prices Shown in BGN. Values Shown in Millions (at MSP = Manufacturers' Selling Price).

6.3.2 Prices and Market Values by Type : Shower Heads

BG - ESTIMATED VALUES OF THE SHOWER HEAD MARKET BY TYPE OF FUNCTION

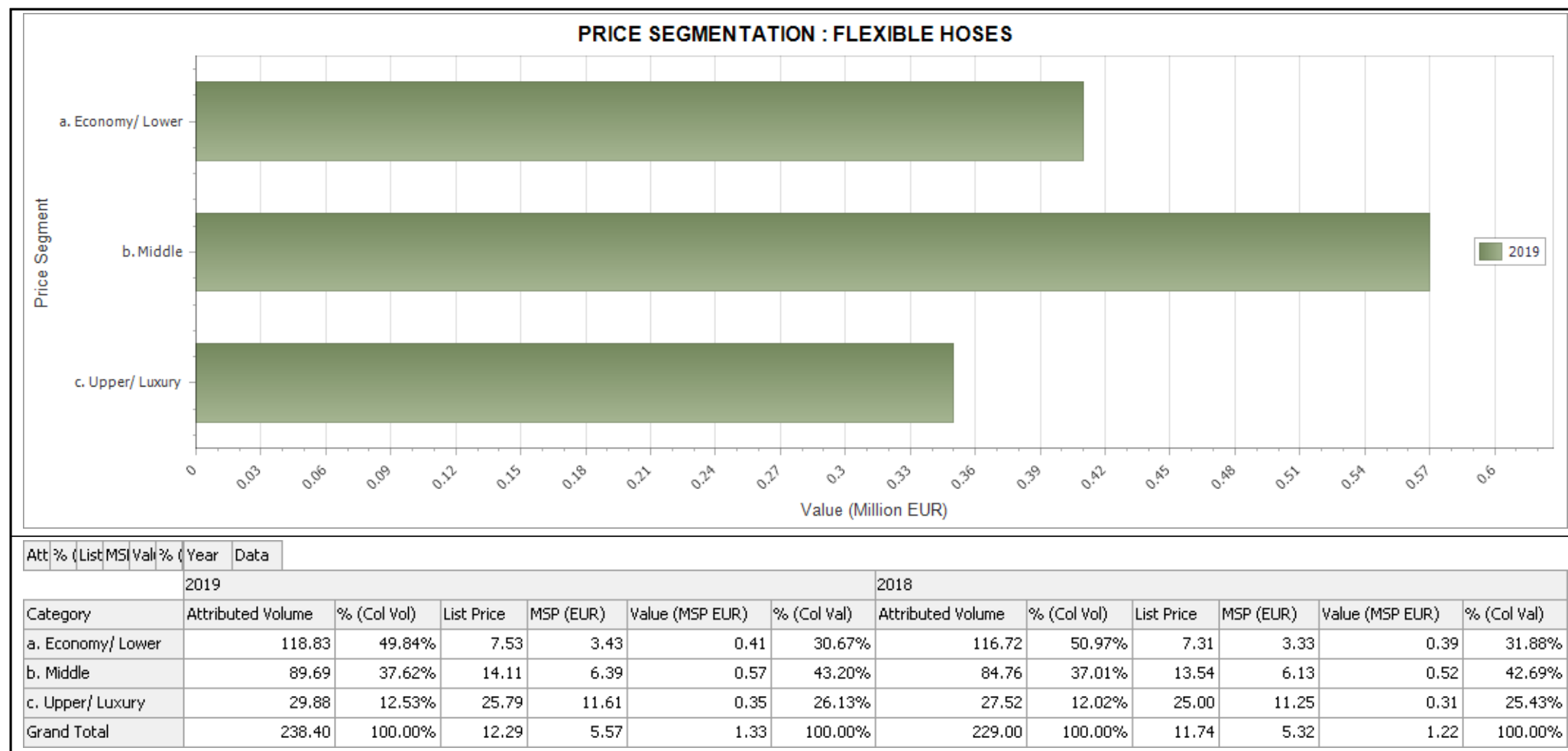


At %	M %	V %	M %	V %	Year	Data										
2019							2018									
Category	Attributed Volume	% (Col Vol)	MSP (Local)	Value (MSP Local)	MSP (EUR)	Value (MSP EUR)	% (Col Val)	Attributed Volume	% (Col Vol)	MSP (Local)	Value (MSP Local)	MSP (EUR)	Value (MSP EUR)	% (Col Val)		
Adjustable	107.50	43.70%	25.05	2.69	12.78	1.37	45.49%	101.64	43.25%	24.00	2.44	12.27	1.25	45.09%		
Fixed Head	25.59	10.40%	35.08	0.90	17.90	0.46	15.16%	24.68	10.50%	33.50	0.83	17.13	0.42	15.28%		
Fixed Side Jets	18.21	7.40%	37.08	0.68	18.92	0.34	11.40%	17.86	7.60%	35.50	0.63	18.15	0.32	11.72%		
Hand Shower	3.69	1.50%	28.06	0.10	14.31	0.05	1.75%	3.64	1.55%	27.00	0.10	13.81	0.05	1.82%		
Single Function	91.02	37.00%	17.03	1.55	8.69	0.79	26.19%	87.19	37.10%	16.20	1.41	8.28	0.72	26.10%		
Grand Total	246.00	100.00%	24.06	5.92	12.28	3.02	100.00%	235.00	100.00%	23.02	5.41	11.77	2.77	100.00%		

Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding. Local Prices Shown in BGN. Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price).

6.3.3 Price Segmentation : Flexible Hoses

BG - ESTIMATED PRICE SEGMENTATION FOR FLEXIBLE HOSES

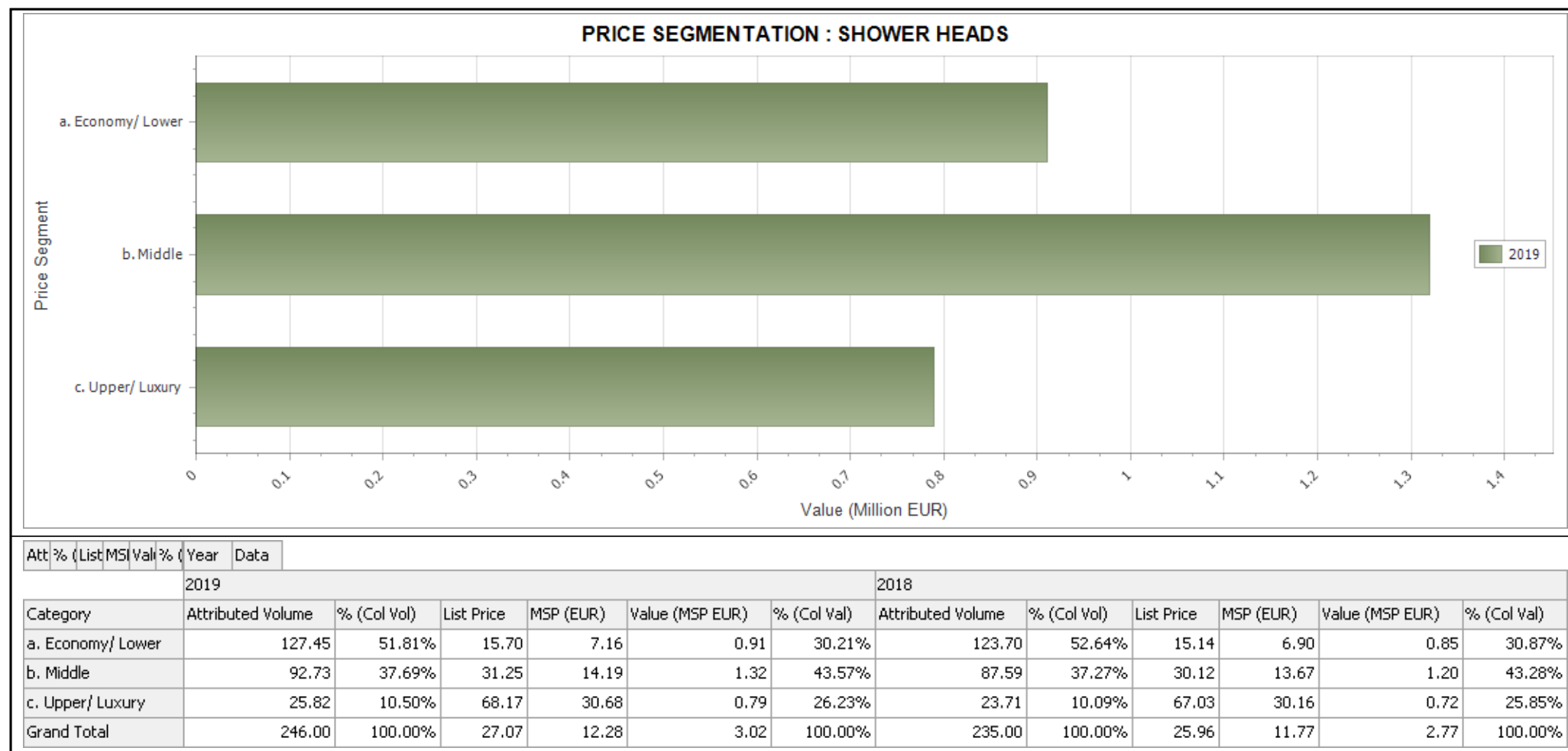


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€5, Middle €5-€10, Upper/ Luxury >€10

6.3.4 Price Segmentation : Shower Heads

BG - ESTIMATED PRICE SEGMENTATION FOR SHOWER HEADS

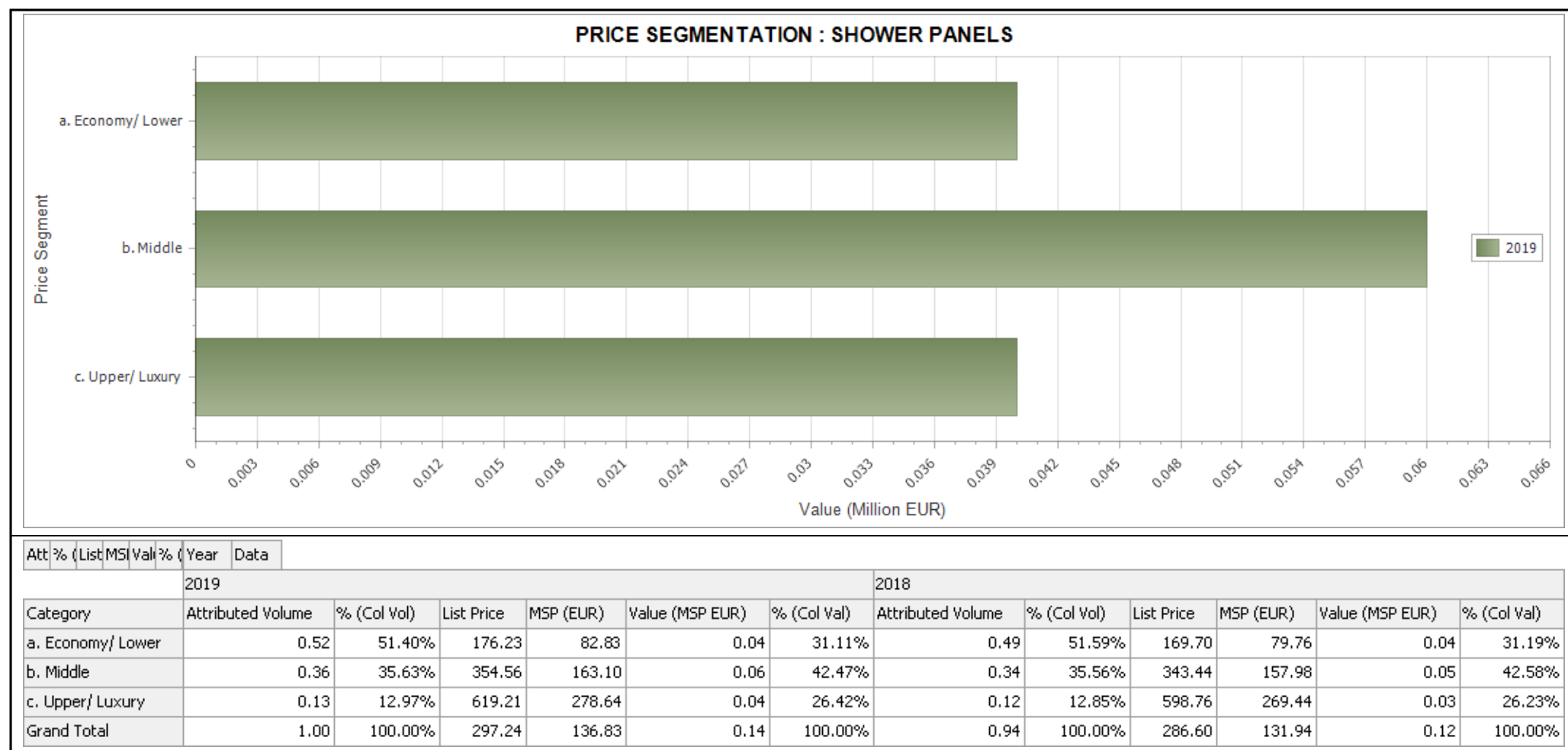


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€10, Middle €10-€20, Upper/ Luxury >€20

6.3.5 Price Segmentation : Shower Panels

BG - ESTIMATED PRICE SEGMENTATION FOR SHOWER PANELS

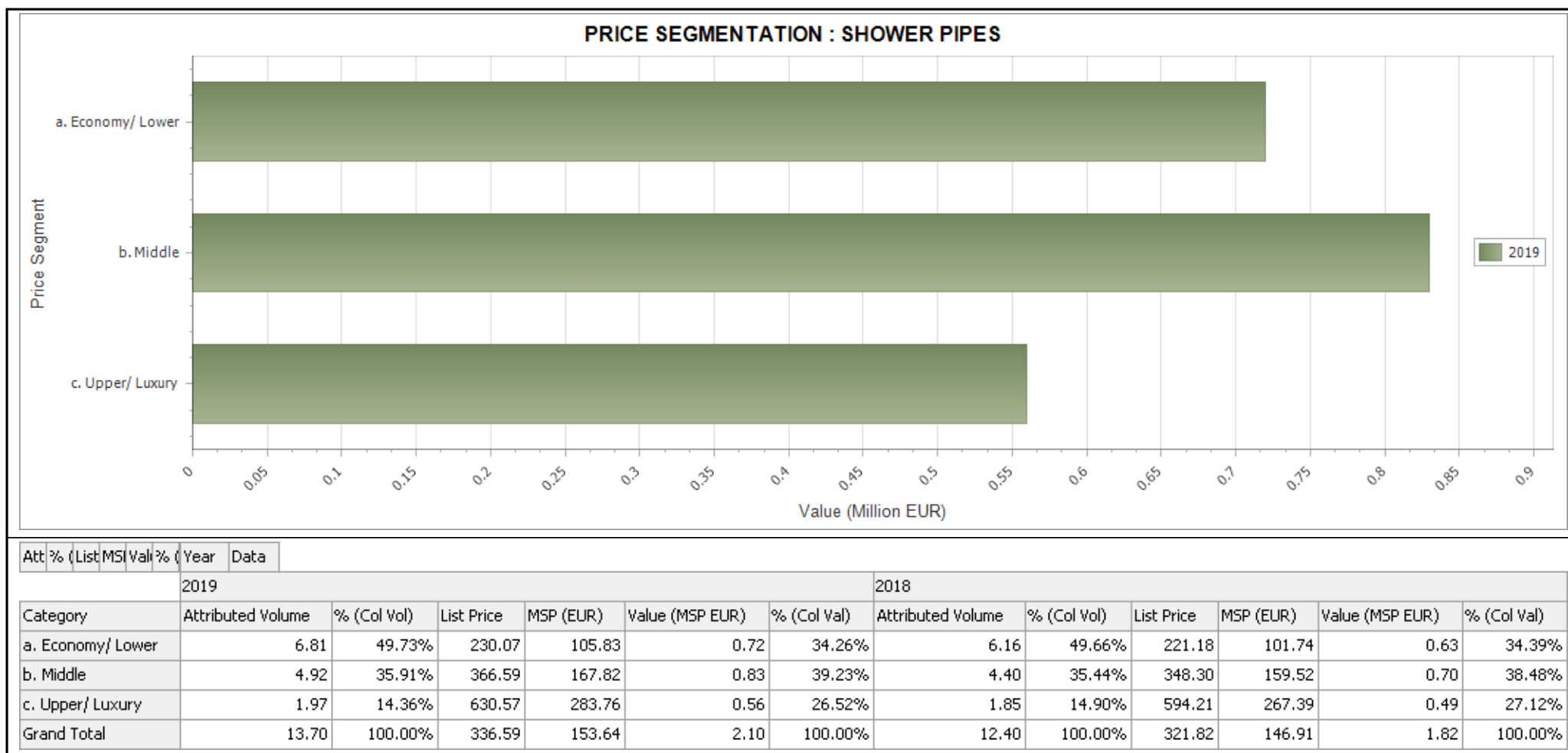


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€100, Middle €100-€200, Upper/ Luxury >€200

6.3.6 Price Segmentation : Shower Pipes

BG - ESTIMATED PRICE SEGMENTATION FOR SHOWER PIPES

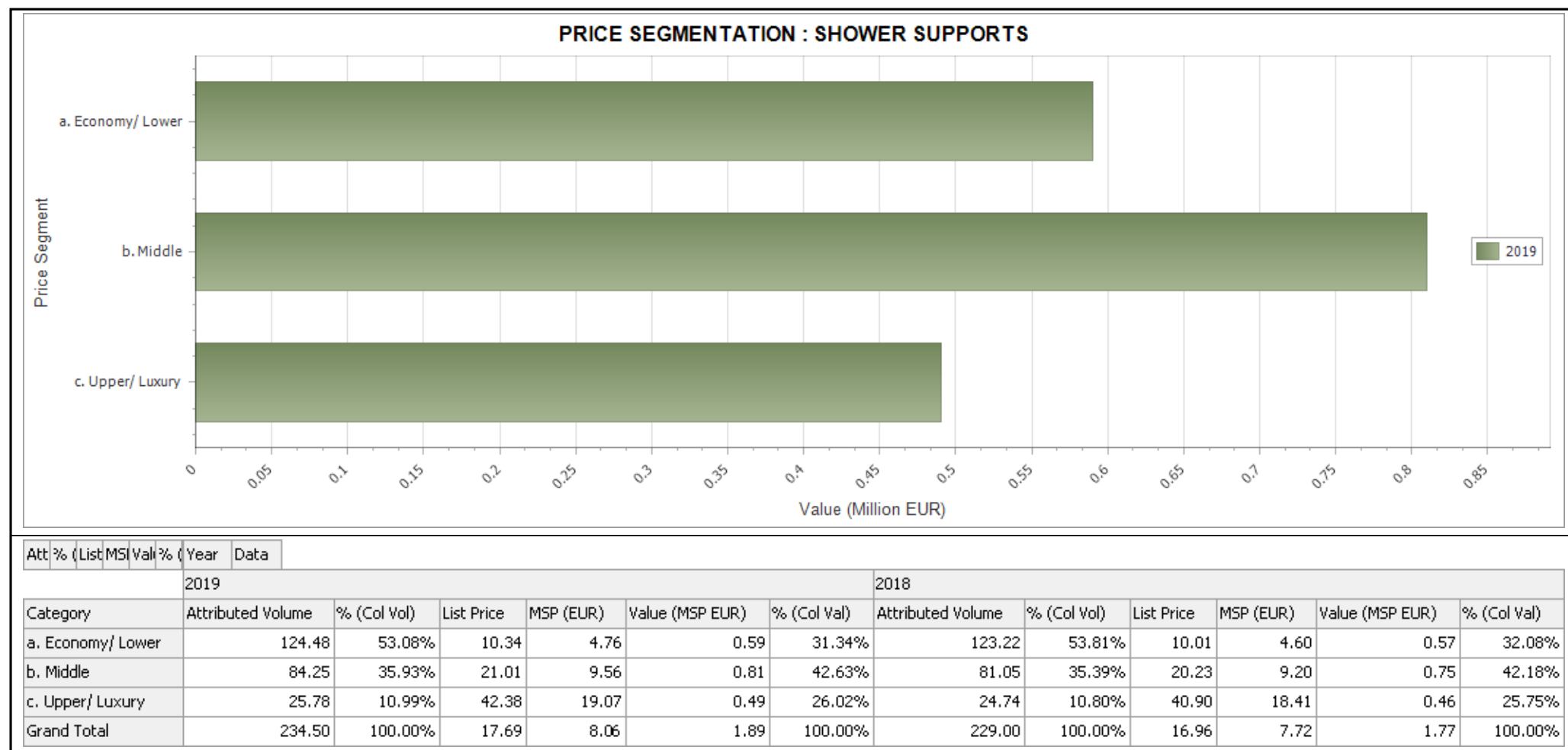


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€120, Middle €120-€240, Upper/ Luxury >€240

6.3.7 Price Segmentation : Shower Supports

BG - ESTIMATED PRICE SEGMENTATION FOR SHOWER SUPPORTS

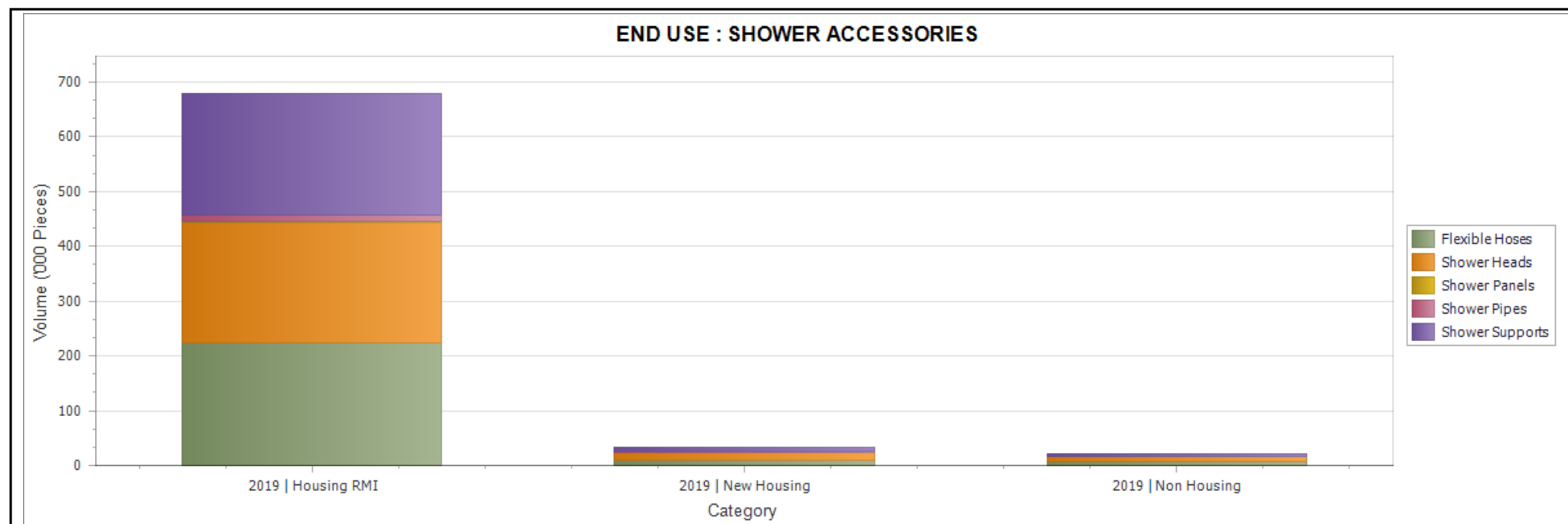


Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

Volumes Shown in Thousands and Values Shown in Millions (at MSP = Manufacturers' Selling Price). Economy/ Lower <€5, Middle €5-€15, Upper/ Luxury >€15

6.4.1 End Use : Base Year

BG - SALES OF SHOWER ACCESSORIES BY TYPE AND END USE SEGMENT ('000 PIECES)

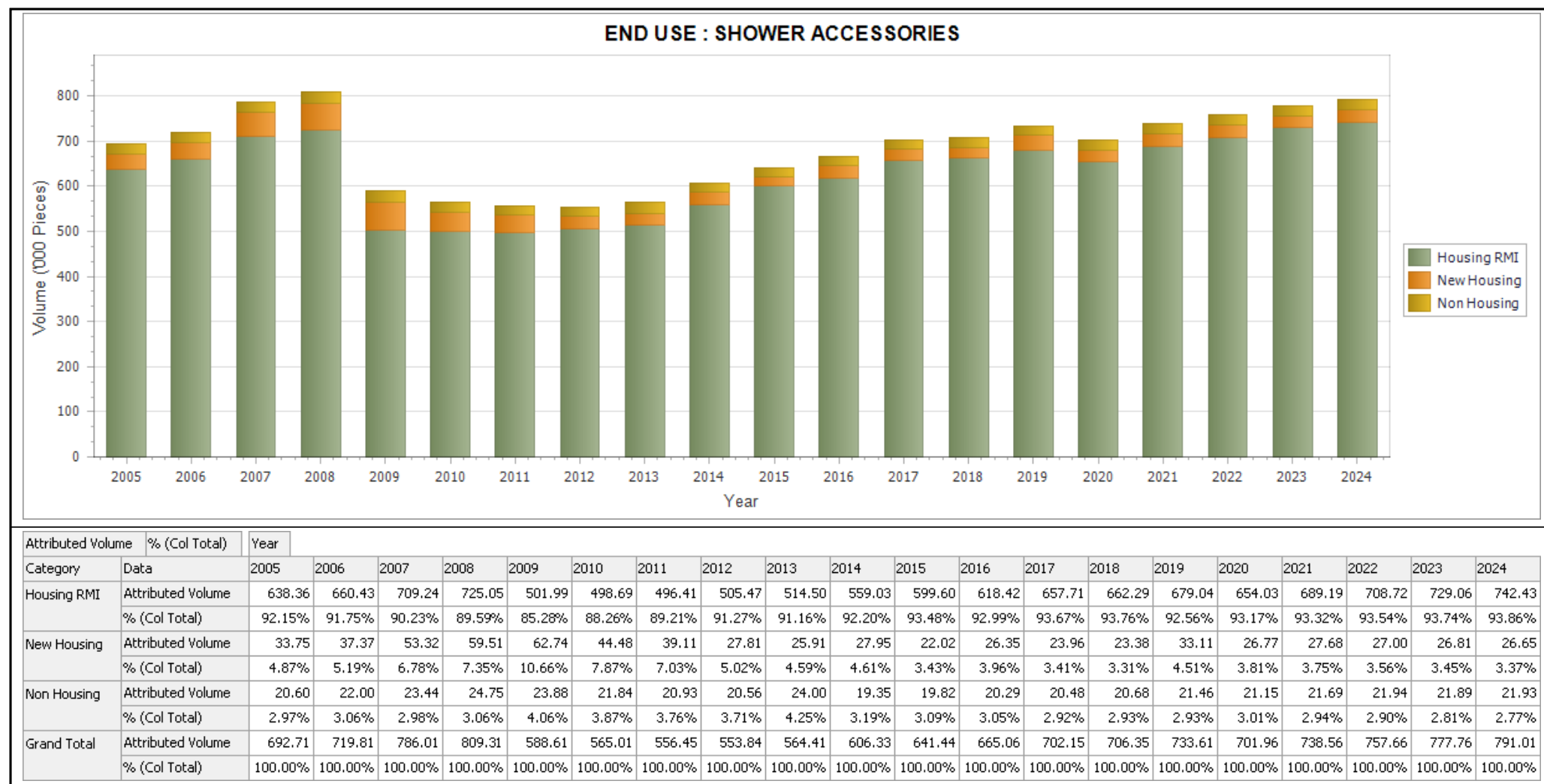


Attribu	% (Co	% (Ro	Year	Category	Data							
2019										2019 Total		
Housing RMI				New Housing			Non Housing					
Product	Attributed Volume	% (Col Total)	% (Row)	Attributed Volume	% (Col Total)	% (Row)	Attributed Volume	% (Col Total)	% (Row)	Attributed Volume	% (Col Total)	% (Row)
Flexible Hoses	224.08	33.00%	93.99%	8.30	25.07%	3.48%	6.03	28.08%	2.53%	238.40	32.50%	100.00%
Shower Heads	219.87	32.38%	89.38%	15.98	48.26%	6.50%	10.15	47.30%	4.13%	246.00	33.53%	100.00%
Shower Panels	0.96	0.14%	96.21%	0.03	0.08%	2.50%	0.01	0.06%	1.30%	1.00	0.14%	100.00%
Shower Pipes	12.75	1.88%	93.03%	0.78	2.37%	5.72%	0.17	0.80%	1.25%	13.70	1.87%	100.00%
Shower Supports	221.38	32.60%	94.40%	8.02	24.23%	3.42%	5.10	23.77%	2.18%	234.50	31.97%	100.00%
Grand Total	679.04	100.00%	92.56%	33.11	100.00%	4.51%	21.46	100.00%	2.93%	733.61	100.00%	100.00%

Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

6.4.2 End Use : Historical and Forecasts

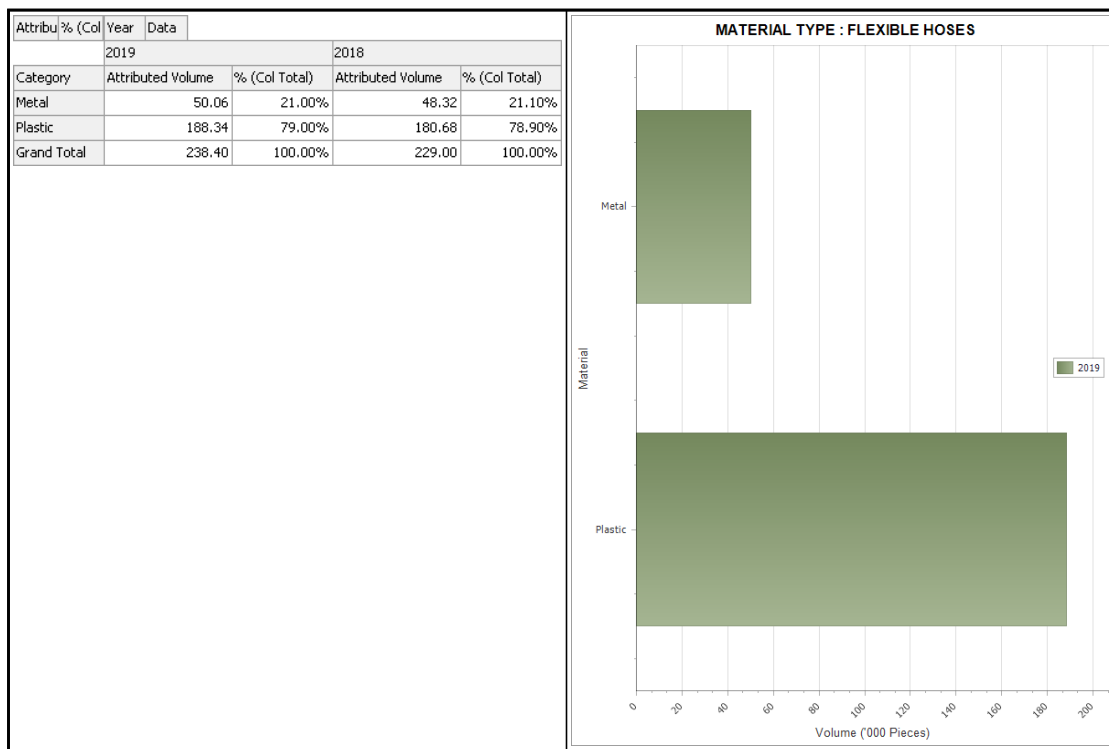
BG - SALES OF SHOWER ACCESSORIES BY END USE SEGMENT ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

6.4.3 Sales By Type of Material : Flexible Hoses

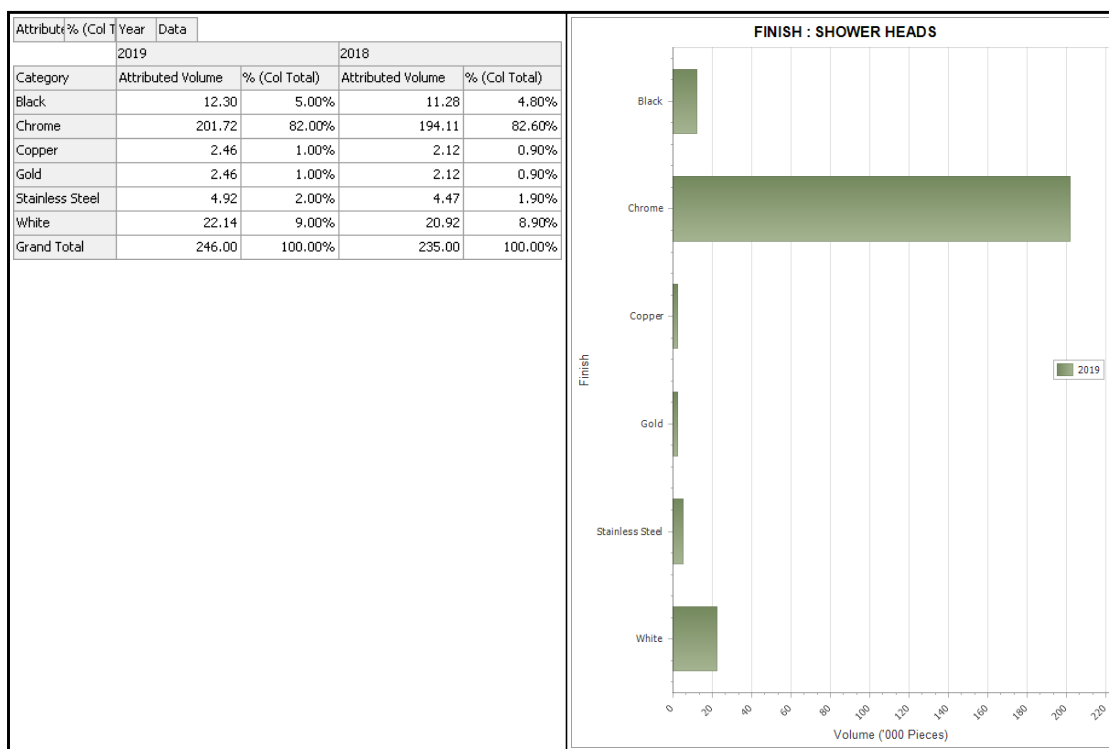
BG - FLEXIBLE HOSE SALES BY MATERIAL TYPE ('000 PIECES)



Source: BRG based on industry interviews

6.4.4 Sales by Type of Finish : Shower Heads

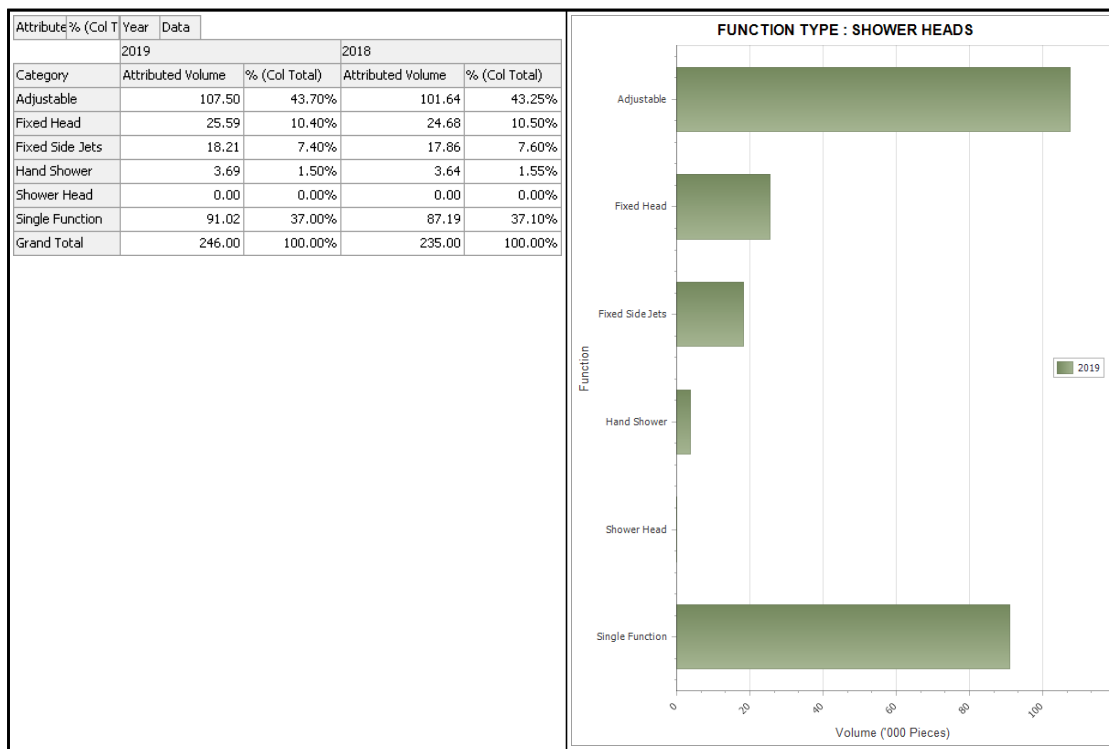
BG - SHOWER HEAD SALES BY FINISH TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

6.4.5 Sales By Type of Function : Shower Heads

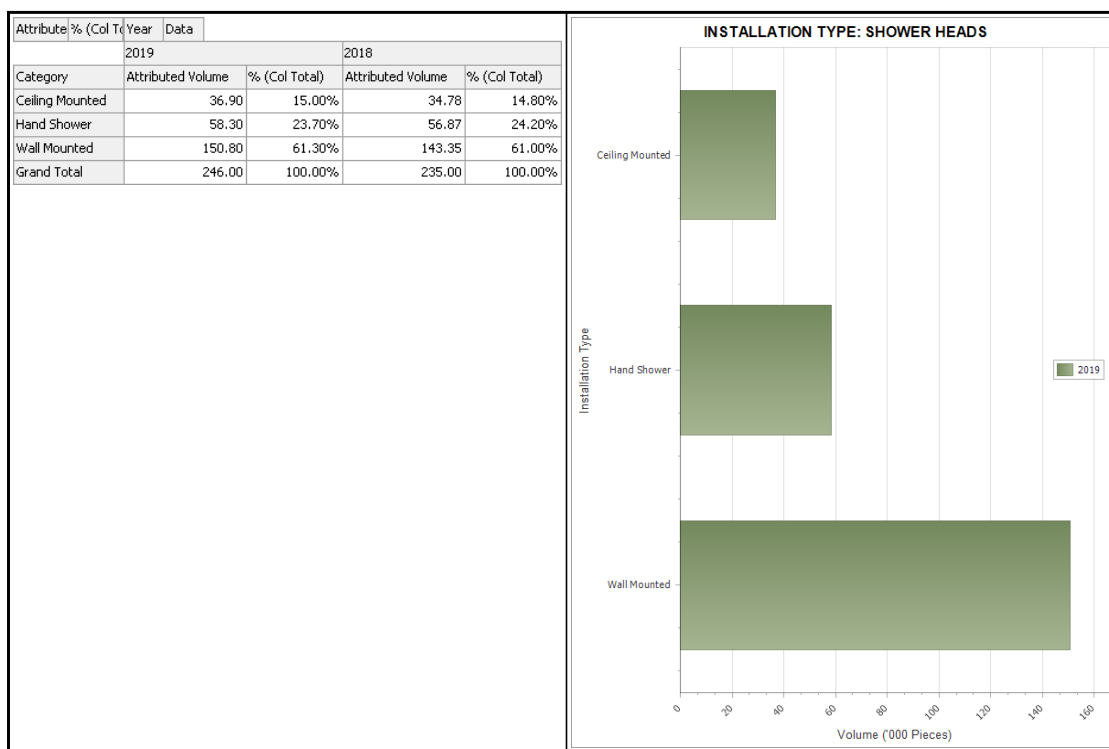
BG - SHOWER HEAD SALES BY FUNCTION TYPE ('000 PIECES)



Source: BRG based on industry interviews

6.4.6 Sales by Type of Installation : Shower Heads

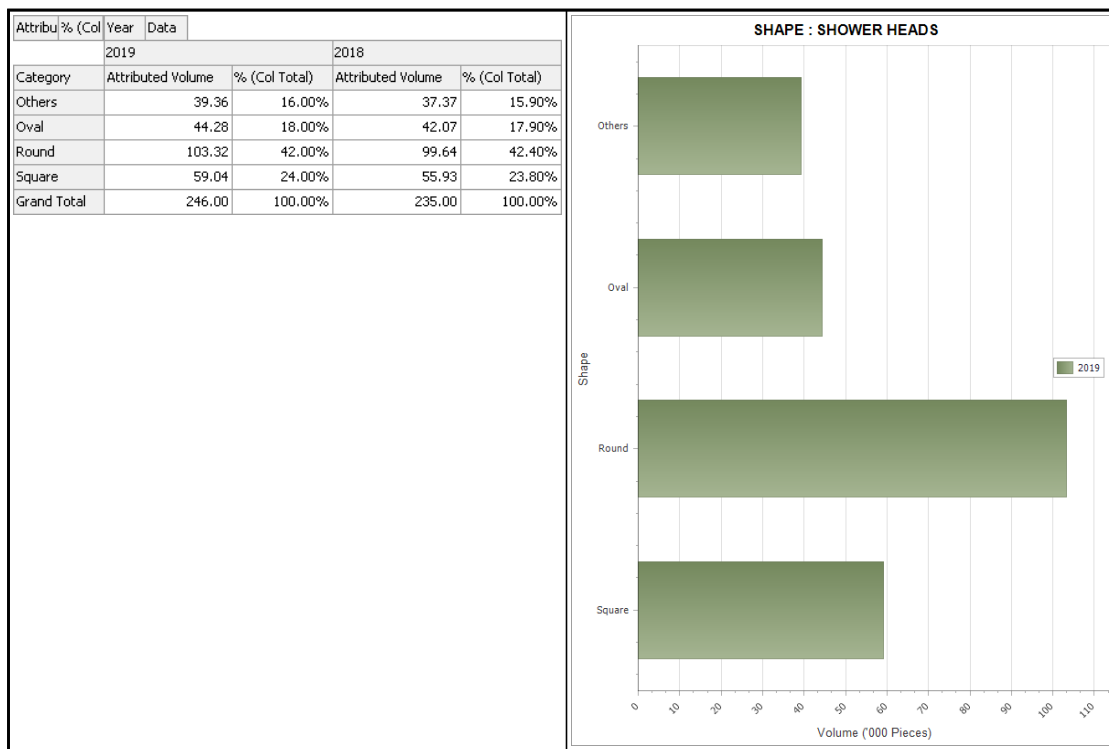
BG - SHOWER HEAD SALES BY INSTALLATION TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

6.4.7 Sales By Type of Shape : Shower Heads

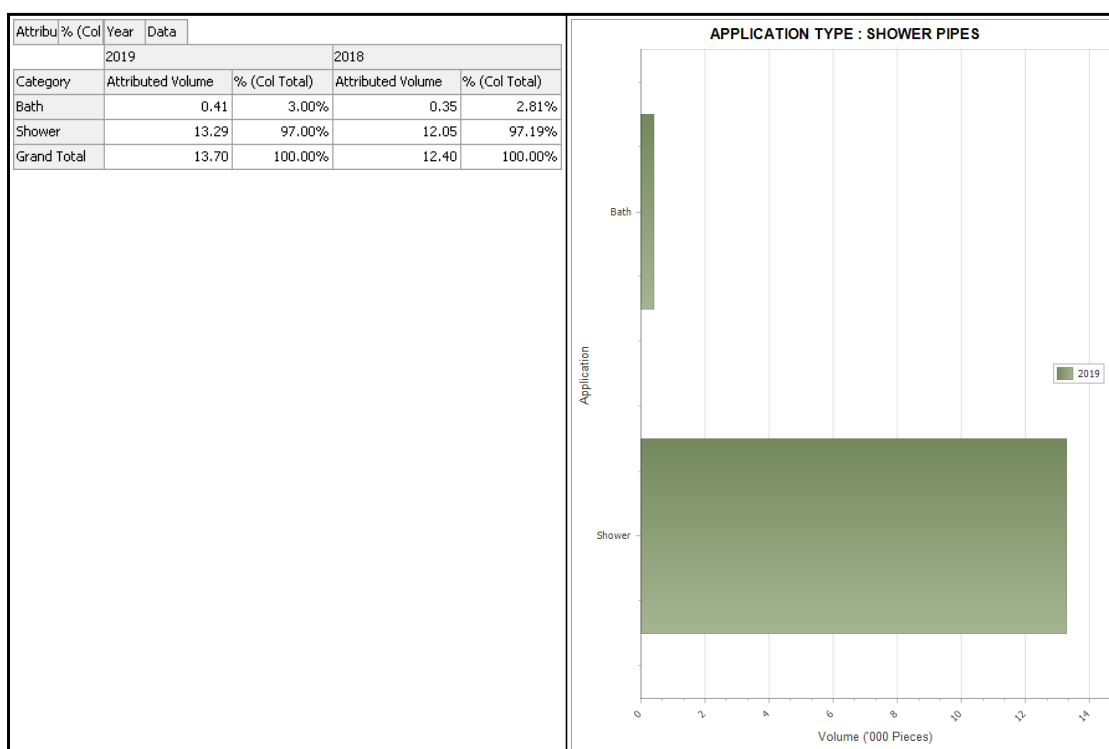
BG - SHOWER HEAD SALES BY SHAPE ('000 PIECES)



Source: BRG based on industry interviews

6.4.8 Sales by Type of Application : Shower Pipes

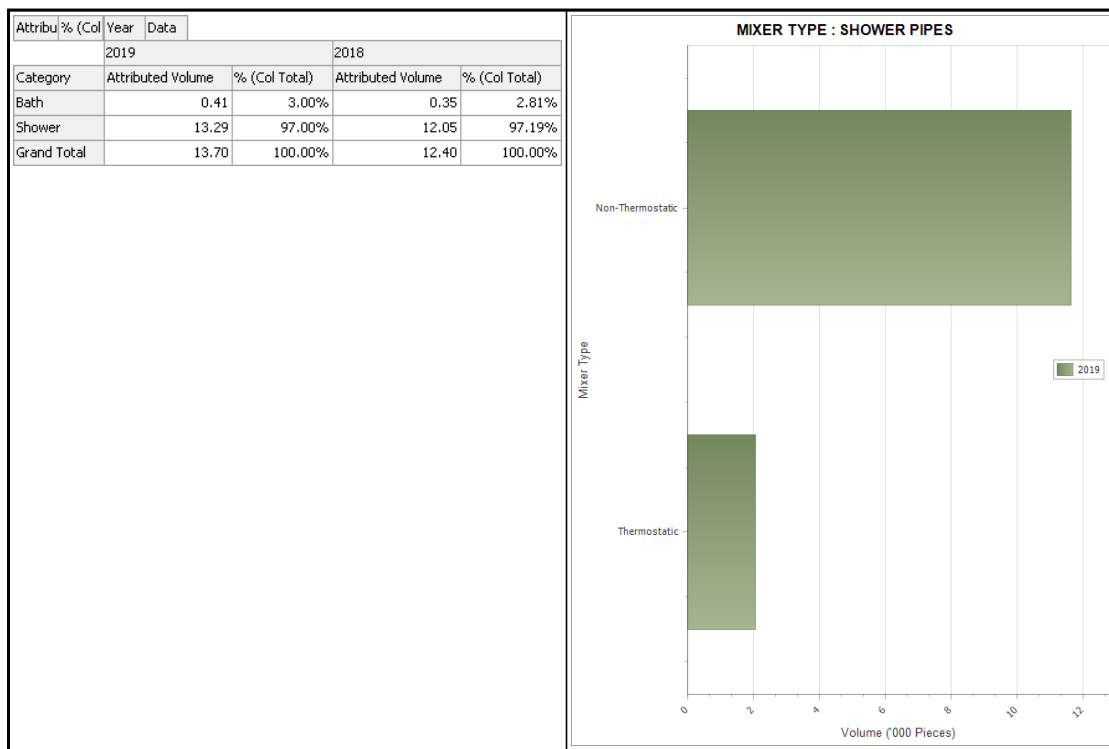
BG - SHOWER PIPE SALES BY APPLICATION TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

6.4.9 Sales by Type of Mixer : Shower Pipes

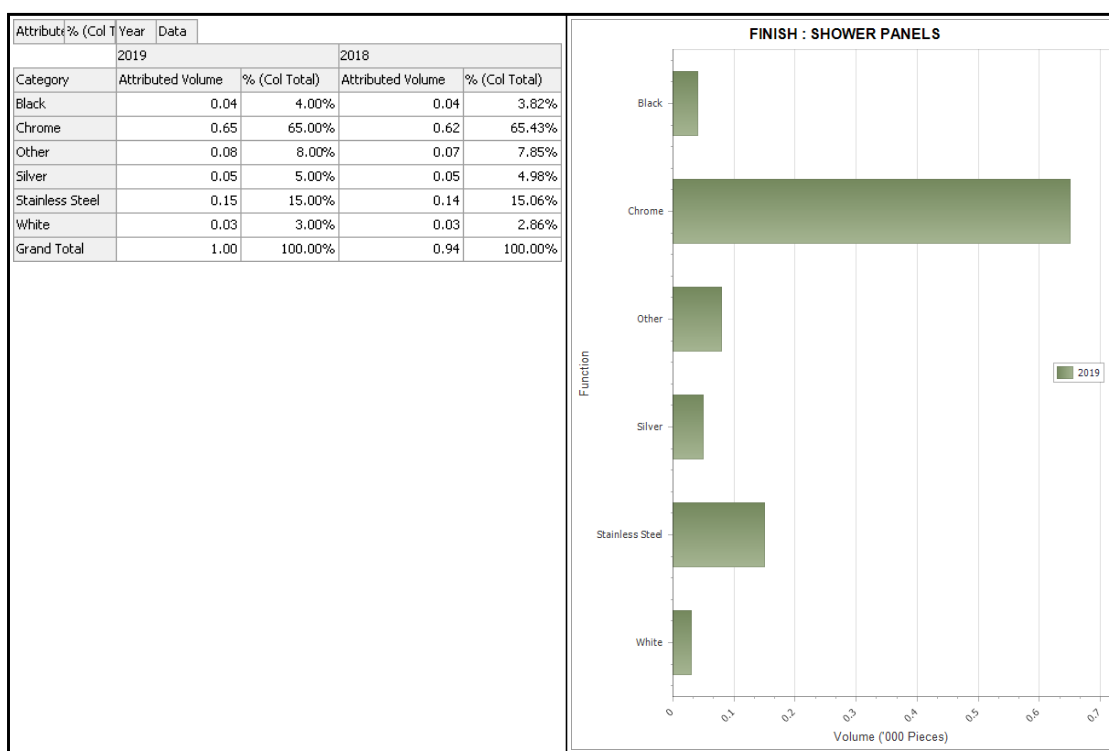
BG - SHOWER PIPE SALES BY MIXER TYPE ('000 PIECES)



Source: BRG based on industry interviews

6.4.10 Sales by Type of Finish: Shower Panels

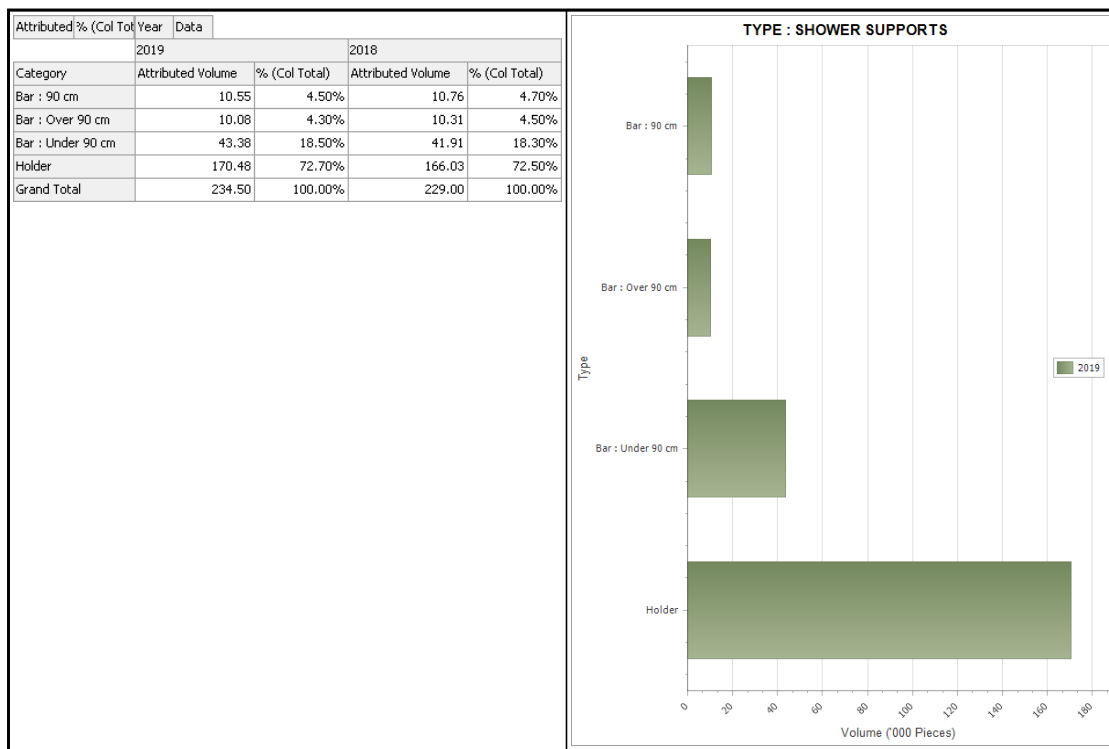
BG - SHOWER PANELS SALES BY FINISH TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

6.4.11 Sales By Type : Shower Supports

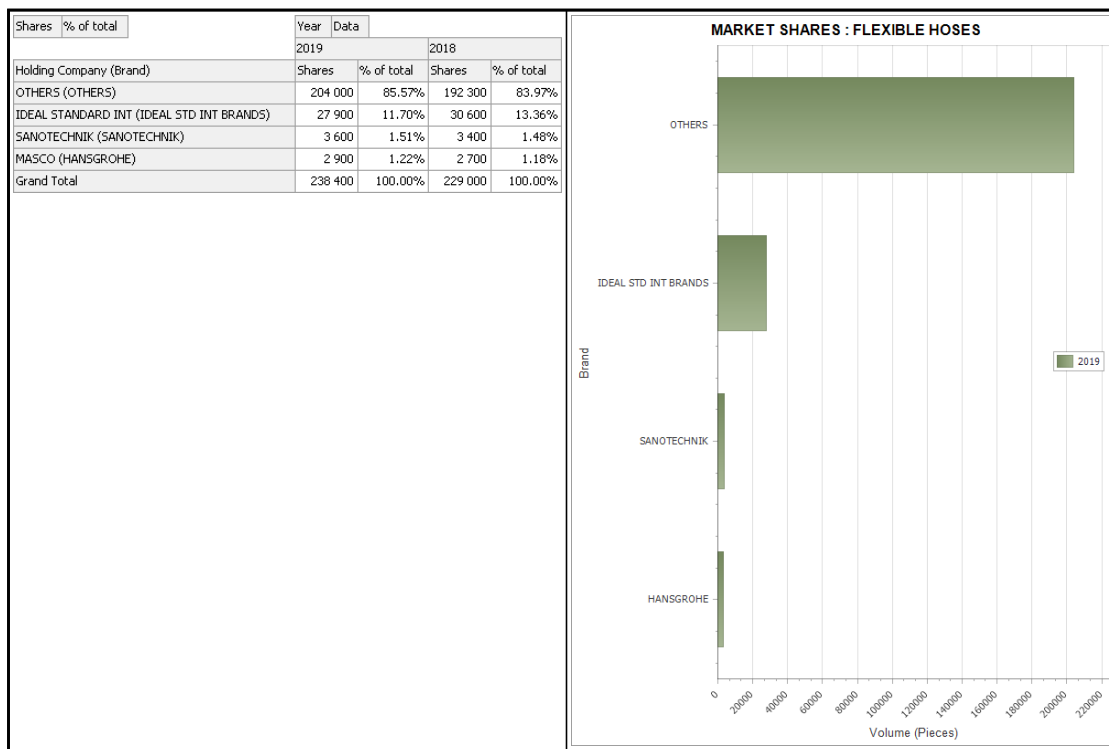
BG - SHOWER SUPPORT SALES BY TYPE ('000 PIECES)



Source: BRG based on industry interviews. Totals may show slight variance compared to market data due to rounding.

6.5.1 Market Shares : Flexible Hoses

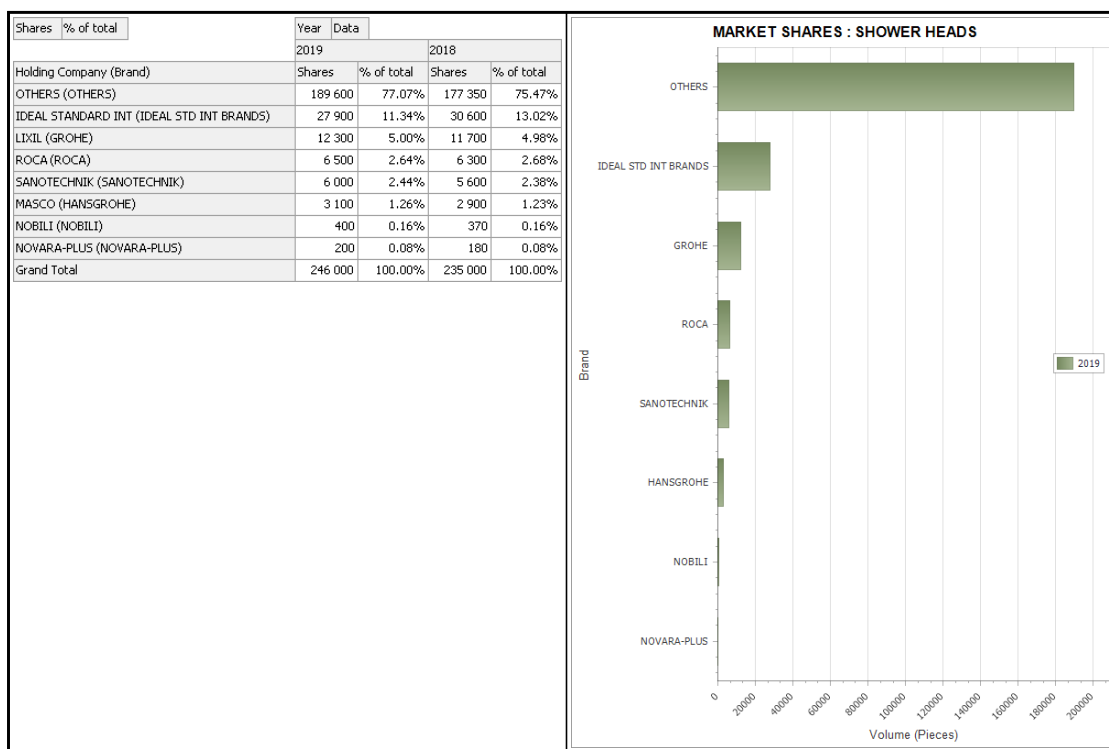
BG - ESTIMATED MARKET SHARES FOR FLEXIBLE HOSES



Source: BRG based on industry interviews.

6.5.2 Market Shares : Shower Heads

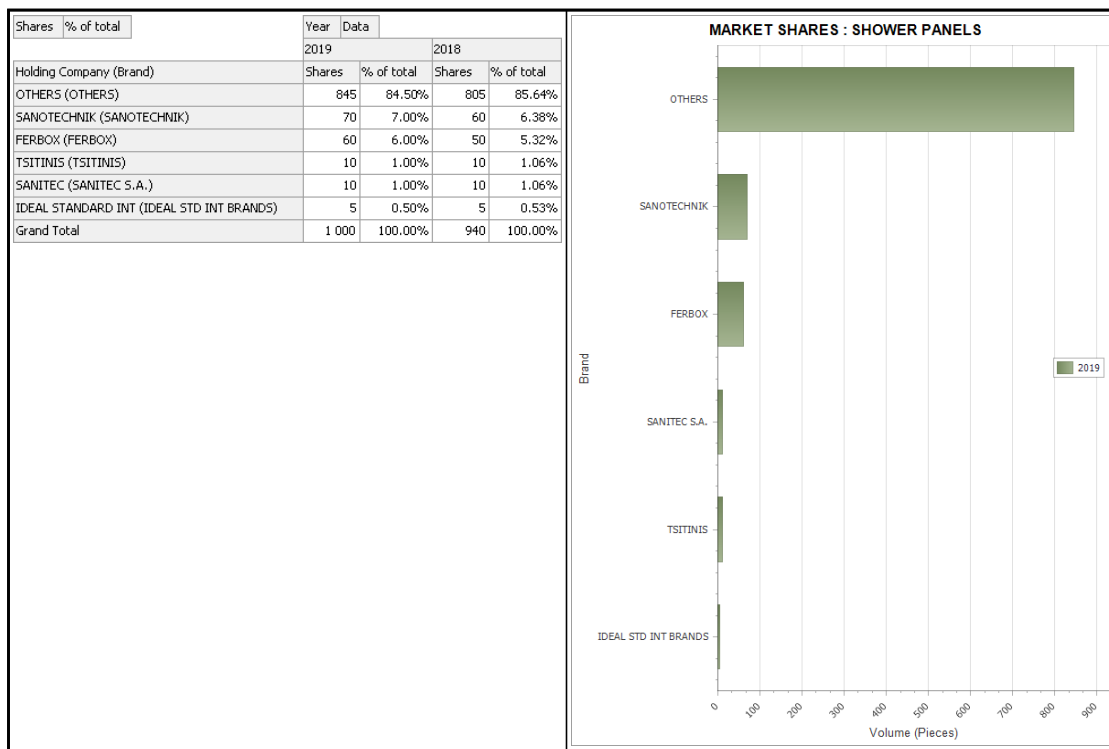
BG - ESTIMATED MARKET SHARES FOR SHOWER HEADS



Source: BRG based on industry interviews.

6.5.3 Market Shares : Shower Panels

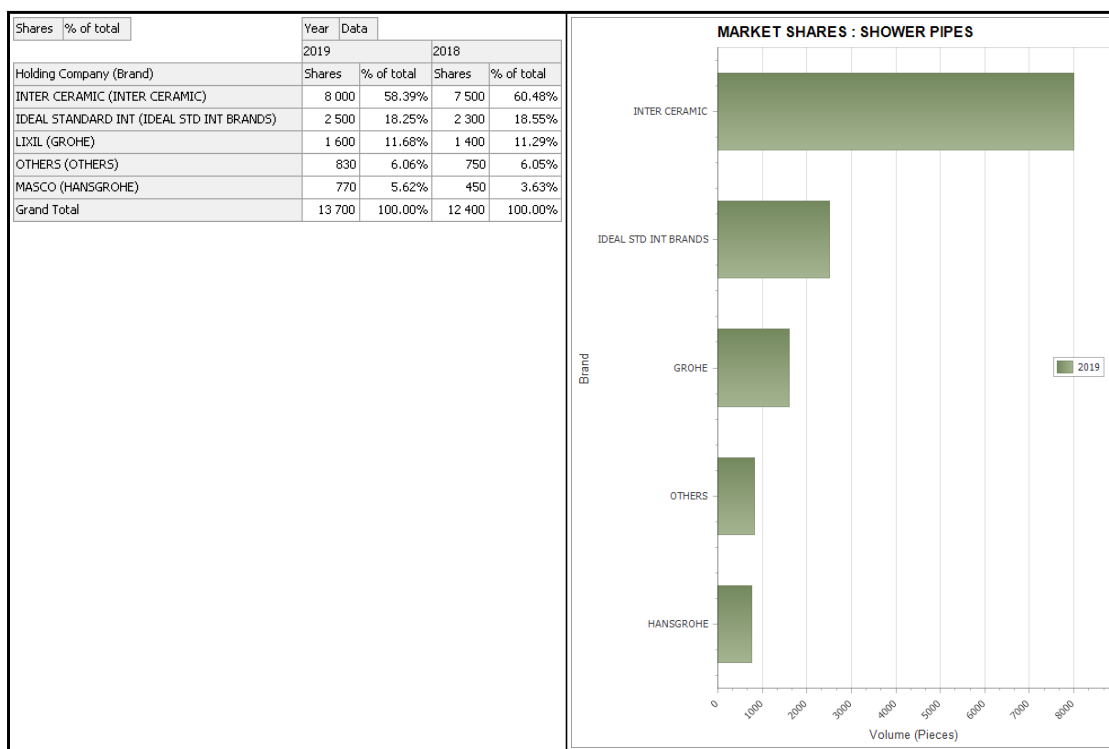
BG - ESTIMATED MARKET SHARES FOR SHOWER PANELS



Source: BRG based on industry interviews.

6.5.3 Market Shares : Shower Pipes

BG - ESTIMATED MARKET SHARES FOR SHOWER PIPES



Source: BRG based on industry interviews.

6.6.1

Route to Market: Shower Accessories
BG - ESTIMATED DISTRIBUTION FOR SHOWER ACCESSORIES: 2019

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	75.8%
	Wholesalers / Merchants
	75.8%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	0.8%	1.5%	13.8%	8.0%	7.4%	8.0%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	2.3%		21.8%		15.4%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
1.7%	2.0%	0.2%	4.0%	3.9%
Installers				
11.7%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	0.1%	55.3%	2.0%	17.3%	11.0%	11.3%
	Residential					
	97.1%					

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.4%	1.0%	0.1%	0.5%	0.5%	0.4%
Non-Residential					
2.9%					

New Build		Residential RMI	
4.5%		92.6%	
Project	Non-Project	Project	Non-Project
0.4%	4.1%	7.0%	85.6%

New Build		Non-Residential RMI	
1.5%		1.4%	
Project	Non-Project	Project	Non-Project
0.1%	1.4%	0.2%	1.2%

6.6.2

Route to Market: Shower Accessories
BG - ESTIMATED DISTRIBUTION FOR SHOWER ACCESSORIES: 2024

Manufacturer / Importer	Manufacturers / Importers
	100.0%

Wholesale Level	73.0%
	Wholesalers / Merchants
	73.0%

Retail Level	Manufacturer	Wholesaler	Manufacturer	Wholesaler	Manufacturer	Wholesaler
	1.3%	2.5%	15.0%	8.0%	6.0%	10.0%
	Internet Retailers		DIY Retailers		Specialist Retailers	
	3.8%		23.0%		16.0%	

Manufacturer	Wholesaler	Internet	DIY	Specialist
1.0%	3.0%	0.5%	5.0%	4.6%
Installers				
14.1%				

End Use Level	Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
	3.4%	48.7%	2.9%	17.6%	11.0%	13.6%
	Residential					
	97.2%					
New Build			Residential RMI			
3.4%			93.9%			
Project	Non-Project		Project	Non-Project		
0.4%	3.0%		7.0%	86.9%		

Manufacturer	Wholesaler	Internet	DIY	Specialist	Installer
0.3%	0.8%	0.4%	0.4%	0.4%	0.5%
Non-Residential					
2.8%					
New Build			Non-Residential RMI		
1.5%			1.3%		
Project	Non-Project		Project	Non-Project	
0.1%	1.4%		0.2%	1.1%	

Source: BRG Based on Industry Interviews. - Totals may vary due to roundings

6.6.3 Route to Market - Consolidated View : Shower Accessories

BG - ESTIMATED DISTRIBUTION FOR SHOWER ACCESSORIES : 2019

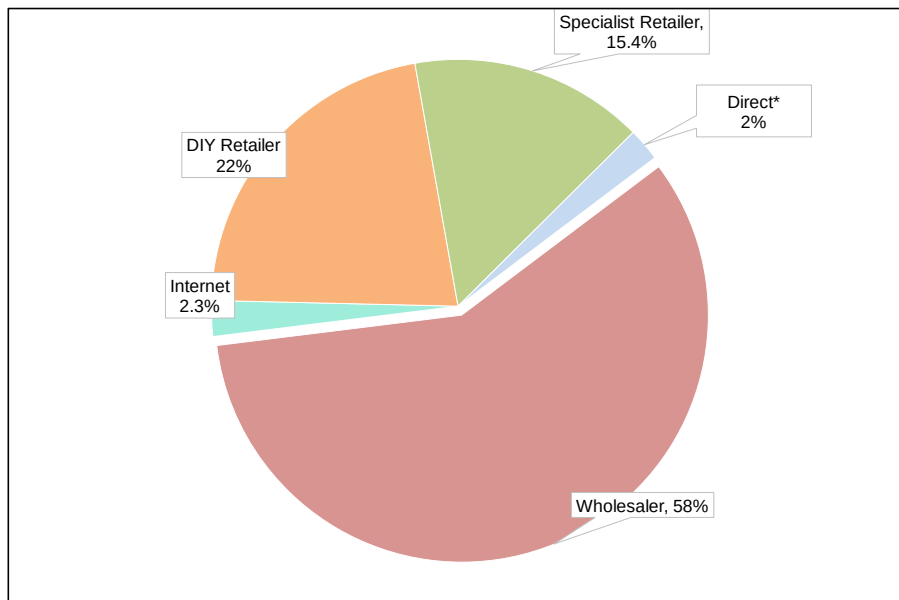
Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
58.3%	2.3%	21.8%	15.4%	2.1%	7.4%	0.3%	89.7%	2.6%
100%					7.7%		92.3%	

6.6.4 Route to Market - Consolidated View : Shower Accessories

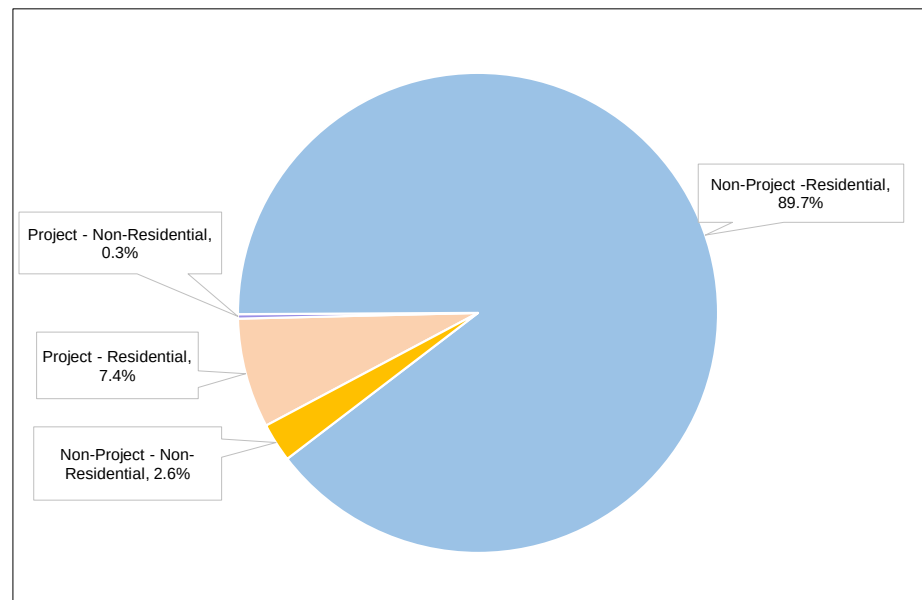
BG - ESTIMATED DISTRIBUTION FOR SHOWER ACCESSORIES : 2024

Route to Market - End Use Level					Project		Non-Project	
Wholesaler	Internet	DIY Retailer	Specialist Retailer	Direct*	Residential	Non-Residential	Residential	Non-Residential
52.5%	3.8%	23.0%	16.0%	4.7%	7.4%	0.3%	89.8%	2.5%
100%					7.7%		92.3%	

BG - SALES OF SHOWER ACCESSORIES BY DISTRIBUTION CHANNEL: 2019



BG - SALES OF SHOWER ACCESSORIES BY POINT OF DECISION AND END-USE SECTOR: 2019



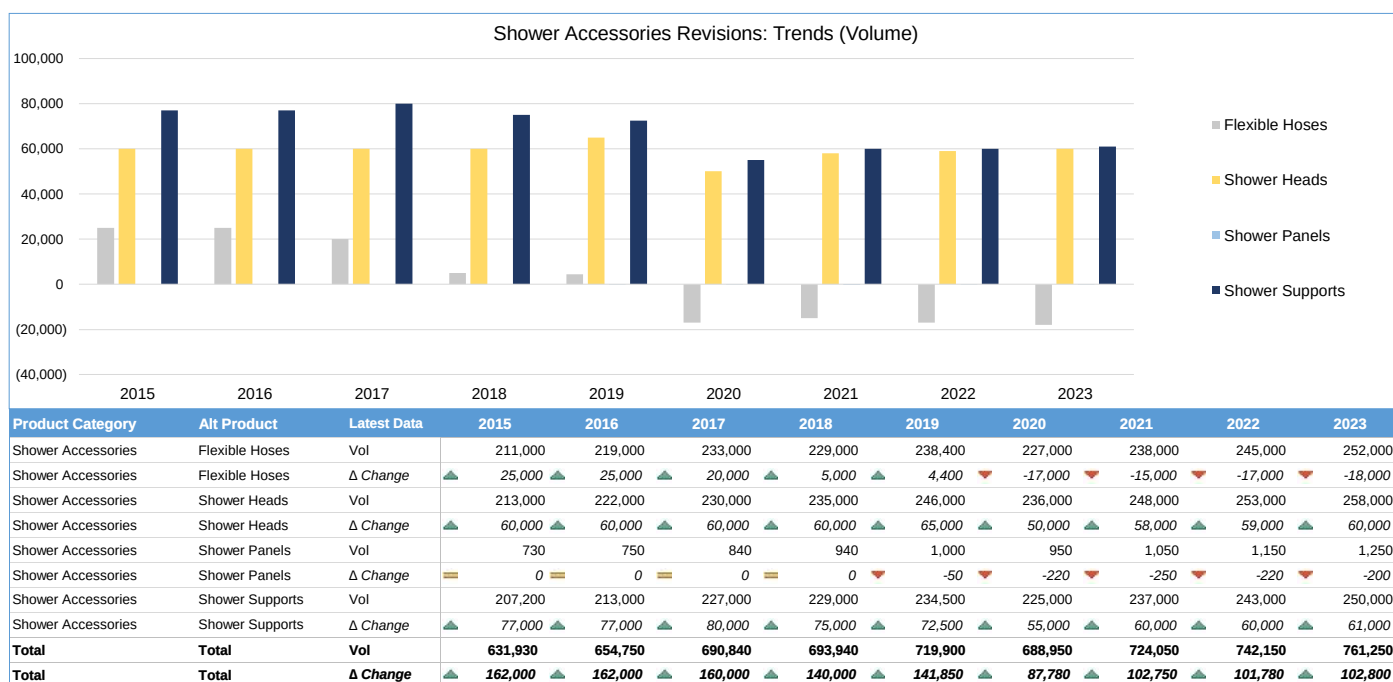
Source: BRG Based on Industry Interviews.

*Direct includes sales going directly from manufacturers to installers, contractors and private customers.

6.7 Revisions in the Bulgarian Shower Accessories Market (July 2020)

BG - REVISIONS IN THE BULGARIAN SHOWER ACCESSORIES MARKET

Data Comparison: July 2019



Historical sales figures for flexible hoses, shower heads, and shower supports have been revised, based on the data received from the key market players, indicating smaller differences between the three product categories.